

Paradeep Phosph. (PARADEEP)

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"Paradeep Phosphates Limited
Q1 FY2023 Earnings Conference Call "

August 04, 2022

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LIMITED

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Page 2 of 23 Moderator : Good day ladies and gentlemen, and a very warm welcome to the Paradeep Phosphates Limited Q1 FY2023 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you Aniruddha !

Aniruddha Joshi : Thanks Ali. On behalf of ICICI Securities, we welcome you all to Q 1 FY2023 Results Conference Call of Paradeep Phosphates Limited. We have with us senior management represented by Mr. Suresh Krishnan, Managing Director ; Mr. Sabaleel Nandy, President, COO and Mr. Alok Saxena, General Manager and Head, Corporate Finance. Now, I handover the call to the management for their initial comments then we will open the floor for question -and-answer session. Thanks and over to you Sir!

Suresh Krishnan : Thank you Aniruddha. Good afternoon everyone and warm welcome once again. Well as you are all aware the agriculture sector and the global agri input sector over the last three to four months has been quite volatile, volatile largely due to the global geopolitical situation which emerged in the last week of February. What we have noticed during the last three months has clearly been that no major corrections in terms of prices in the fertilizer in agri input space has really taken place and in terms of supply side we have seen some surges in terms of availability; however, the way the sector has panned out I think the entire fertilizer consumption is dictated by availability and which is what we have seen globally. I think it is also important for us to understand that the linkage of fertilizer and other agri inputs to food security has further got underscored very seriously and we all believe that the current situation the way it is continuing right now will certainly have an impact in terms of overall agriculture produce in right across global markets.

The short -term outlook the way we look at it today is that some of the major crops which include wheat, rice and maize globally will see a decline in production over a period of time largely because of not being in a position to get enough macronutrients which are required. But getting back to India I think there are a few positives that we need to very clearly notice. The first positive is the agriculture sector in India the farmers in general have been

reasonably isolated from any major volatility of price hikes as far as the fertilizer input is concerned which has been a quite a positive thing number one. Number two even the availability as far as the fertilizer input is concerned have been well managed by the Government of India ensuring that the serious demand pockets are well met. And the third important thing that we need to realize here is that the monsoon even though they were initially delayed have really picked up well in the month of June and the kind of coverage that we are seeing and the amount of water levels that we are seeing across various dam

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Page 3 of 23 levels both with respect to last year and the l

ast 10 years average are all very encouraging as far as our sector is concerned and the last but not the least I think the acreage that we are seeing for kharif has been very similar to what we saw last year and the agricultural produce that we are getting to see as per the latest government estimate is also quite encouraging there has been a marginal improvement that we get to see here and the other important point is the realization which has come into the farmers has been in general better than the MSP which has been provided by the government. So on the whole we get to see that our consumer base continues to be well protected, issuing strong earnings and in terms of their ability to continue their activities well and in a profitable way seems to be very evident from various parameters that we have seen.

Coming to specific to the company. I think the last quarter for us has been quite exciting not only that during the month of May we completed our IPO and got listed it is also very heartening for us to report that we have completed the acquisition of the Goa asset which have been effective June 1, 2022 as we have been mentioning right across that the Goa asset we will take about a few months to really get to restart and to achieve the capacity utilization that we have set out to.

In terms of pure numbers if you look at our performance I think our production levels the way we see it is as compared to the previous year same quarter I think our total production was 283624 metric ton as against 227785 metric tons. This has been a quarterly good positive change a positive uptake of about 25%. One of the main reasons for this is the production that we achieved from Goa unit. As far as the previous year of FY2022 we did not have the Goa production available here we have both phosphatic and the urea production available, phosphatic under the cooling arrangement and the urea against the regular production that we started in the month of June. When it comes to sales the growth has been robust 343000 as compared to 231000 in the previous year same quarter so this has been a healthy growth that we get to see which has got reflected in the revenues our average revenue being 2434 Crores as against 1320 Crores in the previous year and it will also be important to note that the revenue change is also a reflection not only of the volumes of also the price changes which have taken place between the two quarters.

In terms of EBITDA as you all know we have a 56% improvement in the reported EBITDA which is 167 Crores as against 107 Crores that we have previously this will be a healthy quarter in that sense and this EBITDA is post some of the one-off acquisition related expenses that we had and also the startup expenses that we had to incur. So I think we believe that we have continued to maintain a robust trend in terms of our performance at the operating level and that in terms of our future outlook that we get to see as you all know we have been clearly stating that this is a year where our expansion takes place in terms of capacities and the very fact that the inorganic growth that we were having through the Goa acquisition is completed we are quite confident that the production level from that will

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Page 4 of 23 finally adds to the overall revenue and the returns for the company in the coming quarters and the second important thing is now we have three clear fully revamped manufacturing lines which are operational right now. The fourth manufacturing line at Paradeep is we have taken a shutdown for the revamp and we believe that we should be able to complete that and the facility will be available to us in Q3 of this financial year. So these are important terms that we need to keep in mind and one of the other important points that we have that we will like to highlight here is that as we speak our combined c

apacity of 2.85 million tons per annum but I think the more important thing is that our fungibility in terms of products is significantly improved and even in the first quarter we managed to produce a lot more of NPKs as against DAP based on market requirement. So we are feeling quite confident that we will be in a position to readjust our product mix based on the demand in the market. So these are our opening remarks and we will be happy to take any specific questions from the

participants. Thank you.

Moderator : Thank you very much. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Amanjit Singh from Oculus Capital Growth Fund . Please go ahead.

Amanjit Singh : Sir congratulations on a good set of numbers and congratulations on the acquisition of the Goa plant. I just had one question, so I believe the enterprise value of the Goa plant was about 2000 odd Crores so could you please help us get what was the debt that was assumed and what was the equity value ?

Suresh Krishnan : As far as Goa acquisition is concerned the entire thing was 100% cash payout no debt from Goa unit was taken over by us.

Amanjit Singh : So whatever debt would have been paid off by the parent company that they would have paid themselves right ?

Suresh Krishnan : Absolutely.

Amanjit Singh : Second question as a followup what was the basis of the valuation in the plant given the plant was loss making earlier on ?

Suresh Krishnan : Well I think this is a subject that we have addressed quite adequately . The particular unit that we have acquired in Goa has an overall capacity of 1.2 million tons consisting of 0.4 million tons of urea and 0.8 million tons of phosphatic , in addition to that we also have an incremental surplus ammonia production which is there. This plant is in the past generally generated close to about between 350 to 400 Crores of operating EBITDA from this company and it has a very, very good robust product mix so the entire valuation was done on that basis.

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Page 5 of 23 Company Speaker : The valuation of the Goa plant was to answer your question theoretically all the three methodologies of valuation were adopted mainly the EBITDA multiple, the discounted cash flow and the replacement cost basis and the lowest of the three was adopted to arrive at the enterprise value of 2800 million and finally the company would be closing this acquisition at a cost between 1600 and 1700 Crores.

Amanjit Singh : Thank you so much. That is it from my side.

Moderator : Thank you. The next question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani : Thanks for the opportunity. Sir on the capex program apart from this granulation facility for the backward integration also we are on track to start it by October onwards.

Suresh Krishnan : Yes, we are on track to complete the granulation of all the four trains just for your information we have completed the granulation exercise of the third train so we did C train and D train last year when we were in the buildup to the IPO as many of you would have known and we had clarified at that time the debottlenecking of train A was going on which we completed around June 20, 2022, from July 1, 2022 we have taken down train D for revamp which is expected to be completed sometime between end of September and October 10, 2022 that is the program which will then complete all the four trains revamp activity and the Paradeep sites would then have had a capacity of 1.8 million metric tons up from 1.2 million metric tons per annum that we had as of March 2021.

Prashant Biyani : How much was the gross and net debt at the end of Q1 ?

Alok Saxena : The gross debt at the end of Q1 is 3627 Crores which includes the long-term loan of 758 Crores and short-term borrowings of 2869 Crores, the increase

in short-term borrowing is primarily on account of subsidiary shareholders .

Prashant Biyani : So I would believe net debt would be somewhere around this only ?

Alok Saxena : If you drop off net debt it will be 200 Crores less so it will be 3427 Crores.

Prashant Biyani : How much would be subsidy for this year and last year Q1 ?

Suresh Krishnan : Subsidy amount has gone up by almost 1700 Crores, which was all outstanding at the end of June but as we speak now close to 50% of that has been released by the government.

Prashant Biyani : How much was the subsidy last year ?

Suresh Krishnan : Last year this time it was very low a much lower, let me give you the exact number.

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Page 6 of 23 Alok Saxena : Last year Q1 the subsidy was around 800 Crores this year it is 2300 Crores.

Prashant Biyani : What would be the breakup of manufactured and sales volume from PPL?

Suresh Krishnan : It is essentially manufactured volumes for us with one shipment which came up in trading which is close to about 50000 tons.

Prashant Biyani : Just to clarify the complex volume was around 325000 in total ?

Suresh Krishnan : Just to clarify it for you the total production was 283000 tons for us which included DAP of 103000, 16000 of urea and balance were complex fertilizers.

Prashant Biyani : Lastly EBITDA per ton for the Paradeep plant would be how much ?

Suresh Krishnan : As you see in this quarter essentially the production was out of Paradeep and not very much at Goa and so we have been maintaining the same levels of closer to Rs.5000 a metric ton in terms of EBITDA per ton.

Prashant Biyani : This was also last year as well.

Suresh Krishnan : Yes, last year was about Rs.4600.

Company Speaker : In fact, it is 4853 as against 4611 last year.

Prashant Biyani : Okay Sir . I will come back in the queue. Thanks.

Moderator : Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Securities . Please go ahead.

Manish Ostwal : Thank you for the opportunity. First question is on during the quarter because of cost pressure how much impact on the margin and secondly what is your overall outlook on operating margin for rest of the financial year?

Suresh Krishnan : The way and we have again explained this a few times in the past as well we do not view the business in terms of margins we view the business in terms of EBITDA per ton because ours is a business which is heavily dependent on imports and that imported raw materials constitute a large proportion of the total turnover. For this the way we usually evaluate the business is on EBITDA per ton basis and it would be our request that you also evaluate us now and going forward on EBITDA per ton.

Manish Ostwal : So, on EBITDA per ton basis what is your outlook ?

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Page 7 of 23 Suresh Krishnan : Rs.4850 odd per ton of EBITDA as against 4600 that was last year same quarter.

Manish Ostwal : Secondly after this Goa acquisition our peak debt would be 5600 Crores right Sir?

Suresh Krishnan : No, as was explained earlier the Goa acquisition has been done on a slump sale basis which is a cash free, debt free basis so there we have not inherited any of the debt from Goa's earlier owner which is Zuari Agro Chemicals.

Manish Ostwal : Thank you Sir.

Moderator : Thank you. The next question is from the line of Pratik Tholiya from Systematix. Please go ahead.

Pratik Tholiya : Hi, thank you so much for the opportunity and congratulations on good set of numbers. Firstly can you just help with the sales we have done during the quarter and especially split between DAP and non -DAP ?

Suresh Krishnan : Yes, the total sales that we did was 343000 metric tons of which the DAP was around 100000 rest of it were the other products.

Pratik Tholiya : You did mention that the production that you did of 283 that was largely on account of

higher volume coming from the new Goa plant so ex of Goa what was the correction basically at Paradeep ?

Suresh Krishnan : Goa plant is miniscule around 47000 tons is all that we took from Goa rest of it is all Paradeep because as you know the Goa plant acquisition was completed on June 1, 2022 just a month of which during which also the urea plant 15 days was under annual turnaround but in April we had some bit of tolling manufacturing that had happened which is 43000 tons to be precise 43000 tons was NPKs volumes manufactured in Goa and 16000 was the urea that was manufactured in Goa.

Pratik Tholiya : Secondly on subsidy you mentioned that possibly right now it is around 2300 odd Crores and did I hear correctly that 50% of this number has been already paid off in the month of July?

Suresh Krishnan : In the month of July we have received around slightly less than 1000 Crores.

Pratik Tholiya : 1000 Crores we have already been received and what is the view on subsidy going forward because now government is talking about I mean the industry is talking about around 2.5 lakh Crores of subsidy is likely possible so do you think that there could be some delay or the payments are going to be smooth even in the coming months and quarters of this financial year ?

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Page 8 of 23 Suresh Krishnan : I would like to answer this question in two parts the first part is government is provided for 2.5 lakh Crores as subsidy for the fertilizer industry today which includes urea and phosphatic we believe based on the current price trends that we have this subsidy amount is adequate to meet the entire subsidy requirement for the industry during the financial year.

Given that we believe that the subsidy payout will be smooth from the government end we do not expect them requiring any substantial amount of additional money towards subsidy.

Pratik Tholiya : That is it from my side. Thank you and wish you all the best.

Moderator : Thank you. The next question is from the line of Bhavin Chheda from Enam holdings . Please go ahead.

Bhavin Chheda : Good afternoon Sir. Congrats on successful IPO listing and good set of results to start with. Your gross debt number now 3627 now this includes since the Goa unit acquisition is done so any pending payment for the Goa unit , any liability spending or something ?

Suresh Krishnan : Not really the total loan that we are getting to see includes the completion of the Goa acquisition and the loans there is nothing more which is pending that we need to take care of.

Bhavin Chheda : What was the phos acid volume in the quarter captive volumes for the company ?

Suresh Krishnan : Phos acid plant was on shutdown in the period we have therefore not been producing , we made 52000 tons of phos acid in this quarter as against 46000 tons same quarter last year.

This is the time when we usually take the shutdown.

Bhavin Chheda : The balance would have been imported and if you can help with the contract prices that was there in the quarter ?

Suresh Krishnan : Let me put it this way we have not had to import phos acid during the April, June quarter we had certain benefits of opening stocks and arrivals so strictly speaking we as a company did not have to import and I was saying this especially in light of as far as the other players are concerned there has been a little bit of confusion related to the phos acid prices I would like to clarify that as far as we are concerned all our prices up to June has been at the earlier price of 1530.

Bhavin Chheda : So now the plant has restarted now ?

Suresh Krishnan : Yes full plant.

Bhavin Chheda : That would be how much percentage captive for the company ?

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Page 9 of 23 Suresh Krishnan : As we have been talking and as you are aware when we have our phos acid plant running fully and this is the pre-retrofit stage w

hich is the annual capacity of 300000 we can meet

close to 90% to 95% of three train requirement today the fourth train is under revamp so the

Paradeep side virtually is fully self sufficient as far as P205 is concerned Goa will import

and manufacture. The Paradeep site is close to be in full self sufficient.

Bhavin Chheda : The margin you gave 4853 that was blended or that was for the NPK ?

Suresh Krishnan : That is blended you will get it if you divide the EBITDA by the total volume sold.

Bhavin Chheda : So then give urea separately urea was around that number only ?

Suresh Krishnan : Urea was 10000 tons that we sold 16000 tons we made.

Bhavin Chheda : Alright it was very small number.

Suresh Krishnan : Yes.

Bhavin Chheda : What would be the capex number for FY2023 that you are planning ?

Suresh Krishnan : No change from what we have said nothing has been added nothing has been deducted.

Bhavin Chheda : So during the IPO time whatever you mentioned is the same .

Suresh Krishnan : Yes, it remains the same.

Bhavin Chheda : Okay thanks a lot and best of luck.

Moderator : Thank you. The next question is from the line of Rohan Gupta from Edelweiss. Please go ahead.

Rohan Gupta : Good evening Suresh Ji. Sir first question is on our Goa facility so you mentioned that a part from urea and of the 3.5 lakh ton and of a DAP we also have some surplus ammonia can you quantify that how much surplus ammonia we have there at that plant ?

Suresh Krishnan : 70 to 80 metric tons per day is sufficient to run one of the two NPK trains without having to import any ammonia for that one of the two NPK trains.

Rohan Gupta : This plant is completely dependent on imported phos acid right ?

Suresh Krishnan : Yes and that is an area where we are looking for huge advantages to come to PPL being having the kind of commercial relationship that we have with OCP .

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Page 10 of 23 Rohan Gupta : For the June contract you have mentioned that it has been on an earlier price of phos acid of \$1530 and current quarter when we need not to import anything in terms of phos acid then our margins are at close to Rs.4800 EBITDA per ton right ?

Suresh Krishnan : Yes.

Rohan Gupta : Sir would not be that with the captive phos acid completely and Goa plant is still not running our margins per ton so there have been a much higher than the current level given the current phos acid ?

Suresh Krishnan : Our reported EBITDA per ton is what we are getting to see 4800; we have some one-off acquisition related expenditure which we had to write-off which has not been capitalized because of which this is at this level. That amount is 49 Crores is what we have to do a onetime payment of stamp duty and some RM related expenditure.

Rohan Gupta : Okay so that is also loaded on the Rs.4800 EBITDA per ton ?

Suresh Krishnan : Absolutely yes.

Rohan Gupta : With the current phosphoric acid spread and with the captive phosphoric acid right now though the rock phosphate availability we have but how the ammonia and how the pricing of that and ammonia and sulfur, how it is right now?

Suresh Krishnan : No, so the worst is behind us and there is no problem as far as ammonia availability or sulfur availability and if you are following the international market you would have also noted that sulfur prices have virtually crashed from something like \$460 per metric ton to something like in Qatar ammonia had become 77 so to India it would be like 125, 130 so there the ammonia prices are holding on but as far as availability there is no challenge on either front.

Rohan Gupta : My second question is on subsidy front you mentioned that with the current pricing scenario in an international market the subsidy from the government should be close to 2.5 lakh Crores but you mentioned that they have adequately provided but I understand that in a budget they provided close to 1.6 lakh Crores on

ly for the current year so has there been

any reason and has there any off balance sheet provision has been made by the government if you can give some sense?

Company Speaker : Government had initially made a budgetary provision of 1.6 lakh Crores that we have and post the price hike that has happened in the global market and with a view to keep the prices at a more affordable level government had increased the subsidy allocation by over 1 lakh

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Page 11 of 23 Crores this they have themselves confirmed so in effect they have about 2.5 lakh Crores of subsidy available for the industry.

Rohan Gupta : So you mean that when there is adequate provisioning any particular reason for the delays in subsidies disbursement from the government in this quarter when earlier there was just almost getting every subsidy within a month?

Suresh Krishnan : Let us go with the track record of government of India I think over the last two years they have not only cleared the backlog and they have been very robust in terms of clearing the dues before the end of the financial year and we have hardly been carrying more than 15 days of subsidy. When it comes to this quarter I think it is important to realize that government's notification on the MD A has happened late in the month of April and which was announced and the formal notification happened in the month of May and by the time the DBT bills and others were generated it became well into the month of June and that is one of the reasons why we did not get any major payouts but now the process was regularized and people have been able to generate the bills and we have started releasing the subsidy I personally believe that this will now be a normal process that is our expectation.

Company Speaker: Well even on the subsidy I think the worst is behind us going forward it will be smooth.

Rohan Gupta : So right now our 3800 Crores around debt position so if we adjust for that working capital and the payment will come on time then it will be going to reduce significantly going forward right?

Suresh Krishnan : Absolutely if you look at it we should be having 758 Crores of long-term loan which is related to the capex program that we have had that will be the main loan that you will have and also the short-term loans will be highly mitigated and we do not believe that it is going to be any major number.

Rohan Gupta : You also mentioned that for running your Goa plant complex fertilizer which does not have a backward integration of phosphoric acid you will see it to utilize your existing relationship with the OCP I understand that the phosphoric acid pricing is still will be on arms length basis probably so will we have any additional advantage I am not sure at this Goa facility until and unless we have any further future plan for increasing our phosphoric acid capacity so can you just clarify a little bit more on that?

Suresh Krishnan : I think we will have to wait for the next quarter results to come to see in terms of how you are performing in Goa but I must tell you that phosphoric acid price is one and given the fact that we are an exclusive OCP buyer and the fact that we are a large volume buyer I am sure we will have those commercial advantages, but more importantly it is not so much about phosphoric acid price the entire industry gets down to a particular price is what is more

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Page 12 of 23 important with the kind of product mix that you can deliver and I think that is where we believe that we should be in a position to really get a product mix we should start add in far more to the EBITDA levels than a normal product mix of a DAP plus the usual generic our NPKs that you will get to see.

Rohan Gupta : So you want to say that we will be seeing continuous improvement towards NPK?

Suresh Krishnan : Absolutely.

Rohan Gupta : Okay thanks Sir that is it

from my side. Thank you.

Moderator : Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Hi! Sir, thanks for the opportunity. First question on the Goa bit. Now you did mention there was a slower or lower production in the last quarter because of the maintenance shutdown has it started fully now with effect from July or even Q2 will have some bit of that impact?

Suresh Krishnan : Well as far as the Q2 is concerned from July we have been having our urea plant running at pretty much between 90% and 93% and as far as the phosphatic is concerned we are concluding the phosphoric acid commercial transactions and now we have started receiving phosphoric acid in the side, so from the month of August we expect that our NPK production will also commence here.

Ankur Periwal : Sure and from a product mix perspective this will be largely NPK and some bit of DAP within phosphoric acid?

Suresh Krishnan : At Goa we do not have any plans to make that at this stage.

Ankur Periwal : Great, so this will be largely NPK and from a distribution network perspective any thought there any region required there?

Suresh Krishnan : I think we are one of the few companies which has a very robust I can say that a pretty much a pan India presence as far as fertilizer distribution is concerned and we are also very heavily present in markets which consume NPKs in a big way which includes markets from Maharashtra, Karnataka, Madhya Pradesh and Telangana and Andhra Pradesh. I do not think from a distribution point of view or the brand point of view we have any concerns there.

Company Speaker : Just to add as you know during all our discussions in the past we have highlighted that one of the key reasons behind acquiring the Goa plants was to get the distribution strength that

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Page 13 of 23 Zuari had so today I think people having completed the acquisition has actually inherited it so to answer your question we are now looking forward to reaping the benefits of this strength and distribution network there is no question of rethinking or realigning any of that.

Ankur Periwal : On the capex side you did mention Goa acquisition is behind us and because the debottlenecking part is already done so any thoughts on capex and the peak debt how should one think about it?

Suresh Krishnan : As far as the long-term debt is concerned we believe that our number is going to be under 1000 Crores is a number that we will end up which will be the peak long-term debt that we could hit and we are pretty certain that is where we are headed today and as you know the revamp costs are well established and the phosphoric acid backward integration should also get done by Q3 and we are pretty much procured the equipment required for that so we do not see any surprises on these.

Ankur Periwal : Just one last clarification you mentioned on the backward integration especially for the Paradeep plant on the enhanced capacity we are fully backward integrated did I hear that right?

Suresh Krishnan : Yes, I do not know again this is let me just to clarify once again once we have completed the revamp retrofit program for the phosphoric acid plant our capacity is going to move from 300000 metric tons per annum to 500000 metric ton per annum while the actual requirement of phosphoric acid depends on the product mix at a generic level and on an average forecasted volumes of phosphatic fertilizer that we will make Paradeep site will be around 90% to 93% backward integrated only a small quantity of phosphoric acid we will have to import depending on the actual mix of product that we make there.

Ankur Periwal : That is really helpful thank you Sir. That is it from my side thank you.

Moderator : Thank you. The next question is from the line of Amar Maurya from AlfAccurate Advisors. Please go ahead.

Amar Maurya : Thanks a lot for the opportunity

and majority of my questions had been answered. Only one clarification like as you said that the Goa plant urea capacity has already started and NPK capacity you are planning to start in August so let us say at a broad utilization level will we making the similar kind of EBITDA per ton what we are making here in existing Paradeep facility or what is the target there because there the phosphoric acid is basically the backward integrated?

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Page 14 of 23 Suresh Krishnan : No as far as Goa is concerned our EBITDA margin will be dictated by the kind of NPKs that we finally end up making I think that is the key out here and obviously you certainly have an advantage when you have your own phosphoric acid plant so between acid and your own phosphoric acid plant I am not having a phosphoric acid plant on a general level you have a close to about Rs.1000 margin difference which comes at EBITDA level. So those kind of margin difference could be there and it would also be bridged by having certain specialized products which cannot come your end so I think we are restarting the plant now and we will be working on various products to really make and I think about a few months from now we will be in a position to very clearly state in terms of what it is that we are going to finally offer because the fungibility and ability of Goa to make (inaudible) 36:41 is huge and so that is where we are looking at deciding in terms of what are the best options and we also plan to as we have already said we have introduced a new product N14 and which is something Goa will also start manufacturing.

Amar Maurya : On the current mix whatever the NPK mix we are having currently so are you saying that at the current mix you will have something around 3800 a metric ton and have you change d the mix, it will broadly be moving towards 4800 level kind of it ?

Suresh Krishnan : If you look at a long -term average that has been the difference that you get between phosphoric acid' s backward integrated plan versus a non -backward integrated plan that is the long -term average so as we stand right now here the blended number that we are looking at which is going to be closer to about Rs.5000 a metric ton for phosphoric fertilizer is what we are targeting and we will decide the mix between the two sides as we go forward and we will ensure that we will work towards delivering that number.

Amar Maurya : Secondly did I heard right that you are going to start your commercial production in August right ?

Company Speaker : Yes it is from August just to clarify the vessel has both today and so this week we should start the NPK run in Goa.

Amar Maurya : Fair enough Sir . Thank you .

Moderator : Thank you. The next question is from the line of Resham Jain from DSP Investment Managers . Please go ahead.

Resham Jain : Hi! Good evening Sir, so few questions. First is we have seen this 40 Crores of one -off in Q1 with the Goa plant now going to get ramped up gradually during this quarter are there any more one -offs which are expected in Q2 ?

Suresh Krishnan : Not likely.

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Page 15 of 23 Resham Jain : My second question is (audio cut) 38:45 given that by the end of the year most of your capex will be over how are you looking at expanding your market or further expanding your capacities if you can just help with your thought process that would be helpful ?

Suresh Krishnan : We have clearly maintained that FY2022 -2023 the current financial year is all about ensuring that our capacities are in place both in terms of granulation and backward integration so 2023 -2024 which is our next financial year is where we are targeting to hit off the capacities here and that is when you will get to see that we not only get the volumes that we are looking at and we also get the returns in terms of both EBITDA's and free ca

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flows and anything that we will end up doing is post that . I think if you are asking us in terms of what our thought process is from what we clearly understand today the opportunity around agri input space is quite large in India and it is not only about bulk fertilizers it is also about specialty fertilizer , it is also about other agri inputs like agrochemicals and other related products our retail reach is truly very strong today and it is quite robust today so we will certainly look at opportunities around that as far as the coming years are concerned that is the first one. Second important thing for us will also be getting some more specialized products from our own side which will also be equally important for us to take this and the third important thing for us is industrial sales that we plan to do whether it is surplus ammonia, whether it is going to be the gypsum which we have substantial quantities available with us and also the capacity that we have in terms of sulphur, sulfuric acid and related products. So we have a mix of things that we can very efficiently do and there are loss there are quite a good number of markets that we service today where we have identified demand for various products and we will start certainly ensuring that the stakeholders in this company get the benefit of the same.

Resham Jain : Any possibility of further expanding capacity in Paradeep is there a possibility there or the site is full ?

Suresh Krishnan : Paradeep as far as the infrastructure is concerned we have a very good option to double our capacity. We have always maintained that we are at 2200 acres site with our own private birth we are in a position to do that quite well and we will own the right to do that post FY2023 -2024 when we have the full capacity being utilized.

Resham Jain : Understood Sir . Thank you all the best.

Moderator : Thank you. The next question is from the line of Ajit Darda from Nirzar Securities . Please go ahead.

Ajit Darda : Hello Sir first of all congratulations for your completion of Goa plant acquisition. I have just two questions with a more of clarification the first one is as SSPs before affordable to customers and also the government is supporting its production by giving high amount of Paradeep Phosphates Limited
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Page 16 of 23 subsidy so is SSP substituting the use of complex fertilizers and is the increased demand of SSP sustainable what is your thought on that ?

Suresh Krishnan : My view is very simple that SSP cannot replace complex fertilizer because complex fertilizers have got NPK in them, SSP is a pure simple phosphate nutrient and by the same time SSP is a very important I would say an agri input or a fertilizer input and it has a capability to blended with so many other mainstream fertilizers , so from that perspective I think SSP has a role to play and we are clearly seeing that SSPs playing a role in India far more in the last couple of years.

Ajit Darda : Do you see the increased demand of SSP is sustainable ?

Suresh Krishnan : Well SSP is a product which is localized because you cannot really transfer it into very long distances because of the freight cost. So the current structure which is there in SSP I do not believe that one will be able to move it for a very long distance but obviously if there is a policy which comes in the garment which ensures SSP kind of moves around and I am sure you will find more pockets where consumption of SSP will come.

Ajit Darda : The second one is recently Mangalore Chemicals & Fertilizers has announced the shutdown of phosphatic fertilizer plant due to nonavailability of some raw materials so is there any kind of issues that we are facing with respect to raw material supplies ?

Suresh Krishnan : I can just confirm to you as far as Paradeep Phosphate is concerned we do have phosphoric acid and phosphoric raw material primarily for the Goa facility

and we have tied up the

same and we do not see that as a challenge for us in the coming quarters or coming years.

Company Speaker : Just to add not only this we believe the ability to have raw material without any interruption in our production is an area of competence that we would like to demonstrate going forward as well.

Ajit Darda : Okay Sir thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Rakesh Vyas from HDFC Asset Management. Please go ahead.

Rakesh Vyas : Hi! Good afternoon. Few questions from my side, first of all on the production trend itself if I annualized the current numbers that we did we are closer to a million ton in Paradeep despite us having a higher revamped capacity available in the quarter so any color that you can throw on this as to whether we have suboptimally utilized the capacity or where there larger shutdowns than what was expected ?

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Page 17 of 23 Suresh Krishnan : Not really I think what we have done in the first quarter is being to ensure that we had shutdowns taken for our phosphoric acid plant and to some extent also some of the units of sulfuric acid plant so the plant production is pretty much in line with what we had planned so there is nothing like an under utilization if you get to see we have actually done better production than what we did last year in the same quarter so that is the first point that I would like to state here and the second thing I would like to state here is that we have also ensured that the product mix is such that we are able to get a good EBITDA margin for ourselves I think what is important for us is not only the volumes that we do also to ensure that we have the return that is required and that is something that we have ensured that the product mix that we did. We did less of DAP which could have ramped up the capacity little bit more and we did more of other phosphates and we also experimented this from new product manufacturing which has come out quite successful .

Rakesh Vyas : Second is just a clarification these 49 Crores one-off is it part of the other expenses ?

Suresh Krishnan : Yes.

Rakesh Vyas : So we should normalize that going forward and last question is around subsidies so of course subsidy payments are due but are the large due from the markets as well ?

Suresh Krishnan : Market we are on a cash and carry mode and typically it is about seven to ten days is what the market outstanding is going today.

Rakesh Vyas : So if I understood it right if at all as and when we are expanding the production both from Goa and Paradeep going forward into second half the incremental working capital requirement if at all will be to fund the subsidy receivables if there are delays ?

Suresh Krishnan : Absolutely yes.

Rakesh Vyas : Got it Sir. Thank you so much and best of luck congrats once again.

Moderator : Thank you. The next question is from the line of Falguni Dutta from Jet Age Securities . Please go ahead.

Falguni Dutta : Good afternoon Sir. I just have one question on the Goa acquisition so out of this 1600, 1700 Crores which will be the final acquisition cost how much would have been funded through internal accruals and how much debt funded ?

Suresh Krishnan : There is a total debt funding through this acquisition has been 450 Crores.

Falguni Dutta : Any entire interest and depreciation on this plant has come in, in Q1 ?

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Page 18 of 23 Suresh Krishnan : Yes there is an incremental amount has come in Q1 yes.

Falguni Dutta : The entire amount has come in, in Q1 the incremental for both the interest and depreciation.

Company Speaker : Yes, that amount was paid before the IPO proceeds because IPO amount was the last amount that we have to pay to close the acquisition.

Falguni Dutta : So in fact we do not see any incremental interest

or depreciation on this account from Q2 ?

Suresh Krishnan : Yes.

Falguni Dutta : Thank you Sir that is all from my side.

Moderator : Thank you. The next question is from the line of Chintan Shah from JM Financial. Please go ahead.

Chintan Shah : Thanks for the opportunity. Couple of questions the first is I am not very clear on the input cost so one is on the phosphoric acid so while you have mentioned that will be approximately 90% backward integrated so just wanted to clear this still has import phosphatic rock and how is the pricing for that so that is one and secondly considering the current gas prices scenario just wanted to see what is the impact that we could see from the increase in gas prices ?

Suresh Krishnan : On the backward integration obviously we import rock phosphate as well but as it is the case globally so also for a plant like Paradeep the inherent sustainable margins for a backward integrated player who starts producing from rock it is similar to a steel plant if someone who starts from an iron ore has greater margin than someone who buys the (inaudible) 49:12 so that is the competitive advantage that we are talking of for the Paradeep side nothing unusual or nothing out of the ordinary. What was the second question?

Chintan Shah : Impact of DAP prices.

Suresh Krishnan : DAP prices.

Chintan Shah : Basically ammonia prices basically.

Suresh Krishnan : Ammonia prices we have long -term contracts from the major global ammonia players of the world and we are on a formula pricing which obviously gets impacted by the global prevailing prices generally (inaudible) 49:49 and the ammonia prices are still holding on and as far as the Q1 is concerned they have been high and in fact very high because it was just at the aftermath of the Russia Ukraine war breaking off but as we have been

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Page 19 of 23 maintaining we believe that the worst is behind us and the first trend of softening is already visible in the form of much easier and much smoother availability situation not only for us we always had enough ammonia we never had a shortage but other players smaller players are also today getting ammonia readily easily so when there is a softening that happens it usually starts with an availability situation easing out followed by a certain degree of fall of prices.

Chintan Shah : So just to be very clear of two fronts , so if we compare on YoY basis so the input cost increase that we would have that would be largely offset by the increase in subsidy and that is why we will see a higher EBITDA per ton is that the correct understanding ?

Suresh Krishnan : That is correct yes.

Chintan Shah : Secondly going ahead also in over the next at least couple of quarters what we are saying is sufficiently covered in terms of operating profitability again on back of this subsidy is that the right understanding ?

Suresh Krishnan : Yes, what we are trying to say about the future is that the spike that we witnessed during March, April was obviously a fall out of the Russia Ukraine war because these two countries control a lot of these global raw materials including things like urea, ammonia , phosphates, etc. The worst is behind us so we expect the prices to gradually soften it has started the trend of softening has started with sulfur it will follow with other products as well so in a softening scenario again this is a phenomena of the industry globally and India is no exception generally margins for all players remain protected the question of margin becomes more relevant in a scenario when raw material prices are going up, for the last two

years we have seen scenario where the prices have gradually gone up we think that we are now over the hill the prices from here on are only going to go down.

Chintan Shah : Just to be sure to be keep inventories of around three to five months so what is the leeway for t

his?

Company Speaker : No, we do not keep inventories for that long. Today India is going through a shortage scenario and whatever we are making is we are on hand to market as Mr. Krishnan mentioned earlier today we are not able to feed the market properly Indian inventory and we have said it in other forums as well the country's total fertilizer stock is down by close to 10 million metric tons compared to a like -to-like scenario last year same time so we are actually having a problem of not able to feed the markets adequately so inventory is virtually handsome.

Chintan Shah : No, I am not talking about the fertilizer industry what I am talking about is inventory for phosphoric acid and ammonia basically.

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Page 20 of 23 Company Speaker : No that is also one month. Our long -term suppliers are in a manner they arrange in such a

way and that is the reason for having long -term contracts that we run it virtually in a way that we are just enough to ensure continued operations. We have storage to keep more but at this time we will not do that.

Chintan Shah : Last question would be on capacity utilization so just wanted to get a sense once it is ramped up what would be utilization level that you can reach considering the shutdowns and fungibility of products ?

Company Speaker : PPL as far as apart from the shutdown days which are all planned because every year this time we have shutdown it has been more than what our internal target has been as you can witness last year we had done 227000 this year we have done 283000 give and take a little bit here and there to go up if I ignore that these are the headline numbers.

Chintan Shah : Great thanks for answering my questions.

Moderator : Thank you. The next question is from the line of Akshat Mehta from Sameeksha Capital .

Please go ahead. As there is no response we move to the next question from Utkarsh

Somaiya an individual investor. Please go ahead.

Utkarsh Somaiya : Thank you for the opportunity. Of your total debt I just wanted to confirm 750 Crores is long-term debt right ?

Suresh Krishnan : Yes.

Utkarsh Somaiya : Once you received the subsidy from the government do we expect all the short -term debt to come down to zero ?

Suresh Krishnan : Normally what we have seen is government outstanding is about roughly about 15 days to a month is what the outstanding will be there and we expect that the short -term debt hovers around 1000 to 1200 Crores at the end of the year so that is the kind of a number that we get to see.

Utkarsh Somaiya : That will remain constant over time right ?

Suresh Krishnan : Yes, that is what we are seeing and only if government decides that the subsidy per ton is going to be much lower than obviously we could see a lower number but given what it is today and we will expect this number to be there.

Company Speaker: Why we have the working capital limits so they are funded very differently as you may be aware.

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Page 21 of 23 Utkarsh Somaiya : So as a company the long -term plus short -term we should at all times have approximately 2000 Crores of debt is that a fair understanding ?

Suresh Krishnan : For the medium -term in a couple of years from now given that our capex program is already completed the overall debt position should keep coming down and you will see that even in 2024 -2025 financial year we will have a debt level which is significantly different and lower than what it is today that is our expectation based on the kind of capacity utilization that we are targeting.

Utkarsh Somaiya : After the next capacity expansion that we will have in the second half our capacity will increase from 2.85 million tons to how much ?

Suresh Krishnan : Now it is going to be 3 million tons as far as fertilizer is concerned but the key increase that will happen in the next six months is the incre

ase in a backward integration capability the

phosphoric acid plant which is currently 300000 tons will be moving up to 500000 tons by end of December.

Utkarsh Somaiya : 5000 EBITDA per ton guidance is considering the backward integration ?

Suresh Krishnan : That is where the EBITDA per ton kicker comes in quite seriously.

Utkarsh Somaiya : So that will exceed 5000 ?

Suresh Krishnan : Yes, and we believe that the trend that we have seen in the industry is on a long -term basis has been in this range.

Utkarsh Somaiya : But in FY2024 we expect to hit peak utilization right ?

Suresh Krishnan : Yes, absolutely.

Utkarsh Somaiya : What peak revenues do we expect at peak utilization ?

Suresh Krishnan : As far as revenues are concerned it is the way the global prices are it has got 3 million tons you could be 15000 Crores or you could be even at 18000 Crores that is the kind of numbers we get to see.

Company Speaker: The answer to your revenue question is similar to why we do not look at EBITDA margin because it is a function of the raw material prices so revenue is a little consequence to us for us it is all about the tons that we make and the EBITDA per ton that we earned neither do we look at revenue nor do we look at margins of EBITDA both are equally irrelevant and our request would be to also view us in the same light as we view ourselves.

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Page 22 of 23 Utkarsh Somaiya : Just one more question I am trying to understand the business I know it maybe a simple question but can you please explain to me what raw material did you require for your manufacturing the composition of the raw materials ?

Company Speaker : Yes we need four key raw materials basic raw materials it is the phosphate, it is NPK and S N is nitrogen C, P is phosphorus, K is phosphoric acid sulfur now these are the four raw materials that we need, the source of N is generally there are two kinds of sources of N one is ammonia which we call ammoniacal nitrogen and the other is urea which is ureacal nitrogen . The Paradeep plant runs fully on ammoniacal nitrogen whereas the Goa plant has dual feed mechanism it can take urea nitrogen it can also take ammoniacal nitrogen that is about N. When it comes to P there are two sources of P one is the rock phosphate which is like one step backward or phosphoric acid is H_3PO_4 from a chemical formula point of view . MOP is K which is a kind product actually so that is what we readily take and sulfur is there we either use directly sulfur as the raw material or we buy sulfuric acid basically 98% concentration of sulfuric acid.

Utkarsh Somaiya : We are 90% backward integrated in all these four raw materials ?

Company Speaker : No, this is phosphatic business so why we call it phosphatic is because the lever around P the P in raw material is the first amongst equals because in a way its scarcity , the prices , etc., etc. So when we say that the Paradeep site is 93% backward integrated around the P raw material the Goa plant and ammonia is actually 50% backward integrated Paradeep site is not backward integrated as far as ammonia is concerned and none of our sites are backward integrated as far as the other two raw material which is K which is Potash and S which is sulfuric acid that is true for the entire industry when we say phosphatic industry backward integration this is it so when we talk of an iron steel they talk of iron as the backward integration element not about the other materials or even fuel like coal , etc. So it is about the main raw material that we are talking of.

Utkarsh Somaiya : Okay thank you so much Sir that is very helpful.

Moderator : Thank you. That was the last question in queue. I now hand the conference over to the management for their closing comments.

Suresh Krishnan : Just to close it. Thank you all very much for showing interest and asking us the questions which we find very relevant

t. We are in the company quite excited with the fact that we have been able to complete two very important projects in our corporate history which is about the acquisition of the Goa plant and completion of the IPO . As you know the 1500 Crores IPO mark also the exit of Government of India from the company so we are now fully private sector listed company with a strong parentage of Zuari and OCP group which is the world leader in phosphates. We find a lot of prospects for the phosphatic industry going

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Page 23 of 23 forward the way it is shaping up globally and in India and we believe we have exciting times going forward in the coming quarters. Thank you.

Moderator : Thank you very much. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call for today . Thank you for joining us . You may now disconnect your lines.

Call: Nov 2022

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PPL/SE /2022 November 14, 2022

National Stock Exchange of
India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E)
MUMBAI - 400 051
BSE Limited,
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI - 400 001

Dear Sir/Madam,

Company's Scrip Code in BSE : 543530
Company's Symbol in NSE : PARADEEP
ISIN : INE088F01024

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of Conference call with analysts and investors

Further to our letters dated November 03, 2022 and November 07, 2022 with regard to the Conference call held with analysts and investors on November 07, 2022, we wish to inform you that transcript of the conference call held with analysts and investors has been uploaded on the Company's website at <https://www.paradeepphosphates.com/analyst-meet.php> pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015.

This is for your information and records.

Yours faithfully,
For Paradeep Phosphates Limited

Sachin Patil
Company Secretary

Conference Call"

November 07, 2022

M
ANAGEMENT : M R. SURESH KRISHNAN – MANAGING DIRECTOR -
PARADEEP PHOSPHATES LIMITED .
MR. SABALEEL NANDY – PRESIDENT AND CHIEF
OPERATING OFFICER – PARADEEP PHOSPHATES
LIMITED .
MR. ALOK SAXENA - GENERAL MANAGER AND HEAD
OF CORPORATE FINANCE - PARADEEP PHOSPHATES
LIMITED .
MODERATOR : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Paradeep Phosphates Limited Q2 FY23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference has been recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities.

Thank you and over to you sir.

Aniruddha Joshi: On behalf of ICICI Securities, we welcome you all to Q2 FY23 Results Conference Call of Paradeep Phosphates Limited. We have with us senior management represented by Mr. Suresh Krishnan, Managing Director; Mr. Sabaleel Nandy – President, COO and Mr. Alok Saxena, General Manager and Head of Corporate Finance.

Now, I hand over the call to the management for initial comments, and then we will open the floor for question-and-answer session. Thanks and over to you sir.

Suresh Krishnan: Thank you Aniruddha, good afternoon everyone and welcome once again to our earnings call Q2 FY23.

Our Earnings Presentation is available on our website, as well as stock exchange websites, and a copy of which was circulated to you all. Hope you all had the opportunity to go through the same. We'll be happy to take any questions at the end of this presentation. This is our second interaction on the quarterly earnings call and there might be few participants who have joined us for the first time.

Coming to the company overview:

Paradeep Phosphates is one of the leading private phosphate fertilizer producers in the country and is engaged in manufacturing, trading, distribution and sales of primary complex fertilizers.

We have a capacity of 3 million metric tonnes of fertilizer through two plants located at Paradeep and Goa respectively. We cater to a large number of farmers while across all 16 states in India through our flagship brands Jai Kisan and Navratna. Overall, on an industry level the H1 FY23

was a challenging period. The geopolitical instability arising out of the conflict between Russia and Ukraine has significantly affected supply chain of key commodities of our sector. The supply chain distortions have led to the deficit in the supply of essential commodities, and this has resulted in a sharp increase in raw material prices.

Coming to the market size:

India is the second largest consumer market for fertilizers in the world, next only to China, rising population, limited land availability and skewed input usage are key growth drivers for the growth of Indian fertilizer market. Good monsoons, various government initiatives, the subsidy schemes, easy credit availability, investment improvement, creating better market facilities, promoting infrastructure development, et cetera help to increase the sector's productivity, As

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you're all aware that in the sector, Indian government initiatives along with the various steps taken by the manufacturing companies and trading companies have ensured that Indian farmers have not been affected by the global uncertainties and also the volatility in prices and the inflation for the farmer over the last 12 months have been reasonably, there all prices have been reasonably the same levels. Just to give you the financial highlights for the half year ended September 2022:

As you're all already aware, PPL is one of the largest private sector companies in India having an integrated phosphating manufacturing setup. During the quarter, PPL registered a revenue of 28,637 million growing 48% on year-on-year and 18% on sequential basis. The revenue growth is primarily driven by the higher volumes of fertilizer production and wider distribu-

tion network

of channel partners. For the quarter PPL saw an adjusted EBITDA of Rs.2300 million and a profit of Rs.511 million. For one time expense the delay in commissioning of the NPK trains at the Goa plant resulted in higher fixed cost and a consequential impact on our EBITDA. The overall profitability in margins has been affected due to an increase in raw material prices. Working capital for the industry has remained stretched owing to higher cost of inventory and longer receivable cycle compared to last year, our efficient manufacturing process has ensured cost competitiveness, resulting in EBITDA per tonne for Rs.5179 for Q2, FY2023. We hope to see better financial performance in the coming quarters owing to seamless integration and improved capacity utilization of Goa plant and stability in our raw material prices.

I'm delighted to share that as of 1st June 2022 as you're all aware, we acquired the Goa facility.

The plant has an annual capacity of 0.8 million tonnes of phosphate and 0.4 million tonnes of urea respectively. Post the acquisition, our annual capacity has now risen to 3 million tonnes per annum, we are being able to start its operation in full swing and all the three trains at Goa are fully operational as of now. We will be able to capitalize on the sales and distribution, network of Goa plant. The addition of brands of DAP and NPK, urea and ammonia to product portfolio will help us further solidify our market position. We recorded a total fertilizer production of 506194 metric tonne during the quarter, which is an increase of 37% on year-on-year basis. During the quarter, we manufactured a higher amount of N20 over other NPKs and DAP to cater to the growing market demand. We have launched new grades of NPKs like 14280, 1420013 and NPK 242400 as part of our initiative to expand the product portfolio, largely aimed at improving farmers choice for the soil specific and crop specific applications. We believe the fertilizer demand will remain firm for the commencing Rabi season, given the low stock and high reservoir levels. With these opening thoughts we can now open the floor to Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Deepak, as an Individual Investor. Please go ahead.

Deepak: Sir, I have two questions. One, is there any legal hurdles in the acquisition of Goa plant, the land acquisition?

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Suresh Krishnan: We do not have any legal hurdles as far as the Goa acquisition is concerned. Even if the land is concerned, we have already executed the agreement and we are there for registering this soon.

Deepak: Because some newspapers are reporting that PMO has been involved in this, is it true sir, some Goa newspapers are saying this?

Suresh Krishnan: We have seen newspaper, I don't know we've seen a newspaper item but as per your concern the land acquisition over 262 acres is not under any such hassle.

Deepak: Okay, sir. And the second part is, you said the raw material cost has impacted the profitability.

So, looking forward, how does it look sir?

Suresh Krishnan: Well, the raw material prices have been going up over the last I will say over nine months now.

And we are now seeing stability in the market. As you know, one of the key raw material for us is rock phosphate and phosphoric acid. And both have kind of peaked during the last six months and we are getting to see a correction in the global front and which will also benefit us as far as the local market is concerned. And the high prices of nitrogen, which is ammonia then input for us continues to be the case, however the Indian markets have been having a much better pricing as compared to what we get to see in Europe or North America. But we're not seeing a major downward revision out there. They are getting stabilized at a particular

level. We have seen steep

corrections in sulfur, which is again a key raw material for us. But currently it is consolidating at a particular level, but it's nowhere near the highs that we have seen six months back. So, we believe this is positive for the sector.

Deepak: Sir do we get more subsidy, sir, because it's any formula from the government for the subsidies for increasing raw material, increased subsidy will be coming in?

Suresh Krishnan: Government that corrected the subsidy because of the increase in global raw material as of 1st

of April 2023. And they have recently, a few days back, come out with a new circular for the subsidy for the rest of the year and the kind of support the government has offered it's positive for the farmer for sure. And it sticks into the consideration that industry needs to continue to have a robust performance. So, we are now in a very fair wicket in terms of the government initiative as subsidy is concerned.

Moderator: Thank you. Next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi: This was a question on the industry per se. There is a lot of talk about nano urea going around and a lot of difficulty in getting the right data on it, so if you could shed some light on it. What I have understood till now is that the key thing is with the company FICO has it and they are passing it on to the public sector fertilizer unit, but does that mean the private will have to pay for that taking or will the private sector also get this and also is the same less energy intensive production process for nano urea, so, will we be able to consume lesser resources to make the same amount of impact on nano urea?

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Suresh Krishnan: Just for your understanding the Indian urea industry is close to about 35 million tonnes, it kind of swings between 30 to 35 million tonnes annually. Out of this seven to eight million tonnes is the imported content of urea as far as the local market is concerned, what we see as nano urea is primarily in liquid urea, which is not subsidized by government of India, and it is believed that this particular urea can be a substitute for the urea which is being consumed in India and just for the information this is a non-subsidized product, there is no pressure on any private sector company to purchase this and retail the same. This is available in the market and these kinds of specialized products do not make a very major swing as far as the overall consumption of urea is concerned. Yes, it will, they will be a part of the urea market, which could finally become a nano urea market, which could be beginning from I would say a 5% to a best of 10%. And these are early days, so will be difficult to kind of put a number to it. But it's not a major swing. It's a trend that we're getting to see, which we believe is not going to exceed more than 10% in the long run.

Nitin Awasthi: Got it sir, but when you say that you kind of differ from many of the government officials' view which states that this is going to become a major product?

Suresh Krishnan: This is a product which is being developed as a good substitute for urea, which will be kind of in the long term basis. And as far as we as a company is concerned, we are not a major urea player, we are primarily a phosphate player. And urea becomes a bit of a raw material for us when it comes to NPKs and a small quantity we sell to our network based on our manufacturing facility. So, it's not immediate impact for our company.

Moderator: Thank you. Next question is on the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain: So, a few bookkeeping question and then few more. So, first is, what was the EBITDA of Paradeep in this quarter?

Suresh Krishnan: Just give us all your questions, and we'll respond.

Resham Jain: So, that was the first one, s

econd is did we take any inventory provisioning in this quarter given that the prices of raw material has corrected a lot so, is there an element of any inventory provisioning in this quarter and lastly, sir if we look at some of the other your peer players what we have seen is that in first half the Q1, Q2 both we have seen margins being better versus first half of last year, while in our case, the margins are on a lower side. So, how should one, what was the difference in our case is the third question. Thank you.

Suresh Krishnan: Resham coming to the inventory provisioning, I would like to respond to that first. Well, there has been some changes in the fertilizer subsidy for the coming six months, which is effective from the first of October, which has an impact on your finished goods and that entire provisioning has been taken by us. So, the input price, the changes in subsidy rates which have been announced have been fully provided for and as far as the imported raw material is concerned, as you're all well aware that we have about normally about one stock available with Paradeep Phosphates Limited

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us as the raw material is concerned. And from the second month in the quarter we start getting the benefit of the lower prices of raw material. So, in effect if you're seeing about a 20% drop in the raw material prices, the impact of that in the books will be roughly about 15%. So, we would see that from last quarter to this quarter, the raw material prices coming down to 15% is something is what we expect to see as a benefit for the company. As far as the individual EBITDA numbers are concerned I will let probably Alok response there.

Alok Saxena: And also to add to the first point, inventory provisioning or the hit that we have taken is of the order of 11 crores, the reported EBITDA for the quarter is 188 crores, but there has been some one off expenses of the order of around 42 crores. So, the adjusted EBITDA is 230 crores for this quarter.

Resham Jain: Sir, I was asking about Paradeep ex-Goa what is the EBITDA because that is more comparable on a like-to-like basis because Goa was not there last year. So, last year, it was 68 crores.

Suresh Krishnan: It is better that you start looking at EBITDA at a company level, because this is what would be the right picture of the company, pre listing it was a different one. This is what is going to be the norm going forward, which is at a company level EBITDA.

Resham Jain: Okay. So, you will not be able to share the EBITDA of Paradeep this quarter?

Suresh Krishnan: Not right now, I'll tell you the reason not that we do not want to share, it is because Goa has run for one month 20 days, it is not fair to compare a one month 20 days performance of Goa and also the fact that the fixed cost of Goa has EBITDA for the entire quarter, because we acquired the asset on 1st of June. So, to report an earning against a fixed cost earning of only one month, 20 days and having a fixed cost loaded for the entire quarter is not fair. So, right now, please our request is to look at the company level at a time and once we have stabilized Goa and right now we are happy to report that we are running Goa full blast, at a suitable time we will hopefully be in a position to share Goa's numbers as well. Goa has been dragged down, people standalone one won't deny that. But it is not without reason and it's not that Goa is unnecessarily dragging down, Goa is performing to the expected levels already.

Resham Jain: Okay. And the last one sir, the profitability of Paradeep versus the peer company, which has actually reported much better numbers than us. So?

Suresh Krishnan: No, you'll have to look at the profitability here, we are very clear that we're doing perfectly fine as per the EBITDA line is concern.

Alok Saxena: No, again, I would like you to relook at the numbers that you're referring to and whichever competitio

n you're referring to. Our numbers give a different picture, we have done much better than our own guidance in terms of EBITDA per tonne and better than many of the competition, I don't know who specifically you're referring to but again, most of the peers we have done better this quarter actually.

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Resham Jain: Okay. Because we don't have anything to compare with because EBITA itself is not there with us to evaluate itself will be a difficult task for us in a way. So, anyways, it's fine. Thank you.

Alok Saxena: So, which EBITDA do you not have sorry?

Resham Jain: Paradeep EBITDA because EBITDA per tonne has to be compared on a like-to-like basis, which is not possible for us to do.

Alok Saxena: No, we are not comparing Paradeep EBITDA we are comparing CPLs EBITDA with that of the other companies EBITDA.

Resham Jain: Yes. So, that is what I was asking actually, Paradeep, I was actually asking for PPLs EBITDA only.

Suresh Krishnan: It's already there in the press re lease that was released and also on the investor presentation that we shared.

Management: PPL EBITDA for Q2 FY23 is at Rs.5179 a tonne. And as far as H1 is concerned is at Rs.4560 a tonne.

Moderator: Thank you. The next question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Sir, how do you see the production levels for H2 for PPL and Goa plant. The production and sales volume from now normalized for both complex and urea?

Management: Hi, Prashant. So, in terms as we have said that we have been going through and plant by plant Paradeep and then Goa, so in Paradeep of the four production trains, we have had one train down for revamp all through the year. But as we speak now, that fourth and the last train is coming back. So, we have been running all through this fi scal year what three trains running in Paradeep.

But now sometime in the next two, three days we are going to have the fourth train running so, the production standalone at Paradeep will go up . As far as Goa is concerned, Goa had already achieved its steady state of production all three trains urea and the two NPK trains are running at 100% capacity utilization. We are close to ou r run rate of that 3 million per annum number.

Prashant Biyani: Sure. And sir for Phos acid inventory that you would have had of procurement price of \$1,700 for CCI standalone as well as for the Goa plant how many days of inventory would we have. I don't want the exact number but a ballpark indi cation just to assess the profitability.

Suresh Krishnan: Just to let you know that as far as the higher level, the 17, 15 level of phosphoric acid is concerned we are pretty much fully utilize as we speak.

Management: Yes, PPL did not take any cargo 17, 15 correct.

Prashant Biyani: And sir for Goa plant was October, for the entire month of October have we had the \$1,700?

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Suresh Krishnan: Yes. In the month of October was at 17, 15 inventory, going forward from now onwards we will now be moving to the new price.

Prashant Biyani: Then sir is it that the Goa plant profitability could be better than your expectation if the raw material prices continue to decline?

Suresh Krishnan: Yes, of course it will go up what the rest of the industry will have. And one must also realize that even for this is at an industrial level, even for a plant like Paradeep the rock prices are linked to the Phos acid prices, so there will be a, whatever happens, so no P great commodity whether it is a rock phos or Phos acid is isolated from each other they are all linked. So, an improvement in Phos acid prices which is more publicized, is also going to have a corresponding improvement in rock phosphate prices as well.

Prashant Biyani: Actually, that was my next question after this downward division Phos acid price, where should

d

the or could the rock phosphate prices settle at?

Management: Similar percentage reduction.

Prashant Biyani: Around 30% reduction from \$320?

Suresh Krishnan: Correct.

Prashant Biyani: Okay. And what EBITDA per tonne would be the targeting for next year at the entity level?

Suresh Krishnan: No change in our guidance. We maintain that, as I said we would, we as a management team are committed to making sure that if Goa runs well that's where our full attention is going. We are maintaining what we said before our IPO, which is 4000 to Rs.4500 per tonne.

Prashant Biyani: For 24?

Suresh Krishnan: Yes, these numbers are achievable and we are seeing that now. So, we expect that the average of 4500 that we talked about is something that we would hold on to.

Prashant Biyani: Sir on the distribution side, I am just looking at the presentation, we are not there in Tamil Nadu, Gujarat, Rajasthan, is that distance wise it's not possible to enter that or do we have plans to enter that within the freight subsidy range?

Management: No, it's not that we don't want to enter. Our initial and primary commitment is to the farmers who are closest to us and then we add as we progressively go farther away from the plants. It depends on what those farmers need and our ability to supply. So, I'm sure when we are running full blast, and today it also has a seasonality and non-seasonality element to it. For example, the Rabi consumption has already started and it is coming out very well, as you would have heard from other companies as well. So, we are now trying to kind of make sure that we supply to our immediate markets first, because that's where our final commitment lies. In an year when there will be glut and less demand we certainly will look at the states which are sort of far away from

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us. So, we don't have a bias against any of the far-flung states, but it is just that we believe our primary commitment are to the states where we fundamentally serve and where we have been serving for the last 40, 50 years which is Maharashtra, Karnataka, AP, Telangana, Bengal, Bihar, Orissa, Eastern UP, et cetera, Chhattisgarh.

Prashant Biyani: As of now, we don't have plans to enter these states?

Management: I don't know we don't have products to enter the states.

Management: Certainly not Gujarat and Rajasthan.

Prashant Biyani: Sir which products are prevalent mostly in these market?

Management: Gujarat and Rajasthan are two states, especially Gujarat as you know has got all the ports in India and it's also got manufacturing facility. So, every importer gets in there and residual quantities go in there. So, we're not really looking at Gujarat as a state to expand with our traditional products. And neither when we come with the newer ideas and more innovative products one will always explore these markets.

Management: No and Tamil Nadu sales, the products that we make which is N2O it's a big market for N2O. So, we can get into those markets, it's not an issue, we need to have enough products to serve those markets.

Prashant Biyani: Sure. And sir our presentation was not having the sales volume data, can you share that?

Management: Yes, the Q2 sales number is 443447, H1 sale number is 776029.

Prashant Biyani: Bifurcation in urea and complex?

Management: We produced about 1,24,000 of urea left, everything is complex

Prashant Biyani: Is everything sold whatever we have produced?

Management: Yes, the sales number is indicating that we have sales of 789818 and we typically have a one month inventory at the end of the quarter or end of any month for that matter.

Prashant Biyani: So, that is why can we get the exact figure please?

Management: No, we gave exact figure of sales.

Management: Exact sales is 126,000 tonnes for the quarter.

Prashant Biyani: And Goa complex?

Management: Goa complex sales for the quarter is 43,000 t

onnes.

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Suresh Krishnan: So, we produced at Goa about 2,09,015 out of which 1,24,375 is urea rest everything is complex.

Prashant Biyani: Okay. Sir in Q2 how much subsidy have we received?

Management: Close to about 1800 crores is what we got in Q2.

Prashant Biyani: And have you received anything in October?

Management: We got substantial amount of money in October, yes.

Prashant Biyani: How much?

Management: October was close to about 800 crores

Prashant Biyani: Okay. And lastly sir this 42 crore one time impact cost, does it include 11 crore of inventory provision?

Management: That's over and above that.

Prashant Biyani: Okay, so net-net it could be around 52 crores?

Management: Yes.

Moderator: Thank you. The next question is from the line of Darshita from Antique. Please go ahead.

Darshita: So, my first question was in lines with, so one of our competitors had faced some issue in terms of the subsidy that they received on the opening inventory that they had, so I wanted some idea on that did we have anything else, did we say something similar to that of our competitor?

Management: We have taken care of the provisioning of whatever is required in terms of opening stock of DAP is concerned.

Darshita: Okay. So, we do not face any such issue right in terms of.

Management: So, whatever was required under the government policy we have made those provisions and as far as the opening stock is concerned.

Management: We have also taken the hit these numbers are after that.

Darshita: So, could you quantify the amount of that hit?

Management: If you look at it, the debt net number for us is something that, I don't have it right away, there is something that we can take it up later, but as far as we are concerned the opening stock that we had, we have had necessary provisioning available for that. And the 11.5 crores that we have done even this quarter is largely towards that only, it is reduction that has been there.

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Darshita: All right, and could you provide the opening inventory number is that possible?

Management: As far as we are concerned, if you look at the November 1st opening numbers, we largely have an N20 stock and some amount of DAP stock is available with us.

Darshita: Sir are you talking about the one when we put the reversal for that?

Management: No, that reversal we did not take a reversal on that we actually took a reversal on the reduction and subsidy which happened effective end of this quarter, which is on September 30th.

Darshita: Right. So, are you talking about the opening inventory of that so on what inventory did we take the reversal?

Management: Totally we have close to about 1 lakh tonnes of DAP and the N20 was put together. So, we had to take a reversal on both sort of extreme. And that was about, and the last largest sum was for N20 which was there and the lesser quantities were for DAP, the total put together was about 1,00,000 tonnes of fertilizer that we had as an opening balance.

Darshita: Okay. And the second question is on, so the government has recently corrected like, reduce the subsidy of DAP by almost 1500 per tonne. But when we see the reduction in raw material prices, they are not in the tune of how much, the reduction in raw material prices is larger than that of how much subsidy has been reduced for DAP. So, do we see any kind of correction happening in the product prices, or something like that during the quarter?

Management: Government, if you look at it it's not if you look at the DAP correction we have done, we have actually taken the actual prices after the regular policy, we have looked at the factor which affects you in terms of nitrogen, they look at what happens to phosphate and then accordingly. As far as a product mix is concerned, it's not unduly going to change based on this

kind of current circular which is where, we change our product is based on market needs. So, today we are getting into a Rabi season where certain amount of higher quantities of DAP will certainly be manufactured by us to take care of the needs of the Northern and Eastern markets. So, our product mix is largely to do with what the farmer needs don't necessarily only with the government's pricing policy.

Darshita: Right, I was just trying to understand if we see any kind of reduction happening in the prices at the end level, so we should take that as reference, we increase the prices from 1200 to 1350, did we see any reversal happening from 1350 to 1200 because as I mentioned that the reduction in subsidy is not in tune with the raw material prices deduction?

Management: We do not see any reduction, any change in the MRP of DAP and certainly not going down.

Moderator: Thank you. The next question is from the line of Kaushik Bakshi from Prabhudas Lilladher.

Please go ahead.

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Himanshu Binani: Thank you for taking my question, this is a Himanshu this side from Prabhudas Lilladher. So, sir my question was pertaining to the phosphoric acid site. So, just wanted to have a sense is, how much of backward integration do we have, currently have into the phosphoric acid?

Management: So, the phosphoric acid backward integration, as we have mentioned we are undergoing an expansion in the part of the plant, post completion of the expansion we should be close to 90% to 93%, backward integrated.

Himanshu Binani: And currently how much you are?

Management: With an increase volume of 1.8, which we have already achieved. So, today we are less than that, but the project is underway. So, before we increase our granulation, we were around 70%.

backward integrated. Now with the 50% increase in the granulation capacity going up from 1.2 million to 1.8 million our phosphoric acid in-house capacity is going up from 0.3 million to 0.5 million, at 0.5 million tonnes of Phos acid and 1.8 million tonnes of granulation we would be 90% to 93% backward integrated.

Himanshu Binani: Right sir. So, my first question was pertaining to this only so, having a 90% sort of phosphoric acid backward integration, but still we are guiding for a Rs.4000 to Rs.4500 sort of EBITDA per tonne, and assuming that the phosphoric acid are likely to stay at this level or maybe slight moderation from the current level. So, just wanted to have a sense on the margin side. So, are we trying to guide on the conservative side or what is actually stopping us from making money basically.

Management: It's very important for you to realize that we are through a very volatile situation and as we have always maintained when it comes to our performance we would certainly be one of the better ones as far as the industry is concerned. And as far as the guidance of Rs.4500 that we talked about is something which we have seen in the industry and it's something which has been the kind of average that we're looking at today. And once the volatility subsides, and everything happens, and the markets are in a different rate, one could always revisit this. But given the complexity that we're seeing today we believe this is the right way to go.

Management: And, I'm sure you've noticed this, but I'd like to point out in light of your question, so the 90% to 93% backward integration refers to the Paradeep plant not as PPL as a company. Goa plant is not backward integrated in depends 100% on imported assets, the Rs.4000 to Rs.4500 per metric tonne EBITDA guidance is for PPL as a company and not for any site.

Himanshu Binani: Got it sir. So, sir can you give us sense any sense on what is the standalone Paradeep EBITDA per tonne for the first half?

Management: No, that as I said it will not be fair for us to give this guidance with only one month and 20 days of Goa plant having

run, give us some more time let us stabilize the operations of Goa, we

hopefully in future we'll be able to give that as of now because we want to give you the, we would like to only share the company level EBITDA per tonne.

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Himanshu Binani: Right sir, because the reason behind asking this question was when we look at the competition, so having a much lower in terms of backward integration, but still they have been like able to make a very high EBITDA per tonne. So, just wanted to have a sense that despite we are having almost from 70% to 75% currently, backward integration on the phosphoric acid, but still we are not able to make an EBITDA per tonne which is equivalent or higher basically to the competition?

Management: Himanshu, you need to realize two facts out here. First is the 70% that we talked about while assuming that we had a full capacity of granulation available as far as Paradeep was concerned, in Paradeep we were running with one granulation less. That's the first point and that is because of the revamped. So, Paradeep itself will get into its full capacity utilization pretty soon, which will be during the next seven to 10 days. Once that happens, the 70% will actually come down because we will not have the asset plan fully commissioned. Once the asset plan also gets commissioned during the Q4 of this financial year, then we would have an entire setup where we will have a backward integration which goes toward 90%. When it comes to Goa, our

backward integration is only limited to the extent of ammonia that we get. We do not have any phosphoric acid at all out there. But the key point that we're trying to highlight out here is, once we stabilize our Goa operation, the Goa quantities of phosphoric acid will be crystallized and our commercial efficiencies will kick in along with that. And then you will be in a position to see how well we do vis-à-vis the competition that we're talking about.

Management: No, I would also like to mention that based on whatever data we have, we are still reporting the best in class EBITDA per tonne in spite of being not having all the backward integration capabilities having kicked in, that point is one. Second point is, even with the full Phos acid plant coming in and the full granulation coming in for FY23-24 we are still maintaining a guidance of

Rs.4000 to Rs.4500 per metric tonne EBITDA.

Himanshu Binani: Right sir. And sir one last question from my end. So, if it is possible for you to share the capacity utilization at the Paradeep level and company level, both for the granulation or the complex fertilizer plant as well as the phosphoric acid plant?

Management: We are running pretty much the Phos acid plant is running full blast. We've had an annual shutdown in Q1, but Q2 has been pretty steady. When it comes to the granulation facility as I said, of the four trains we are running three trains, so it's around 75% utilization in Paradeep.

Himanshu Binani: And at the company level?

Management: You mean Goa. Goa there is a routine for one month, 20 days out of the three month of the quarter.

Management: Just to put it in perspective for you annually we should be doing about 14 lakh tonnes as against that today we are reporting about 7.5 lakh tonnes so that's the number that we have. But as you go forward this matrix will change with capacity kicking in, in both locations fully.

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Moderator: Thank you. The next question is from the line of Jayesh Gandhi from Baroda BNP Paribas Asset Management. Please go ahead.

Jayesh Gandhi: Most of my questions are answered but I have few more. First of all, just to reiterate and confirm the 4,500 EBITDA per tonne guidance is for this year, right FY23?

Management: And next year as well.

Jayesh Gandhi: Okay, fair enough. You don't think next year

can be better or you want to revise it at the beginning of next year?

Management: No, as Mr. Krishnan said, it is very volatile and we also need to experience the high volume of a run rate of 3 million and stabilize our operations, there are a lot of improvement projects underway right now in Paradeep there is an energy improvement project underway the Goa, let all those projects get, we are like we don't want to get into a situation where we are over promising. So, we would like to maintain 4500 as of now for next year as well.

Jayesh Gandhi: Fair enough. That is why, some of these projects get implemented you would then look for a revision later on.

Management: Fair enough yes, you're right.

Jayesh Gandhi: So, that is first question. The other question I had is that, earlier this year there was this talk or at least indication to the government about marketing and win some on the ground single branding from government's point of view, because they are the ones who give me subsidy, what is the impact of that could you quantify that or could you indicate how have fertilizer companies like yourself dealt with this change?

Management: Well, from effective January 1st, 2023, it is widely expected that the government will be introducing the Bharat across urea, NPK and DAP. So, that that clarity is emerging as we speak right now, and also we are concerned our brand is all about our connect with the farmer. So, that our brand and connect with the farmer continues in terms of what we end up doing in terms of all the extension activities and the visibility which is there, and which also gets promoted through the retail points that we have. So, those efforts will continue and I will so, that's where it is whether it will finally have an impact in terms of the brand awareness or any uptake it's something is too early to say, but we continue to focus with the farmer, with our brand and activities.

Jayesh Gandhi: Right. So, the question I have is that how will you differentiate the branding for all the players in similar how will you differentiate?

Management: No, so there is a 1/3 space that is given to the manufacturers to keep the brand message on. So, I will just extend what Mr. Krishnan said, it's early days for anybody to comment on what will happen. But, in all likelihood it will be a combination of the following one is yes, there would be the branding message that will be communicated will be done in a different way from what

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it was done so far. So, far we have the full bag, full our own color, et cetera. So, if it gets

implemented that will change, but at the same time, because of this uniform or standardization it would also lead to some cost savings at the individual producer end and those things we are working out, those things we will need to work more round but we can already see some of those opportunities coming in front of us.

Jayesh Gandhi: Okay. Another question related to the same matter, would it be different for NPK or DAP for example, if you want to do only DAP, then the branding or the above standardization would be different varieties of NPK, you could be able to do more branding yourself?

Management: So, as we speak, the branding is going to be common right across all the nutrients NP and K. So, you will have a Bharat DAP Bharat NPK and Bharat urea. But the only good thing that happens for NPK is based on your grade of fertilizer and the acceptability of that with a farmer you obviously get a preference when it comes to the sales of the retail end.

Jayesh Gandhi: Exactly so if you had a combination of NPK which is different, then you can do a more higher branding there or at least have higher.

Management: Your PAT will look the same but obviously your farmer connect will ensure that the farmer comes and ask for your product.

Jayesh Gandhi: Okay, great. And my final question is, what would be the volume for the second half of this year

in terms of your production target would it be 1.5 million or would it be low end number?

Management: As you know we are at the month of November and the last train of Goa Paradeep is coming back on stream. So, we should look for guidance on those as we go to the Q3 call, and I'm expecting that the Q3 we will have a clear visibility in terms of how the run rate has picked up and it is looking good.

Management: It will be around 12 lakhs or so.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First question on the overall volume front for this quarter, if you would probably break it up into traded and manufacturing?

Management: Ankur no trading everything is manufactured.

Ankur Periwal: So, the only volume traded is the MOP which is there in the presentation is that right?

Management: Yes, only MOP trade, its almost negligible.

Ankur Periwal: And same will be the case for Q1 on year-on-year basis?

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Management: Q1 we did about 49, 50 only cargo that we imported our DAP was roughly about 49,000 tonnes which came in the month of April and which has been sold in the market.

Management: So, difference between Q1 and H1 is that, in Q1 it is only 29,000 tonnes of MOP, if you take H1 you can add another 50,000 tonnes of DAP to it that's it.

Ankur Periwal: Okay, fair enough. Second, on the liquid nano which you clarified earlier as well, just trying to understand from a cost economics perspective, if you could put some light there because what we generally see or hear is that obviously application of urea in a solid form is not as efficient probably you are using more urea in quantum versus what is required while liquid will be more efficient at the same time liquid urea will be non-subsidized and the government subsidy will be absent there. So, from a farmer's perspective any thoughts will nano urea will be value accretive or how does the economic work there?

Management: Well, as an industry veteran, I can tell you these are early days, and nano urea is something which has just been introduced, and we'll have to wait and see the acceptance of the farmer and the impact it has for various crops and at various stages of application. So, it's truly an early days for us to really comment in terms of farmer economics, as far as the nano is concerned.

Ankur Periwal: Sure, but any thought directionally whether it will be too inefficient, maybe what percentage of also will be helpful from a direction perspective?

Management: No, the way we are looking at it today it is not really giving us any clear direction, in terms of where it is going. Yes, there is a lot of policy support which is coming in, because it's a non-subsidized product.

Ankur Periwal: Okay, fair enough. Another question on the margin front, will be fair to say that on a Q-o-Q basis there will be a margin improvement, let's say this quarter versus the last quarter Q1?

Management: We all work for the same. We all expect that and we work for that.

Ankur Periwal: No, so I'm talking more historical so this quarter for example.

Management: Q3 has always been an important quarter, because in the Eastern and Central part of India, Northern part of India, Rabi is strong, and we also get to see that in Western part. So, this is a strong consumption time and so this always you will see for the industry, you do see products being sold both at the primary level and at the farmer level both.

Ankur Periwal: Sure. Where I was coming from was, given Goa plant it is not backward integrated at least on the NPK side. And while Paradeep obviously did with incremental new capacity coming in for Phos, we will be officially almost

(+90%) integrated. On a blended basis, while the numbers are what you guided 4500 odd EBITDA per tonne,

on an individual basis will Paradeep be something like 6000, and maybe Goa will be probably 2.5, 3000. Will that be a fair differential between the two or how should one look at it?
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Management: No, at the cost of being very boring and repetitive we would like to maintain the Rs.4500 per metric tonne EBITDA, let's see where this quarter as I said, we've just taken Goa one month, 20 days of running allow us to run and see if the consumption window, good demand that we have we have lined up all our raw materials, Goa is running well. So, we can only say from and there are no market issues. So, let's see where our bottom-line fits, I don't want to put the cart before the horse. Let us see the quarter and maybe from next time when we have the discussion we'll be able to give you better guidance. We're just keeping our fingers crossed it's working well right now.

Ankur Periwal: Sure sir no worries. Just last thing on the capacity expansion. We do mention that 2300 odd acres that we have and almost 1/3 is getting used right now. From a medium to long term perspective, our thoughts in terms of expansion, whether in fertilizers or in agri input site any thoughts there?

Management: As far as fertilizer is concerned post the phosphoric acid expansion we're certainly doing, we are expanding our capacity in sulfuric acid. We currently make 1.3 million tonnes of sulfuric acid annually and we believe that we would need other close to about 0.4 million tonnes annually. And that prediction is something that we're going to argument. As per the rest of the strategy is concerned. Yes, we are working on it and we are quite open as we said in terms of taking a whether this other agri inputs including agro chemical, or specialties and other products are concerned, and most of it is something that we will come back to you all as we enter 23-24 with our fully rated and operational capacity of 3 million coming in.

Management: Yes, I just want to add to what Mr. Krishnan said, so good part is that again, whatever we have promised will be done in calendar year 22 is actually getting completed, we are almost in the very urge, the end of some of these activities, including ramping up Goa fully. So, we remain very optimistic about, so in terms of strategy and thinking our minds are virtually empty now. So, obviously we will not keep our minds empty for very long, we're going to get into some interesting new projects hopefully very soon.

Moderator: Thank you. Our next question is from the line of Dhruv Muchhal from HDFC Mutual Fund. Please go ahead.

Dhruv Muchhal: Apologies if this is a bit repetitive, but I just wanted to reconfirm the sales numbers for 2Q it is 4,43,000 tonnes and no trading. For 1Q it was like 3,32,000 with 49,000 tonnes of trading, that's right sir?

Management: Yes, 4,43,447 is the right number and we have a small trading of MOP which 29,613.

Dhruv Muchhal: And 1Q, it was like 3,32,000 of which 49,000 was the DAP trading, plus the MOP some trading?

Management: Yes, we had a DAP trading which was there that is rightly said.

Dhruv Muchhal: And sir if you can give the same numbers for the last year quarters?

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Management: In fact if you look at H1, FY22, I have H1 number, the MOP trading was about 25,584 and the DAP trade was about 53,000. Just for the understanding we normally plan only for two cargoes DAP as a trade one in each season so that's what we kind of continue to do.

Management: Last year we had done a total sale of Q2 FY22 was 368 and H1 FY22 was 599.

Dhruv Muchhal: And this is all complex, there'll be no urea, because urea we have....

Management: Yes, it is not like to like that's why we are not highlighting that because that was only Paradeep at that time.

Dhruv Muchhal: And sir the broad way you calculate EBITDA per tonne is

just this overall volume divided by the EBITDA?

Management: Yes.

Management: EBITDA dividend by volumes.

Dhruv Muchhal: Got it. Sir if I just look at the numbers, just assuming that Goa would not have contributed significantly, or the EBITDA level also probably some negative contribution to EBITDA level given we understand they're starting, EBITDA per tonne just on the Paradeep volumes would have improved significantly, on a Q-o-Q basis is that fair understanding?

Management: Yes. As I've been saying, we continue to be best in class on EBITDA as we have maintained even in our run up to the IPO there's no reason why Paradeep will not deliver best in class on a EBITDA as an organization.

Dhruv Muchhal: And sir that same would hold true even in a Y-o-Y basis because if I just look at the volumes?
Management: Absolutely, you can do whatever calculations you want. I don't want to be comparing ourselves with anybody. But, I don't think anybody has any doubt about our quality of EBITDA per tonne it is the best in class.

Dhruv Muchhal: Sure. No, the numbers a bit lower on the reported basis as you mentioned because of Goa.

Management: No, that is because as I've said we will have fixed cost of the entire quarter of work.

Dhruv Muchhal: Yes. Sir the second question was, if you look at the NBS rates and how the RM prices have fallen, it seems the opportunity in the retail market have improved significantly versus what it was in the last few months or last few quarters, would it be fair to then say that the opportunity for traders also improves and the import volumes and hence can improve significantly in India, the tightness that we were seeing in the market for the last one, one and a half year can also ease and that could change the market dynamics in some sense?

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Management: Yes, look in terms of imports there is a limitation of imports, DAP gets imported, but NPK is not to that extent, because there are not too many players who can deliver the kind of NPK that the Indian market needs. So, traditionally or typically if you see the total NPK consumption of in the country say 11 million tonnes, 10 million is usually domestically made and only 1 million

sort of is imported. So, that won't change overnight, you are right in saying that as far as we are entering into Rabi the subsidy is okay. Raw material prices at least for tea there has been a downward revision. And most importantly for us, farmers are hungry for fertilizer, there's a good demand, good sowing, and a very healthy level of stocks that are there which is not too low, not too high. So, we are looking at a good Rabi going forward.

Dhruv Muchhal: Sure, sir. Sir no significant change in the market dynamics versus what has been prevailing in the last one, one and a half year?

Management: No, it's better than that.

Moderator: Thank you. The next question is from the line of Aman Madrecha from Augmenta Research Private Limited. Please go ahead.

Aman Madrecha: Sir I just highlighting that the phosphoric acid and the potash prices have come down. So, sir can you please quantify.

Management: Sorry, to correct you not potash only Phos acid go ahead now.

Aman Madrecha: And sir on the phosphoric acid didn't we quantify like what was the price in Q2 FY23 versus Q1 and what is the price currently?

Management: 1750 and 1175.

Aman Madrecha: And what about the prices currently?

Management: 1175 Q1, Q2 was an average price of 1715 the same price right through and Q3 is 1175.

Moderator: Thank you. The next question is from the line of Vineet Agrawal from SKP Securities Limited. Please go ahead.

Vineet Agrawal: Sir, I have just one question I have missed out on manufactured DAP sales volume can you please provide it to us?

Management: The DAP manufactured volume sale is 38,000 for the quarter and 215 for the H1.

Vineet Agrawal: Sir this is you

are talking blended for both the plants?

Management: No. So, this is actually not sorry, this includes the trading as well. So, you have to remove 49,000 from there. So, 250 minus 49 is the manufacture sales.

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Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So, just to take you through some of the operational aspects and long term strategy, can you explain what will be the difference in terms of your business between Kharif and Rabi in terms of the volume you can place?

Management: It's actually in India is very interesting, it's almost equal volume consumption between Kharif and Rabi. So, if we sell it around 10 million tonnes of DAP and 10 million tonnes of NPK. It's even keel between them. Only thing that we can add is that recently, for the last few recent years we have been finding that there is a higher degree of NPK consumption during Kharif. And slightly higher DAP consumption in Rabi. But it is also a factor of prevailing prices of DAP and NPKs that determines the farmers choice.

S Ramesh: So, in your company's operations you don't see much of a difference between first half and second half?

Management: No, it's okay for us.

S Ramesh: Okay. The second thought is in terms of your capital allocation and the impact of the Goa

acquisition on balance sheet, what is the overall aggregate cost of the Goa acquisition is there any accumulated loss which you still have to provide for, for the Goa acquisition?

Management: No, the total asset cost was 1680 crores, and that's about all and rest of it is what you're getting to see in the P&L on a regular basis, we don't have to provide anything more.

S Ramesh: Okay, sir. And in terms of the planning for working capital, can we expect the working capital to decline and thereby what is the kind of reduction in gross and net debt you can expect say in the second half and for the next year?

Management: If you look at the way things have been operating last year, we did not have much of a draws as far as the fund base working cap limits are concerned. And so we were kind of having an average number of 1200 crores is debt, but this year in the first six months we have seen that the fund base utilization is high primarily because of the subsidy element. And this is two reasons for this, the first reason being the subsidy component per tonne is more as compared to the previous years that's the first one and the second is, there was some delay initially from getting money from the government of India seems to have stabilized now and we believe that things will only improve and government is well financed and funded for the same.

S Ramesh: Okay. So, what is that CAPEX you have incurred in the first half and what is the full year CAPEX including all the expansions you're talking about?

Management: As far the CAPEX is concerned, the major CAPEX is only on the phosphoric acid plant that we need to incur this year, which will be about 150 odd crores, and that is what is currently under implementation, as per the granulation team is concerned about 70 crores is what we spent.

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Management: Sir most of the CAPEX has already been committed and it is, because we're almost ending in the last stage of the CAPEX, so it will be wrong for us to say that these are all the quarters spending on CAPEX but Mr. Krishnan said on DAP revamp which was a 220 crore we've already incurred +209 the deposit expansion we have incurred over 160 crores. So, most of the work, the major projects, the CAPEX has already been committed in advance stages of getting committed.

S Ramesh: That's about 320 crores for two?

Management: That the total CAPEX that was pending for us to finally incur and which has been done and as far as the current financial year

is concerned, no further CAPEX to be either committed or spent beyond this year.

S Ramesh: So, what will be the normal maintenance CAPEX you have to do say over the next two years 524 and 25?

Management: So, that will be equal to our depreciation you can approximately take that, it will be close to the depreciation number that we will which is around slightly less than 200 crores.

S Ramesh: So, based on all that you have said in terms of operational. So, in terms of the improved capacity utilization possible and the expansion, when do you see the full benefits of the phosphoric acid project, as well as the granulation project all kicking in, in terms of the impact on volume, will it be all done in FY24 or will it be?

Management: Yes, absolutely. You will start seeing the benefits flowing in the second half of FY23 but the real benefit of the overall volume and the phosphoric acid backward integration will be something that we'll see in FY24.

Management: Yes, so granulation benefit will come in H2 of FY23, the increased granulation capacity, but the fourth asset benefit, the real benefit to stabilize the plant will be in Q1 of next fiscal.

S Ramesh: So, if you were to put these in the context of say volume growth, what is the kind of average volume growth you can expect say FY24 and then beyond that in FY25 based on these?

Management: We will be at a run rate of 3 million tonnes per annum volume growth.

Management: You look at it today we could just end the year with about 20 lakh tonnes of fertilizer, and we could well be at a rate which is at least 35% more than that.

S Ramesh: Okay, that's very useful. So, one last thought in terms of the global ammonia and phosphoric acid capacity additions, if you can share some numbers in terms of what is the increase in capacity and how that would stabilize the supply chain it will be useful.

Management: As per the global ammonia capacities are concern, we're not really seeing any incremental ammonia capacity coming in globally which is going to make a major difference to the current

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demand supply position. So, we should be very clear that the available quantity is what it is and if there has been a disruption of ammonia coming in from Russia which might come in maybe sometime next year. But as far as the price are concerned, as I said in the beginning, it has been holding at a particular rate. We are getting to see a \$950 to \$1000 per metric tonne of the ammonia range that we are seeing in India right now.

S Ramesh: And what about phosphoric acid because what I hear is, there are concerns in terms of increasing new capacity they talk about some capacity in Canada, and one project in Russia I believe is

delayed, so any thoughts in terms of.

Management: Well as far as phosphoric acid capacity are concerned, these are all long term projects and which needs a lot of tie up both in terms of rock sulfur and disposal of the byproducts which come in, we don't see any major phosphoric acid capacity kicking in anywhere in the world today, we do.

Management: Just to add to what Mr. Krishnan said, this is something that we have repeated a number of times so as far as people is concerned, we have long term tie up for most of our raw materials. And we are in our view quite comfortably placed to handle the increased requirements on a consistent and sustainable basis for the company. So, the most important requirement for us is P which is both rock phosphate and phosphoric acid, which we get from our promoter organization OCP through announcement basis, they do give us benefits for the volume that we take and for the fact that we are exclusive with OCP. The only company in the country which is exclusive with OCP is PPL. So, we have that and as far as OCP is owned, reserved and ability to supply P is concern, they are quite okay to give 100% of our requirements for the next 500 y

ears. So, we

don't see any issue as far as PPL is concerned when it comes to both phosphoric acid and rock phosphate. When it comes to ammonia, we've got a long term tie up with several companies including say the Qatar Energy which is a very large supplier we have an aggregator like Trans Ammonia Trammo, we also have one another company with which we have tie ups. So, our requirements of ammonia also will be split amongst these three companies and we don't foresee any issues in them being able to supply us our requirement on a long-term basis. When it comes to K, which is potash, we deal with the Canadians, we deal with the Jordanians, to some extent the Russians as well. So, we have these Israelis so there are four players from whom we take the potash and with them as well even today, earlier today, there was one of the teams who came and they signed an MOU with them to give us next year quantities. Potash also we don't see any issue. Sulfur also we have got similar long term tie ups with the three companies from whom we take. So, we do not foresee a challenge in terms of securing our raw materials on a consistent basis going forward for the increased requirement of PPL as an organization which is at 3 million metric tonnes per annum.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to the management for the closing comments. Thank you and over to you.

Suresh Krishnan: Thank you everyone for joining our H1 FY2023 earnings call. We look forward to having more such interactions going forward. For any further questions, please feel free to connect with our Investor Relations team. Thank you.

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Moderator: Thank you very much. Ladies and gentleman on behalf of ICICI Securities that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

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"Paradeep Phosphates Limited
Q3 FY 23 Results Conference Call "
February 01, 2023

MANAGEMENT : MR. SURESH KRISHNAN – MANAGING DIRECTOR –
PARADEEP PHOSPHATES LIMITED

MR. SABALEEL NANDY – PRESIDENT AND CHIEF
OPERATING OFFICER – PARADEEP PHOSPHATES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Paradeep Phosphates Q3 FY23 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you sir.

Aniruddha Joshi: Thanks Lizann. On behalf of ICICI Securities, we welcome you all to Q3 FY23 results conference call of Paradeep Phosphates. We have with us senior management represented by Mr. Suresh Krishnan, Managing Director; and Mr. Sabaleel Nandy, President and Chief Operating Officer.

Now I hand over the call to the management for their initial comments on the quarterly and nine month performance and then we will open the floor for question and answer session. Thanks and over to you sir.

Suresh Krishnan: Good afternoon everyone and welcome to the Q3 FY23 Earnings Call of Paradeep Phosphates. At the outset, let me wish all of you a Happy New Year. This is our first call in the year 2023 and I'm sure that all of you are staying safe and healthy. We have already circulated our earnings presentation, which is available on our website as well as stock exchange website. I hope you all have had opportunity to go through the presentation and we would be happy to take any questions afterwards.

The fertilizer industry in India, has seen significant growth in the recent years driven by the increased demand for food, a good support from the government, rising awareness of benefits of fertilizers and all major nutrients, including phosphoric and the expansion in the industry. The government initiatives on subsidies and incentives to make farmers fertilizers more affordable to farmers has further led to the growth of the industry.

We are pleased to report another robust quarter with our highest quarterly revenue from operations of Rs. 43,984 million, an increase of 62% year-on-year and 54% on sequential basis. The growth was primarily driven by efficient capacity utilization, successful stabilization of Goa plant given our strong supply-side linkages, notwithstanding a volatile global macro environment. In Q3 FY23, we registered strong improvements in EBITDA and margins as well. The EBITDA for the quarter stood at Rs. 3,773 million, registering a year-on-year growth of 76%. Our profit after-tax stood at Rs.1,803 million compared to Rs.1,277 million in the same quarter last year, registering a year-on-year growth of 41%.

The margins during the quarter were partially impacted by higher depreciation charges along an increase in finance costs resulting from subsidies, currency instability and slightly higher long-term borrowings compared to the previous year. The EBITDA per ton for Q3 FY23 was at Rs. 5,995 as compared to Rs. 4,425 in the same quarter last year. Total fertilizer production

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during the quarter was 621,815 MT, registering an increase of 66% on year -on year basis. We are happy to report that we have fully stabilized the Goa operations and the plant has been steadily producing both urea and phosphoric fertilizers. We have been able to produce to 261,550 MT of finished fertilizers this quarter at our Goa plant with several NPK grades like N10, N14, N19, N20 and N24 and 124,271 MT of urea.

On the Paradeep plant, we have successfully completed the revamp of all the granulation trains. As you know we have four granulation trains running since and they have been running since November 2022 and we have achieved a daily average pro

duction run rate of 5,000 MT from

December 2022 onwards. This has allowed us to meet our revamp targets and we are eager to continue this steady rate of production at both our plants aligned to the market need with the right product mix.

To further enhance our earning potential, we have embarked on two brownfield backward integration projects, first of which will increase our phosphoric acid capacity by 2 lakh tons by Q1 of FY24. The second is to increase our sulphuric acid capacity from 1.4 million tons per annum to 2 million tons per annum, which will initially enable us to generate green captive power. At a macroeconomic level, the outlook remains positive with prices correcting and global markets improving post China's opening up. We are confident that our strong financial results and developments will position us well for continued growth in the future.

These are our initial thoughts and the details have already been provided in our presentation and we will be happy to take any questions from your end.

Moderator: The first question is from the line of Darshita from Antique Broking.

Darshita: What would be the capacity utilization for Q3 FY23 as well as Q3 FY22?

Suresh Krishnan: As far as FY23 is concerned, both in Goa and in Paradeep, we are close to working at 95% and the 5% gap is largely due to the fact that we were stabilizing the plants post our revamps and as far as FY22 was concerned, the last year, Paradeep was operating in its full capacity and as far as Goa is concerned, we were not running the plant then. So we don't have the comparable number.

Darshita: What I wanted to understand was, if the capacity utilization was largely the same what is fuelling the 66% volume growth? I just wanted to understand, is it largely due to the market share gain? Have we probably entered into other regions that we were not covering back then? That is what I'm trying to understand.

Suresh Krishnan: Now you need to understand that last year we were running only for Paradeep. This year, we're running Paradeep and Goa together and Goa has added 261,000 tons additional to the overall volumes that we have. So that's one primary reason that we get to see. The second reason for the growth is also given the fact that fertilizer prices have gone up, the input prices have gone up and hence the overall market realization has gone up as far as fertilizer is concerned. So it's a price increase and the volume increase both adding up to the overall increase in revenue.

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Darshita: No, I think in your press release you have mentioned there is a 66% volume growth so that is what I was referring to, not the overall top-line growth?

Suresh Krishnan: So the 66% volume growth which is coming primarily from our Goa volume of 261,000 tons which we didn't have last year.

Darshita: With respect to market share, if you could give any data? What was the market share right now versus back in Q3 FY22? For Paradeep specifically, even that's okay.

Suresh Krishnan: Yes. Under normal circumstances this question would have been relevant but in the circumstance where the Goa plant was acquired by PPL on 1st of June, 2022, the question is not quite relevant but at a national level, PPL as an entity would be looking or aspiring to around 12% - 13% market share of fertilizers on an aggregate level.

Darshita: Also, could you provide the sales volume number for manufactured and what would be the trading?

Suresh Krishnan: Pretty much everything is manufactured, we didn't trade.

Darshita Shah: And sales for DAP, NPK and Urea? I think the ones that you provided are manufactured volumes.

Suresh Krishnan: Yes. So I'll tell you. If you are talking of the numbers for the April to December for the quarter, the total sales figure for DAP is around 193,000, for NPK it's 171,000. This is for the quarter.

For the Y

TD, which is April -December, the same numbers are 408,000 and 554, 000 respectively. These are for Paradeep. For Goa, the numbers would be 247,000 total for the quarter and for this year, it's 426,000. These are all thousand.

Darshita: And the same for Q 3 FY22?

Suresh Krishnan: For the FY22, Goa obviously is not relevant. But as far as Paradeep is concerned, it's 1,084.

Darshita: Split between DAP and NPK?

Suresh Krishnan: 669 is DAP, 415 is NPK.

Moderator: The next question is from the line of Vihang Subramanian from Zaaba Capital.

Vihang Subramanian: Could you provide what is the gross debt, cash on hand and subsidy receivables outstanding as of Q3 FY23?

Sabaleel Nandy: For fertilizer operations, as we have been maintaining in the earlier calls, we look at long-term debt as the main debt. The working capital debt continues to fluctuate. The long-term debt for us is around Rs. 713 crores.

Vihang Subramanian: The total debt. I want the total gross debt and the cash on hand that we have. Trying to understand what is the net debt and what's the subsidy receivables outstanding?

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Suresh Krishnan: We have a total debt of Rs. 4,298 crores as on December 2022

Vihang Subramanian: Rs. 4,298 crores?

Suresh Krishnan: Yes. Out of this, the long-term debt is Rs. 713 crores and the short-term working capital debt is Rs. 3,585 crores.

Sabaleel Nandy: Subsidy receivable is Rs. 3,457 crores.

Suresh Krishnan: And inventories are Rs. 2,812 crores.

Vihang Subramanian: So the Rs. 4,298 is gross debt, right?

Suresh Krishnan: Yes.

Vihang Subramanian: And what would be the cash on hand that we have?

Suresh Krishnan: We primarily have a large limits available from the working capital consortium and the limits available which we can draw upon today is over Rs. 1,500 crores.

Vihang Subramanian: I mean the cash on the balance sheet, sir.

Suresh Krishnan: As you know that we have borrowed. We're not really showing any surplus cash or invested cash in the balance sheet and all the cash has been utilized to pay down the working capital (Unaudible 13:19) facilities.

Vihang Subramanian: So net debt is basically is broadly around Rs. 4,300 crores?

Suresh Krishnan: Same number and we have borrowing limits available and drawing power available and that number is over Rs. 1,000 crores.

Vihang Subramanian: I really thought that the net debt sort of come down more quarter-on-quarter, right, given that we almost got like around Rs. 2,000 crores or so of subsidy payment from the government. So any thoughts on why it didn't come down?

Suresh Krishnan: No, look, the way it works is if debt comes down because primary composition of the debt, as we said, the long-term debt is only Rs. 713 crores, the primary composition of the debt is buyers' credit or working capital which is because of subsidy receivables of Rs. 3,500 crores. The subsidy receivables, as you know, the way it works is, the government pays the companies within 15 days of the sales happening. End of December number is not the right number to look at because Rabi has just started or had just started around that time.

If the same number were to be looked at end of January or so, the numbers come down but just to give you a feel, we have had a good run in terms of subsidy received from the government. During this quarter, we got Rs. 1,504 crores of subsidy and the total subsidy that we received over the 9 month period is Rs. 2,885 crores and our market collections have been pretty robust right through.

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Vihang Subramanian: We got Rs. 1,500 crores, you said, right?

Suresh Krishnan: Yes. Rs. 1,504 crores during this quarter, yes.

Vihang Subramanian: Sir, and given you mentioned about February, right. Any guidance on what would be the net debt number by year end?

Suresh Krishnan: Well, I think the way we look at it is that we are looking at a long-term debt as we have been giving this guidance for a long time is expected to be around Rs. 1,000 crores for us because by this time we would have kind of completed all our projects. As far as working capital debt is concerned, which is the cash borrowing that we will do from the banking system, it is not expected to increase over Rs. 1,000 crores.

That's the kind of number that we've always planned for and that's the kind of indication that we're getting. The rest of it will be primarily to do with a supplier or a buyer arrangement that we will do. So these are the two critical numbers that we need to look at and so based on the subsidy received by 31st March, the Rs. 1,000 crores number will go up or down and that's the way we look at it.

Vihang Subramanian: So the net debt number of Rs. 4,300 crores should go down ?

Suresh Krishnan: It should not be increasing. We would be able to maintain those numbers .

Vihang Subramanian: It wouldn't go down though, but from Rs.4,300 crores net debt ?

Suresh Krishnan: It could. It could. The way the sales are happening, the progress that we get to see and the way the subsidies will get paid, there is a good possibility for this also to come down.

Vihang Subramanian: And on the EBITDA per ton, do you think Q 4 FY2023 also we could maintain our current levels or do you see this dropping off?

Suresh Krishnan: Well, we always believe that as far as the phosphoric business or the blended business that we look at, Rs. 5,000 per metric ton is a good EBITDA number to go with and you would always see a fluctuation in a commodity freight where you would see some quarters which are better. So I think we would like to kind of maintain the same and we are hopeful that the stability that we are seeing in prices and the improvement that we are seeing in terms of availability could well lead to some improvements.

Vihang Subramanian: just lastly on the finance cost, could you just give some guidance on how one should think of it?

Suresh Krishnan: Well, when you look at finance costs today, there are two elements to it. One is the long -term money that we've been borrowing with the average cost has been around 8.5% for us. When it comes to the short -term borrowing, in that the kind of weighted average that we're looking at, at this point of time is about 6.75%. That's the kind of possibly we are earning today.

Moderator: The next question is from the line of Akshat Mehta from Sameeksha Capital.

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Akshat Mehta: Yes. So my first question is on your EBITDA per ton you've done , there has been a sharp jump in your EBITDA per ton from around Rs. 5,200 normalized EBITDA per ton last quarter to Rs. 6,000 and so what has been the key driver of this sharp jump in EBITDA per ton?

Suresh Krishnan: Well, you must understand here that we've been in a process of increasing our capacities. Our fixed cost has remained the same so the capacity increase have already taken up which is adding to our EBITDA number without having any further increase in fixed costs.

Akshat Mehta: I just wanted to understand that this you're saying is purely operating leverage. So last in Q2, what were your capacity utilization numbers? Your Goa plant was still operational with the three manufacturing unit.

Suresh Krishnan: No, last quarter, Goa plant wasn't operational. We have taken over Goa in the month of June and only at the end of August that we started operating Goa and we were stabilizing the Goa operation based on various grades and various combination that we're looking at. It is only from the month of November that we are seeing we have reached a point where we have a stability and we have a clear plan in terms of how we're going to use those capacities.

Sabaleel Nand

y: In fact, if you remember, when we had the last investor call, this is a point that we had said that we are our focus in the current quarter, which is October -December quarter, would be to stabilize the Goa operations because the last two quarters before that, while we had just acquired Goa, there were supply chain issues and it was not yet smoothened out and that's where bulk of the management attention has been, which is to stabilize and generate steady throughput out of Goa. So that has been the key contributor to the seemingly better performance. Of course, the other factor that has helped us is a generally positive scenario as far as the demand -supply is concerned and a scenario of overall softening or a gradual softening of prices.

Akshat Mehta: I just wanted to understand how sustainable is the Rs. 6,000 per ton number? What kind of outlook should we see for the rest of the year as well as for FY24? Where should this number go?

Suresh Krishnan: Let's just say, it's our view that as far as the phosphoric business is concerned, Rs. 5,000 metric ton EBITDA is a good, stable number to look at . So we would like to remain with that and then you will always have an opportunity in certain quarters where your numbers will look better.

Sabaleel Nandy: We continue to maintain what we have been maintaining right from our pre -IPO days, which is an Rs. 5,000 per metric ton number and that's what we would like to believe will be the number going forward, That doesn't mean that we will leave any stone unturned to increase that number.

Akshat Mehta: You mean somewhere we are considering that there will be a fall in number because till now you had very good numbers overall in the nine month period as well. So that can happen.

Secondly, I just want to understand what is the kind of capex that you're going to spend on the two backward -integration projects?

Suresh Krishnan: As far as the capex is concerned, the primary capex on granulation is already completed and as

the tune of about Rs. 225 crores and we have spent about 50% of that and the balance will get consumed during the next few months. So that is the capex that is going to be there.

As far as the sulphuric acid project is concerned, that's a Rs. 425 crores project which is going to be taken up over a period of next 2 years so you're not going to have any bunching up of the capex that's happening. We are now at an advanced stage of engineering and we would expect the project activities to take to peak sometime in the second half of this calendar year, which will be the second half of the next financial year.

Sabaleel Nandy: So as we are again, borrowing from the arguments and the discussions that we've been having in the run-up to the IPO and the last two calls, bulk of our investments have been already put on the ground and we are looking at reaping the benefits of that. One of the points that we have also mentioned in the press release and which we have not discussed so far in the call is the fact that all the four granulation trains in Paradeep have been fully revamped that was one of the important projects that we were running and today, as we speak, we are able to generate or realize the targeted per day production numbers from Paradeep fully, which means Paradeep is now running at 1.8 million tons annualized run rate. So that's point one. The other project that Mr. Krishnan just referred to, which is related to the phosphoric acid expansion, which is a very, very critical project, is also broadly on track, but running a quarter or two behind schedule, which we will catch up and we should see that also coming on stream soon and once that is done, the other project that will be remaining to balance out the requirement of sulphuric acid

would be a

sulphuric acid plant but by and large, we are done with very major capex plans. We are in the drawing board to look at the next wave of growth for PPL and wherever that's ready, we'll come back to share that with you.

Akshat Mehta: Another general broad question on industrial as well. The industry is now moving towards more and more nano fertilizer production so is there any intention of the company to go towards that production? What do you think would be the impact overall on the industry once nano fertilizer comes in couple of years at large scale?

Suresh Krishnan: As far as nano fertilizers are concerned, we believe it's more a specialty product which is which will be in the category of non-subsidized product and I'm sure that we will add that to our portfolio going forward. However, nano's potential today looks like more like replacing about maximum of 10% starting with about maybe 3% - 5% in the case of urea and we'll have to get to see how much of DAP that it can replace. A good target to begin with would be 5% of the overall market size but you must keep this in mind that as nano gets in, you also have a growth in the phosphoric fertilizers consumption. So what we can very clearly see is that our import dependence on account of growth which is there could well get partially offset by the nano category that will come in.

Moderator: The next question is from the line of Devvrat Himatsingka from Augmenta Research Private Limited.

Devvrat Himatsingka: Just wanted to understand a little bit more on the Goa plant acquisition. Currently, I must have missed this because I had joined the call a bit late. But overall, what is the capacity utilization in Goa?

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Suresh Krishnan: We are running at 261,000 tons of production that we did in the last quarter and Goa is potentially good for about 2,80,000 tons in the given quarter so we're nearly at the peak level based on the grades that we manufacture there. Urea is running full capacity, roughly 1,350 tons per day and as far as phosphoric capacity is concerned, it's about 2,000 tons per day.

Devvrat Himatsingka: And going forward, if we had to look forward into FY24, what kind of volumes could we grow. Like if you had a year-on-year idea, like if you have a target in mind or something?

Suresh Krishnan: No. Well, we are seeing, this year is going to be more like a we've done already 1.4 million tons of sales and we could be somewhere in the ballpark of about 2 million tons of sale as we end this financial year and because the current 3 months and the second half of this quarter is going to be like off season for the fertilizer market. When it comes to next year, we have a capacity which is close to 3 million tons and so obviously we will be looking forward to utilizing most of it and so our targets will be based on that so you should see a good increase from the current levels of 2 million tons that we are doing this year for the next financial year.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: The first thought is that the phosphoric acid prices have been showing a decline, has there been any impact because of the excess inventory from the second quarter? And how do you see the outlook for the sulphur, sulphuric acid and phosphoric acid prices to the extent that you have to buy it from the market, say, over the next few quarters? What is the sense you have?

Suresh Krishnan: Well, in terms of availability, we see a stable availability of all these projects and we believe that the fertilizer raw materials, in general, there pretty much the prices have peaked so we are seeing a correction downwards and as I said, that is likely to continue for a couple of quarters the way things are I think it and we believe that availability will not be an issue as far

as the

industry is concerned and when it comes to inventory, yes, we are a manufacturer, we do carry raw materials with us and based on it could well be between 20 days to a 30 - 35 days inventory is something that we're always carrying so that gets into manufacturing and its corrected in terms of pricing over the period of time.

S. Ramesh: So in terms of the margins you have reported for this quarter, you would have had a certain level of pricing for your fertilizers net of the subsidies so have you been able to maintain that price per bag price per ton for the third quarter or have you cut prices?

Suresh Krishnan: As far as Q3 was concerned, we did not have to cut any prices. I mean, they were pretty stable. And I personally see that as far as the MRP for fertilizer is concerned, we will have a stable regime, maybe a greater of two might [inaudible 0:29:05] changing. But it still looks like a stable here going forward.

S. Ramesh: So in terms of your captive production of sulphuric acid and phosphoric acid, what is the percentage of captive production if you look at your Paradeep fertilizer unit?

Suresh Krishnan: Well, as far as sulphuric acid is concerned, we pretty much meet all our requirements from our own production as far as phosphoric acid is concerned, we're currently at about 70% in terms of Paradeep Phosphates Limited
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a backward integration and with the new capacity coming in, we could be closer to 90% as far as Paradeep is concerned. In case of Goa, we will be import all our phosphoric acid as required.

S. Ramesh: So the sulphuric acid expansion is primarily for your additional phosphoric acid production. Is that right?

Suresh Krishnan: Absolutely, Yes, that's right, yes.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: I just wanted to ask about, if I'm not wrong, your capacity is around 30 lakhs MT, right? and you were saying that you had a utilization of roughly 95%. So, I was were you speaking about all the fertilizers or DAP and NPK only?

Suresh Krishnan: When you look at it, our current run rate is at 30 lakh tons per annum. So, when we started this year, we had only 15 lakh tons as far as the capacity was concerned, that's only Paradeep. We added Goa in the month of June and Goa has finally got stabilized. So, we have been using whatever capacity was available which was the Paradeep to over 95% capacity because we were having one train always under revamp, and all the revamps have been completed so, we are in a position to run all our 4 trains effectively.

As far as Goa is concerned, right through from the time of acquisition, we have been able to run our urea plant to full capacity. phosphates plant after finding out all the issues on supply chain, now since October -November, is running at a pace which is close to over 90% capacity utilization.

Vignesh Iyer: So, would it be fair to assume that for the quarter four we can do somewhere around 7 lakh tons and for FY24 around 28 lakh tons or 27 lakh tons roughly?

Suresh Krishnan: Well, as far as quarter four is concerned, second half of the quarter four is an off season, so we'll have to take all the terms of market demand. So, we believe that we will I mean, we should do a good quantity. I mean, it may not be 7 lakh ton, but we will be more like in a 6 lakh ton number or something is should be feasible and we would have a complete clarity by end of February as the season ends and based on the market requirement, we will be producing and you're right, I mean, we have a capability to take the capacity utilization and production to 28 lakh tons next year.

Moderator: The next question is from the line of Chintan Shah from JM Financial.

Chintan Shah: Hi, sir. Thanks for the opportunity. So, I just wanted to see in case of the current raw material pricing scenario, just wa

nted your sense on how do we expect the subsidy component to play - out? and how would that impact the margins going ahead?

Suresh Krishnan: Well, if you look at it right since 2019, the subsidy per ton per phosphatic fertilizer has only gone up and if we look at it today, it's roughly about 67% - 70% is the subsidy for the phosphatic fertilizer. We believe that going forward with prices getting corrected and MRP is being at what

level that we see, the subsidy per ton will come down and the proportion of market prices to the overall realization will keep increasing.

Chintan Shah: So, on a net-net basis we should maintain our profitability?

Suresh Krishnan: Yes. I think there is every case for us to really maintain profitability in general and but given that the industry has been affected by geopolitical reasons in the last year February and we are bit confident that that particular event has been handled well and the global markets are stable and it will be good to see the sector on a quarter-to-quarter basis as you get these global situations evolve but one big positive that we are getting to see is the stabilization in China, which we believe is on the whole good for the sector.

Chintan Shah: And secondly, DAP plan. How do we see the imports playing out? Could that be [Unaudible :33:55] in coming quarters?

Suresh Krishnan: Well, as far as imports of DAP is concerned, the availability of DAP is there and I think India's current position of DAP in terms of closing stock for the next season looks to be quite good and at this point of time we don't see challenges in import of DAP.

Chintan Shah: And lastly, with this expansion largely done, and in the quarters probably next quarters it will probably ramp up completely just wanted a sense in terms of growth perspective from FY24 and beyond, do we have any other plans with plant capacity or we'll look at some other product, etc, if you can throw some light on this?

Suresh Krishnan: Well, from FY24 onwards, as we said, we're going to have some of the efficiencies kicking in from the backward integration so that's going to make a difference. As far as Paradeep is concerned, there is Phosphoric acid efficiency coming in. As far as Goa is concerned, we're doing an energy efficiency improvement in Goa in urea, ammonia urea complex. The benefit of it will come in the fourth quarter of next year. And so, these are initial benefits which are there. And as we said earlier, we are back to the drawing board in terms of looking at FY25 onwards. I think we got our hand full as far as FY24 is there and for what we need to do from FY25, we will work on it and the one important project that can kick in, in FY25 is also the completion of the sulphuric acid project.

Moderator: We'll move on to the next question that is from the line of Dhwanil from Iwealth. Please go ahead.

Dhwanil: Yes. So, sir, just couple of questions. First on again, sir, on the volumes that you were saying that we did close to 6,21,000 this quarter and ballpark, sir, on the quarterly side, at the optimum level, we can do somewhere around 7 - 7.1 lakh, which is around 28 for the year, So sir, from here on, incrementally the true capex which we are doing is more on the backward integration and they won't help us in adding more volume, right? So, from here on, sir, how do we see volume growth shaping up once we reach almost currently we are at 95% right so

Suresh Krishnan: If you look at it, this financial year, we will end up with about 2 million tons and so, we have to travel from 2 million tons to 3 million tons, which you will get to see in the coming years.

Sabaleel Nandy: And just to add, there is no company which you will see, at least in India, which whose sales volume is equal to production volume.

me. Most of them also have a top up of traded volumes, which we have not yet intentionally embarked upon and the advantage or the efficiency that kicks in with an additional traded volume is because from the same fixed cost base of the sales and marketing network, we can churn out more volumes through imports so that will also kick in. The main reason why we feel that the company has not gone into it is because we were in the middle of a very aggressive expansion program in Paradeep, we are moving from 1.2 to 1.8. Goa, we were taking on another 1.2, so, for the next 3 years, see, the management team is completely we have our hands full. As far as the volume growth is concerned, there are many areas from which this volume growth will come.

Dhwanil: So, you are saying that the imports or the trading can be done to increase the volume, correct?

Suresh Krishnan: Yes.

Dhwanil: Which currently we aren't doing it?

Suresh Krishnan: Yes.

Dhwanil: Because we are utilizing our own capacity. Got that, sir And sir, when we do the trading, so in that case, what is the EBITDA per ton that you generally make on that?

Sabaleel Nandy: In case of trading, contribution is equal to EBITDA is equal to PBT, because it is going to be riding on the same sales and marketing networks.

Dhwanil: But I wanted to understand on the EBITDA per ton. So Rs. 6,000 is what currently we are doing .

Suresh Krishnan: It depends on global prices.

Sabaleel Nandy: It will be lower than manufacturer. Say, Rs. 3,000 - 3,500 is a decent number to take.

Dhwanil: And just one last question. The phos acid backward integration, so how to understand the impact of that, sir? So, in terms of our EBITDA per ton would increase, how to understand that, sir?

Suresh Krishnan: It's a deficiency improvement, so it will have to reflect on EBITDA per ton and I'm sure we'll get a chance to discuss this in the next earnings call here once we're done with (Unaudible 39:05)

Dhwanil: Because in the earlier call, you were saying that Rs. 1,000 to Rs. 1,500 is generally the conversion, which you will be able to get, right ?

Suresh Krishnan: Yes.

Dhwanil: And what is the capacity, sir, we are putting in phos acid?

Suresh Krishnan: 200,000 tons additional.

Dhwanil: And which will start from Q1 FY24 ?

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Suresh Krishnan: We are expecting that the plant shifted into a condition ing mode in Q1 FY24 .

Moderator: The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.

Dhruv Muchhal: Sir, I just wanted to reconfirm the sales numbers. For Q3 this year, it is 6,07,000 tons and for Q3 last year it was 4,94,000 tons, right sir?

Suresh Krishnan: Yes.

Dhruv Muchhal: And sir, you mentioned the subsidy this quarter end is about Rs. 3,400. What would this be at the end of the September quarter?

Suresh Krishnan: At the end of the September quarter, the subsidy. Subsidy We got Rs.1,504 crores of subsidy and the subsidy outstanding at the end of September was Rs. 2,252 crores.

Dhruv Muchhal: Rs. 2,252 crores, got it.

Suresh Krishnan: Our subsidy is going up today because we're producing more. Our volumes have substantially increased. So, you would see .

Dhruv Muchhal: And the number that you mentioned, Rs. 1,500 crores, that you have received in Jan, right sir?

Suresh Krishnan: This is what we received during for Q3 quarter, between September October, November, December.

Dhruv Muchhal: And sir, just on the EBITDA number. Now if I look at the number per ton and considering that you probably had some higher cost inventory and also the manufacturing spreads, if I'm not wrong for phos acids have a bit lower versus the last quarter. The EBITDA per ton number seems quite strong also in context of the urea volumes you had decent urea volumes even this quarter, which I believe is not as profitable as the normal fertilizer, the NPK fertilizers or DAP.

So just wanted to understand better on the EBITDA per ton. Is it probably seasonal which is driving this or there can be further significant upside, because with your guidance there's no significant difference, further Rs. 6,000 versus Rs. 5,000 your guidance?

Suresh Krishnan: Well, if you look at it , as far as EBITDA is concerned, one is manufacturing efficiency, number one. The second most important thing that I had mentioned earlier was that we started increasing our volume with the same fixed cost. That makes the difference. The fixed cost that we're carrying in the last quarter, Q2, the similar fixed cost that we're carrying in Q3, but our volumes are different. And so, the incremental volume which is coming in, there again your contribution becomes equal to EBITDA. It doesn't have to have any other fixed cost at all. So that is the impact that you're getting. So, the increase in volume at the manufacturing price is what is driving this.

Dhruv Muchhal: Sure. But the understanding is fair, right? The manufacturing split is probably where on benchmark level is probably lower. So, despite that, the overall EBITDA is still better?

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Suresh Krishnan: No, no, as far as the right across all product mix, I think we've had good EBITDA and we have made various grades of fertilizers which have kind of worked for us. So, what was your question? What exactly do you want to know?

Dhruv Muchhal: Yes. So if I just adjust for the urea volumes, your EBITDA per ton will be even better, because that's probably is the right way to understand .

Suresh Krishnan: It's always will be , it is the case. But you know, urea is a stable product with the stable EBITDA...

Sabaleel Nandy: As Mr. Krishnan mentioned earlier, we are telling you the EBITDA that we have achieved this quarter and the guidance going forward, which is around Rs. 5,000. We'll try to exceed that, but

we'd like to maintain that as the number. The reason being, we've just had one quarter of steady Goa performance. We would like to repeat that for a few quarters before being able to increase that guidance, in case that's what you're going towards.

And the fact that we had urea, unlike some of our competition, is actually a de-risking strategy, because there will be quarters, there will be years when urea will be good, especially in scenarios where gas prices are high, etc. As we are probably alluding to. So, the balanced portfolio that PPL has compared to some others and that was one of the reasons why we decided to go after the Goa plant to increase or diversify our product portfolio beyond pure phosphatic place. It is going to be an advantage and we may see more of it going forward.

Dhruv Muchhal: Sir, just one last thing. Is Goa your plan was to shift more towards the NPKs rather than DAP, if I'm not wrong. So based on probably your early performances, is that on track.

Suresh Krishnan: Absolutely. It is completely on track and we made some small quantities of DAP. We've tested all the grades including DAP as far as Goa is concerned. But if you look at it during the last quarter, we have made N14, N19, N20, all grades that we made out there.

Sabaleel Nandy: So only of the 247,000 tons in Goa, only 19,000 is DAP.

Suresh Krishnan: Rest is NPKs

Moderator: The next question is from the line of Manish Mahawar from Antique Stock Broking. Please go ahead.

Manish Mahawar: Yes, good evening, sir. In terms of EBITDA per ton perspective, as you said, a Rs. 5,000 per ton of margin, it is blended margin, right? It's phosphatic as well as urea blended margin you talking about?

Suresh Krishnan: Yes.

Manish Mahawar: And going forward, once just your backward integration in terms of phosphoric acid and sulphuric acid will be in place in FY24 end I would say, FY25, the capacity available like what type

of EBITDA per ton we can make or if you can say basically what type of benefit benefit can come from these two projects?

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Suresh Krishnan: Well. As we look at it, the volumes are going to be well. The volume growth is also going to drive the overall absolute rupees crores of EBITDA which is going to be there, which you will get to see in FY24 and also the benefit of the phosphoric acid capacity. And that's certainly going to add and it is our backward integration will go up from 70% to 90% in Paradeep, yes. But I think, Manish, the best thing is these are all commodities, volatile markets and we should be clear that all this is going to be positive as far as the company is concerned. And as we come to those quarters when we'll start producing, we'll discuss it. But we are very confident that all of it will be positive for us.

Manish Mahawar: Okay. That was my point, actually basically we can make a higher EBITDA what we are guiding for at the moment and it is conservative at the moment, right?

Suresh Krishnan: I think Rs. 5,000 to be an average EBITDA given the kind of products which we have. Given the efficiencies that we're going to bring in, I'm sure the objective is to increase the EBITDA, as we have mentioned earlier. We would look at a better guidance every month reach there.

Sabaleel Nandy: And just to add to what Mr. Krishnan said -- EBITDA per ton is also a function of the prices of rock phosphate phosphoric acid and our long-term contract was such that we get discount percentage, etc. all those things come in. This Rs. 5,000 per ton is an EBITDA per ton number that we keep saying which we're saying we're going to maintain. But as you realize, when the prices go down, we will also shift the discussion to an EBITDA margin, which will start to show much better. So, in a scenario where the prices are very high, we don't talk of EBITDA margin, we talk of EBITDA per ton. But when prices will go down, we will shift the discussion to EBITDA margin.

Suresh Krishnan: And as far as this industry is concerned, it's important to note that the volumes are important and the quality of the volumes are equally important. So, I think that is exactly where our focus is and the quality of volumes that you will get to see from us will finally determine the kind of EBITDA that we will generate.

Manish Mahawar: And in terms of a mix perspective in finished goods, last year we sold around 7 lakh ton of DAP. So, going forward, incremental whatever volume we sell, it is towards the NPK side, most of it, right?

Suresh Krishnan: Yes. So actually, from a production capacity point of view, we are in a position to make of the 3 million tons or 30 lakh you leave aside 4 lakhs, you are left with 26 lakhs. We can make 26 lakh tons of DAP, if it is needed.

However, our choice of product is determined by what our farmers need. And of course, a consideration of what kind of contribution we'll make from those products. That's what determines the product market choice.

Having said that, this year, we have deliberately reduced or subdued our DAP production and DAP sales. We will continue to look at dynamically the scenario of the market and decide which products to make.

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The important point which we would like you to understand is the flexibility that the production plants have which many other competition does not have. They're stuck, they have to make non-DAP product per force or a DAP product per force, which is not the case with us.

Sabaleel Nandy: We look at our last quarter performance. Our DAP was down by 10%, whereas our NPKs like N20 was up by 33%. And when it comes to other specialized grades of NPKs, which we look at in Goa, it's like 500% increase was there in the quantity. So, this has been the change that has come into

the overall product mix.

Manish Mahawar: But my limited point is that going forward in terms of overall volume, your mix in terms of NPK will increase or it will remain at the same as what we are seeing DAP products.

Suresh Krishnan: So we could increase depending upon the needs of the farmer and how the liquidation happens. As we said, we have a very good capability today. We are a highly fungible granulation trains right across Goa and Paradeep. So, we will take a call as we go forward based on what market requirements are there.

Manish Mahawar: And last point, Mr. Krishnan, if you can throw some of your thought in terms of a government subsidy provision for the next year, which is today actually budget Rs. 1,75,000 crore.

Suresh Krishnan: What we saw in the budget was Rs. 1,75,000 crore which is a good number and which could be as good an estimate as you can get today. And we feel that it's been in for a healthy number.

Manish Mahawar: And what's your expectation for the phosphoric acid price maybe for coming quarter or so? It will come down?

Suresh Krishnan: For this quarter it will come down, for sure, Q4. And the trends that we are looking at it is that maybe this quarter, next quarter, you would see correction downwards. And post that, we will see.

Manish Mahawar: But the contract has yet to be finalized for the Q4, right?

Suresh Krishnan: Yes. I think they're in pretty advanced stage. I'm sure you will get to hear it soon. Yes.

Manish Mahawar: Sure, sir. Thank you, and all the best.

Suresh Krishnan: Thank you.

Moderator: The next question is from the line of Rishikesh from RoboCapital. Please go ahead.

Rishikesh: Hi, sir. Thank you for the opportunity. Firstly, just wanted to know if my understanding is correct here. This next year we can do 28 lakh tons of sales. And on that, the steady state EBITDA per ton of Rs. 5,000 per ton and assuming, provided that prices won't go down, are we talking about like almost Rs. 1,400 crores of EBITDA potential.

Suresh Krishnan: We have always, even if you look at our time of investor presentation during IPO, this is the kind of growth that we have projected, yes.

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Sabaleel Nandy: And does that surprise you? We have been saying that in all the calls for the last one year or more.

Rishikesh: Okay. And second, sir, can you provide debt outlook for FY23 and FY24?

Sabaleel Nandy: What is it? I didn't get the question

Rishikesh: Can you explain debt outlook for next two years, sir?

Suresh Krishnan: See, as far as the long-term debt is concerned, we're pretty much keeping at Rs. 1,000 crores and it will keep coming down from there on. So, we're not expecting that to happen.

As far as cash-based working capital is concerned, as we said that we are trying to run at a level between Rs. 1,000 to Rs. 1,500 crores between the two units.

As we speak, we are below the targeted number that we are in. We will always have a suppliers' credit which is primarily a suppliers' or a buyers' credit arrangement based on the purchases that we do. That will primarily depend upon global prices. As we get to see global prices coming down, I believe that those numbers will be significantly corrected.

Sabaleel Nandy: Yes. And as we were mentioning earlier that the number that we actually look at internally is the long-term debt because the short-term debt is well covered through, on one side, it's largely comprised of subsidy receivables, which is in a short money that comes and also against the subsidy receivables we have enough and more working capital limits at very attractive rates for us.

Bringing in the earlier question, if we can actually realize the kind of EBITDA number that we

are talking of, we would be long -term debt -free in two years, but that's not the position that we would like to go to, which means that we would have run o

ut of ideas to expand the company

which will not be the case with us. So, by the time we reach that, we could have other ideas to expand the organization and invest in profitable areas for future growth.

Rishikesh: That was helpful. Thank you ve ry much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Suresh Krishnan: Thank you everyone for joining our call. We are confident and we are quite keen to grow the way we have indicated to you in this call and the presentations that we have made earlier. Our team remains focused on executing our strategy and delivering value to our shareholders. We appreciate your continued support and we look forward to connecting with you all in the coming days. If any question remains unanswered or do you have any further questions, please feel free to connect to our Investor Relations team. Thank you.

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Conference Call"

May 19, 2023

MANAGEMENT : MR. SURESH KRISHNAN – MANAGING DIRECTOR
MR. ALOK SAXENA – GENERAL MANAGER & HEAD
CORPORATE FINANCE
MR. SUSNATO LAHIRI – DGM (STRATEGY , INVESTOR
RELATIONS & ESG)

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Moderator: Ladies and gentlemen, good day, and welcome to Paradeep Phosphates Q4 FY23 Conference Call hosted by ICICI Securities Limited .

As a reminder, all participant lines will be in the listen -only mode , there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you sir.

Aniruddha Joshi: Thanks Dorwin. On behalf of ICICI Securities, we welcome you all to Q 4 FY23 Results Conference Call of Paradeep Phosphates.

We have with us Senior Management represented by Mr. Suresh Krishnan – Managing Director; Mr. Alok Saxena – General Manager and Head of Corporate Finance and Mr. Susnato Lahiri – DGM (Strategy , Investor Relations and ESG).

Now , I hand over the call to the management for their initial comments on the quarterly as well as FY23 performance and then we will open the floor for question -and-answer session. Thanks, and over to you sir.

Suresh Krishnan: Thank you. Good afternoon everyone. Thank you for joining us for the Q4 and FY 23 Results Conference Call of Paradeep Phosphates . We have uploaded "Earnings Presentation and Press Release " on our website and on Stock Exchanges . Hope you had the chance to go through them.

We would begin this call with a brief discussion on our "Performance and Financial Results " of Q4 and Full Year FY23 and we would be happy to take any questions post that .

Fiscal year 2023 has been a landmark year in the history of Paradeep Phosphates . We made a successful debut on the stock exchange in May 2022. And now we are closing our first fiscal year with a new set of operational benchmarks and accomplishments.

Friends just to remind you, May 19th, 2022, last year was the day when our issue closed and we were listed on May 27th of 2022.

Coming to the Performance Highlights :

During the quarter , the Company has delivered a quarterly revenue of Rs. 37,136 million registering a year -on-year growth of 93% led by growth in volumes . Our EBITDA for the quarter stood at Rs. 1,603 million registering a year-on-year growth of 36% . Profit after tax for the quarter was Rs. 100 million. The profitability was softer due to the reduction in the overall subsidy and a one -time expense of Rs. 422 million towards our Goa site which was paid towards

registration of land and certain lease rentals during the quarter.
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Total fertilizer production during the quarter was 6,20,884 metric tonnes registering a strong year-on-year growth of 124%. We have now fully integrated both our sites at Paradeep and Goa and we have been able to operate both sites at optimal utilization in Q4 just as in Q3 . In Q4 our Goa site produced 2, 49,000 tonnes of finished fertilizers, including 1,21,691 tonnes of urea, and varied grades of NPK s. Our Paradeep site has produced a record 3,71,441 tonnes of finished fertilizer, an increase of 34% compared to the same quarter in the previous year. On an annual basis, the Company has delivered a strong top line performance, notwithstanding the challenging geopolitical and macro economic environment and pressure on key raw material prices. In FY 23, the Company has maintained a strong track record of financial performance, delivering the highest -ever annual sales of Rs. 1,33,407 million registering a year -on-year growth of 70%. EBITDA grew by 26% to Rs. 8,921 million, with a profit after tax of Rs. 3,042 million. The Board of Directors has recommended a dividend of Re. 0.50 per equity share of Rs. 10 per share for FY 23 representing a payout of 5% on the face value, and 13% on E PF of FY 23.

Coming to our Business Update:

The total production in FY 23 was 2.032 million metric tonnes, registering a year -on-year growth of 63%. Total sales in FY 23 were 2.029 million metric tonnes, registering a 64% year-on-year growth. As you will see that the quantity that were manufactured by us, we have managed to convert them into a sold products.

During the year we have strengthened our capacity by 150% to reach a run rate of 3 million tonnes of finished fertilizers effective December 2022. This includes 1.8 million tonnes per annum at the Paradeep plant and 1.2 million tonnes at Goa plant. The remainder of the ongoing CAPEX projects of both of captive phosphoric acid along with enhancing the capacity to 5 lakh tonnes at Paradeep site and the installation of fourth evaporator are on track and they are expected to be completed by the end of Q1 FY 24. These projects will further read our backward integration and capability leading to higher profitability. Throughout the year, we have successfully produced a wide variety of complex fertilizer grades across both our Paradeep and Goa sites , thereby improving our farmers' choices in their application of soil and crop specific nutrition.

In fact, our Goa site has produced a total of eight varieties of value added NPK during FY 23. While during the year, we also embarked upon a sustainability journey by publishing our made in sustainability report mapped to global framework and we encourage you to read the report to gain a deeper understanding of our progress and commitment towards promoting sustainable solutions.

Looking forward into FY24 , we remained focused on our growth, a 1 million tonne incremental capacity totaling to 3 million tonnes, our innovation led superior manufacturing capabilities, a
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strong supply side linkages and a pan India market reach across 15 plus states in India. We are optimistic and we look forward to a transformative next year.

Thank you very much , and now I would like to open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: So, I would like to understand the seasonality impact of the Phosphate and also SSP if you can give that?

Suresh Krishnan: As far as the Indian farm sector is concerned, we primarily have two seasons and which is basically the Kharif and Rabi season. Kharif season is the crop that commences during the summer time and which gets over by technically in the month of August, and the winter season commences in the month of October and goes on till well into January , February of the next year. But when it comes to seasonality of DAP that you 're asking, DAP is a crop which is very strong when it comes to Rabi time, which is in Northern India, and in Northern and Central India, we see a large uptake of DAP during this phase . As far as the Kharif is concerned, DAP certainly gets consumed in central part of India and also in the Western parts of the country including Maharashtra and Karnataka. So, this is the main trend as far as DAP is concerned. So, SSP is concerned is again a product which is very specific. And it has a market which is reasonably around the clock but around the year. But you will obviously see those five, six months of

consumption period which is there in the main fertilizer where you would see an uptake on the farmer side.

Aditya Sen: Which are those five, six points for SSP, from August to December ?

Suresh Krishnan: Well exactly, when you look at the overall time the peak consumption in India, the window is July to December. If you look at that as a consumption period, right across all fertilizer grades, we will see good uptake happening in the non-urea space.

Moderator: Thank you. The next question is from the line of Deepak from RM Shares

and Stocks. Please go ahead.

Deepak: Sir, recently there has been a reduction of subsidy, so is there going to be an impact of this on the bottom line for our Company. And the second question is, when can we see shareholders' value increase in the bottom line ?

Suresh Krishnan: The first point is, as far as the industry is concerned looking forward today, there has been a reasonably good correction in the raw material prices, which is leading to expansion in margins.

So, we believe that this margin expansion will come and play out in a positive way. And as we know that this current subsidy announcements which have been made, they are valid till September 30th, 2023. And we are expecting that in the event of any major changes in the raw material prices, that is if it goes upwards or otherwise, they could well be a further support from Paradeep Phosphates Limited
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the government coming in or a withdrawal which could also happen. At the same time there is also a clear indication that there is also a possibility that in the second season, which is the Rabi season, you could even see if the price increase happens in the global market, we could also see a price increase in India. So, when it comes to margin expansion, this is a year where we are seeing stability, for the benefit of everyone it's very important for us to understand two very clear parameters. One is when you have a cycle where all prices are going up, obviously that volatility affects the overall performance of the sector in general, what we are seeing now is a trend over the last six, seven months a reduction in the prices. Over the last year, if you look at it, the market, which is DAP which is \$1,000 has already come below \$600. Whereas the ideal situation that we all look at from the industry perspective is DAP coming down to a level around \$450. So, there is still a \$150 correction which is there in the sector, which one expects that one would get to see during the next six to nine months' time. And once that kind of scenario builds in then you have a phase of stability and the stability both in terms of prices, and also profitability. At this juncture, I would like to just highlight that, government of India has ensured that there is no farm level inflation, which means the farmers have been getting the price, the same price for a much longer period. And they have taken quite a bit of the increases to their own books. And that has been the trend so far so with the decrease which is happening we believe that there will be correction for the government of subsidy as and when there is a steep correction in the prices, but the stability will be there and the profitability will certainly be there in the industry. So, you can see that this year looks positive and interesting.

Deepak: Thank you sir. But what about the bottom line, we can see a better bottom line this year ?

Suresh Krishnan: Well, the trends are as per the industry is concerned given that the raw material prices are going down, there is a positive trend which is emerging, and this trend is going to get consolidated for the month of June onwards. Because you always have a lag between the global prices and by the time you buy the raw material at those prices. So, you are going to be seeing that going forward from certainly from some part of the Q1 but good bit of Q2 onwards.

Deepak: Sir, all the expenses have been met out sir for this onetime expense you were telling about in the earlier times?

Suresh Krishnan: Yes, as soon as our acquisition related BT A is concerned we have completely closed off, we now have all the approvals. And the last quarter, the onetime expenditure that we saw was primarily the final payment of stamp duty for various fixed assets and both moveable and immovable asset that we had acquired and which had to be paid to the government this was post valuation

done by the local government in Goa.

Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund. Please go ahead.

Dhruv Muchhal: A few questions related to numbers, the other income seems really high this quarter, if you can explain please sir?

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Suresh Krishnan: See the other income was only certain provisions that we are keeping which has been taken back, which we have been building over the year itself that's all. So, it was just in a provision that we had in our books that we had to get back.

Dhruv Muchhal: So, are the provisions related to the previous year or for the current year ?

Suresh Krishnan: No, the current year .

Dhruv Muchhal: Okay . So, part of that amount is in the expenses and then there is a reversal in the other income?

Suresh Krishnan: Yes, absolutely.

Dhruv Muchhal: And sir the overall EBITDA, looking for this quarter only I am not including the other income because probably part of that other income is related to the earlier quarters but the EBITDA seems a bit low I believe you have taken the provision for the subsidy cut for the January to March period. Is it possible to share what that number is and also, does it account for the actual subsidy announcement that the government has made or there could be further some amount to this?

Suresh Krishnan: To be frank, you have already seen a reduction in EBITDA which has happened and which is because of the fact that we have provided for it, and I would say that we have been an adequate provision as far as the subsidy amounts are concerned.

Dhruv Muchhal: Okay. So, the reduction primarily adjusting for that 40 crores, 44 crores of Goa is all to do with the Q3 reduction in EBITDA despite probably almost similar volumes?

Suresh Krishnan: Yes, on top of that, what happens is under the accounting standards whenever you buy movable and immovable assets under their business transfer agreement, you can't capitalize those expenses. Normally when you create an asset as an ongoing project, you could capitalize, but through a BTA under the accounting standard you have to write it down. So, during this year, we had to do provisioning of over 80 odd crores, 59 crores is the exact amount when it comes to the stamp duties and other related payments.

Dhruv Muchhal: Sure sir, the other thing is, you have given this adjusted EBITDA of about Rs. 3,300 per tonne. Now, I believe this is adjusted for the subsidy revisions which the government has done for January to March period and also for the subsequent periods. So, not trying to extrapolate from this quarter levels, but the volumes are reasonable, you are running at full utilizations. So, how do you look at sustainable EBITDA per tonne now going ahead?

Suresh Krishnan: Well, if you look at the future for us, the first and foremost thing that's happening to us is that we today clearly have a million tonne of additional volumes available. This is an incremental volume which is available. So, that's going to directly play up and support towards increasing our EBITDA, that's the first one. The second important thing for us is the value added NPKs beyond DAP, that is going to be made by us and this is also going to happen in our Goa site. In fact, the Goa site for us today, from a traditional perspective what they used to produce and what Paradeep Phosphates Limited

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we are going to be producing right now, the product schemes are very good and the potash is back, which is the other major thing that we are getting to see that this year, last year we could not make a lot of potash-based grades. So, that is also back, that is going to make a difference. And the biggest in case that the fixed cost is not increasing. So, given that we are going to be ramping up our capacities to the fullest extent,

there is going to be more than a 3.3% per tonne reduction in the fixed cost. So, all this is going to look at getting us back into sustainable numbers. And I've always felt, this is a cyclical industry where you really get to see margins going up and down based on raw material prices and that's true for anything. But a good guidance here is about I maintain at Rs. 5000 as far as a weighted average to the portfolio that we have. You can certainly have certain products which are much higher than that, but this is the kind of weighted average that you have. This year has been an aberration today because the way some of the changes had taken place by the government.

Dhruv Muchhal: Sure. And the phosphoric acid plant probably is commissioning you mentioned in Q1 FY24?

Suresh Krishnan: Yes.

Dhruv Muchhal: Sir any update on the sulphuric acid plant, I believe you were looking for sulphuric acid?

Suresh Krishnan: We have a 1.3 million tonnes sulphuric capacity already. We are ramping that up by adding another capacity for 0.45 million tonnes and this 0.45 million tonnes is like an incremental support to the new phosphoric acid plant that we are commissioning. So, this phosphoric acid plant will get commissioned now and with some of the engineering and the key equipment's have already been ordered and this is financially closed off, and in the financial year we will not be commissioning by the year FY 24 it will be done in the year after that FY 25.

Dhruv Muchhal: Sir, if you can also, please guide for FY24 and FY25 CAPEX ?

Suresh Krishnan: As far as FY24-25 CAPEX is concerned is purely the completion of the phosphoric acid plant and the converter which is only about Rs. 150 crores of expenditure, which is pending and which

is already tied up , the loans are tied up for this and the only other expenditure that we are doing and we are quite excited about is finally the completion of energy improvement project in Goa where the overall expenditure is around Rs. 73 crores and there is a balance of about Rs. 50 odd crores are going to get spent during this year. These are the main CAPEX which we have, which will directly start also adding profitability to the Company . With regard to the CAPEX that we are doing on sulphuric acid plant, our estimate is that during the year we will end up spending about Rs. 80 crores. So, if you look at on the whole, we are looking at about Rs. 280 crores of long-term CAPEX which are going to be incurred during this financial year.

Dhruv Muchhal: Got it. And sir one last thing is , we have seen the subsidy amount increase again. Is there a change in how the government is thinking about the subsidy disbursements or it's just the last , probably last month thing and it gets through?

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Suresh Krishnan: It was a last month thing to be frank the March 31st payment they all fully paid out in the month of April. So, they are not come back and reduce any or held back any subsidy but in general what has happened for us is that , per tonne subsidy has increased so given that the per tonne subsidy has increased you would always see that the gross amount is going to be larger than number one. And number two is our volumes are increasing so that is again adding up to the entire thing. So , normalization of subsidy is basically in our view one year away, we will see that government of India would not like the prices to go down any further if at all any, I would think that the prices could only go up, and the subsidy elements will come down. And, in case somebody has this question in mind, the most important thing for our industry is the pricing hierarchy, when you look at the phosphating industry you need to have higher the grade, the higher the price. Unfortunately, the way the prices have panned out over the last couple of years we are seeing a trend wherein the DAP prices

are lower, which is a 1350 a bag, whereas you got phosphating prices , other NPK are certainly higher than what this is and potash being the highest and this has to be reversed. And the reversal is very important to ensure that the farmers behavior at the marketplace is intact and the soil nutrient management gets to be done in the proper way. So, we are expecting that during the course of this year, this correction should happen and that is finally going to aid us in terms of the industry doing much better.

Dhruv Muchhal: That's helpful. Sir, just to clarify again, the subsidy amount is largely cleared , the outstanding as of March is largely cleared.

Suresh Krishnan: Yes.

Moderator: Thank you . The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir one first clarification that though the government has reduced the subsidy effective from 1st of January to March. Sir, what is the effective DAP subsidy now, if you can just give that number ?

Suresh Krishnan: The DAP subsidy is close to about Rs. 33,000 per metric tonne.

Rohan Gupta: And it was Rs. 42,000 per tonne earlier sir?

Suresh Krishnan: Yes, it was previously about Rs. 48,000, we have reduced one time for the Rabi season to Rs. 40,000 and for the next the coming period, which is the April onwards we have reduced it to Rs. 32,641 .

Rohan Gupta: So, right now it is Rs. 38,000 then will further go down from next month already from April Rs. 32,000 ?

Suresh Krishnan: From Rs. 40,000 it may go down to Rs. 32,000.

Rohan Gupta: So, sir the provisioning amount which you have made can you quantify that how much provision we have made?

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Suresh Krishnan: Let's be very clear, in our view the provisioning had been adequate we did this even before the circulars were issued by the Government of India. So, we've taken care of a good part of this .

Rohan Gupta: Okay. Sir what is our DAP prices for us in the market right now ?

Suresh Krishnan: Market price is pretty uniform right across the country it's 1,350 per bag. Which is about Rs. 27,000 per metric tonne.

Rohan Gupta: Got it sir. Sir, the subsidy Rs. 32,000 you see that have adequately taken all the cost reduction or there you see that the ammonia prices are still falling and maybe sulphur may see further fall and phosphates are still weakening. Do you see that there is a room for reduction in DAP prices in the market or the benefits with any further fall in raw material prices will be kept by the Company ?

Suresh Krishnan: Rohan my take is like this as far as the subsidy is concerned. If you look at a normal period, which is pre COVID and in the year 2019 April 1, the subsidy per tonne of DAP was Rs. 10,000, has gone to Rs. 48,000. Our view is that, at some point of time in the near future, maybe in the next couple of years we have to come down to those levels. And at that point of time the price of DAP in the market has gone up to Rs. 38,000. So, this reversal between prices increasing and subsidy coming down is a mechanism that has to be efficiently managed to ensure that the farmers are not put to pain, the food security challenges are not aggravated, and this will happen it's a matter of time. So, that is when you can say that everything is in good shape and at that point of time, we were seeing DAP prices is getting closer to about \$400 a metric tonne. We are coming somewhere there so now the question is that how this whole thing will get moderated is something time will only say but that's the kind of conceptual idea that you all can keep.

Rohan Gupta: That great sir. Sir if we look at back to history, almost three to four years back the fertilizer margin for the industry used to be roughly Rs. 2,500 to Rs. 3,500 per tonne. Definitely in last two years a lot of topsy-turvy things have happened in the sector with the pr

ices going up to

almost Rs. 60,000, Rs. 70,000 realization. So, sure it's coming down, do you see that once if the subsidy or the DAP prices normalizes to the previous year level maybe Rs. 35,000 realization at that level also the Rs. 5000 per tonne margin are going to sustain because if that is so, then around Rs. 5,000 per tonne margin on even Rs. 35,000 realization, we are talking about almost 14% to 15% in terms of margin percentage and maybe ROCE profile will be much higher above 30%. So, will the government allow companies in the longer-term sustainable margins of 30% or Rs. 5,000 per tonne?

Suresh Krishnan: I will just clarify this to you, three, four years back when the subsidy was about Rs. 10,000 as I said, we had reached a price of about Rs. 1,900 a bag. And even if you want to be a little conservative and say that it was about Rs. 1,600 a bag, it was about Rs. 32,000. Rs. 32,000 plus Rs. 10,000 the total realization was Rs. 42,000. What the government is very clearly signaling today is that they want the industry to get 12% margin on a PBT basis. This is the guidance that the government itself is giving. So, which means that, as things stabilize going forward, that kind of margin will be there if at 12% margin on a PBT basis is to be there, you will certainly get to Paradeep Phosphates Limited

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see a Rs. 5,000 EBITDA margin for sure. So, this is a guidance we have given our government in the press conference a few days back very clearly indicated, that we are looking at a 12% pre-tax return for the phosphoric industry under the NB O scheme.

Rohan Gupta: So, you are saying sir, even if we take a realization of Rs. 40,000, they are allowing the industry to make 12% i.e. Rs. 4,800 per tonne PBT margin?

Suresh Krishnan: Yes, that is what we believe we should finally be at that is what in a normal situation of marketplace as per the industry they believe that is a reasonable profit. The government is very clear that only if you are able to make beyond that they will consider this an unreasonable profit for them to tinker with the subsidy system. So, the industry has a lot of good numbers, which it can combine but it's a question of the global market stabilizing and if anyone is taking a long-term view, I'm sure you will get to see it pretty soon.

Rohan Gupta: So, sir if I add back to its interest in depreciation on a PBT margin or 12% it means that industry very well can make 16% to 17% margin or probably in per tonne at a Rs. 40,000 realization, we are talking about almost Rs. 6,000 per tonne plus margin sustaining that's what even government is allowing, is that understanding?

Suresh Krishnan: Absolutely, the government is very clearly saying that on the total price you should be able to make 12% return on a PBT basis. You're absolutely right. So, this could mean that your EBITDA margins could be Rs. 5,000, even could be better than that.

Rohan Gupta: Sir 12% return on 12% PBT margin, both are different?

Suresh Krishnan: 12% return on revenue and a PBT basis is what the government considers is reasonable.

Rohan Gupta: So, that means the 12% return on revenue that at least gives us almost 18% to 20% plus ROC and for the efficient player like Phosphate and all probably?

Suresh Krishnan: Yes, the potential is there for sure and that you will get to see when you get into a more normal situation, and this particular margin will not be earned from Government of India you will earn it from the marketplace, which means the subsidy per tonne has come down, the market price for DAP and the pricing hierarchy for various phosphatic fertilizer, non-urea fertilizer gets corrected, because government's intent is very clear the 2,010 NBS (Nutrient-Base d Subsidy) policy, which are supposed to encourage investment in the sector, growth in the sector, stands there but last two, three

years have been, you had a pandemic, you had a Ukraine war, you had a crisis in Europe in terms of various prices. So, it is very difficult to kind of moderate what it

is, but now we are coming to a point where a lot of it is behind us. And the prices are getting into some more normal levels. And I would think that if you look at a two-year scenario, again this year, next financial year you will start getting to see these numbers.

Rohan Gupta: That's fantastic sir and that will definitely change the profile of the Indian fertilizer industry completely and will also lead to significant re-rating that's fantastic.

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Suresh Krishnan: Because we are looking at investments Rohan, coming into the industry and industry will have to make this kind of money to be able to reinvest.

Rohan Gupta: Got it sir. Sir, second question is on our CAPEX and you mentioned roughly Rs. 280 crore to be spend in a phosphoric acid and sulphuric acid for the current year. I just want to understand a CAPEX plan over next two to three years likely in the medium term, which are the areas we are going to spend the money, can there be any inorganic growth or any sick unit acquisition potential is there, or you are going to invest in increasing capacities if you can give two to three years guideline?

Suresh Krishnan: Rohan it's like this, the day we are able to complete this current phase of growth, which is not only the completion of the project, and finally getting a market share of 30 lakh tonnes of fertilizer, we will be ready for the next phase of growth. So, I'm very clear that there is nothing further which is planned between FY23-24 and FY24-25 again will be a year and I've been consistently saying this, right through our phase of meeting investors during the IPO. So, we are actually following that pattern well, we have consolidated with capacity right now, we are going to consolidate this year with actual sales and the profitability coming to us when it comes to what will be our priorities. I personally believe that backward integration continues to be a strong priority for us. And we will continue to look at that, as far as the market place is concerned for some time, at least for a medium term. If there is an opportunity, we will certainly look at getting more volumes in terms of trade for value added products. That's one thing which is there and we have been open about expanding our portfolio beyond the bulk. So, that is where the opportunities will be seen.

Rohan Gupta: Sir just last question and I will come back in queue, what is the current phosphates prices we are contracting?

Suresh Krishnan: Last quarter was 1,050, this quarter is looking hovering between \$970 to \$980 per metric tonne.

Rohan Gupta: This quarter mean April to June?

Suresh Krishnan: April onwards.

Moderator: Thank you. The next question is from the line of Shikha Mehta from Equitree Capital. Please go ahead.

Shikha Mehta: I just have a few questions. So, could you help me understand how the reduction in raw material pricing and the reduction in subsidy will help our working capital, how our working capital will look like basically?

Suresh Krishnan: Any reduction in the raw material prices will certainly mean that the overall cost of production comes down, so to that extent our working capital comes on quite seriously. If you look at it today when you have a product which is closer to about Rs. 60,000 a metric tonne, and every Rs. 10,000 per metric tonne reduction that comes in directly adds to the reduction in working

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capital and we do about 2.6 million tonnes. So, when you look at a 2.6 million tonnes, 10,000 you are looking at a Rs. 2,600 crore reduction that could happen. So, the way to look at it is that every Rs. 1,000 reduction in the overall raw material

cost for us will add to 260 crores of reduction in working capital.

Shikha Mehta: Understood. And sir can you also help me understand the percentage of reduction in the subsidy versus the reduction in cost within line or if there is still some gap?

Suresh Krishnan: See Shikha, when I explaining in the previous question. The way to look at this is that, how does your margin, we may be at a margin level of say 5% or 6% on a PBT level, the PBT level margins could go up to 12%. So, one would expect that every time you have a reduction which comes up in the raw material, not that everything is mopped up equally to reduce your subsidy, some part is mopped up and some is left behind for us to get a better margin because government itself is guiding that we should go up to 10% to 12% profitability which the industry has not been there. So, that's the way to look at it and this could come even by a further price increase because let us be very clear that DAP prices are very attractive today. And nobody wants it to be at that particular level and globally if you look at it, farmers across the world are still paying

cash down at \$550 per DAP whereas in India we are still only paying about \$350. So, there is a good scope for us to kind of increase that also, be it in the coming months.

Shikha Mehta: Okay. So, currently there is still a gap right, that's correct way to look at it?

Suresh Krishnan: Yes.

Shikha Mehta: And so, we are almost midway through Q1 so, how is the demand looking?

Suresh Krishnan: The demand actually picks up, right now there is still a placement done where you do get primary phase and the actual demand for the season comes only by the end of the quarter. And we are expecting good monsoon, the good thing is as per the forecast and monsoon that we are, we are going to have 96% a s long-term average and the reservoir levels are looking good and the moisture levels are looking good. And the field study that we have done through our sales team, the farmers are looking optimistic as of now and given that there is good support coming from government in all ends. So, I personally believe that the optic is going to be strong.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Sir, what you just clarified about the monsoon, we see a very differing views on the monsoon.

So, just going a bit more granular which are the states do you see that there can be issue in terms of monsoon and which are the states which are expected to be relatively immune or safer. And secondly, what are the steps the Company has done, additional steps to in a way count, it may happen. Also, last question, do you also see any increase in working capital or trade margins or has it been seen under the trade tax advantage of difficult macro conditions to in a way.

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Suresh Krishnan: What I'm understanding that your concern is that, which are the states you believe could be safe, and which are the states which will not be safe. Let's be very clear that there are states where agriculture is done on based on irrigated water, there are states where agriculture is done based on the rain coming in time, that's the first point. So, when it comes to larger states like, when you look at Karnataka, Telangana, Andhra Pradesh, even good parts of Maharashtra, you have reservoir levels which are looking good, you technically whenever you see a strain in rains, there are regions like Marathwada, sorry Marathwada would do okay, but when it comes to the Vidarbha region of Maharashtra, you sometimes get to see a stress. And I personally believe at this point of time, given what kind of reservoir levels are there, I think farmers are looking to be quite optimistic that is the first point and we are present in +15 states, we have a p

an India

presence. So, we have an ability to reach out to certain other states where the water condition would be far better, so on overall basis we're looking okay and the crop prices have been good, as an MSP in most of these states. And this will also give a lot of support to the farmers in terms of what they need to do, so this is a good year and they are at some interesting situations when it comes to cash crops. And most of the states where the cash crops are there were irrigated, they will go ahead and look at consuming fertilizer. And over the years, we've also noticed that the monsoon gets delayed, but it also gets spread over the year. And we finally end up getting a good amount of rainfall in the country. So, it is important to realize that sometimes the season does get extended, it may be that what we look at between June, July, August could well get into end of August or early September. But that kind of an adjustment is something that we have seen that farmers are adapting themselves quite well.

Moderator: Thank you. The next question is from the line of Tanmay from Mirae Asset. Please go ahead.

Tanmay: Sir, just one question on the EBITDA that we have reported. If I add back the one-of provision we have reported almost Rs. 140 crores with EBITDA in Q4, so the difference on Q-o-Q basis would it be fair to assume that the entire thing relates to the provision that we might have made for the subsidy?

Suresh Krishnan: Yes, there's a large amount of impact which is basically coming from the fact that there have been provisions which have been made.

Tanmay: So, sir roughly Rs. 200 odd crores would be the provision if I calculated that way. And based on I'm not sure of the blended amount of reduction on the subsidies that has happened, but as you indicated that around Rs. 8,000 has been cut on DAP, if I just calculate that around 3 lakh tonnes of inventory in the channel on which we would have taken a provision. So, is that correct sort of working that?

Suresh Krishnan: Yes, the channel was about 2.5 lakh you are right, we have done that yes.

Tanmay: So, that is a normalized level of inventory that we maintain or?

Suresh Krishnan: Tanmay, the normalized level for Paradeep Phosphates will get established as we go forward because we have stepped up from a 15 lakh player to a 30 lakh player. So, when it comes to that,

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we will look at an off-season, where about two, two and a half months of material will be there with us. So, the question that really comes up is what kind of material, what product mix and all that, but during the coming year, the next four quarters you will get to see that we will be establishing for ourselves a new levels of inventory that we will have to carry given our capacities having gone up. But at the same time, I am happy to report that we have done all our primary sales of what we produced, and which has been a good thing for us.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama. Please go ahead.

Rohan Gupta: Sir, there is a lot of buzz about the Nano DAP and all, you also mentioned that you may have planned in non-bulk fertilizer. Just want to understand do we have any thought process on this Nano urea or Nano DSC or what non-bulk fertilizer you are referring to?

Suresh Krishnan: Rohan as far as Nano is concerned, please keep an eye on our website. I'm sure you will see some announcements soon.

Rohan Gupta: Apart from Nano DAP, do you see that there are opportunities in other non-fertilizer businesses for us to grow investment?

Suresh Krishnan: We believe that both Nano DAP, Nano urea and a few other products which are non-subsidized are likely to be offered by us going forward.

Rohan Gupta: Sir, if you can just give some more light on Nano, it's a slightly new product and we have unders

stood from the market that there is a high acceptance from the farmer, but different markets, different feedback, where do you see that this market will be growing and what can be the opportunity we understand it cannot completely replace the chemical fertilizer but cannot be used as a substitute, but also will be used along with the chemical fertilizers. So, not only for the Company perspective, but for the country level, where do you see that the market size can be created 4%, 5% of the chemical fertilizer right now, if you can share some number on there?

Suresh Krishnan: Well Rohan when it comes to Nano fertilizer, the product that we are looking at is slightly different from the products which have come up in the market so far. So, as and when we are ready to launch and we will certainly share all the details and all that I would like to say is that our field work has been completed and our reviews by the government is also complete. So, we are expecting that we will be in a position to come out with it in the near future. Normally the Government takes a few months to clear these kinds of proposals. But the basic thing that we as a Company are focused, we believe very seriously that soil is something which is very important the central to our entire strategy. Soil in a way we even believe that soil is our customer. And whenever it comes to soil, the basic thing that we need to look at is nutrient use efficiency. That is where the entire focus should be and some of these products are organic, or Nano all this goes a long way to kind of support a nutrient use efficiency when it comes to the soil itself. And the important, so that's the way we would like to look at it, when it comes to replacement. I can give you only a global average, specialties consisting of about 10% of the bulk. So, if you put all these categories to specialty, then you could well imagine that the specialty categories would

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kind of replace 10% of the bulk, so if you want to look at urea as a product, urea used to be at about a 38 to 40 million tonne of sales in India on the whole. So, there's the potential of Nano could be 4, 5 million tonne. And the way the government has been also looking at this is that if you have a manufacturing capacity of 30 million and you're importing about 8 million tonnes of urea, it is good to reduce the imported component by shifting that into Nano. So, Nano's potential in India, if you want to define it is 8 million tonne potential of replacements of a traditional product.

Moderator: Thank you. The next question is from the line of Aditya Sen from RoboCapital. Please go ahead.

Aditya Sen: Sir this is just a confirmation, the 12% margin that we were earlier talking about, which the government has suggested is this only specific to phosphoric acid or for DAP and SSP also?

Suresh Krishnan: This is not for SSP for sure, this is basically looking at all non-urea grade NPK.

Aditya Sen: Any idea on SSP?

Suresh Krishnan: Not really, SSP also kind of it's in evolving situation, I believe I wouldn't want to comment on it because I don't have a capacity on that, to really comment on that.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you sir.

Suresh Krishnan: Thank you, everyone for participating in the earnings conference call. I'm sure we tried to answer all your questions and if you have any further queries, please contact our Investor Relations Team and we will be happy to address the same. I would only like to summarize our position looking forward and as I had mentioned in the call, we are very optimistic about the way things are shaping up in future, primarily given the fact that the fertilizer raw material prices

have been correcting. And we also believe t

hat our incremental volume that we have in hand,
once they can convert into a market share, we as Paradeep will be a very interesting Company
from the perspective of all stakeholders. We look forward to continuing to be engaged with you
all. Thank you.

Call: Aug 2023

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"Paradeep Phosphates Limited Q1 FY24 Earnings
Conference Call"

August 4 , 2023

MANAGEMENT : MR. SURESH KRISHNAN – MANAGING DIRECTOR
MR. ALOK SAXENA – GENERAL MANAGER & HEAD
(CORPORATE FINANCE)
MR. SUSNATO LAHIRI – DGM (STRATEGY , INVESTOR
RELATIONS & ESG)
MODERATOR : MR. NILESH PATIL – ICICI SECURITIES .

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Moderator: Ladies and gentlemen, good day and welcome to Paradeep Phosphates Limited Q1 FY24 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nilesh Patil from ICICI Securities. Thank you and over to you sir.

Nilesh Patil: Thanks Neerav . On behalf of ICICI Securities, we welcome you all to Q1 FY24 Results Conference Call of Paradeep Phosphates Limited.

We have with us Mr. Suresh Krishnan – Managing Director; Mr. Alok Saxena – General Manager and Head (Corporate Finance); and Mr. Susnato Lahiri – DGM (Strategy, IR and ESG). Now, I hand over the call to the Management Team for their initial comments on quarterly performance and then we will open the floor for a question -and-answer session. Thanks, and over to you sir.

Suresh Krishnan: Thank you. Good afternoon everyone. Thank you for joining us for the Q1 FY24 Results Conference Call.

We have already circulated our "Earnings Presentation " and I hope you've had the chance to go through the presentation. We will begin this call with a brief discussion on "Performance and Financial Results " for the Q1 FY24 and we would be happy to take any questions afterward.

Q1 FY24 had a few challenges for the fertilizer industry. The uneven rainfall had delayed sowing in different parts of the country. Moreover, the industry had seen a demand -supply imbalance with a higher channel inventory coupled with falling raw material prices. Notwithstanding our Company 's production volumes grew 126% year -on-year and our sales volume grew 81% year -on-year on the back of robust operational performance and a sharp increase in our farmer and channel connect.

During the quarter, the Company had delivered a quarterly income of Rs. 30,735 million registering a year -on-year growth of 25.7%. The EBITDA for the quarter stood at Rs. (-194) million and the profit after tax for the quarter was INR (-1,199) million.

The profitability and margins during the quarter were impacted by the retrospective subsidy adjustment and partly by a carry forward of high-cost raw material. The net one-time adjustment

taken in is Rs. 305 crores, sans the adjustment, the EBITDA would be Rs. 285 crores. Total fertilizer production during the quarter was 6,40,784 metric ton registering a strong year-on-year growth. Paradeep Phosphates Limited
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growth of 126%. The volume growth was driven by higher capacity utilization and operational efficiencies resulting from strong backward integration and capacity expansion. Both our Goa and Paradeep sites are now operating at their optimal capacity.

The Goa site operated at close to full utilization levels in Q1 and produced 2,87,764 metric ton of finished fertilizer including unique grades like N-19 and N-24 in addition to our core products. Paradeep site has produced 3,53,020 tonnes of finished fertilizers showing an increase of 32% compared to the same quarter in the previous year. Total sales volume during the quarter was 6,21,824 metric ton registering an 81% year-on-year growth. The sales volume growth was driven on the back of our strong distribution capabilities. During the quarter, we greatly improved our farmer and distribution connections, reaching 61.5% more farmers in Q1 FY24 vis-a-vis Q1 of last year. We will continue to leverage our brand equity and build more meaningful relationships with our farmers and channel partners in the near future. We also confirm that the stated expansion of our captive Phosphoric acid capacity to 5,00,000 metric ton at Paradeep plant is now complete and is under commissioning in the month of August. We expect this backward integration will aid to our bottom line in the quarters to come. The industry outlook appears positive brought by the recent revival of the monsoon, robust reservoir levels, favorable crop prices compared to minimum support prices and the stabilization of global commodity prices. These factors together indicate a positive growth opportunity for our sector. As we move ahead into FY24, we remain cautiously optimistic about the macroeconomic challenges and we'll continue to adopt proactive measures to ensure sustainable and stable growth. With a capacity that is now fully stable and fungible, additional backward integration going live in August and improving farmer reach and several other strong advantages across the value chain, we remain focused on maximizing the value to all our stakeholders. Thank you very much and now I would like to open the floor for a Q&A. Over to you.

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Moderator: Thank you very much. We'll now begin the question-and-answer session. The first question is from the line of Deepak Gupta from RM Shares. Please go ahead.

Deepak Gupta: Is there any other one-time adjustments going forward?

Suresh Krishnan: Well, Deepak as far as all the government circulars which are there, we have clearly provided for everything, we do not have any one-time adjustments to be done.

Deepak Gupta: Okay, because last time also, last quarter also we had an adjustment towards the Goa plant. This time it is towards the inventory.

Suresh Krishnan: Deepak, just to clarify for the benefit of everyone here. As far as last time is concerned, the Goa plant-related adjustments have been clearly documented by us and communicated to all the shareholders. As far as the year-end adjustments were concerned, they were only to do with the stock adjustments for which the NBS rates were awaited and we had made a management estimate which we believe was quite adequate. The only adjustment which has happened this quarter is towards the inventory. Paradeep Phosphates Limited
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time more than the stock is the retrospective fertilizer subsidy, which has been withdrawn by the government or recouped by the government for the period January 1st to 31st of March. That's the only major adjustment that we have done during this quarter. This is pertaining to fertilizer which we had manufactured and sold to the farmers.

Deepak Gupta: Okay fine, but going forward all adjustments are done. Can I take it on that sense?

Suresh Krishnan: Yes. All the circulars which the government has issued for NBS in the last quarter have been fully accounted for.

Moderator: Thank you. Next question is from the line of S Ramesh from Nirmal Bang. Please go ahead.

Ramesh: Good evening and thank you very much. So, just to understand this retrospective subsidy adjustment, in the fourth quarter, you mentioned that you had taken some steps to adjust for the reduction in the January-March quarter anticipating that in April. So, what was the difference you have to adjust this quarter if you can share it with us?

Suresh Krishnan: Ramesh, this is like this that whenever we have a quarter that ends and we have a stock which is there at the end of the period, the NBS rates are applicable to those stocks as on what is published by the Government of India. And the POS stocks are normally paid by the Government of India based on the time in which it is sold. So, we had anticipated in terms of what POS stock reduction will take place during the fourth quarter, which we had fully provided for. However, the government had come out with two circulars during the last quarter. One was for the POS stock adjustment of 31st of March, which pertains to material sold to the channel but not sold to

the farmer, which was fully provided for. They also did o

ne more adjustment of material which

was sold not only to the channel but further by the channel to the farmer for which they had paid us the money which they recovered. That is the adjustment which has largely been done this quarter.

Ramesh: Can you quantify that amount?

Suresh Krishnan: Which is a very unusual situation for us to face and the total adjustment that we've done was about R s. 305 crores, the majority of which has gone towards this adjustment.

Ramesh: Okay, and what would be the loss on inventory carried over from last quarter?

Suresh Krishnan: In terms of loss of inventory that we're looking at for the higher -cost of finished goods or raw materials that we are carrying in the number is around R s. 70 crores.

Ramesh: So, going forward, based on your increase in granulation capacity for backward integration, Phosphoric acid and sulfuric acid, assuming that you're able to maintain the growth, what is the incremental benefit you will get in terms of the cost savings and how do you see the EBITDA per ton moving say for this quarter and the rest of the year?

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Suresh Krishnan: Well, Ramesh, I mean, I'm sure this is for the benefit of all the other participants also here. We have always over the last number of quarters that we've been having the discussion, we have guided the market to say that the ideal EBITDA for the kind of combination that we have is about R s. 5,000 per metric ton. This is the number that we have always guided and I believe that whatever happened in the sector today this is the number that we still hold on to and the improvements to this number basically come from our backward integration, which could ideally take this number anywhere from an Rs. 5,000 number to up to an Rs. 6,000 number. So, this is the range in which we would finally move.

Ramesh: Okay. So, then the only thought there is now with the international prices of Phosphoric acid having corrected about 5 0% in terms of your make or buy the captive Phos acid will still give you that same benefit or is it just going to be the security of supplies?

Suresh Krishnan: The Phosphoric acid that we'll make will certainly give us a benefit in terms of the value addition that we'll end up doing here and you must understand one thing that Phosphoric acid for India is something which is fixed on a quarterly basis. So, we have seen a decline in Phosphoric acid prices from \$1,070 per metric ton to a level which was close to \$970 per metric ton during the last quarter and this quarter also there is a further reduction which is expected, but as the Phosphoric acid prices go down, you also get a correction to other raw materials and hence your value addition that you get to see in the making of Phosphoric acid in India continues to be strong.

Ramesh: Okay. So, then last two thoughts. One is in terms of your debt as at the end of the quarter, what would be that level be and how do you see the ROCE moving from now based on the backward integration and the volume growth and the kind of EBITDA per ton you are talking about?

Suresh Krishnan: Well, when you look at debt, we look at debt from three perspectives. The first perspective of debt for us is the long -term debt that we have taken for various projects that we have executed over the last 18 months now. This number is something that I have always guided that the number of maximum going to be R s. 1,000 crores and if you look at it today, this number is just a shade less than Rs. 1,000 crores as we have pretty much completed all our projects. The precise number is Rs. 968 crores. On top of it, we get into what is called the working capital term loan that we take for the mismatch in terms of receivables and inventories that we carry. This number at the end of June 30, 2023, is Rs. 1,674 crores, and this is our number which has been fluctuating

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anything between R s. 1,000 crore number to up to about R s. 2,000 crore number. As we speak today, there has been further improvement in this number because of goods sales and collections which have happened subsequent to the quarter. We have been quite a marked reduction in this number as you see, and the third number is primarily what we call buyer's credit, which is there for us to finance the raw material procurement that we do. This number is at R s. 2,743 crores for us. This is primarily because our volumes have increased now and the volumes having been increased obviously we are procuring a lot more in terms of raw material that we need to keep.

In my view, this number is something which is going to also get moderated because the raw material prices are coming down. To that extent, even though the volume goes up, you'll get

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partially offset by the fact that the prices are coming down. So, a mix of all these three, which is really adding up to around R s. 5,000 crores is the number that we get to see. However, during

the quarter, our overall cash flow has increased from Rs. 43 crores that we had earlier, we are into INR 234 crores of cash that we have in the system.

Ramesh : So, what about the prospects for ROCE?

Suresh Krishnan: Well, if you look at it, we have been a strong Company when it comes to a ROCE and an ROE. We've always been trying to hit a ROCE, which is well above the 15% and 15 to 20% is a range in which we have been swinging as per the ROCE is concerned and we would be expecting to continue to be in similar levels and if you look at the last year ROCE, it was 20.9% and that's the kind of a number that we are working towards.

Moderator: Thank you. Next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So, few data points sir. In terms of subsidy receivable, what is an outstanding number as of quarter end?

Suresh Krishnan : Okay. Subsidy receivable is Rs. 3,203 crores.

Resham Jain: Okay, understood, and sir, just on the CAPEX side, you mentioned the Phosphoric acid plant is almost commissioned. So, now the only plants which is left is sulfuric acid plant and maybe some efficiency improvement projects in Goa. So, let's say in the next two years now, what will be the remaining CAPEX which is left?

Suresh Krishnan: The Goa CAPEX is to the tune of Rs. 82 crores, which will get capitalized by the end of the year, and as far as the sulfuric acid plant is concerned, we have a payment of over Rs. 325 crores to be spent on this project over the next two years. So, these are the main projects that we are looking at here. So, if you look at the outstanding amount for the larger CAPEX that we're looking at, we are looking more like Rs. 370 crores of outstanding projects for various CAPEX that we're looking at besides the regular maintenance CAPEX that we will have.

Resham Jain: Okay. So, sir, now given that the Phosphoric acid plant benefit will also start flowing through and the inventory is also coming down in terms of the inventory prices because of that and subsidy receivable also government is clearing quite a bit compared to what we have seen last year.

Suresh Krishnan : Yes.

Resham Jain: So, in terms of the debt situation, how do you see overall debt and interest cost moving in the remaining nine months?

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Suresh Krishnan: If you look at it today, our overall position is at Rs. 5,385 crores, that is the current position of working capital debt, the long-term borrowings all put together. I believe that this number should be coming down and if you're looking at guidance on this, the long-term borrowing that we have at Rs. 968 crores at the end of the year should ideally be around a similar number. It will not be too much higher than

this, whereas we will see a good recovery in the working capital by about Rs. 700 crores to Rs. 800 crores. So, we are expecting that end of the year if the payment cycle from the government continues the way it is today and the markets are looking quite strong, we should come down to about Rs. 4,500 crores as overall borrowings.

Resham Jain: Okay, understood and you mentioned about Phosphoric acid benefit and Goa benefit also next year. So, this Rs. 5,500 should probably then to Rs. 5,500 – 5,700?

Suresh Krishnan: I personally think that since we will be repaying long-term loans, we believe that the long-term loan of current Rs. 968 crores is not likely to really go up.

Resham Jain: No sir. I was trying to understand on the EBITDA per ton, that number Rs. 5000 which you have mentioned that can go to maybe Rs. 5,700 – 5,800 once

Suresh Krishnan: Yes, that's what I said. Yes, what I had guided all so this while is there a Rs. 5,000 is a good number for the mix that we have and the mix could now be moving between Rs. 5,000 crores and Rs. 6,000 crores as we stabilize all these operations here.

Resham Jain: Okay The last one sir, given that if I just do this calculations, what will be the next course of action from the capital perspective? Will you keep reducing debt for the next two years consolidate the balance sheet or you go for further expansion in CAPEX at the Paradeep site?

Suresh Krishnan: Well, look at it this way. I think the ideal situation for us is to get to a situation where our debt equity is less than one-to-one and currently, the capital in the book is about Rs. 3,400 crores. We would want to get to see that the capital also goes up and the debt gets moderated accordingly and we come down to that level. Technically, I think in the next couple of years we will have to really get down to a stable steady state running and steady state EBITDA that we could get to see, which will be commensurate with the industry norms. So, that is what our objective will be. So, as I always said FY23-FY24, this financial is where we're going to get our volumes right and the market positioning for the same volumes right and FY24-FY25 should be a stable year for us to operate with urea efficiencies and everything being completed. That's when the next phase of growth that we would want to see is something which can be discussed here.

Moderator: Thank you. Next follow up question is from the line of Deepak Gupta from RM Shares. Please

go ahead.

Deepak Gupta: Sir, you were telling that some subsidy have been recovered by the government, am I right?

Suresh Krishnan : Yes.

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Deepak Gupta: Okay. How is the pricing power of this Phos phoric chemicals?

Suresh Krishnan : Can you repeat your question?

Deepak Gupta: The pricing power as this debt, this recovery by the government, are they able to pass it on to the this in future you are able to p ass it on to the farmers or whatever is it?

Suresh Krishnan: No, the current levels of Phos phoric acid price that we have, the raw material prices that we have, we are in a position to pass this on to the farmer because there are two elements to the reven ue stream that we have. One is the MRP, the other is the government subsidy. So, if you look at the combination of these two, we are at a situation where the total cost is being fully recovered.

Moderator: Thank you. Next question is from the line of Hars ha from HSBC Mutual Fund. Please go ahead.

Harsha: Yes, thank you. So, the first question is there was a recent news article of Zuari selling Mangalore Chemicals stake to you. S o, can you just help us understand what could be the logic for that stake con sidering your current capital position, your capital deployment strategy, an d even your current debt level?

Suresh Krishnan: Harsha, let me confirm to you. As management , we are curren

tly fully focused on our current

operations and completing our projects and taking things forward. We have not as management evaluat ed any other opportunity.

Harsha: Great sir, that is actually reassuring. So, the second question is, I'm a little bit new to the Company , so pardon my limited knowledge. Is a JV between Zuari and OCP over the years and Zuari as a standalone entity also in Goa was operating since many years. So, Zuari also had a tie-up with raw material sourcing from OCP , or was it only Paradeep?

Suresh Krishnan: Paradeep always had long -term arrangement with OCP as far as rock Phos phate was concerned and to the extent that they required Phos phoric acid. Zuari Agro Chemicals independently had an agreement for buying Phos phoric acid from OCP, independently. These ar e two independent contracts that w ere there. One more thing Harsha, those contracts to Zuari Agro Chemicals with OCP had already lapsed in the year 2018.

Harsha: Understood. So, what I was trying to understand is Zuari over the years, why did Zuari had exactly the same business running out of two different names. One was Zuari Agro in Goa and one is a Paradeep based out of Odisha, that actually I wanted to understand that.

Suresh Krishnan: Harsha, just to clarify this position, Zuari Agro Chemicals has be en an existing Company since 1971, which is also the promoter of various other fertilizer entities. When it came to Paradeep Phosphate, Paradeep Phosphate was an acquisition at the time when the government divested its stake in the year 2001 – 2002. So, it was an acquisition which was done during the government

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stake. However, with the acquisition, the government had a residual stake in the Company , which was initially about 26 % but came down to about 19.5%. So, as long as there was a government stake in th at Company and till the government made an exit and there was no question of our ability to consolidate these assets.

Harsha: Okay but was it safe to assume in terms of day -to-day running and taking the key decisions, it was Zuari who was taking the decis ions for Paradeep as well?

Suresh Krishnan: No. They both were independent companies. Paradeep was a 50 -50 JV, which was there along with the government investment and Zuari was an independently listed entity. There was no common management loop there.

Moderator: Thank you. Participants you may press star and one to ask a question. Next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Yes. Thanks for the opportunity. Sir on the rock cost side , for us how much has the blended rock cost fallen on a quarter -on-quarter basis?

Suresh Krishnan: Well, if you look at the rock cost the way they have been moving, I think it's been quite a significant from earlier days of \$370, it's already come down to about \$223, the best quality rock. So, when you look at September 22 to June 23, there has been a significant reduction.

Prashant Biyani : \$370 price was prevailing in September 22.

Suresh Krishnan : In September in that quarter, yes.

Prashant Biyani: But s ir, just on a Q -on-Q basis between Q4 and Q1 how much will that be?

Suresh Krishnan: If you look at it from a recent thing, we will always get a rock correction directly proportioned to the acid price correction that you have. So, the \$1070 acid correctio n, which was there and

from there if you look at it, \$1050 has gone down to \$970 in terms of the acid pricing. So, if you look at it a similar proportional reduction would happen in the rock Phosphate contracts also.

Prashant Biyani: Okay . Sir, when we are ordering material, in how many days does it reaches us and that is accounted for at the cost prevailing at the time of ordering or at the time of receiving?

Suresh Krishnan: Any purchase that we do internationally the pricing is based on the date of shipment, the bill of lading date. So, whenever the bill of lading date is made that is the date on which the pricing is finalized and typically from Western Africa, it would take about 35 to 40 days for cargo to reach the Indian port.

Prashant Biyani : Bill of lading date would be meaning the date of -.

Suresh Krishnan: The date in which the ship leaves from there. The loading happens and it leaves from there, yes.

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Prashant Biyani: Okay , and sir, how many days of raw material inventory do we generally keep?

Suresh Krishnan: We'll typically look at it for us when it comes to rock. I mean, we are a very large consumer of rock. We need about 100,000 tons of rock every month, so we normally keep about 30 days to 40 days is our ideal situation to have a rock inventory with us. Rock and ammonia both we keep to about 40 days there.

Prashant Biyani: Okay. last two questions. How many days of subsidy have we received in this quarter? What is the amount of subsidy that we have received?

Suresh Krishnan: If you ask me today, based on the actual spaces which have happened, we had substantial recovery of subsidy which has taken place during the month of up to the month of July and up to the third week of July government has already paid based on Phosphates.

Prashant Biyani : In Q1, how much is the amount that we have received?

Suresh Krishnan: Q1, the receipt of subsidy for us totally was , I'll just give you the number. It was quite substantial for all these periods. Give me a minute. I'm just giving you the number.

Prashant Biyani : Yes.

Suresh Krishnan : Over Rs. 1,543 crores is what we got here during Q1.

Prashant Biyani: Sir, once we place the material with the dealer, are we eligible to claim subsidy or we can claim subsidy only when the -.

Suresh Krishnan: We are eligible to get a subsidy only when the retailer sells it to the farmer and the quantity is properly endorsed through the point of sale machine.

Prashant Biyani: So, we are eligible to get subsidy that is fine. I understand that but even claiming part also we can do only after we do the -.

Suresh Krishnan: Absolutely. We will get the subsidy based on POS sales only. That's how the system works.

Prashant Biyani: Okay. Lastly sir, have we been able to establish as to how much the average stock we need to keep in the channel at any point of time?

Suresh Krishnan: Well, if you look at the Indian market we are roughly about six to seven consuming months and we have 12 months of production that really takes place here. For us, to effectively manage the entire thing up to about two months of channel inventory, something that we need to keep, that's the kind of optimal level that you will have and typically, when you look at year end it's also an off-season. Given that it's an off-season, you actually go down to two months of inventory, which is there in the channel unless and until you don't produce during the last quarter.

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Moderator: Thank you. Next question is from the line of Darshita from Antique Stock Broking. Please go ahead.

Darshita: Thank you for the opportunity. My first question is regarding the Goa urea efficiency that you mentioned. I think this year we're spending around 80 odd crores. What about the next two years? Do we have any plans of further improving the energy efficiency over debt? What is the current efficiency and what do we plan on bringing it down to? If you could provide some light on that.

Suresh Krishnan: No, the equation is very straightforward here. As per the government norm, we are supposed to achieve 6.5 Gcal ton of per metric ton of urea and our current operating norm is close to about 6.65 for which we are getting compensated by the government. And we expect that by the time we complete our CAPEX program in the month of December, we will come down to a level which will be about 6.4 or below that. That is the efficiency that we will get. As far as any further improvement in efficiencies are concerned, it will be important for me to give clarity here. See March 2025 is the year in which the government is likely to revise the norms of energy efficiency that is applicable for the entire urea industry, which will be applicable from the 1st of April 2025. So, till such time we don't have clarity on that. There is no real further CAPEX which is being

planned as of now but I can tell you that we have an ability to improve our efficiency to levels which are far superior. We could even come down to about 5.7 Gcal with investments being made but else investments will be subject to clarity on future government policy.

Darshita: Okay, that was helpful. Second was on the channel inventory build. What we understand is currently the imported material, the end product that is DAP so to say is very high in the channel. So, does DAP anyhow impact the volume of take for the second quarter despite the season being good?

Suresh Krishnan: Well, I mean you will get the volumes that normally the market consumes and we believe that at the kind of expansion that we're looking at in terms of our overall growth, I think we are in line to kind of achieve that and the higher channel inventory will have an impact but we are a Pan India player, so we will ensure that we are in a position to place our material in the right markets here.

Darshita: Alright, and just lastly on the MRP for the end product going forward, how do we see the trend moving on? Currently, I suppose DAP is priced at Rs. 27,000 per ton. How do we see that moving forward considering the PA prices have come down even further after the subsidy cut that the government took off? So, some light on that and some idea if you could prove us with.

Suresh Krishnan: No, I think this is again for the benefit of all the listeners out here. The best situation that one could get to see here is that the MRP and the fertilizer subsidy put together. As long as the fertilizer subsidy is at the level of about 30% of the total sales, that's an ideal situation for the industry to operate on. At this point of time, we have a situation where the mix of MRP and the subsidy roughly about 55% is coming as subsidy and balance 45% is coming as MRP. So, our
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take on this is that there will be a correction in terms of subsidy which will take place over the period of time and based on the global markets for the prices in the global markets. Today, all prices are going up, so suddenly that we are seeing this reversal in terms of finished goods prices in the global market and we'll have to wait and watch to see whether this trend is going to sustain and this will be in a similar format or not. We are seeing a recovery in various markets. So, I don't believe that there will be a change to the MRP of any of the end product at this point of time. If at all any there will be moderation that will take place in the subsidy scheme of the government.

Darshita: Okay. Thank you so much. Just one last question on the raw material price movement going forward, what we understand is, the prices for a few raw materials have started to revise back say for ammonia. So, they have started to increase on a week-on-week basis. So, how do we see the trend going forward in the second half of the year specifically?

Suresh Krishnan: No. You're right that ammonia had come down to some interesting levels of \$300 per metric ton. We are suddenly seeing which is where the spot market is anywhere between \$380 to \$405 today. This is a new trend and this we are seeing on both sides in the East and Western side of the world and also there is a shortage of ammonia today. It's not just

the prices alone, there is a supply constraint also being seen but however, we have long-term contracts with end players, which are based on and effectively some good formulas and I believe that we would get a good attractive price as well as the ammonia is concerned. When it comes to acid, it's an Indian price which is pretty reasonably common to all the Indian players. So, this stands at \$970 for the last quarter and the expectation for this quarter is about \$850 per metric ton.

Darshita: Right. I was actually trying to largely understand from the subsidy as the NBS rates going forward given that -.

Suresh Krishnan: No Ma'am just please understand. NBS rates do not work on individual raw material prices. NBS rates are computed based on finished goods prices and the rest of it is derived out there. So, the global prices of DAP, the global price of urea is what will determine what is the price for NNP and similarly the global price of MOP will determine what is the price for per K. So, it is basically from the finished goods is all derived.

Moderator: Thank you. Next question is from the line of Deepak Gupta from RM Shares. Please go ahead.

Deepak Gupta: Sir, I just wanted to get clarity sir. The Goa plant and the Paradeep plant both are in full production if I'm right for this quarter.

Suresh Krishnan: Yes.

Deepak Gupta: Yes. So, I can safely for my calculations on this one on the total tonnage I can take approximately 5,500 of EBITDA?

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Suresh Krishnan: Well, as said I was guiding that saying that this could be a range of 5,000 to 6,000 and depending upon where the raw materials finally end up today. So, that's a number that's the pick that we'll

have to make there.

Deepak Gupta: Okay, because for my calculation, so I'm just taking the full tonnage for this quarter. We are taking around approximately the lower end being the 5,000 and without any other exceptional items coming in, so I can forecast the revenue. There is revenue and also the net profitability, that's the reason I was asking this for the larger benefit.

Suresh Krishnan: Okay. No, that's what I said. I think the guiding principle that you're following is that we should have a minimum of 5,000 as per as this quarter is concerned. And depending upon the prices over the next two months, you will get to know the final numbers and there are some spikes which are taking place but I'm sure that the numbers should not be very different from where we are today.

Moderator: Thank you. Next question is from the line of Akhilesh M, Individual Investor. Please go ahead.

Akhilesh: So, thank you for the opportunity. I just wanted to ask a few things. So, there was recent news that in Mormugao Port, which is the Goa port, there was direct selling of fertilizers. Any reason for that? Was it due to distribution issues or anything?

Suresh Krishnan: No. I think we felt that Goa port is where we import MOP and ammonia and we thought that it's a good location for us to start selling quantities somewhere directly for the local markets and there are micro markets, which I would define. So, this is an initiative which we took to enhance our reach to various micro markets here.

Akhilesh: So, is it helping?

Suresh Krishnan: This has been positive, yes.

Akhilesh: Okay. The next thing that I wanted to ask is there was also another thing where there was an MoU signed with Goa government with respect to green hydrogen and also with BITS, Goa. So, can you shed some light on that?

Suresh Krishnan: No. This was not something I think Goa government as per our understanding is trying to do a project of green hydrogen and green ammonia as a pilot project for that and that's the only news that we have. It has nothing to do with us right now, yes.

Akhilesh: Okay and another thing is, as we see the advent of nano D

AP, so in nano DAP, the price setting

is on an individual capacity and it is not government guided as of now. So, there is a high chance of profitability in that. So, is Paradeep extending it to nano DAP? Is there any plans in place because in the last presentation as well, you told us that we would see those details in the site but still there has been no such news. So, if you can shed some light on nano DAP and other?

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Suresh Krishnan: We are expecting that in the second half of this year we will have a nano urea and nano DAP in our portfolio.

Akhilesh: Okay. Another thing, which is to clarify as before, Paradeep as a Company has no interest or in the Mangalore Fertilizer stake sale that is happening, right, that is not in scope?

Suresh Krishnan: As I said the management is currently focused on the current operations of the Company. We're not looking at any other opportunity at this point of time.

Moderator: Thank you. Next question is from the line of Tanmay from Mirae Asset. Please go ahead.

Tanmay: Sir, just one bookkeeping question. If I look at the purchase of Stock in Trade line item, which has gone up substantially if I look at the past quarters also. So, if you could just help understand what is that pertaining to? And on the changes of inventories of finished goods and Stock in Trade that is also one. So, does that pertain to the above line item right or how will?

Suresh Krishnan: Basically, changes of inventories of finished goods and Stock in Trade is in line with the business model that we have. We have also sold our inventories during the quarter. So, it's primarily reflecting on that and purchase of Stock in Trade is also the additional material that we have bought during this quarter here.

Tanmay: I mean, what I'm trying to understand is, are you doing more towards trading or sort of -?

Suresh Krishnan: We're not into trading. Let me be very clear. We've been buying largely finished goods and we bought some quantities of DAP for trade. So, this includes about 42,648 metric tons of trading here. DAP plus MOP is the combination.

Tanmay: Okay. Got it. Thanks.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to the management for closing comments.

Suresh Krishnan: Thank you everyone for participating in the Earnings Conference Call. We have tried to address all your questions. Should you have any further queries, please connect with our Investor Relations team and we will be happy to address the same. Thank you.

Moderator: Thank you very much. On behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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"Paradeep Phosphates Limited Q2 FY24 Results
Conference Call"

November 02, 2023

MANAGEMENT : M R. SURESH KRISHNAN – MANAGING DIRECTOR ,
PARADEEP PHOSPHATES LIMITED
MR. ALOK SAXENA – GENERAL MANAGER AND HEAD,
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MR. BIJOY KUMAR BISWAL – CHIEF FINANCIAL
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MR. SUSNATO LAHIRI – DGM, STRATEGY , IR AND
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Moderator: Ladies and gentlemen, good day and welcome to Paradeep Phosphates Q2 FY24 Results Conference Call hosted by ICICI Securities Ltd.

As a reminder, all the participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nilesh Patil from ICICI Securities. Thank you and over to you, sir.

Nilesh Patil: Thanks, Sagar. On behalf of ICICI Securities, we welcome you all to the Q2 FY24 Results Conference Call of Paradeep Phosphates Limited.

We have with us, Mr. Suresh Krishnan - Managing Director; Mr. Alok Saxena – General Manager and Head - Corporate Finance; Mr. Bijay Biswal - Chief Financial Officer and Mr. Susnato Lahiri – DGM - Strategy IR and ESG.

Now, I hand over the call to the Management Team for their initial comments on quarterly performance and then we will open the floor for a question and answer session.

Thanks, and over to you, sir.

Suresh Krishnan: Thank you and good afternoon, everyone. Welcome to our Q2 and H1 FY2024 Results Conference Call.

I would like to thank you all for joining us here today. I hope you and your families are staying safe and healthy. We have uploaded the press release and earnings presentation on the website and the Stock Exchanges, and I hope you have had the chance to see it. To start with, we will give you an overview of the business trend and financial performance for Q2 and H1 FY2024 and we would be happy to take questions afterwards.

Let me begin by acknowledging the dynamic economic environment in which we find ourselves in the beginning of FY2024. The last quarter Q1 FY2024 has been a journey of uncertainty and resilience. The global economy continues to recover, and we have faced our share of challenges along the way. However, I am pleased to report that Paradeep Phosphates has maintained its commitment to growth, sustainability and excellence and has achieved a good set of numbers in Q2 of FY24.

Throughout the quarter, our production volumes witnessed a growth of 29% in comparison to the preceding year while our sales volume displayed a notable uptake of 78%. This significant growth in sales volume was made possible through continuous farmer and channel-based initiatives of our teams. Despite witnessing less than adequate rainfall conditions in contrast to

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the previous year, our team has demonstrated exceptional performance, both operationally and financially. I would like to highlight that our captive Phosphoric acid capacity at Paradeep site recently expanded from 3,00,000 to 5,00,000 tons per annum and is currently stabilized and operating at its optimal capacity. We are also in the process of expanding our Sulphuric acid capacity by approximately 6,00,000 tons in the next 2 years. We remain focused to doing our best in the forthcoming Rabi season by leveraging our competitive advantage, operational excellence, Pan India retail presence and backward integration capabilities that we have already demonstrated. Now, let me give you the numbers for Q2 and H1 FY2024. I am happy to share that Paradeep Phosphates Limited has reported strong financial numbers for Q2 FY2024. During this quarter, the company achieved a quarterly revenue of Rs. 36,940 million, demonstrating a significant year-on-year growth of 28.7%. The EBITDA for the quarter amounted to Rs. 2,670 million reflecting a year-on-year growth of 42.4% and furthermore the profit after tax for the same period reached Rs. 894 million, indicating a growth of 75.0% year-on-year. Moving on to the performance for the first half of the year, the company achieved

a revenue of Rs. 67,374 million, reflecting a year-on-year growth of 27.2%. The EBITDA in H1 FY2024 stood at Rs. 2,476 million. As we move forward, in the second half of FY24, I am confident that our company is well positioned to navigate the challenges and seize the opportunities that lie ahead. Thank you very much and I would like to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Sir, first some data related question, how much subsidy have we received this quarter and how much is outstanding? I wanted the volume breakup of DAP between Paradeep site and Goa and the same for NPK as well?

Suresh Krishnan: When it comes to subsidy, let me tell you, there has been pretty robust collection for us and as well as the NP/NPK business is concerned, till the third week of September, our subsidies have been received. So that has been a good collection there and subsidy collection overall was Rs. 3,278 crores versus Rs. 1,588 crores the previous year.

Prashant Biyani: And for outstanding?

Suresh Krishnan: Outstanding is only for about a week, the total outstanding of all subsidies put together is Rs. 1,865 crores.

Prashant Biyani: Can we get volume breakup of DAP between Paradeep site and Goa?

Suresh Krishnan: Yes, that should not be a problem. If you look at the overall H1 FY2024 performance for us, I will just give you the numbers, we overall did in terms of production 12,93,000 tons is total

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production between the two sites, Goa and Paradeep. When it comes to DAP, the DAP volume of production at Paradeep was 365,000 tons in Paradeep and in Goa we did a DAP of 65,000 tons.

Prashant Biyani: Sir, I am sorry, but I wanted sales volume?

Suresh Krishnan: Well, if you see this year for us as our sales is concerned, I will directly give you H1 FY2024, total sales for H1 FY2024 was 14.29 lakh tons as the company is concerned with the breakup with DAP was 5,37,000 tons and NPK is the 6,46,000 tons.

Susnato Lahiri: You will get the numbers on the presentation that has been uploaded on the website. So pretty much, that is the breakup for Paradeep 1,50,000 tons and in Goa, we produced about 27,000 tons. Put together, we kind of produce about 1,78,432 tons in Q2 FY2024 alone. On the sales numbers, the total sales for DAP have been 2,52,000 tons across both these sites, includes 152 odd at Paradeep and for Goa it is about 23,000 and we do have a bit of trading as we have done on top of the manufacturing phase.

Prashant Biyani: And for NPK?

Susnato Lahiri: You get the numbers on the slides that we have uploaded on the earnings deck, I would insist you to have a look at this.

Suresh Krishnan: The total NPK sales is 6,46,000 tons for both sites put together.

Prashant Biyani: On the subsidy reduction part that government has done, post that, if you look at Q3 last year, we had a very healthy quarter. How would we be planning to defend our profitability if you can highlight the mix of product that we would plan to sell to at least defend the profitability of last year?

Suresh Krishnan: When it comes to the profitability and EBITDA per ton, even for the H1 FY2024 we were kind of targeting about Rs. 5,500 per metric ton as EBITDA after making certain provisions which we expected to do on September 30

th, by way of subsidy reduction, but unfortunately, as you

know, the subsidy reduction has been far steeper than what one anticipated and so we have to actually make a provision of

an incremental amount of Rs. 300 crores for subsidy correction for the H1. So given the current scenario that we have and the fact that the raw material prices are quite volatile and when you look at key raw materials like ammonia and even to some extent, I would say even Sulphur, s

o the way I look at this is that we will have when we go through the H2 FY2024, our target would be to continue with our volume growth as far as sales is concerned and when it comes to the overall EBITDA that we are looking at and profitability that we are looking at, we would be guiding around Rs. 3,500 per metric ton to Rs. 4,000 metric tons for this period, but having said that, it is important to realize that the raw material price strength might also result in the overall subsidy plus MRP having to get corrected during the next 6 months. So whether it will happen immediately now or it will happen by Q4 FY2024 is
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something that we will have to review, but the good thing that I am getting to see here is besides just the quarterly numbers, I think what we will need to focus is the subsidy was corrected in a significant manner and that to me is a positive for the business in general. We are no longer in a situation where the subsidy component is larger than the MRP. Even if you look at DAP today, the MRP takes you to something like Rs. 27,000 metric tons against the subsidy of about Rs. 22,000 metric tons. So, this is a very good trend that we are reaching here, and I personally believe that the major swings is not likely to really happen beyond maybe one more correction that you could get to see in the next few quarters, which is positive.

The second thing is we also believe that the market, which has done well as far as the agriculture side is concerned, there is a good ability at the marketplace to absorb some price size if need be. So, which is again a positive for us and I believe that in FY24-25 we would see all these corrections adding up to the industry really coming out with good numbers and I can see that for sure for Paradeep Phosphates.

Prashant Biyani: On the raw material side, while the prices have started to increase off late, how are we stocked upon raw material for Q3 FY2024 which we might have bought at low cost?

Suresh Krishnan: For Q3 FY2024, whatever typically you have raw material whichever way the price swings, you have raw material for about 40 days of production. We always had that 40 days production available and for the balance period, we will obviously be buying at the current market prices.

Moderator: Thank you so much. The next question is from the line of Deepak Gupta from Ryan Stock Brokers. Please go ahead.

Deepak Gupta: Sir, even I was also concerned about EBITDA after the reduction of subsidy, so you are giving in guidance of around Rs. 4,000 per ton ?

Suresh Krishnan: What I said is that we normally have the guidance of Rs. 4,500 to Rs. 5,000 for EBITDA but given the volatility, which is there, I was expecting this to be in the range of Rs. 3,500 if things work out well in terms of price correction or an MRP correction, you could even go above Rs. 4,000.

Deepak Gupta: Sir, the second, the El Nino effect is being felt, what do you foresee in the future. How are you taking efforts to insulate this? Any plans or product mix?

Suresh Krishnan: There are two things for us when it comes to a demand uncertainty in the marketplace. The first is that we have presence in more than 15 states in India, so that particular reach itself help us in a big way and we are able to move across markets because we are one company between the two sides. So that is the first one which is there and second thing when it comes to the product mix, we are between the two six granulation trains, our ability to work around products is quite significant and so we were certainly looking at the overall viability on one end and the requirement of the farm, I think we must remember that everything is not just about numbers

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alone, it is also about what the farm requires. So based on this, we will take a call-in term of which is the right product

that we need to manufacture.

Moderator: Thank you so much. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: I have three questions, first one is with respect to the Phosphoric Acid plant which you have commissioned recently, what kind of benefit one can expect from this new plant and what was the total CAPEX incurred for this? Another one is you mentioned about Rs. 300 crores provision which you have taken in Q1 FY2024, but you might have taken the inventory provisioning for the subsidy which has been announced recently in that context, so what was that amount? And the third one is with respect to the overall inventory situation in the marketplace, because I think 3 months back the overall DAP inventory in the market was like on the higher side, so if you

can just share your thoughts around that?

Suresh Krishnan: First, phosphoric acid is the raw material for us. By the increase in capacity that we have achieved, we would be self-sufficient for phosphoric acid as far as the Paradeep site is concerned.

We have over 500,000 tons of phosphoric acid available there. So, for the kind of product mix that we have for our 1.8 million tons of granulation capacity, we would be over 90% self-sufficient and depending upon product mix, we could well be 100% sufficient in terms of P2O5.

So that is a big benefit that we get. Along with that we also obviously get a value addition for converting rock to acid which will be continued, and which will be for a larger volume which is there, but in terms of the overall phosphoric acid project is concerned we had about Rs. 285

crores of investment that we did for this particular train, which is primarily a brownfield expansion because we had other infrastructure which is available, so that is the first one.

When it comes to the second one in terms of what is the overall provisioning, the recent circular, the Government of India, which is there is fully provisioned in our books and the overall impact of that was closer to about Rs. 505 crores. The third question that you had was about inventory. I must tell you that our

primary sales have been very robust, and we have been to strictly speaking, sell most of the production that we did, including the opening stock that we carried on 1st of April. As we closed the quarter on September, our stocks are minimal. We just had I would say about 12 days of production with us in terms of inventory and so we are quite comfortable in terms of both primary sales taking place in our marketing area.

Resham Jain: Sir, just two follow ups, so in the first one, Rs. 285 crore CAPEX, what is the payback period you are looking at in terms of the project for phosphoric acid?

Suresh Krishnan: This is a very strong project, so we should be less than 2 years.

Resham Jain: And the second follow up is you have lower inventory, but from the marketplace perspective, how is the inventory situation because in the market there are other players also you must be selling in your poor market.

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Suresh Krishnan: Let me tell you, as far as the primary sales are concerned has been robust and the collection against the receivables have been also very encouraging. I think we have done quite well, but when it comes to the pipeline inventory which is sitting for the current Rabi season, the only market which is not looking as good as what one would like it to be is Maharashtra. Maharashtra is one where we sold well in the first half, but I think the growth in the Rabi in Maharashtra could be muted if there is not much kind of water levels that we see in Maharashtra reservoirs. So that is the only market where I believe is a bit of a concern and in terms of similar water requirement, I think Karnataka has also not done all that well, but our Rabi markets, which are largely the northern markets that we have, we do not see any con

straint in terms of demand on account of water shortages.

Moderator: Thank you so much. The next question is from the line of Dhruv Muchhal from HDFC Asset Management Company. Please go ahead.

Dhruv Muchhal: Some of your peers and probably some challengers suggesting that there could be a possibility of price hikes in NPKs given the sharp subsidy cuts, so how do you see that, sir?

Suresh Krishnan: Well, I personally believe that the way the raw material pricing are today price correction in NPK will be required to maintain profitability, that is for sure and the price correction as to when that will happen is something that I don't think we have clarity, but going forward I think you will see price correction.

Dhruv Muchhal: Is there a possibility that the government thinks of a subsidy revision in Q4 FY2024, mid of generally 6 months, I believe, but now we do a quarterly revision, is that a possibility given how the prices are moving?

Suresh Krishnan: Well, if you look at it today, there has been steep correction as far as September 30th is concerned and all our raw materials are only moving at a higher level today. Any correction at this point of time downward is in our view quite unlikely and so that is the first point.

Dhruv Muchhal: Subsidies are increased, probably?

Suresh Krishnan: I think based on the availability and the offtake that will happen in the months of November and December and the channel stocks are going to be very low, it is possible that to encourage better buildup of stock for the less Kharif, there could be some positive correction which could happen. Or else, you will get to see a positive correction in terms of any price changes that could happen for various grades of NPKs.

Dhruv Muchhal: Sir, the other thing was, can you quantify the quantum of stock you had both primary and secondary for the DAP plus NPK?

Suresh Krishnan: The total stock which is there, where we have not completed the POS as on 30th of September was close to 4,70,000 tons and which is roughly about 1 to 1.5 months of our total manufacturing,

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but the others will tell you that we had one of the best POS record for the first half, we did more than 10,00,000 tons of POS in terms of sales that we did to the farmers.

Dhruv Muchhal: You say it is about 1.5 months, your overall production is about 0.665 versus your stock is about?

Suresh Krishnan: No, if you look at it, we do about 150 tons plus 120 tons to about 270,000 tons is our capacity on which we run during peak months. So, if you add these two things to what we come to about 4,00,000 tons and we had some imports that we had taken during the year which was available with us.

Dhruv Muchhal: The last thing is, this time, your share of NPK production is much higher versus what you typically have been doing for the last few quarters, so is this more sustainable or how should we think of this?

Suresh Krishnan: Our NPK production has increased for sure, and our NPK mix is also looking good, and this is 100% sustainable, and we will be in this trend only.

Dhruv Muchhal: So the channel is accepting, you are able to offload the product in the market, the increased share that is working well?

Suresh Krishnan: Absolutely, because if you look at it, what we have done, which is positive from our side is out of the overall NPK market, N20 is a big chunk close to about 50% of what NPK sell and today with our revamp that we have done over the last few quarters now between our both sites

Paradeep and Goa, we are in a position to make N20 in all our granulation trains, so which has been a very big positive and which has been well accepted. So, we managed to move that across all our markets. So that is the big positive and we have also established a few other grades which are looking quite exciting.

Dhruv Muchhal: Besides N20, other NPKs have also seems to be done well?

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Suresh Krishnan: Yes, in fact, today the only concern on NPK front for the industry will be that the other two popular grades of N10 and N12 are not financially viable given the price structure that we have, otherwise, rest of the NPKs are looking all right.

Moderator: Thank you so much. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: From a sales point of view, what kind of volume growth do you expect in NPK for this year and maybe next year?

Suresh Krishnan: Well, when you look at our total capacity, which is 2,600,000 tons and we are actually coming pretty close to kind of reaching that particular level and over the next few quarters, we will be reaching that full level. Within the 2,600,000 tons capacity that we have, the DAP is going to be

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roughly 8,00,000 tons and the balance is 18,00,000 tons will be the NPKs. So, this is going to be more like a steady state that we will have and within the 18,00,000 capacity, obviously we will mix and match various products depending upon the market needs.

Lakshminarayanan: In terms of your sales volume, like what kind of volume growth you expect when compared to the last year's NPK sales in volume terms?

Suresh Krishnan: Last year from 2 to 2.5 million tons, we are going to be there this time. Nearly 25% increase is going to be there because our urea capacity is stagnant. So, all the growth that you are seeing today in our portfolio is largely coming out of our NPK and DAP sales.

Lakshminarayanan: And how much of your DAP is manufactured like everything is manufactured internally?

Suresh Krishnan: Essentially manufactured, we had about a (unaudible 25:51) of tons of imports that was only to bridge the timing, otherwise we manufacture our DAP.

Lakshminarayanan: And in terms of market share gain in any of your key states you want to call out?

Suresh Krishnan: We have regained our market share and established our position when it comes to Maharashtra, which has been positive for us and we are moving into the other Southern markets and in certain products like N20, we have slowly started gaining market in Telangana and in other neighboring states.

Susnato Lahiri: Just to add there in fact, we have been traditionally very strong in Maharashtra, Karnataka, but if I just look at the H1 performance this year vis- a-vis last year, in fact we have made very good inroads in Andhra, Punjab, Telangana, UP, West Bengal, so it has been very positive for us and that is kind of seen in these 78% growth rate in sales there in Q2 FY2024.

Moderator: Thank you so much. The next question is from the line Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Sir, I had two questions, one, after this subsidy cut, would you think that domestic manufacturers are now better placed than importers and hence companies like us can have more market share gain in the coming quarters?

Suresh Krishnan: My reaction to this is on paper, yes, it looks like that, but I think we should not kind of react to these cuts on quarter-to-quarter basis. I think we have to look at it in long term and as far as

India is concerned, we have 20 million ton requirement of NP and NPKs and is growing. It is growing at a quite healthy pace. So, there will be space for everybody. It is just that we are currently seeing that maybe the imports are not as competitive as manufacturing, but on the

whole, India will have to import to meet the requirement of the farm sector and the manufacturing will continue to grow. The good combination would be that the more difficult, more important NPK grades the market needs will get manufactured in locally and some of the
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generic products like DAP could well take a larger share from imports. And I think these corrections will happen, you m

a y see for a three-month period that DAP imports may or may not be viable, but I am sure on the whole, the entire product basket will get viable. It is just an interface something will be more viable than the other, but I think you will see healthy numbers coming back to this sector by FY24-25 because the subsidies have been now corrected quite significantly and that was important because you are going to get your returns not so much from the subsidy basket, but more from the MRP basket and we are quite confident that the market is in a position to absorb an MRP hike.

Prashant Biyani: Sir, you alluded to the N10 and N20 are not viable as of now, so which grades would you be planning to sell more? Would it be 20:20:0:13 and likes?

Suresh Krishnan: Let us look at it. We have N20 and along with N20 we have also straight and MOP available for the farmer to use, we also have urea with the farmer can use and combine that. So, we would be giving them a prescription which kind of works. In terms of what kind of products or combination of products they should use in the field and that is the way we are looking at it and N20 obviously will be a core part of our product offering.

Moderator: Thank you so much. The next question is from the line of Vihang Subramanian from Zaaba Capital. Please go ahead.

Vihang Subramanian: Sir, first question is what is behind the latest site that we have seen in raw material prices and do we have any view of like six-month view or one year view on where raw material prices will be?

Suresh Krishnan: When it comes to raw material prices in India, it is pretty much settled on a quarterly basis and the reason why we are seeing certain spikes in raw material price is that we are seeing some demand coming back quite seriously both in Brazil and in Europe, so that demand is kind of helping the North African players to move their material at a much better realization. So which is why you are getting to see P prices going up and when P consumption goes up, normally it is followed with higher demand for Sulphur and Ammonia and those prices also get corrected accordingly and when it comes to Ammonia, yes, we had some plants which are taken shutdowns and there were some introductions and supplies which were there and we have seen some major corrections which did not purely go based on market demand supply, but I think based on some geographies, that is what we get to see.

A lot of material moved towards the higher prices, so that seems to be the case, but otherwise if you see based on fundamentals in terms of what it is, I think most of the fertilizer, raw material prices had come to levels which look to be at a point where one could work around it, sustainable without very major swings. You could see some corrections in ammonia which could get corrected downwards, but when it comes to Sulphur, the P2O5 and K, all of them are corrected

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quite well. So, one should not expect a major volatile situation unless there is a geopolitical issue which turns unfavorable.

Vihang Subramanian: Understood. So, do you expect prices to broadly remain where they are?

Suresh Krishnan: Yes, I personally believe that the current levels that we are getting to see corrections either way plus or minus should not be major swings, at least in the coming quarter and the quarter thereafter.

Vihang Subramanian: And to touch upon your EBITDA per ton guidance of Rs. 3,500 to Rs. 4,000 just to understand that based on current raw material prices and did you see a move up in raw material prices then, how to come EBITDA per ton?

Suresh Krishnan: We are looking at current raw material prices to kind of hold on to give us the margin that we are looking at, first part. The second thing is we are also looking that over the coming 5 months, between the MRP and the subsidy, there will be some positive correction.

Vihang Subramanian:

And what (Inaudible) 33.51 nitrite subsidy component has come down and also we have seen in your net debt, how can I think about the year-end net debt materially lower from these levels as well now?

Suresh Krishnan: We are expecting that because the overall subsidy amount per ton has come down, market collections have been robust, so given this, we do not believe that we would need to kind of look at more borrowings and there are two things for us. First is our long-term debt is not really going to change very much

because we have completed all our projects. There is only one project which is underway, so that is not going to be a major swing and as far as the other debt is concerned as you know, we have corrected in a positive way and we will try to keep this trend.

We are currently at a debt equity ratio of about 1.13x as far as the company is concerned and I think it is a good safe level to be in for us.

Vihang Subramanian: As the subsidy component has been revised 30 percentage quarter-on-quarter, do you think that the net debt should also come down Rs. 35 million to probably around Rs. 20 to Rs. 25 million range?

Suresh Krishnan: Possible because the net debt that we have been taking today has largely to do with outstanding subsidy when it comes to the short-term borrowing that we end up doing and we would be repaying the short-term borrowing over the month of November, and by the time December, January comes in, I think it should come to a reasonable level, but you must also understand that when you come to the year end, we will be in off season. So, we will have finished goods inventory which kind of moves up by that point of time.

Vihang Subramanian: And I think given reaching optimal capacity utilization now, could you touch upon how do you think of volume growth over the medium term?

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Suresh Krishnan: As far as the capacity is concerned, we have pretty much reached the optimal number that we are looking at and the 30,00,000 ton as a target that we had, a split of 26 plus 4 is something that we are targeting. I think we should be pretty close to it now, but based on monsoon condition and demand supply, maybe 100,000 tons swing could kind of happen, but otherwise we are reaching safe levels in terms of our manufacturing capacity. Now, the key thing that really comes to us would be that how do we enhance our market share given that there is still a good component of imports in the overall consumption that happens in India, so that will be a strategy for volume growth at least in the short term.

Moderator: Thank you so much. The next question is from the line of Vinayak Mohta from Axis India.

Please go ahead.

Vinayak Mohta: I just wanted to understand, what are we doing so differently given the kind of volume growth you have seen. We saw another peer of yours report numbers a while back and they had flattish kind of volume growth, whereas you guys have grown very significantly within your NPK and DAP front. What are we doing so differently versus them or is it just a base effect or market effect when you are present and they are not that strongly, so if you could throw some light on that?

Suresh Krishnan: It is a good question that you asked and the response to this is that we made an acquisition of an asset, which is the Goa's manufacturing facility along with the brand and the retail network, 'Jai Kisaan' has been a very strong brand for a very long time with very good reach in Maharashtra and various neighboring markets and what is helping us is the 'Jai Kisaan' reach. I think that is the difference that we are getting to see. 'Jai Kisaan' had dominant capability to reach much higher levels. 'Jai Kisaan' on his own has done 1.72 million tons of sales as a single brand and today, we are taking 'Jai Kisaan' brand for whatever expansion that we have done in Paradeep and that is where the difference

is that you are getting to see.

Vinayak Mohta: So, is it fair to assume that on an organic side, your growth was flattish as well or what kind of growth did you see?

Suresh Krishnan: I will say that we increase the production in Paradeep and when we increase the production in Paradeep, the Paradeep markets grew at a particular pace, we did a little better than that, but the substantial amount of volume that we have had both at Paradeep and restarting of the Goa facility that we did, we were in a position to absorb in our stronger markets which were there in Maharashtra and Karnataka and we further moved our material towards the central part of India wherein we were present in the past, we have been able to reestablish ourselves.

Vinayak Mohta: And any update from you on nano DAP, nano Urea is seeing a lot of traction like we have been doing some reading and you could see that the kind of effect that it has on the crops and all is very decent and even the payback period is very strong while it does need a lot of education part for the farmers to get up to speed with it, so that the adoption can grow, but any progress there or anything that you are thinking and how do you think about that market individually as well?

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Suresh Krishnan: We have done more than a year of field studies in field trials as for the nano was concerned and we are seeing good results as far as the product is concerned and our product is a biological product, not purely a chemical product and so it has been quite stable and it has been doing well.

We expect to launch this product pretty soon. I think our launch will be there during this quarter, the end of this quarter itself and thereafter we will have sustained volumes coming from nano, but in our case, it will be both nano Urea and nano DAP.

Vinayak Mohta: And is this produced by us in-house or have we got the pattern for it, or have we taken

technological transfer or something on that?

Suresh Krishnan: Basically, the nanotechnology that is available is there with one of our group companies and we have taken the exclusive rights on that to market.

Vinayak Mohta: And do you see that over a sustainable longer period of time, the EBITDA per ton is something that will sustain over this Rs. 5,000 to Rs. 5,500 level or how do you see this scale over a longer period sustained environment removing the effects of how subsidies would move, so what would be your input out there?

Suresh Krishnan: Well, you look at it today, the government's regulatory framework is coming up with a proposed structure for reasonable profit and the reasonable profit for integrated players they are talking a level of about 12% of cost of sale. So, even if you take an average product mix and you will get these kinds of numbers, Rs. 5,000 EBITDA to Rs. 5,500 EBITDA, a sustainable number within the reasonable profitability structure that the government is proposing. So that is the reason why we believe that these are numbers that one should be able to maintain, that is the first point. The second point is that for us also as a company to improve our EBITDA, it is not just going to be the fertilizer products alone which are controlled by the government in terms of subsidy. So, there is going to be debt, we will be offering products, nano and beyond which will finally help us to not only grow and get a better wallet share, but at the same time improve our overall margins.

Vinayak Mohta: One last question, and the mix of NPK and other complex fertilizer increases and replaces the traditional urea and all one and the government introduction on the pricing front is very low or negligible as of today, but as it grows into volumes, two things on that and do you think that the market is ready to absorb that amount of incremental pricing of these products? And

secondly,

what risk do you see of the government in the intervention on the pricing plan which ultimately might end up impacting the growth in sales or the profitability?

Suresh Krishnan: You have to look at the agriculture sector as a whole and when you look at it there, even for basic grains and basic oil seeds and everything else, government has been improving, MSPs quite significantly. Agri input like fertilizer as a percentage of the total cost for agriculture is not as significant, so given that the farmer is into a healthy run today, it is certainly possible that we should be able to maintain both the volumes and the price levels one is looking at. But more importantly, what is going to happen is that there is a lot of focus on soil health and soil health

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improvement. When the soil health improves, the impact and the realization that you will get in terms of farm productivity from an input like fertilizer would be substantially higher than what you are getting to see today. So that will also encourage the farmer to consume and in effect you will get to see that the demand for NPK is going to be far more than what we believe is going to be, what we get to see today and what we believe the growth rates are.

Vinayak Mohta: Just one small last question, what is the thing that you would be the most excited about the next 3-5 years. One part of the business or any other initiatives that you have taken within the business which you believe could have a substantial impact on the profitability because from my understanding a lot of people are now starting to see the sector moving away from that government focused, government driven kind of profitability sector to a more sustainable profitability one which is more linked to the economy consumption side of the market, so what would that one thing be for you?

Suresh Krishnan: The way we look at this sector is that this sector is squarely provides the food security for the country. When it comes to food security, it is not just about the primary nutrients that we are able to supply, it is the reach that we have through our retail network and our retail network that we have today not only provides fertilizer, provides all other kinds of inputs which the farm economy needs. So our excitement today really comes from not just ability to do what we are doing in terms of major nutrients, it is the various other products that we have in the pipeline which we will be offering, which includes nano at one end, other liquid fertilizers, the customized fertilizer, these are products which are going to be growing in our portfolio in the years to come and which will add to our profitability and the excitement that even our channel partners will have.

Moderator: Thank you. The next question is from the line of Deepak Gupta from Ryan Stock Brokers. Please go ahead.

Deepak Gupta: This is the continuation from earlier question, which you have answered about Rs. 3,500 to Rs. 4,000 EBITDA because of the subsidy reduction. Is it possible like an association of fertilizer or something different this government to increase the subsidy or to have an MRP increase, anything is possible so that that you can have the same kind of Rs. 5,000 to Rs. 5,500 tons, I am just worried about the value of this one, profitability?

Suresh Krishnan: I think I should make one thing very clear that fertilizer industry, we do not seek higher subsidy. We are purely a subsidy carrier as far as the farm economy is concerned. So, we would believe the structure of the agriculture segment in India should get corrected so that the farmer can directly be supported by the government as it deems fit rather than using the fertilizer industry

as a subsidy carrier. So we believe in efficiently running our plants, showing efficiencies we are best in class globally and getting our returns. So, I think our effort will always be to ensure that

we have got the right product and the right product mix that is available from our end, and we are making that in the most efficient manner.

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The challenge that really comes up here is not so much about government alone, it is the fact that there is a lot of import dependence on these raw material that we need for manufacturing fertilizers and those raw material prices are highly volatile, not just because of the demand supply position in India, they get affected by the global scenario of demand and supply and so there has to be a mechanism as to how the government will want to react and protect the Indian farmers or insulate the Indian farmers on the side of taking it through the industry and our effort will be to put that structurally correct rather than trying to seek subsidy more or less.

Moderator: Thank you so much. The next question is from the line of Tanmay from Mirae Asset. Please go ahead.

Tanmay: Sir, just a couple of clarifications, first the EBITDA per ton that we are guiding, that is for the second half that we are seeing or for the full year?

Suresh Krishnan: That is for the second half that we are seeing, and this will also be the average for the year because we have been pretty close to the same number here.

Tanmay: And what would have been the trading margins this quarter?

Suresh Krishnan: Trading was only about 100,000 tons that that we did, and the trading contributions have been at the tune of about Rs. 3,000 per metric ton.

Moderator: Thank you so much. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: So just two things, one is on overall working capital kind of improvement, in case if you are expecting and if you can just highlight, are there any scopes and measures to improve working capital further from current level? And second is on interest cost, we had almost closer to Rs. 190 odd crores of interest payment during first half of FY2024, how are you seeing that number, let us say in second half and you already mentioned there is a possibility of debt is coming down, but how do you see that panning out during second half?

Suresh Krishnan: It is important to note that as far as our working capital cycle is concerned in H1, both the market receivables we collected very well and also the government receivables were collected exceedingly well. So that has been a very good cycle and expecting the government to improve this cycle beyond this is not likely because we are already now pretty much paying within the stipulated 15-day period. So the only way the things could change would be some kind of better terms from the suppliers, so that is one way of improving the overall working capital cycle that could happen and the second thing is in terms of interest rates today, despite all the volatility that we have seen, we have still been maintaining good average rates and which are at the tune of about 7.5% which has been very good for us, so we believe that should continue and any improvement in the global interest rates over the next few quarters will finally kind of help us

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when it comes to our interest cost. As far as the local is concerned, I think we have been quite efficient on that and we are doing well.

Resham Jain: And sir, one more is on CAPEX, we have Rs. 485 odd crores of CWIP out of which I think Phosphoric acid got commissioned in Q3, so that Rs. 285 crores will get commercialized, so Sulphuric Acid plant, how much more is remaining in terms of CAPEX to be spent and when it will get commissioned and again payback period for that?

Suresh Krishnan: Sulphuric Acid plant, we are expecting to commission by September 2025 and out of the overall, we have so far spent about Rs. 150 crores in Sulphuric Acid project and we have to be spending

about

Rs. 300 crores further. This is 50,000 tons per day Sulphuric Acid plant that we will have been doing and further CWIP that you get to see is also to do with the energy efficiency project

that we are doing in Goa. We will be taking a shutdown sometime in the next few days and the modernization of the ammonia plant partially will take place and we will be back into production around the second half or December this year. So that overall expenditure is to the tune of about Rs. 85 odd crores which will also get capitalized once that is done by end of December.

Resham Jain: And sir, payback period for Sulphuric acid?

Suresh Krishnan: Sulphuric acid is a healthy project, so we get paid off in about 3 to 3.5 years.

Resham Jain: All these three projects which are independent of what volume you will do for Sulphuric

Acid and Goa plant put together is close to Rs. 700 odd crores CAPEX and I think as you mentioned 3 years payback for each of them?

Suresh Krishnan: Roughly about Rs. 200 crores of additional EBITDA which should be getting generated from all these.

Resham Jain: All these three plants?

Suresh Krishnan: Yes.

Moderator: Thank you. The next question is from the line of Manish Mahawar from Antique Stockbroking. Please go ahead.

Manish Mahawar: Just in terms of subsidy cut, you said a provision of Rs. 505 for this quarter and Rs. 300 crores for the last quarter, right, so total first half is Rs. 800 odd crores?

Suresh Krishnan: Yes.

Manish Mahawar: And sir, in terms of EBITDA per ton, when you said around Rs. 3,500 to Rs. 4,000 per material for this year and H2 as well, are you considering price hikes and the raw material price correction or it is on the current price basis you are talking about?

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Suresh Krishnan: I am looking at a combination. I personally believe that in between November and March, we should either have a price correction or a subsidy correction or a combination of the two. I am not really looking too much into the correction of raw material prices. I think it just could be flat as we go forward for the next quarter.

Manish Mahawar: But it is possible, like a substantial price hike, which is into the MRP during the second half because if raw material prices are not corrected, that is why substantial price hike has to be taken.

Suresh Krishnan: If you look at it, it is also a question of what kind of product mix that you will do and there are some rooms and some products there.

Manish Mahawar: In terms of your net debt at the end of this year FY25, how should we look at the number?

Suresh Krishnan: Right now, we are at about Rs. 3,558 crores and we are looking at a flat number from here on and if you look at it the way government has been paying money, I think if they are going to continue to do the same, I don't think we should see any further increases in our overall debt position here.

Manish Mahawar: But it should come down, right?

Suresh Krishnan: It should come down. Ideally, we will see how it goes because everything will depend upon the kind of inventory that we will carry at the end of financial year and that strategy, Manish will be something that this time around, we will take a call as we close the Q3.

Manish Mahawar: Just one bookkeeping question, in terms of subsidy outstanding, right, Rs. 1,865 crores what you said, this is due amount, or this is just total overall outstanding?

Suresh Krishnan: It's total outstanding because the subsidy becomes only when the POS happens. Since the POS has not happened this amount is outstanding, so as the process happens, we will start getting this money and a good bit of this money should come during this quarter itself.

Manish Mahawar: But what is the outstanding the total due actually from the government out of this Rs. 1,865?

Suresh Krishnan: That is only Rs. 400 crores.

Manish Mahawar: Basically, the r

est is outstanding or not?

Suresh Krishnan: Yes, based on first stocks and inventory.

Manish Mahawar: And sir, just last clarification, when you always save 12%, government gives some margins of 12% per one-off sales, right, it is the PBT margins, right on the fertilizer?

Suresh Krishnan: Yes.

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Manish Mahawar: It is on all the products, or it is only for DAP?

Suresh Krishnan: No, this is for DAP and NPK to put together.

Manish Mahawar: Because what I am saying because if you look at DAP your realization used to be around Rs. 24,000 – Rs. 27,000 subsidies right now are Rs. 18,000, right, if you look at the realization is around 40 - 45 and if you take a Rs. 12,000 to be Rs. 5,000 – Rs. 5,400 of PBT what we are talking about, and it used to be always in lower, utilization as compared to DAP, so your margins will be lower on NPKs as compared to the DAP?

Suresh Krishnan: What the government has been stating is the policy they are giving you 12% on cost of sales for both, so if the cost of sale is going to be lower for NPK to that extent the margin per ton will be lower. The important thing here is that is an intended policy today but given the way the market has behaved both in terms of subsidy being made available and the MRP in quite a number of products, we don't reach there, but that is the scope which is clearly available under the regulatory framework and price correction will happen to realize that particular profit, which we can realize.

Manish Mahawar: And next year, that is when we move for the FY25, in terms of EBITDA per ton, what we have guided for earlier at Rs. 5,000 plus type of number on a company as a whole, we will sustain for next year, right because this year will be fluctuation because of the?

Suresh Krishnan: So, I think we should consider that the numbers will be back to those levels because we are back into, our production levels are good, our projects have been completed. So, I personally believe that with corrections and prices that will take place, those numbers one should be in a position to achieve.

Manish Mahawar: And this will be with the lower interest cost al so PAT much better, right in terms of a company?

Suresh Krishnan: Yes.

Moderator: Thank you so much. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: You spoke about the reasonable profit which the government has actually mentioned, and you said 10% - 12% cost of sales or something. Just want to understand what defines reasonableness because people like you are backward integrated and some of them are not backward integrated, so how do you normalize it and what is that reasonableness mean?

Suresh Krishnan: Government is trying to come with higher profit for people who are backward integrated in terms of percentage and a lower percentage of people who are not backward integrated. So that is the definition that they are kind of looking at and wh enever I talk about the reasonable profit what I

state is that this is a sector which has opened up. We are free to put the market price. So, we

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would be in a position to work around a market price which will give us this kind of profit. So, which is the potential which is there in the industry, and I am sure going forward in FY24-25, we should be in a position to realize these numbers.

Lakshminarayanan: So, what is wherein you mentioned about 12% retu rn on sales is somethi ng which is the baseline which comes like you should work on?

Suresh Krishnan: Yes.

Moderator: Thank you. The last question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: Just to put the new recent NBS rate how do you think you will be able to navigate that reduction in the context of the recent increase in input prices and will there be a

similar impact in terms of

additional provisioning required in third and fourth quarter like you want to do the first quarter, what is the reading on that?

Suresh Krishnan: As far as the government reduction of subsidy is concerned, for all those stocks that we had, unsold stock and also POS stock, we have made a full provision on that. So, it is only a question of new material that we are lo oking at today and obviously we will have to work on a product mix which is able to navigate this, and which is what we are working on.

S Ramesh: And so if you are looking at the volume growth for FY25-26, what is the kind of percentage volume growth that is probably th e best metric we can look right?

Suresh Krishnan: When it comes to the volume growth for the next year from a manufactured side, it may be only 7% - 8% because we would pretty much be getting to a peak level of manufactured sales but depends upon the overall monsoon conditions and the demand forecast that one would look at, we can certainly get a volume growth based on taking part of the imported market share which is there for the Indian market.

S Ramesh: One last note, in terms of your backward integration for both captive Sulphuric and Phosphoric acid, what is the kind of per ton benefit you can expect here once you do that from next year?

Suresh Krishnan: Typically, when you have a phosphoric acid backward integration, you get a benefit of about Rs. 10,000 per metric ton of the acid that is produced.

S Ramesh: What is the tonnage of phosphoric acid you will add based on this additional capacity?

Suresh Krishnan: We have added close to about 1,80,000 tons of additional phosphoric acid.

Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

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Suresh Krishnan: Thank you. Thank you everyone for participating in the earnings conference call. We have certainly tried to answer and address all your questions. If you have any further inquiries, please connect with our Investor Relations team and we will be happy to address the same. Thank you.

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"Paradeep Phosphates Limited
Q4 FY24 Earnings Conference Call"

May 16, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Paradeep Phosphates' Q4 FY24 Earnings Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking. Thank you and over to you sir.

Manish Mahawar: On behalf of Antique Stock Broking, I would like to welcome all the participants on the call of Paradeep Phosphates. We have Mr. Suresh Krishnan – MD and CEO; Mr. Rajeev Nambiar – COO; Mr. Bijay Biswal – CFO; Mr. Alok Saxena – Head Corporate Finance and IR; and Mr. Susnato Lahiri – DGM Strategy, IR and ESG on the call. Without any delay, I would like to hand over the call to Mr. Krishnan for Opening Remarks. Post which, we will open the floor for Q&A. Thank you and over to you, Mr. Krishnan.

Suresh Krishnan: Thank you, Manish. Good afternoon and welcome everyone to the earnings call of Paradeep Phosphates Limited. I would like to thank you all for joining us here today. We have circulated our earnings presentation and press release and uploaded the same on our website and stock exchanges. I hope you had a chance to review the same.

To start with, we'll give you an overview on the business trend and financial performance for the quarter and full year, and we would be happy to take any questions afterwards. Well, during the fiscal 2023-24, we have witnessed significant shifts in the macroeconomic landscape characterized by global uncertainty and average rainfall pattern in the country. The raw material prices experienced a steady correction globally throughout FY24, leading to a substantial reduction in product subsidies by the government. Demand for agriculture produced during this fiscal year has been stable and growing at a rate of 3% year-on-year.

This year, as a company, we achieved higher production and sales volumes, leading to an increase in our market share. We are glad to report that we produced 2.3 million tons of various grades of fertilizers throughout the year, registering a strong growth of 13% year-on-year. We sold 2.53 million metric tons, marking a significant 25% increase from the previous year. This volume growth was primarily driven by higher capacity utilization, continuous channel engagement and expanded reach into new geographies and farmer segments.

During this quarter, the company recorded a quarterly revenue of Rs. 22,427 million and an EBITDA of Rs. 1,781 million with a margin of 7.8%. The profit after tax for the quarter amounted to Rs. 215 million, showcasing a growth on year-on-year basis. On a full year basis, the company achieved an annual income from operation of Rs. 11,575 crores, EBITDA stood at Rs. 716.9 crores, and profit after tax was Rs. 99.9 crores. We have effectively managed our overall debt during the year. Our debt decreased by 14% year-over-year, primarily due to a reduction in the short-term borrowings. This has improved our debt-to-equity ratio, reflecting our continued commitment to prudent financial management. The board of directors has

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recommended a dividend of 5%, that is Rs. 0.50 per equity share of Rs. 10 each fully paid up subject to approval of shareholders at the annual general body meeting.

Key backward integration initiatives have begun yielding results as planned. Our incremental 200,000 tons captive phosphoric acid capacity at Paradeep site is now fully operational.

Additionally, the ongoing expansion of sulphuric acid capacity from 1.4 million tons to 2 million tons at our Paradeep site is progressing

as per schedule and is expected to be commissioned by the end of FY2025. These projects are aligned with our objective of strengthening our ability to produce varied grades of fertilizer, achieve operational efficiencies and generate positive impact on our bottomline and margins in the coming ways.

Additionally, we are in the process of launching our indigenously researched biogenic nano urea and nano DAP fertilizers poised to deliver substantial value to soil nutrition. Simultaneously, we'll be introducing new variants of NPK fertilizers during this financial year, underscoring our commitment to product innovation and stewardship. Our commitment to ESG has been recognized through our maiden inclusion in the globally renowned S&P Dow Jones sustainability index for 2023. We have initiated the integration of ESG governance at the board level and throughout the entire organization. Our CSR projects have positively impacted over 55,000 lives during FY2024. We are in the process of setting goals in each aspect of environment, social and governance, ensuring sustainability is embedded in all aspects of our operation.

Our sector looks promising with expected growth and demand, normalization of supply side prices, innovative product development, and an increasing emphasis on balanced fertilization, effective nutrient absorption, soil health and farm productivity. With a favorable monsoon focus this year, we are eager to meet the demand of the upcoming Kharif season supported by our optimal product mix, enhance farmer engagement and improve operational efficiencies. Thank you very much and now I would like to open the floor for a Q&A. Over to you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Thank you for the opportunity. Sir, given the current subsidy and MRP levels, how do you see the profitability trending for H1 FY25 vis-à-vis H1 last year?

Suresh Krishnan: Prashant, you all very clearly realized that in the last few calls, we have mentioned that the subsidy plus MRP realization that we have, resulted in not so profitable margins for some of the key grades of fertilizer, which include a DAP, N10, and N12 and however, what we are getting to see right now is correction in the raw material prices, which is corrected to a certain extent as we speak, and we expect that correction to continue. But in terms of the main grades, which is the main NPKs and DAPs concerned, the margins of H1 FY24-25 would be largely subject to price correction that we will need to do in the market. And we are expecting that once the monsoon picks up and the demand situation is absolutely clear in terms of the offtake progression

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that we'll get to see. They will have to be a correction to prices of some of the grades, which will make the viability good. I think our endeavor here would be that we have a clarity in terms of a potential of up to 10% to 12% profitability on the overall cost of sales. So, we will actually be working towards our pricing model to reflect that as we go forward.

Prashant Biyani: Right, sir. On the rock phosphate side, what indications are we getting from OCP, whether the pricing trajectory is downwards or flattish here?

Suresh Krishnan: Well, if you look at the phosphate prices over the last 4 to 6 weeks, even though you did see India arrivals of DAP have significantly corrected, the 580-590 levels have come down to close to about 510. We are seeing mixed trend in the market today. If you look at the West of Suez, the prices are kind of holding, maybe going up a little bit and we still have the challenges of movement through the Red Sea area. So, we are taking a much longer queue in terms of what it is. So, we do expect that the prices are not really

y going to be swinging too much, but the last year correction has been quite significant. So, in terms of DAP has come down to the 500 levels now quite seriously. So, we would expect that this trend will continue, but today in the immediate future for the next 3 months, we are looking at a more like a flattish situation and a range bound correction in the phosphate prices because you are still seeing good recoveries happening in the West of Suez.

Prashant Biyani: Sir, this lower DAP price should result in lower rock price also.

Suresh Krishnan: The lower DAP price will result in and the rock price coming down, yes. And it's already moving down. And we are seeing the trend that the rock prices have already come down quite a bit over the last few quarters. And it will have a direct correlation, but with a lag of a few months here.

Prashant Biyani: Sir, our Odisha plant was also closed due to notice by CPCB. Do you expect any impact on Q1 volumes because of it?

Suresh Krishnan: Well, you're right that we had a closure and the plant has restarted and we are now manufacturing at our usual levels today. As far as the impact is concerned, yes, we have in terms of a manufactured volume, we are the finished goods, we lost about 100,000 tons and in terms of phosphoric acid, I think our loss has been close to about 22,000 tons. However, we expect to make up the volume over the remaining part of the financial year and if you look at the availability that we have for the first quarter and the second quarter, I think we should be able to make it up by the end of second quarter in terms of overall volumes. But let me be clear that we are optimistic today based on the predictions for monsoon and hoping that the distribution will be right. I think we'll have a clarity on the monsoon distribution in the month of June. But our entire endeavor is to ensure that we do not lose out on the margin, that we lose out on the product volumes that we lost during the month of April, and we certainly make this up.

Prashant Biyani: Lastly, can we further improve our mix of NPK, or we have to sell around 8 to 10 lakh tons of DAP?

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Suresh Krishnan: Prashant, I think you also understand you've been covering this sector for a long time and DAP is an important fertilizer and to really shying away from DAP may not be the answer to this issue today. We believe that DAP margins will have to increase. The current pricing structure which is there where DAP is priced at the lowest end of the NPK segment is something that needs to change and we will get to see that. But how about from our own perspective of manufacturing? I think we've been very successful NPK manufacturer and also been in the marketing area, our NPK and N20 market shares have significantly grown. If you look at it, our overall sales growth on NPK has been close to about 36% and we've also grown on N20 specifically by about 39%. So our focus will continue to be that, but a core DAP portfolio is something we will maintain because some of our markets that we are in, both North and Central India, these markets currently the farmers need DAP. So in terms of a balanced offering, a DAP is something that is required today. But a shift as it goes, we will be able to work around and make more NPKs. But for the current financial year, I personally believe that about 8 lakh tons of DAP is something that we will certainly get to do.

Moderator: Thank you. The next question is from the line of Darshita from Antique Stock Broking. Please go ahead.

Darshita: My first question was starting the EBITDA per ton movement for FY25, we had guided for Rs 4,500 to Rs. 5,000 of EBITDA per ton on sustainable basis. Considering the current MRP and subsidy, are we confident to achieve that for FY25?

Suresh Krishnan: Well, Darshita, our target and our guidance of Rs. 4,500 to 5,000 is continuous. And as I mentioned in the

earlier calls, in the Q4, I was expecting that we will not be able to maintain this margin. We are expecting a margin of around 3,500 tons as an EBITDA margin per ton, which is what the final results are reflecting today. But we expect that the price increases that we will end up taking will finally result in this kind of a margin being maintained and that will be our guidance.

Darshita: What kind of price increase can we expect? I am guessing it would be post June in terms of percentage, if you can highlight?

Suresh Krishnan: Well, it's not proper for us to kind of come back and give you a price prediction today. I do not see a major correction in prices in the month of June, but as we had looked at it earlier, based on the trends that we will get to see for phosphate and DAP availability and pricing in India, we would take price corrections going forward for the month of July. And the price correction would be such that we get into the EBITDA numbers that one is looking at. You know, it's very important for us to see that the industry is healthy, and we believe the EBITDA margin that one is looking at in terms of 4,500 and upwards is something that we should reach as an organization.

So, we will be working towards that in terms of our pricing. But a lot will depend upon the monsoon and how it evolves over the key markets for us in the coming months.

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Darshita: My second question was regarding the debt reduction guidance, if you can provide any number for FY25?

Suresh Krishnan: Well, debt reduction is something that has been a focus for us right through and I think we did well as far as the last financial year is concerned and we continue to work on it and I think our endeavor would always be that year-on-year we continue to reduce our debt. If you have seen the numbers for last time, the short-term debt has come down to about 17%, long term by 10% and the total debt has come down by 14%. So, which is a good number that we are in and we would like to see them as our peak levels of borrowing as we speak. And hoping that the raw material correction is not anything towards an increase but more towards a decrease.

Darshita: My third question was regarding the subsidy receivable. How much was it by the end of the year?

Suresh Krishnan: I will ask Biswal to respond to this.

Bijay Biswal: I know this subsidy receivable at the end of the period is Rs. 1,840 crores.

Darshita: We have seen that most of the companies have seen their subsidy receivables getting cleared by the government. Is this a subsidy that you mean is it for the inventory that is in the channel or it has been like, you know?

Suresh Krishnan: This is largely for the inventory in the channel.

Darshita: I just had one question on the sales volume. If you can provide the traded sales and manufactured sales split for Goa and Paradeep facility?

Suresh Krishnan: Yes, I will ask Harshdeep to respond to this.

Harshdeep Singh: Just to give you an idea, we did an overall volume of 25.28 lakh metric tons versus last year volume of 20.3 lakh metric tons. That was we had a growth of 25% on the primary volumes.

And as far as Goa is concerned, we did a million metric tons sales out of the Goa volume. So that's what we achieved last year, 10.12 lakh metric tons. And Paradeep did around 15.15 lakh metric tons.

Suresh Krishnan: It's important to note that we actually crossed the one million tons from the Goa facility in terms of primary sales during the last year.

Harshdeep Singh: And I think it's important to also note that PPL as a group, we grew significantly as far as our farmer sales are concerned. Our total sales for DAP and NPK grew to 24.77 lakh metric ton versus 6.86 lakh metric ton last year. That was a 47% growth basically on the POS sales basis.

Management : Yes, Darshita, to answer your question on trading volumes, we traded about close to 214,000 ton

s that's about 8% of the total sales volume in FY24.

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Darshita: One last question on the channel inventory currently in the reasons that we are operating in. How is the channel inventory currently? Is there enough availability or do we have any issues there?

Suresh Krishnan: See, we are well prepared with the good monsoon that's expected. So, we have good inventory in the channel. Partly because there was a deficit rainfall, so it's likely the higher side, but that augurs well for the good Kharif season. So, we are kind of quite well spread out across the geographies and most of our inventories are with the retail trade. That means as soon as the rainfall happens, you will see a lot of offtakes of that inventory.

Moderator: Thank you. The next question is from the line of Hari Kumar, an individual investor. Please go ahead.

Hari Kumar: Two questions from my side, sir. This profitability increases from 3,500 to 5,000, is it going to come through efficiency or through increase in prices? And the second question is regarding this government giving the guidance on capping the profitability returns, how much that is going to affect us, how much more can we increase profitability before the government guidelines come into force?

Suresh Krishnan: Well, as regards to the EBIT DA margin is concerned, it is in combination of both the raw material prices, efficiency and the final MRP that we will have. And this will also get impacted by the subsidy that government will look at. As you know that we already have a subsidy which is announced from 1st April, which will be valid till end of September. Thereafter the new subsidy will be announced. So, there is a complex factor, but I can only tell you one thing, that there is a significant room available for us to increase our profitability within the overall guidance that government has given. So that is not going to be a constraining factor at this juncture.

Moderator: Thank you. The next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Yes, thank you for the follow up. Mr. Harshdeep, can you please repeat the POS volumes for this year and last year?

Harshdeep Singh: The POS volume sales of last year was 16.86 lakh metric tons. And this year we have done 24.77 lakh metric tons.

Prashant Biyani: This for DAP and NPK?

Harshdeep Singh: Yes.
Suresh Krishnan: Yes, this is put together.
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Harshdeep Singh: This is a combined volume. For DAP and NPK, the volumes grew from 13.17 to 20.64 lakh metric tons. That was a growth of 57% over last year. And industry basically grew by around 7%, that is DAP and NPK. 24.77 is the overall POS volume.

Prashant Biyani: Sure. What would be the current DAP plus NPK inventory in our book?

Suresh Krishnan: In our books will be 2 lakhs. But in terms of what we have sold and the inventory, which is lying, will be around 6.5 lakhs.

Prashant Biyani: Sure. Sir, what will be the subsidy received for this quarter?

Harshdeep Singh: For Q4, you're talking, Prashant?

Prashant Biyani: Yes, sir.

Harshdeep Singh: It's about Rs. 1,350 crores.

Prashant Biyani: And sir, at which stage are we on merger with MCFL?

Harshdeep Singh: Well, we are at the stage where we have already applied to the competition commission, and our approvals are at an advanced stage with SEBI, and we've got the lenders' approval for the same, majority of the lenders have approved the transaction from both the companies. So, it's, we are at the large stage for filing into NCLT now.

Prashant Biyani: And what will be the CAPEX plan for this year?

Suresh Krishnan: If you look at this year, Prashant, the way we are working on this is, we have one major project which is a sulphuric acid project which we will be completing. So again, the overall project budget that we

have is close to about, so we will be spending about Rs. 250 crores during this year in the CAPEX, which is largely for the project that has already been approved.

Prashant Biyani: And any thought on setting up a phosphoric plant on western coast of India?

Suresh Krishnan: We will respond to this question once the MCFL merger is concluded.

Prashant Biyani: Lastly which would be the new grades of NPK that we are planning to introduce?

Harshdeep Singh: We are also planning to grow 28:28:0 basically as a product, which is quite a high-water soluble product. We are also introducing a product called TSP, triple super phosphate which is 46% P₂O₅ and we are also launching our bio-nano products, both bio-nano urea and bio-nano DAP.

So, these are some of the products that we are focusing on.

Suresh Krishnan: And we believe that TSP is a product where the future is quite exciting. If the farmer finally gets to understand the benefits, and we are able to get the value proposition along with the farmer

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clearly understood. And so, this could be a volume play for us in quarters to come. But I think we are going to be introducing this in Kharif and based on the response, we will be ramping up the availability of the same.

Prashant Biyani: And sir, this phosphate heavy fertilizers are not very profitable for everyone in the industry. So even the phosphate heavy consumption regions, how are the farmers there accepting NPK or is the industry facing resistance in converting them to some grades of NPK or how is that happening if you can highlight that?

Suresh Krishnan: Just to share with you, see one of these products which is a part of our balance equipment's strategy is 20:20:0:13 so which has got nitrogen, phosphorus and sulfur and this was a grade which is mostly popular in southern markets. We have introduced it significantly in the north

markets also. In UP market, we are getting a good acceptance of this grade. You will see a lot of this product growing.

Another grade which is a marquee grade for PPL and Zuari is 19:19:19, Sampurna, which is a very well-balanced fertilizer and we are seeing a good offtake happening for this grade also. And this is a product unique to Paradeep Phosphates.

Prashant Biyani: And this also we have introduced in north?

Suresh Krishnan: No, we have introduced more in the western part of the country.

Harshdeep Singh: In the Southern markets.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Bank. Please go ahead.

Ankur Periwal: First question on the backward integration on both phosphoric acid as well as sulphuric acid.

Post this expansion, how much will be the backward integrated here, from a RM procurement perspective?

Suresh Krishnan: As far as phosphoric acid is concerned for the Paradeep site; our endeavor would be not to import any phosphoric acid at all. The entire requirement for our granulation will be made by our own production. So, we will be a fully integrated plant. The sulphuric acid plant that we are building today, it is primarily to provide the incremental sulphuric acid we need for the additional

phosphoric acid capacity that we have. Currently, we are buying sulphuric acid, but with the

sulphuric acid plant coming in, we'll only be importing sulphur to meet this requirement. So, our current strategy today is that as we speak from this financial year onwards, there will not be any import of phosphoric acid for Paradeep site. Goa will continue to import at this point of time. We import closer 200,000 tons of phosphoric acid out there. And that is something that will be continuing for FY25. With the expansion of sulphuric acid also, we'll become self-sufficient.

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Ankur Periwal: So, and on the Goa site, from a production perspective, we are largely at optimal utilization or there is

still scope for improvement?

Suresh Krishnan: Like we said that we've already reached a million tons. So, and what we have tried in Goa is various types of products last year. And that is why we have reached in capacity of about a million tons. But based on certain grades, Goa can produce up to 1.2 million tons. Goa is a major player in the N10 and N12 segments, and both these segments have not been viable all of last year. We expect that the N10 and N12 segments should come back because they are very crucial to the farm sector in a big way, and that will make a big difference to the overall capacity utilization from Goa, and we could see a 10% gain in the overall production at Goa's side.

Ankur Periwal: Great sir and whatever RM procurement will be required at Goa will all be imported. Are there any plans for backward integration there?

Suresh Krishnan: Goa at this point of time we don't have any backward integration. I think our next phase of backward integration will be certainly got to discuss that with you all when we conclude the MCFL transaction.

Ankur Periwal: Sure. Another thing on the nano urea and nano DAP side, which you highlighted. Any further details you can share because right now it's largely IFFCO and Coromandel have suggested of launching those products. If you can share some details, some highlights of that?

Suresh Krishnan: Yes, Mr. Harshdeep will respond to this.

Harshdeep Singh: So these products we have developed along with TERI, that's a research organization. And both are unique products because it's a bio-nano product. And just to share with you, the DAP will have 6% nano-nitrogen and 16% P2O5. And the bio-nano urea will have 8% nano-nitrogen. So that's what these products are. And we have done a lot of field trials. We got a very good response from the farmers.

Suresh Krishnan: And we have a good capacity right now, so we're expecting the launch to take place in the next few weeks in terms of a farmer offtake and based on the overall acceptance, I think the volumes will get ramped up. And we are certainly expecting that between the two products, we should first reach our milestone of a million units and after that we will evaluate in terms of what kind of a product strategy we will have.

Ankur Periwal: Sure. And what will be the current capacity and how are you looking at from a unit economics perspective? That will be helpful.

Suresh Krishnan: Basically, if you look at it today, we have a capacity to go up to 3.5 million tons of units of the T2 products combined. We are initially, so that that capacity is already there with us. So, we are going to start with a million ton and as the million ton gets absorbed and based on that experience, we should be able to provide enough for the market and the ability to ramp it up

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from a three and a half to doubling that, it will be in a very short notice. In a matter of about two quarters, we should be able to ramp up capacity at the existing site.

Ankur Periwal: Sure, and this product will be largely from a farmer education perspective will be a replacement of the conventional ones?

Suresh Krishnan: Well, if you look at it here, I think nano DAP, we should be very clear that it's a new product for the farmer and is going to work along with the existing DAP.

Harshdeep Singh: Absolutely. So, it is not going to be something which replaces the existing unit. It has to be seen as a product which complements the current farmer practice. The advantage is the nutrient use efficiency of the nano products is very high. So, in terms of the absorption by the plant it is greater than 90%. But because the application will be more to the foliar root, so they have to be used in conjunction with the existing fertilizer.

Ankur Periwal: Sure sir, and how are we pricing it and this will be largely at the Paradeep plant right or it's at the Goa one?

Sure

Suresh Krishnan: No, see this is being manufactured through our partner company Zuari Farm Hub at a site in Punjab and the distribution will happen pan India for this product and the pricing currently how

we are looking at, it is a MRP of Rs. 265 a unit for a Nano urea and for a Nano DAP a price point of around Rs. 625.

Ankur Periwal: Okay, you said it's more a complimentary, Rs. 265 and Rs. 625 you mentioned, right?

Suresh Krishnan: Yes.

Ankur Periwal: Great. Sir, last question on the capital allocation bit. Now, since there is still some debt there on the books and we do have some expansion plans there, how should we look at the priority? Will we be looking to repay the debt first and then gradual expansion or how should one look at it?

Suresh Krishnan: See Ankur, the way we look at it today is that the large CAPEX which is currently being executed is only to do with the sulphuric acid plant. And for which the debt tie-up is already there. So based on the project progress, we will be having the drawdown for the debt. Our idea is not to increase our debt levels from here on today. So whatever repayment that we will be doing during this year, maybe at best to that extent for any other project that is required, we will be drawing long-term debt. Otherwise, the idea would be to come to a situation where no further drawdown of long-term debt is there in the company beyond what is committed today.

Moderator: Thank you. The next question is from the line of Mr. Manish Mahawar from Antique Stock Broking. Please go ahead.

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Manish Mahawar: Yes, Mr. Krishnan just wanted to ask you, for next year, FY25, do you think we are able to sell a full capacity of 3mn tons in terms of volume?

Suresh Krishnan: Well, Manish, it entirely depends upon the way the Kharif progresses and the way we look at viability of the grades. And even this year, we could have done better and some of the grades have been more viable. So, I think I would like to see N10 and N12 manufacturer in India getting to be viable for us to reach the full capacity. And if that doesn't really happen, I think our utilization level will be between 25 to 30 lakh tons.

Manish Mahawar: N10 and 12 were unviable because of higher MOP prices, what I understand, right? and I think MOP price has corrected, so it should be viable now or still no?

Suresh Krishnan: If you look at it, N10 and N12 at the current prices which are prevalent in the market are not viable. And it will not be a wise thing to do and price change for these products, just before the monsoon. I think we'll have to look at how the monsoon progresses and then take a call on and what kind of pricing that one should take.

Manish Mahawar: And in terms of a market share perspective, what's our pan India market share and when there is incremental capacity or volume growth for the next year, which are the reason it is increasing market in the existing market only or we are adding to other states also?

Harshdeep Singh: Yes, so just to kind of quickly give you idea of market share, so we're talking of basically consumption market share. A market share grew from around approximately DAP and NPK put together by 3% and it's around 9.4%. And in terms of our footprint, we are deepening our footprint into Bihar and UP, and in Karnataka. So, these are markets that we're trying to focus.

And we will, of course, in a small way, be opening markets of Rajasthan also. But our footprint, if you know, is quite well balanced in terms of portfolio, which we shared in this thing. We are present in all the four zones of the country. That's north, west, east, and south.

Manish Mahawar: And while you are selling to the adjacent states like UP and Bihar, right, your profitability in terms of tonnage terms, EBITDA per metric ton, is it remain same at what you are selling to the existing markets?

Suresh Krishnan: Yes, U

P is a good market. I think the profitability is quite stable there.

Manish Mahawar: And one question in terms of your interest cost perspective because if you look at the H1 to now FY24 and your debt number remains same. How your interest cost has gone up in 4Q which is Rs. 95 odd crores. Basically, what was the reason that is first and second what could be the interest outgo one should take for the next year?

Suresh Krishnan: The interest cost in this quarter has gone up mainly because of this delay in the subsidy. And going forward also, after repaying this long-term loan, I think the interest cost will be around Rs. 75 crores in a quarter. Primarily if you look at it here, we are currently looking at an average

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interest cost of about Rs. 75 crores in a quarter. That's the kind of number that we are looking at. That will substantially change or come down based on the actual sale to the farmer and the subsidy disbursement. Currently what we are seeing is that the government has been reasonably efficient. We have been getting our money in about four to six weeks from the time we sell. But as you know that the last quarter, even though we had good amount of primary sale right up to the retailer level, there is a substantial build-up of POS quantity which is pending conversion to the farmer and hence the outstanding amounts have been high.

Susnato Lahiri: Also, you must appreciate the fact that the production quantities have gone up year-on-year and therefore we had to pay for more working capital.

Manish Mahawar: Yes, So, Rs. 300 odd crores of interest cost one should look at for the next year on average. And in terms of cost of phos acid, what was the price for Q1 and Q2, any contracts happened for Q2?

Suresh Krishnan: You are asking about Q1 this year?

Manish Mahawar: Yes, Q1 is the right one.

Suresh Krishnan: April to March, I think there has already been an announcement of \$968 per metric ton I think that will be the price prevalent for India. Whatever difference we will get will be at that price \$968.

Manish Mahawar: Okay, \$968 will be the price

Suresh Krishnan: I think correct price is \$948.

Manish Mahawar: Yes. \$948, and this is for Q1, right sir? April to June.

Suresh Krishnan: April to June shipments, right.

Manish Mahawar: And last quarter it was \$968 I believe right?

Suresh Krishnan: \$968, that's right.

Manish Mahawar: And last question in terms of election, post-election, are you expecting any changes in terms of policy environment like DBT or anything from the government side? Because it's very clear like government has cleared most of the company's subsidy this time and how do you see the situation or any changes, expectations sir?

Suresh Krishnan: Manish, this is an industry expectation that DBT 2.0 should happen, which clearly means that we would like to see a situation where government directly pays the farmer rather than routing the subsidy through us. So that has been our wish list for quite some time, it continues to be so.

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And we are expecting that as part of the government's new program, this will be taken in right on us.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments.

Suresh Krishnan: Thank you and thank you for participating. And in our earnings call, we have tried to address all your questions. In case you have any further queries, please connect with our investor relations team and we'll be happy to address the same. Thank you and have a good evening.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

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"Paradeep Phosphates Limited Q2 & H1 FY-25
Earnings Conference Call"

October 29, 2024

MANAGEMENT : MR. SURESH KRISHNAN – MD & CEO, PARADEEP
PHOSPHATES LIMITED
MR. RAJEEV NAMBIAR – COO , PARADEEP
PHOSPHATES LIMITED
MR. BIJOY BISWAL – CFO , PARADEEP PHOSPHATES
LIMITED
MR. ALOK SAXENA - HEAD, CORPORATE FINANCE &
IR, PARADEEP PHOSPHATES LIMITED
MR. SUSNATO LAHIRI - DGM STRATEGY , IR AND
ESG , PARADEEP PHOSPHATES LIMITED
MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

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October 29, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Paradeep Phosphates Q 2 FY25 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking. Thank you and over to you sir.

Manish Mahawar: Thank you. On behalf of Antique Stock Broking, I would like to welcome all the participants on the call of Paradeep Phosphates.

Today, we have Mr. Suresh Krishnan – MD and CEO; Mr. Rajeev Nambiar – COO; Mr. Bijoy Biswal – CFO; Mr. Alok Saxena – Head of Corporate Finance & IR; and Mr. Susnato Lahiri – DGM Strategy, IR and ESG.

Without further ado, I would like to hand over the call to Mr. Krishnan for "Opening Remarks".

Post which, we will open the floor for Q&A. Thank you and over to you, Mr. Krishnan.

Suresh Krishnan: Thank you Manish. A good evening everyone and welcome to Paradeep Phosphates Limited's Q2 and H1 FY2025 Earnings Conference Call. We have shared our earnings presentation and press release, both available on our website and stock exchanges, and I hope you have had a chance to review the same.

Coming to our quarterly update in Q2 of FY2025:

We benefited from favorable conditions, including good monsoons, healthy reservoir levels and robust crop prices. This environment allowed us to achieve positive volume growth across our diverse NPK fertilizer portfolio, including with our climate and soil friendly new products of nano fertilizers and Triple Super phosphate. This performance is a result of our strategic sourcing, backward integration, soil and cross specific product portfolio and a robust sales and distribution capabilities across pan India.

Coming to the volumes that we have achieved during Q2,:

Our production reached 6,93,311 metric ton, reflecting a 5% year-on-year increase. While our sales volume total 865,286 metric ton up by 7% year-on-year. We also experienced positive growth in the production of both phosphoric and sulphuric acid, which are intermediate products for us. For the first half of 2025 our cumulative production was 1.232 million metric ton, the total sales volume exceeding the production at 1.419 million metric ton. We successfully

produced and sold over 10 varieties of NPK this quarter, showcasing our flexibility to meet diverse market demands . Notably our new ly launched nano fertilizers and TSP have gained

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strong traction , the sales volume of nano DAP and nano urea surpassing 600,000 bottles in H1, while the Triple Super phosphate sales reaching 63,000 metric ton .

Coming to our Financials :

For the quarter our PAT PBT and EBITDA climb ed year-on-year by 155% , 146% and 65% respectively. Revenue from operation grew by 4.4% year-on-year, reaching Rs.3,843 crores. The EBITDA stood at 440 crores with a margin of 11.4% , our profit after tax was 227 crores with a margin of 5.9% . For H1 the total income from operatio n stood at 6 ,221 crores, and EBITDA was 606 crores yielding a margin of 9.7% . This growth in our quality of earnings is driven by our strategic raw material sourcing , our backward integration play and an effective operational management resulting in a 25% reduction in our net debt to equity. We ended the quarter with a robust cash generation from operations of Rs.1,238 crores.

With the aim to further enhance the quali ty of earnings. I am pleased to announce that our board has approved a CAPEX plan to augment our phosphoric acid capacity from

0.5 to 0.7 million

metric tons per annum. This initiative aims to achieve 100% backward integration in our fertilizer production with regard to the phosphate requirements, reducing our import dependency and boosting our operational capabilities. The expansion is expected to cost approximately Rs.250 crores to be funded through a mix of internal ap provals and external financing.

Look ing forward, I am optimistic about the upcoming Rabi season, which we expect to reflect the strong demand we witness during Kharif. W e will continue to invest in innovative soil and climate trendy products like our nano and Triple Super phosphate . We shall continue to leverage our backward integration capabilities and supply relationship as we navigate the current landscape of rising ra w material prices, we will continue to model our growth on strong footings of our ESG journey.

All in all, we are well equipped to serve the Indian farmer and soil effectively. I sincerely thank all our stakeholders for their continued support in our journ ey.

I would like to open the floor for questions. Over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Prashant Biyani from Elara S ecurities. Please go ahead.

Prashant Biyani: Mr. Krishnan , the additional benefit of 3500 on DAP that is there right now, have we recognized full 3500 for entire H1?

Suresh Krishnan: No, we have only taken for the quantity sold up to Rs.3000 per metric ton, which is what has been disbursed by the gove rnment .

Prashant Biyani: Up to Rs.3000 ?

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Suresh Krishnan: Yes.

Prashant Biyani: Okay. And sir for H2 how do you see the profitability or overall margins on a Y -o-Y basis?

Suresh Krishnan: Well, as you know the fertilizer raw material scenario right now is quite volatile. We are seeing a significant price movement in ammonia for sure that is something that is being noticed, and the industry is yet to finalize the quarter three prices for phosphoric acid. So , once we get to see that, we will have a clearer picture in terms of what kind of margins will evolve, but we are quite confident about the volume growth and that we are getting to see in the market. I am sure that the volumes which is coming in terms of our ow n production will get well absorbed . And we should be very clear that this is a bit of a peak season that we are talking about. So , the prices will be consistent with what we saw in the last quarter. And if there is a, based on the raw material prices, if a correction is required, we will have to review it as they evolve .

Prashant Biyani: And sir in the wake of rising RM prices. Woul d the government be willing to continue with additional DAP subsidy beyond December?

Suresh Krishnan: There is no clarity on th at right now, as the industry we will try to get to have a dialogue with the government on th is subject for sure, but as you know government has been very consistent in terms of how they have handled the subsidy under NBS. So, we normally get to see them , coming out with numbers twice in a year. That's what we have normally seen , so let's see how this evolves in terms of what is the kind of spike that we will get and what kind of an impact that it could finally have on the margins .

Prashant Biyani: And sir we were also hearing that the industry may be allowed to take price hike in DAP, January onwards. If that is the case, how much price increase would you like to take?

Suresh Krishnan: Well, it's important for us to get a decent margin and as you know that as a trader, we are allowed

an 8% PBT margin. As a manufacturer, between 10 % to 12% . So, I am sure whenever price hike is really looked at, the Rs.1350 per bag will get corrected, keeping that in mind and just as a pointer for you, today government is offering between Rs.150 to Rs.1

75 a metric ton as an

additional cost for D APs. And if that's something which is withdrawn, at least that would be something that will be factored into the price.

Management: Prashant just to add there, the storyline has evolved from our traditional DAP. If you look at our product basket, the contribution of DA P actually has reduced quite a bit. It's now 25% of the total product basket. And we are looking at even more value -added products like TSP and all , which are variants of DAP. And, more value adding to the soil.

Prashant Biyani: Yes, certainly. And my question next question was on TSP only. So if there can be some guidance on, how much are we planning to increase the trading in DAP in the next six months to a year, that will be quite helpful.

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Suresh Krishnan: Primarily, our position is very clear that we are a manufacturer, so trading will only be to fulfill our overall portfolio if you see a demand spike in some of our key markets. Otherwise, as we speak today, we are not planning to really look at any contracting of any DAP between now and the rest of the year.

Prashant Biyani: Sir, TSP I was talking about ?

Suresh Krishnan: TSP also, whatever that we had to contract for the current season has already been contracted. So, we would be doing up to 1,50,000 tons of TSP during this season.

Prashant Biyani: And should that be the annual run rate next year onwards also or we would look to increase given the TSP ?

Suresh Krishnan: TSP as a category is something that we have taken quite seriously and we will look at the evolving situation, the performance of the product in a broader market, and we will take a call.

We are focused on this product for sure , there is a lot of marketing activity we have taken up, and we are quite clear that we will keep the focus on .

Prashant Biyani: Sure. Lastly, how much is the subsidy received during the quarter, and how much is pending?

Management: In Q2 we have received subsidy of around 2,235 crores. And H1 we have received around 3,172 crores. So that's the subsidy received.

Prashant Biyani: Outstanding is 3,172?

Management: That is for the subsidy received in H1, and for the Q2 we have received 2,234 crores , subsidy received.

Prashant Biyani: How much is the subsidy pending or outstanding ?

Management: Subsidy pending is 1,700 crore as of 30th September.

Moderator: Thank you. Next question is from the line of Varun Pinto an Individual Investor . Please go ahead.

Varun Pinto: Sir one question that I had was the 250 crore CAPEX that we are going to do. When is that expected to commence, the production and would that increase our margins from here?

Suresh Krishnan: Yes, production is expected in the year 2026 and which will be partially during the last quarter of the next financial year, and fully from the first quarter , in the first half of the next financial year, which is 26-27 and obviously the margins will increase, because phosphoric acid production on an average, we have seen about Rs.10,000 increase per ton here . And so, a 200,000 facility would mean that we will have a higher contribution of 200 crores.

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Varun Pinto: Okay, understood sir. And sir, I just wanted to know, were there any one offs in this quarter that are not expected in the further quarters ?

Suresh Krishnan: Not really. It's been a normal quarter and there are no one-off either from any side, neither from the government nor from us.

Varun Pinto: So, sir we expect these similar margins to continue even in Q3?

Suresh Krishnan: Margins will depend upon the raw material prices that we will have, and the kind of production volumes that we will get, we are quite confident that we will be able to produce the kind of numbers that we have been producing now on a consistent basis

quarter-on-quarter, the margin

will depend upon the raw material prices here.

Varun Pinto: Understood . So, we have visibility on the volume side, but not on the margins?

Suresh Krishnan: Yes.

Varun Pinto: Understood sir. And sir last question from me was, what is the status on the merger . I believe there were some observations from the exchange. So, could you give me a rough timeline on when you expect the merger to close, Q4 of FY25?

Suresh Krishnan: No, primarily we had some references coming in from BSE which are being resolved. I primarily think that in the month of November, December, we will have a full clarity in terms of what the timelines will be .

Moderator: Thank you. Next question is from the line of Vishal Darjee from Robo Capital. Please go ahead.

Vishal Darjee: I just wanted to ask that , what is the current level of EBITDA per ton and how do you see the trend going forward?

Suresh Krishnan: We have always maintained that a blended EBITDA for us is about , will be in the range of Rs.4500 to Rs.5000 per metric ton. We have achieved a Rs.5000 per metric ton levels during the first half year that we are looking at.

Vishal Darjee: Okay. And can you share some light on the current capacity utilization?

Suresh Krishnan: We have basically two locations where we manufacture , at Paradeep we have a 1.8 million ton capacity based on the product mix that we will have, and at Goa we have a 0.7 million ton capacity for phosphatic and a 0.4 million ton capacity for urea. So totally, if you look at it, we are based on a product mix that we can look at, we can go up to 3 million tons of fertilizer production.

Moderator: Thank you. Next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

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Vignesh Iyer: My question is I want to have more of a micro understanding of what has played out in this quarter. So basically, I understand that all the linkages that we had, the backward integration, all these things were in place for the longest of time, and even for the backward integration of phosphoric acid, or linkages from our co-promoter, for the raw material. But what has changed in this quarter ? Is it because of the newly launched product , with our mix of our core product, or any some strategic change that has occurred , that has resulted in striking that EBITDA per tonne of Rs. 5000 per ton, which we have been targeting for the longest of time?

Suresh Krishnan: It's important for you to realize that there were two major initiatives that we are driving. The first initiative was to get our phosphoric acid capacity up from 300,000 tons to 500,000 tons.

This capacity fully matured, and we have been able to get the full benefit of manufacturing this over the last three, four months. So that benefit is something that is flowing into a system. So, we today have the entire requirement of phosphoric acid as far as our site in Paradeep is concerned , that's the first one. Second one is, we have been stating this all the time, that we have been a DAP heavy company, and we continue to be focused on DAP because that's one of our key products. But we have been diversifying our manufacturing to get more NPKs and NP products coming in outside of DAP, and also placing that in the market, right across India. And we have been able to get that strategy going well for us today. That is the second important thing that we need to realize. And third is that we have been trying to get a unique product mix for our granulation trains , which are located in West Coast in Goa. And here again, we have been able to get our strategy right. And one thing you must realize is that DAP margins improved because of an additional even though we did not have a price high, it was an additional subsidy was provided by government of R.3000 per metric ton which kind of helped us very clearly.

And the

other thing is , we have very clearly a good amount of storage facility which is available, which also helps us to manage the rising prices of raw material by procuring in the right manner, both in terms of what we get from North Africa and also the ammonia that we buy from other places here. And trading, which we have introduced in terms of working with MOP as a category, getting into nanos. These have started contributing now .

Vignesh Iyer: Okay. And what would this proportion be for DAP to NPK for a year back, and what is it now , just to understand how this product mix has resulted in a higher EBITDA, because there are multiple factors, but a more constant factor would be a change in product mix. Because if I take Rs.3000 EBITDA , Rs. 3000 per ton. That subsidy has come from government that might get extended, or not get extended, but the product mix is here to stay. So just to get more better understanding of that.

Suresh Krishnan: So, just to give you a feel in FY24 Q2 our product base had 31% of DAP , whereas when we came to Q2 of FY 25 our DAP percentage came down to 25% . So, we have been decreasing the DAP intensity of our product mix. And then the deduction in intensity is going more towards N20, which has become our main flagship product and that's been increasing over a period of time, which we have been manufacturing both at the East coast and West coast of India.

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Moderator: Thank you. Next question is from the line of Darshita from Antique Stock Broking. Please go ahead.

Darshita: I wanted to understand if we have incurred any benefit during the second quarter from the NPK price hikes that we probably would have taken in the last one to two quarters?

Suresh Krishnan: When it comes to price hike, we have made some marginal changes in our pricing in N20 and otherwise rest of the products have been priced the same way. So N20 yes, we have taken some advantage.

Darshita: Okay. And what would your expectation be for the phos acid prices for third quarter?

Suresh Krishnan: Ma'am I think it will be known in a week's time, I don't want to speculate on this at this point of time.

Darshita: Okay, got it. My next question is regarding if we, given that we have announced the CAPEX to expand our phos acid capacity, can we expect an announcement to come in in the next five to six months to expand the granulating capacity as well at the Paradeep facility?

Suresh Krishnan: Currently we are only looking at ensuring that the expansion that we are looking at the acid capacity will make sure that we have enough acid available for our West Coast facility. So as a company we become fully integrated. We are not looking at increasing our capacity right now.

Darshita: Okay. But with the incremental two lakhs ton, wouldn't we be having more than enough capacity for our Paradeep unit?

Suresh Krishnan: We will certainly have surplus in Paradeep which will go to Goa.

Darshita: Okay. And in your press release, there was a statement with respect to sulfuric plant commercialization happening in early FY26, I think we were expecting that to happen in the second half of FY25 right?

Suresh Krishnan: No, this is, we have always mentioned that this will be happening in FY26 and we are well on course for that.

Darshita: Okay, got it. What would our debt expectation be by FY25 end?

Suresh Krishnan: So, if you look at it today, the way we have progressed there has been substantial reduction in our debt. And the reduction that we have reached as of September our net debt to equity is 0.82.

We have been expecting that these levels should be maintained as we close the year.

Management: Debt would be around 3000 crore.

Darshita: Right. And do we expect to close the year close with 3000 crore or can we expect some increase?

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Suresh Krishnan: The expectation would be that we kind of maintain these levels or improve these levels. But given that the markets are quite volatile, thanks to all the geopolitical situation that we are seeing, we will have to wait and watch, just take it quarter-to-quarter, we had substantial amount of cash generation during the quarter two, where we generated more than 1200 crores of cash, and we got surplus in terms of money available. And we expect that this surplus money should take us through for quite some time. But, I would wait both for the formal conclusion of the raw material prices and the way the rest of the season progresses.

Darshita: Okay. My next question is regarding our volume that we were looking to sell in the UP market or probably enter the North market. Done that in the second quarter, and if you could just give us some number as to how much we have sold in the UP market?

Suresh Krishnan: I have Harshdeep Singh here he will respond. He is our Chief Commercial Officer.

Harshdeep Singh: Ma'am, just to share with you, the focus has been to basically serve from the Goa N20 product into the UP market. And we have consistently supplied volumes in the Q2 also, and Q3 also, which is a big quarter for the UP market. The supplies are being made from Goa. Even Punjab is being served from the Goa plant, apart from the Paradeep plant. And the interesting thing is, the category is growing, the 20:20:0:13 category is growing in the Northern market. That's what we are trying.

Darshita: But, do we think it is structural in nature, or is it because of the DAP and availability issue currently?

Harshdeep Singh: See both things are important, DAP there has been a constraint of availability. But if you look at the overall focus for PPL as an organization, we have been driving the category growth for NPKs. And just to give you a perspective, while industry growth for the NPK has been in the range of 18% I am talking about the farmer sales, so Paradeep Phosphates, the farmer sales have grown by almost 35% that's double the growth rate for industry. So that's a conscious thing that we are driving, by communicating the benefits of the NPKs, or balance nutrition to the farmers, so that's what we are trying to do as a strategy.

Darshita: Okay, got it. And I just had one last question regarding the sales volume. If you could give us a breakup of Paradeep unit sales and the Goa unit sales, the manufacture sales.

Suresh Krishnan: Ma'am, we will give you the total number of whatever manufactured sales that we have had.

Management: So, I will give you the YTD primary sales what we have done for H1 is 14.2 lakh metric ton out of the Goa has contributed to 6.6 lakh metric ton, and Paradeep is 7.6 lakh metric ton that includes also the part of a traded volume for both.

Moderator: Thank you. Next question is from the line of Shubro an Individual Investor. Please go ahead.

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Shubro: Sir, so just one question regarding the subsidy additional 3,500 which the Government had announced, had it been revised down to 3,000 later on?

Suresh Krishnan: No, they haven't revised anything. We have been paid Rs.3,000, currently the balance will be paid at the end of December 2024.

Shubro: Okay. And regarding the part of subsidies for the Q1, so that has been factored in for Q2 financials right?

Suresh Krishnan: Which part, I didn't get your question?

Shubro: The DAP which has been sold in Q1.

Suresh Krishnan: This 3,000 is available for DAP which we had sold to the farmer from 1st of April 2024, so bulk of the sale happened in the second quarter.

Shubro: Okay. And of which a lot of your peers have been announcing additional capacity as well as backward integration. So, is it to do with reasonable profitability margins of the government, or is there any other discussion as well which you are having with the government?

Suresh Krishnan: See, if we look at the phosphoric industry, we haven't seen too much of CAPEX in India in general. And at this point of time, out of a total basket of 21 million, which is the market size, close to about 7 million gets imported into India. And we have a substantial amount of import of even phosphoric acid as a raw material which gets into India. And so, the idea would be that we become self-sufficient in terms of raw material and also the final product. So, the whole strategy is to ensure that we do all the intermediate products right. And availability of rock is much easier than availability of phosphoric acid. So given that scenario, we believe that a backward integration to produce phosphoric acid will always be beneficial.

Moderator: Thank you. Next follow up question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Sir just question continuing with that of Darshita's, regarding the incremental two lakh ton of acid from which you will ship some of the acids to Goa based on your production plans, how much of the incremental acid can be shift to Goa plant?

Suresh Krishnan: We can shift the entire quantity. We are good with five lakh tons as far as Paradeep is concerned.

Prashant Biyani: And these will go through ships?

Suresh Krishnan: Yes.

Prashant Biyani: Sir how much would be the freight cost for this?

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Suresh Krishnan: Well, we are seeing the freight cost, freight cost as you know is varying from time-to-time, but if we see a number which is under \$20 per metric ton.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference to the Management for the closing comments.

Suresh Krishnan: Thank you all for joining today, and if you have any further questions, please do connect with our Investor Relations team, and we will be happy to assist you. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

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"Paradeep Phosphates Limited
Q3 and 9MFY25 Earnings Conference Call "
February 05, 2025

MANAGEMENT : MR. SURESH KRISHNAN – MD & CEO – PARADEEP
PHOSPHATES LIMITED
MR. RAJEEV NAMBIAR – COO – PARADEEP
PHOSPHATES LIMITED
MR. BIJOY BISWAL – CFO – PARADEEP PHOSPHATES
LIMITED
MR. ALOK SAXENA – HEAD CORPORATE FINANCE &
IR – PARADEEP PHOSPHATES LIMITED
MR. SUSNATO LAHIRI – DGM STRATEGY , IR AND ESG
– PARADEEP PHOSPHATES LIMITED
MR. HARSHDEEP SINGH – PRESIDENT AND CHIEF
COMMERCIAL OFFICER -- PARADEEP PHOSPHATES
LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Paradeep Phosphates Limited Q3 and 9 Months FY '25 Earnings Conference Call hosted by Antique Stock Broking Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this

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conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited. Thank you, and over to you, Mr. Mahawar.

Manish Mahawar: Thank you, Nirav. On behalf of Antique Stock Broking , I would like to welcome all the participants on the call of Paradeep Phosphates. Today, we have Mr. Suresh Krishnan, MD and CEO; Mr. Rajeev Nambiar, COO; Mr. Bijoy Biswal , CFO; Mr. Alok Saxena, Head Corporate Finance & IR; Mr. Susnato Lahiri , DGM Strategy, IR & ESG on the call.

Without further ado, I would like to hand over the call to Mr. Krishnan for opening remarks, post which we will open the floor for Q&A. Thank you, and over to Mr. Krishnan.

Suresh Krishnan: Thank you, Manish. Good morning, everyone, and welcome to Paradeep Phosphates Limited Q3 and 9 Months FY 2025 Earnings Conference Call. We have shared our earnings presentation and press release, both available on our website and Stock Exchanges , and I hope you've had a chance to review them.

Building on our momentum, Q3 FY '25 was another good quarter with a robust production, primary sales and POS sales growth, leading to improved revenue quality. Our focus on value - added NPK fertilizers remains consistent, and we produced 7 unique NPK grades in addition to DAP, ensuring greater flexibility to meet the farmers' needs.

In Q3 FY '25, the production rose by 25% year -on-year to 675,808 metric tons, while the sales surged 47% year -on-year to 870,586 metric tons. For the first 9 months, production reached 1.91 million metric tons, up 4% year -on-year, with sales climbing 13% year -on-year to 2.29 million metric tons.

We've also seen strong market traction with our newly launched Triple Super Phosphate. Our Biogenic nano -fertilizers continue good performance with sales surpassing 1.4 million bottles in the 9 -month period with Zymite production hitting all -time high of 36,000 metric tons during this period, reinforcing our commitment to circular economy and sustainable ESG practices. On backward integration front, our sulfuric acid capacity expansion from 1.3 million tons per annum to 2 million tons per annum remains on track for completion by Q3 FY '26, supporting

our phosphatic acid integration strategy. Additionally, we completed the first phase of our energy saving initiative at the Goa plant, which is expected to yield efficiency gains and cost savings in the coming quarters.

Coming to the financial performance, Q3 FY '25 income from operations stood at INR4,105 crores, marking a 58% year-on-year growth, with EBITDA at Rs. 372 crores and EBITDA margin of 9%. PAT for the quarter came in at Rs. 159 crores, up 47% year-on-year with PAT margin of 4%. For the 9-month period, income from operations totalled Rs. 10,326 crores with EBITDA of Rs. 978 crores, reflecting a 9.4% margin for the period.

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PAT for the period stood at Rs. 392 crores with a PAT margin of 3.8%. So EBITDA was at Rs. 978 crores, reflecting a 9.4% margin and PAT was at Rs. 392 crores. The performance reflects our efficient raw material sourcing, strong backward integration, diverse product mix, extensive distribution network and deep rooted relationships with channel partners and farmers. Favorable rainfall, stable reservoir levels, lower-than-normal fertilizer inventory ahead of Rabi, continued government support have all contributed positively to demand.

Looking ahead, we remain focused on optimizing our fertilizer mix, managing the raw material price fluctuations and driving operational excellence. With strong fundamentals in place, we are well positioned to deliver positive finish to FY 2025.

With that, I would

now like to open the floor to questions, over to you.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Sir, we have committed Rs. 4,000 crores of capex in Odisha. Can you share some details on project-wise breakup and time line of investment for each of them?

Alok Saxena: Let me take this. So out of the Rs. 4,000 crore investment, what we are envisaging is a Rs. 3,000 crore investment will be on the fertilizer operations, which includes phosphoric acid, sulfuric acid and the downstream granulation unit. And the balance Rs. 1,000 crores is estimated to be around green space, which includes green ammonia or a technical-grade or merchant-grade phosphoric acid.

So these are the kind of investments that we have indicated to the Government of Odisha. Having said this, these numbers are preliminary in nature, and we'll have to do a detailed project feasibility analysis before we get into the project mode.

Prashant Biyani: Okay. And sir, on MCFL con call, management has told that post merger we may plan some investments in Morocco as well. So can you highlight some details on the Morocco investment plan of ours and time line for the same again?

Alok Saxena: So we are still in discussion phase. I think we'll get back to the audience for today's call at the right stage once we have taken the proposal at the Board level.

Prashant Biyani: Okay. And sir, on the merger with MCF L, when can we expect the approvals from?

Alok Saxena: Prashant, as you know that in November, we called up for the Board meeting wherein the modified scheme was submitted. And the file is now being reviewed by SEBI. Hopefully, we are all expecting SEBI approval to come through shortly. And once that is there, then we'll have to go to the NCLT procedures.

Prashant Biyani: So then the merged financials can come in at the earliest by, from when?

Alok Saxena: See, in the scheme, we have said that the merger, once contemplated, will be effective from April '24. So that's the provision we have made in the scheme. And there is a 12-month window that is available from the date of filing of NCLT. So in case we are able to file the NCLT by this

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March, then obviously, we can take the benefit of April '24 as envisaged in the scheme, but that will be effective only after getting the NCLT approval.

Prashant Biyani: Okay. And sir, according to our last quarter presentation, average rock price in general was around \$188 and sulfuric acid at \$98. For this quarter, how much could both these be, for rock and sulfuric acid?

Suresh Krishnan: Well, when it comes to rock, it's a formula that really works for us, and it's predicated to the going rate for phosphoric acid in India. So as you know that we have actually corrected ourselves to \$1,060 phosphoric acid price, which is going to be \$1,055. So rock levels are going to be pretty similar to what we saw last year.

It's not going to be a major change. And sulfuric acid is purely market driven. And so it's a dynamic situation. But I don't see a phosphoric acid phosphate rock price change in a big way

going forward this quarter.

Prashant Biyani: Sir, just for the ease of convenience, would you be able to share the phosphoric acid average price for Q3?

Suresh Krishnan: Currently, the phosphoric acid price for this quarter is \$1,055 per metric ton, which is the purchased phosphoric acid that we get.

Prashant Biyani: I'm sorry, I meant sulfuric acid.

Suresh Krishnan: Sulfuric acid, we don't buy too many. Biswal, you want to share some number, you can. Because we are a manufacturer of sulfuric acid based on sulfur being available. We purchase sulfur. The sulfur is something which is \$110. So the purchase price is around \$110. That is we buy

as and

when we have a need. Otherwise, we normally manufacture sulfuric acid.

Prashant Biyani: Okay. Sir, for the quarter, how much subsidy have we received and how much is pending?

Bijoy Biswal: We have received around Rs. 1,750 crores of subsidy for this quarter. And what is pending is around Rs. 1,700 crores.

Prashant Biyani: Right. And sir, what would be the gross and net debt for the quarter?

Bijoy Biswal: Okay. So we have got a gross debt of around Rs. 4,000 crores. But after removing the cash, it will be around Rs. 2,600 crores.

Moderator: Next question is from the line of S. Ramesh from Nirmal Bang .

S. Ramesh: So while your commentary is positive, results are good, the one thing that I'm curious about is the margins are down in percentage terms without taking anything away from your percentage growth. So what is the reason for the decline in margin? Is it just a function of the increase in the top line?

And secondly, in terms of benefit from the captive sulfuric acid and phosphoric acid manufacturer, what would be the impact this quarter in terms of dollar per ton or percentage?

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And how do you see that improving once your entire backward integration project is completed with the expansion of the phosphoric acid plant?

Suresh Krishnan: Well, when you look at this financial year from April 1, I think first and foremost, what we need to understand is that we have been affected by primarily three factors. The first factor is currency.

The second factor is the global commodity prices for raw material, which have been there. The third factor is the way the prices have moved in the Indian market for the finished goods.

So if you look at the third quarter for us, we've had a contraction of margin, which has come in and it's largely to do with DAP. It is important to understand that we have a good amount of DAP in our manufactured portfolio which is also a product that is the rest as part of a larger revenue mix for us.

And DAP is one product wherein we are seeing a contraction right through. And a strange thing about DAP, which we are seeing today is the raw material prices have gone up, the currency is weakening. However, the affordability of the farmer has been good. So this, in our view, is not a good situation to be in. What it does to the farm economy is that the balance fertilization that we all look at might just get disturbed if this kind of a trend continues.

So in our view, the DAP margins will expand or will have to get corrected. And the correction can come two ways. One is commodity prices correcting itself or the overall revenue mix that we'll get in terms of the revenue from the marketplace and the revenue from the Government for this particular product will have to kind of change to correct this. So I think the DAP change is something important to watch out and it should happen from April 1, 2025.

S. Ramesh: Okay. And the other question on the value capture on captive sulfuric and phosphoric acid, how much would that...

Suresh Krishnan: That continues, that continues. The domestic value capture for making phosphoric acid between what we can import and what we do, we've always maintained that there's about a Rs.10,000 margin that we can get. This actually has been expanding with currency today. So it could be going up to Rs.12,000 and at times even could go to Rs.14,000. So that value capture goes on. And as far as sulfuric acid is concerned, it's slightly more muted because of sulfur prices, so maybe about around Rs.2,000 a metric ton.

S. Ramesh: Okay. So that means once your sulfuric acid project is executed and your phosphoric acid plant is in full production, you'll get this benefit based on the tonnage. So when do we expect the full benefit from fourth quarter of FY '26 or first half of FY '27?

Suresh Krishnan: Well, you look at it, the phosphoric acid ca

capacity has been completed, so we're getting the benefit

of it today. But the key thing that we're not getting the full benefit in the phosphoric acid is

because we still import a part of the sulfuric acid, which we require. So this increase in capacity by about 0.6 million tonnes is what we are expecting to do today. It's going to be there in Q3 of

2026 or next year, by about September, October we'll be ready. So the second half of next financial year, you will see the full benefit flowing in.
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S. Ramesh: So one last thought. If you're looking at your current net debt and the cash flows in the future, now that you have possibly come to the end of your current capex, any further thoughts in terms of capex for the next 2, 3 years?

Suresh Krishnan: No, I think I would like to state this for the benefit of everyone. We are running a net worth of close to about Rs.3,900 crores, and our long-term debt is about Rs.600 crores to Rs.650 crores to date. And we have always maintained that we would like to keep our long-term debt within a range, maybe 0.3% to 0.35% of the overall net worth that we have. So we are planning our projects based on that.

So we will be careful in terms of capital allocation when it comes to it, and we will look at projects based on our debt flexibility that we have. So today, the key project that we are following up besides the sulfuric acid project is the expansion of phosphoric acid from 5 lakh to 7 lakh tons, which we announced in the last Board meeting.

That is one capex that we are doing, which is going to make a material change to us, and that will be available, it will not be now. It will be middle of 2026 is when this will get streamlined for us. Along with that, the other major thing that we're doing is the energy optimization, reducing the carbon footprint in Goa, wherein we expect that we will modernize our compressors in our fertilizer complex.

So that project is going to be taken up in December of 2025. So between '25 and '26, and these are all financed projects. So there is no new thing to be done here. So these are projects which are going to finally add value and give the positive support to the growth in EBITDA for us.

S. Ramesh: If I can get few more thoughts from you. One is in terms of this capex for this year and next year, what was the number? And second thing is on the energy efficiency project, what is the benefit you expect, say, in terms of rupees per ton? And when would that flow through into your numbers?

Suresh Krishnan: If you look at it, as far as the project is concerned, the residual project that we need to finish in the sulfuric acid will still cost us about Rs.200 crores to Rs.250 crores. That's the residual capex that we will have there. And when it comes to the other project, which is the new phosphoric acid capacity from 5 lakh to 7 lakh tons is going to be roughly about Rs.240 crores to Rs.250 crores.

So these are the two Rs.400 crores, Rs.500 crores investment that is going on at this point of time. And these are investments with high numbers of return on capital employed. Coming to the energy efficiency side, we have planned to incur close to about Rs.180 crores on energy efficiency.

The idea here being this project of Rs.180 crores should at least give us 25% return on capital employed. So that's the return that we are expecting to get from this project.

Moderator: Next question is from the line of Bhavya Shah from 3A Financial Services.

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Bhavya Shah: Sir, my question is, in the recent financial budget, FY '25, Government has reduced allocation for fertilizer subsidy to Rs.167,000 crores from FY '24 of Rs.188,000 crores. So our company could have some negative or positive impact of this subsidy?

Suresh Krishnan: Well, coming back to the subsidy at

location, which Government does, I think it's an adequate subsidy they have provided for. These are normally an estimate based on the current trends that they get to see. So if you look at it today, from a budget estimate to a budget estimate, there is a marginal improvement.

But from the revised estimate of last year to the current budget estimate, you may see some kind of a small reduction, which is there. But I think we see this as a comfortable position going forward. And typically, Government makes an assessment of all this in the first 9 months. And if there is no geopolitical issue that you get to see, then you might get to see fertilizer prices in a more stable range, and these numbers will come good.

Moderator: Next question is from the line of Riju Dalui from Antique Stock Broking.

Riju: Sir, my question is regarding the current budget, Government has reduced the import duty on phosphoric acid from 20% to 7.5%. So how that will impact our earnings or like our company in terms of profitability?

Bijoy Biswal: So phosphoric acid, I don't think there is any decrease in the rates.

Suresh Krishnan: Phosphoric acid is 5% to 4% for the fertilizer use.

Riju: Sir, if you look at the budget document, so there was a reduction in duty, so 20% to 7.5%. So is that the same grade or like...

Bijoy Biswal: No, this is not the same grade what we import. Right now, what we import is around 5%.

Management: So this is, I think, on the manufactured phos acid, which is used for the food segment. What we produce is fertilizer grade phosphoric acid, which we import from Morocco and all.

Riju: Okay. But sir, we import rock phosphate, right? So if we are importing rock phosphate and if phosphoric acid prices are going down, imported prices, then we might have a negative impact in terms of EBITDA per ton. So that I wanted to understand.

Bijoy Biswal: No. This is phosphoric acid, what you are talking is something different. What we import, the custom duty is 5% right now. So it has to be understood that is maybe the food grade phosphoric acid. So it is not going to impact the import of the phosphoric acid for the fertilizer grade.

Riju: Understood, sir. And second question was in terms of sulfuric acid capacity addition that you have announced last year, 0.6 million tons. So like that is on track or like how it is?

Suresh Krishnan: Yes, it's on track.

Riju: Yes. So this is likely to commission by end of this financial year?

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Management: This is expected to commission by September as committed to the Board. And I think it is on track, and we don't see any uncertainty in that.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Sir, my first question is on the backward integration part. I wanted to know what is the total savings that we did due to the backward integration of sulfuric acid and phosphoric acid in Q3 as well as 9 months? If you could give us a number for that?

Suresh Krishnan: Well, our capacity of phosphoric acid has increased by about roughly, we've increased our capacity by 600 tons per day, which is per day, that's a capacity increase that we have done. And that reflects into about 18,000 tons per month. So in a quarter, we get about 50,000 tons to 60,000 tons more.

So that has an impact of close to about Rs.50 crores in the overall mix. And the benefit of sulfuric acid and phosphoric acid get merged into that benefit, and that's what we get. And this is the difference between the phosphoric acid that we would have imported in case we have not increased our capacities.

Vignesh Iyer: Okay. So if I understand it right, I mean, this quarter, we have seen some increase in sulfuric acid prices has been reported. And also one of our peers, who is also backward integrated in this, they saved quite a lot of amount. So I mean, the margins, i

f I have to compare, not on a percentage basis, but on absolute basis, has seen a very good improvement on year-on-year basis.

Would it be correct to say that this primarily is due to the backward integration that the margins...

Suresh Krishnan: Currently, the backward integration is what is playing out for sure, yes, because the MRP hasn't changed very much. MRP against dollar that hasn't changed very much. So it is the backward integration that is playing out for the margins.

Vignesh Iyer: Because the trend of sulfuric acid in last 4, 5 months seems to be more on upwards...

Suresh Krishnan: Yes. Currently, I mean, we have only a 1.3 million ton capacity. So once the new capacity comes in, I'm sure we'll gain from there also.

Vignesh Iyer: Just one more question on my side. I understand the new capacities coming in quarter 3 FY '26.

On a normalized basis, what would be the kind of EBITDA margin we can see once all our backward integration kicks in on a full year basis, that is?

Suresh Krishnan: We have always said that for an integrated plan, we're introducing newer grades and more soil-specific grades, the range that we said is about Rs.4,500 to Rs.5,000. But I believe that once the backward integration for us across the site, I mean, the overall requirement of phosphoric acid and sulfuric acid gets back towards, then we should obviously be pushing ourselves into a range of Rs.5,500 per metric ton above.

Vignesh Iyer: Okay. Sir, just one last question from my side. So as of 9 months FY '25, I see our utilization is somewhere hovering around 83%, 84%, can we expect us to close some about this level for FY '25? And can we see the sales trend picking up going in quarter 4?

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Harshdeep Singh: Yes. Just to share with you, the sales, if you look at it for the current quarter, we've grown by 47%, coupled by both the plants optimally supplying and also supported by the new products that we have introduced in the market. And we see that growth continues coupled with full

capacity utilization and the traded volume.

Moderator: Next question is from the line of Aman Jain from Arihant Capital.

Aman Jain: Sir, just wanted to understand, sir, we have launched a new product Nano DAP in nano - fertilizers. So sir, what is the total capacity that we have for this product? And have we begun the commercial sales for it? And what is the overall market outlook for the product in the long term?

Harshdeep Singh: See, the first and foremost thing that I would like to share with you, we have almost touched 1.4 million nano bottle sales up to December. And the way we look at it is to kind of establish the benefit and we see a healthy 25% to 30% growth being driven into the next year also. We have a capacity, which is around 2.5 million bottles, that's 25 lakh bottles.

And we have the capacity to also further expand this sourcing, so that's how we're planning it out. And I think the first thing is you'll be happy to note that we have a unique product, which is what we call a Biogenic Nano, and we are getting a very good response, especially for our Nano DAP. And we've got a very good growth in the current year.

Aman Jain: Understood. Sir, 2.5 million bottles is the total capacity for Nano DAP and Nano Urea or just Nano Urea?

Suresh Krishnan: Both put together is fungible.

Harshdeep Singh: So the capacity is flexible. So depending upon the market requirement, you can interchange between the 2 products. And we have the ability to expand this further.

Moderator: Next question is from the line of Dhruv Muchhal from HDFC Asset Management.

Dhruv Muchhal: Sir, this quarter in terms of demand in segment seems very strong. But if I look at the production numbers for the complex fertilizers, 0.6 million tons that you have done for the quarter and a simple annualization takes me to about 2.3 million, 2.4

million tons annualized complex

production volumes. This is against a capacity of 2.6 million tons. So I'm just trying to understand, is this a reasonable utilization level in terms of an annualized run rate? Or can we go higher than this?

Suresh Krishnan: Well, Dhruv, in terms of capacity utilization, what we have to keep in mind is that the capacity of the plant depends on the kind of grades that we make. There are grades which are volume drivers, but there are grades where the volumes are less. So the kind of grades that we have made, I think we have achieved good capacity utilization this year. And you're right that we have an ability to go up to 2.6 million tons, and that's what we will try. And that will come up only when the grades like 10 -26-26 come back in a bigger way in the manufactured segment.

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Dhruv Muchhal: Because I'm just trying to understand, this time you've done a lot of trading volumes. So there was probably an ability to optimize your production according to the best of your requirement, hence the extrapolation from this quarter numbers. So I'm just trying to understand, is that a right extrapolation or there's some more there?

Suresh Krishnan: What we're saying is that we are currently, based on the quarter number extrapolation, leaves us at about 2.4 million tons of fertilizer annually, which is a fair number. But our ability is to go between 2.4 million tons and 2.6 million tons. Why it is showing 2.4 million tons is that we did not do the volume driver in terms of N10 as a manufactured product. Had we done that, you would have seen a far more production here.

That's the only thing. Otherwise, a fair thing. And let me tell you, this quarter, the imports were not the most exciting thing for us to do. So that's also an important thing to keep in mind. So we did some imports all right, but the imports were only to supplement the needs of our channel rather than so much from the profitability angle here.

Dhruv Muchhal: Got it. And sir, the second question was more on the structure of the market. We are seeing that for you also, and it seems also true for the industry that the NPKs are growing much stronger than the DAP. Some of this could probably be because of the shortage of DAP. But just excluding the shortage portion, I'm not sure how we can, but is there a structural shift towards NPK that we are seeing for the farmers for the benefits that they get from...

Suresh Krishnan: It's an interesting question. And I think my straightforward response is, yes. I mean, I think Harshdeep can throw some more details on this.

Harshdeep Singh: So I see a lot of effort has gone in by us, especially in terms of promoting balanced nutrition. And there is a high awareness amongst customers in terms of adopting the multinutrient NPK because they're getting better results. So specifically if you look at the category product, which we also driving the product called 20 -20-0-13, so this has got sulfur along with nitrogen and phosphorus. We're seeing a very good growth in this particular segment of NPK.

Then unique products from Goa, which only we manufacture is triple 19, so balance fertilizer. So we are seeing a greater adoption by farmers for the balance nutrition. Of course, like what you rightly said, partly because of late seed availability, that also has played a role. But if you

look at your organization PCL, our growth rate has been much higher as far as the farmer sales is concerned for NPK. Like we grew farmer sales of NPK by 48%, while the industry grew by 30%. So there is a lot of effort which is going on in terms of promoting NPK with the farmer.

Dhruv Muchhal: So the idea was because this has come along with the DAP shortage, but the trend towards NPK is very strong. So just was trying to understand how structural this is? Can this continue probably...

Suresh K

rishnan: I think it's important for you to realize one thing. When we talk about DAP shortage, I think DAP needs a price correction. That's our strong view. And when the DAP price correction comes in, everything will fall in place. And so that is the first important point that we have. And the second thing is, for 2 consecutive years, we are seeing that some of the larger DAP consuming markets have taken NPKs, the consumption has been there.

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So when you see a farmer going through 3, 4 seasons of a new product and he comes back to buy the same product again, that is necessarily a shift that you see, and that shift is positive. So the current situation of DAP, while it, in my view, is not the best situation to be in, in terms of promoting balanced fertilization, but it has certainly given some trends, which in the long term can be beneficial.

Moderator: Next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Firstly, on this additional DAP subsidy, Rs.3,500 per ton, how much have you received in this quarter?

Bijoy Biswal: This subsidy, whatever for DAP is raised, we have received up to end of this November end, so only December is pending. Now out of Rs.3,500, I think so far, we have raised Rs.3,000 based on the notification. So whatever has been raised up to up to November has been paid by the Government.

Krishan Parwani: So essentially, that Rs.500 per ton was pending for the last quarter and it is pending for this quarter as well. So the remaining amount could come through in the subsequent quarters. Is that the understanding?

Bijoy Biswal: Yes.

Krishan Parwani: Okay. Fair enough. And secondly, were there any inventory losses during the quarter?

Bijoy Biswal: No, nothing.

Krishan Parwani: Okay. I think even Krishnan sir was mentioning, when can we expect that DAP MRP revision given ammonia prices have moved up and probably resulted in a slight contraction in our gross profit? So when do you expect that?

Suresh Krishnan: Well, I think as far as DAP is concerned, as I said earlier, we'll have to first wait and see the subsidy announcement - that NBS announcement by the Government effective 1st of April 2025. I think that will set the tone and the tone for it.

Krishan Parwani: Understood. Well noted. And just the last bit. On your trading volumes. So what was your per ton EBITDA margin on trading volumes in this quarter and last quarter?

Bijoy Biswal: So the per tonne EBITDA for the trading will be around Rs.2,000.

Krishan Parwani: In this quarter and the last quarter as well?

Bijoy Biswal: Yes, yes.

Krishan Parwani: Okay. And just one small clarification. Can you share the trading volumes for 3Q FY '24 and 4Q FY '24, if you have that handy?

Suresh Krishnan: We'll ask Susnato to send you separately, Krishan.

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Moderator: Next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Sir, if I heard Mr. Biswal correctly, we have claimed only Rs.3,000 crores out of Rs.3,500 crores of incremental subsidy on DAP. If that is correct, why is it so that we haven't claimed the entire Rs.3,500 crores yet?

Suresh Krishnan: Well, as per the notification, Government said they will pay Rs.3,000 crores and Rs.500 crores will be paid at the end of the year after the audited details are given to them. So we've gone by that.

Prashant Biyani: Sir, typically, when does the audit get complete?

Suresh Krishnan: Typically, we'll have to provide them an audit at the end of the year. So we'll be doing it in the month of April.

Prashant Biyani: Okay. And sir, some update on where we are on widening our distribution reach, how are things panning out there?

Suresh Krishnan: Well, distribution reach for us as far as North is concerned, I think it has come up well. I think

we are from Eastern UP, we are into Western UP. We have reached to Haryana, and we continue to be there in Punjab. And we have consolidated ourselves in Karnataka very well now right across. And then the next round of, I would say, a change in reach will come post the merger. And we expect that to happen next year.

Prashant Biyani: Okay. And if Mr. Biswal can share the POS sales volume for Q3?

Bijoy Biswal: Yes, sure, certainly.

Harshdeep Singh: I will tell you the numbers, POS sales, Prashant, for the quarter was 10.54 lakh metric tons versus last year of 6.4 lakh metric tons. We have a 65% growth in POS sales in Q3. Second success is 1 million tons plus POS sales.

Moderator: Next question is from the line of Dhruv Muchhal from HDFC Asset Management.

Dhruv Muchhal: Just a quick one. The DAP subsidy is Rs.3,500. We are billing Rs.3,000. But in terms of accounting, what are we doing? Are we accounting Rs.3,000 or Rs.3,500?

Suresh Krishnan: Currently Rs.3,000.

Bijoy Biswal: We have accounted Rs.3,000 only.

Dhruv Muchhal: Okay. So there is a Rs.500 gap which you are not accounting for, which will be accounted for only once it is probably received or confirmed by the Government that subsidy is...

Suresh Krishnan: Yes. That subsidy is over and above the prevailing rates.

Dhruv Muchhal: In your view, is that available? Or how should we think of it?

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Bijoy Biswal: That's very much available. We have to provide the audited, based on audited account, the account finalizes, we have to book that one at the end of the year. So as per the notification, we have booked Rs.3,000. The balance Rs.500 will be booked in the coming quarter.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Sir, I couldn't get the clarification the first time around. So I just wanted to know, will the sales velocity continue in the quarter 4 of this year? And what would be the full year sales volume growth if I have to compare it with FY '24?

Suresh Krishnan: Fourth quarter is not a season sale. And by the time we come to mid of February, the season ends all over India. So you normally don't see a big growth in the fourth quarter. But obviously, the kind of momentum that you've got in growth in sales over the first 3 quarters and the kind of number that we're going to get, you will see that continuing in next year also. Like we are nearly going to be hitting closer to the 2.9 million ton to 3 million ton mark that we had in mind in terms of overall sales. So I think that will be a significant milestone for us.

Vignesh Iyer: Okay. But if I'm right, our 9 months FY '25, the volume is around 23 lakhs, right? And you are saying will hit around 29 lakhs?

Suresh Krishnan: Something around that. That's what you see. That's the kind of material that will be available. But it's an off-season. So you have to be careful in terms of what kind of demand that you get to see in the field.

Vignesh Iyer: And a similar number, when it comes to FY '26, just that with a better margin profile due to our backward integration, right?

Suresh Krishnan: Yes, we believe that in FY '26, I think now we are coming closer to that 3 million target that we had in mind, as Paradeep Phosphate, the way we have it today.

Moderator: Next question is from the line of Harikumar, Individual Investor.

Harikumar: Regarding this Government support from this currency depreciation and increase in raw phosphate price, what is the support from the Government, sir, as per new policy?

Suresh Krishnan: Government doesn't directly intervene in these subjects. Only thing they do is, the current prices of international prices and currency is factored into whenever they announce the NBS rates for the season, which is from 1st of April 2025. So we will get to see whenever they announce the

next round of rates for NBS maybe end of February or end of March.

Moderator: Next follow-up question is from the line of S. Ramesh from Nirmal Bang.

S. Ramesh: So if you look at the base, we have already achieved for this year FY '25 and year-to-date, what is the kind of volume growth you're expecting point of sale of NPK and DAP fertilizers next year?

Suresh Krishnan: I think they're doing well as far as cost is concerned. And the kind of levels that we have, the ideal situation would be that we are able to do 9 months or 10 months of primary sales that we

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end up doing, that just convert to POS sale and trying to restrict the non -POS component to 2 to 3 months at best.

S. Ramesh: So would that be in that range of maybe 3% to 5%? I'm asking because this base is very high in terms of sales ...

Suresh Krishnan: I think we will continue with this base. This base will be continued. And why is this base good today? It's good today because of the robust demand that we have seen in the farmer level right through. And the reservoir levels have been good and there have been good agriculture activity that we've seen. So if this continues, this POS sale should not be a dampener for us at all, for sure. And we believe that these trends will be maintained.

S. Ramesh: So on the Nano DAP, what's the percentage margin you're earning now? And what is the kind of revenue margin you were saying...

Moderator: Sorry to interrupt you, Ramesh, we are not able to hear your question completely. Can you repeat your question once again, please?

S. Ramesh: Can you hear me now?

Suresh Krishnan: Yes, go ahead.

S. Ramesh: So on the nano -fertilizer sales, if you can give us the share of revenue for year -to-date and what is the percentage margin? And what is the kind of growth you can expect in this over the next 2, 3 years ?

Suresh Krishnan: Let me tell you, I mean, these are early days as far as nano is concerned. So I think the revenue details, I'm sure Suresh can share that with you. And profitability is not something that is very significant at this point of time. I mean we would kind of look at about 10% to 15% margin. And because a lot of development activity, promotional activity is involved for nano.

S. Ramesh: Okay. And what would be the growth rate likely over the next 2, 3 years?

Suresh Krishnan: Growth can be quite significant. I mean when you're looking at, say, capacity available with us of 2.5 million tons, I think we should be, ideally speaking, at the end of this year, what we should see going forward would be maybe a substantial 40% growth from where we are today.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Suresh Krishnan: Thank you all for joining the call today. And should you have any further questions, please don't hesitate to reach out to our IR team. Thank you, and have a good day.

Moderator: Thank you very much. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Paradeep Phosphates Limited
Q4FY25 Earnings Conference Call"

May 08, 2025

MANAGEMENT : MR. RAJEEV NAMBIAR – CHIEF OPERATING OFFICER
MR. HARSHDEEP SINGH – PRESIDENT & CHIEF
COMMERCIAL OFFICER
MR. BIJOY BISWAL – CHIEF FINANCIAL OFFICER
MR. ALOK SAXENA – HEAD CORPORATE FINANCE
MR. SUSNATO LAHIRI – DGM STRATEGY , IR & ESG

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Paradeep Phosphates Limited Q 4 FY25 Earnings Concall hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited.

Thank you, and over to you, sir.

Manish Mahawar: Thank you , Navya . On behalf of Antique Stock Broking, a warm welcome to all the participants on the call of Paradeep Phosphates.

Today, we have Mr. Rajeev Nambiar – Chief Operating Officer ; Mr. Harshdeep Singh – Chief Commercial Officer; Mr. Bijoy Kumar Biswal – Chief Financial Officer ; Mr. Alok Saxena – Head (Corporate Finance) and Mr. Susnato Lahiri – DGM (Strategy, IR & ESG) on the call.

Without further ado, I would like to hand over the call to Mr. Nambiar for opening remarks, post which we will open the floor for Q&A. Thank you, and over to you Mr. Nambiar .

Rajeev Nambiar: Good morning Manish, thank you for the call . And good morning everyone and warmly welcome you to Paradeep Phosphates Q 4 as well as Financial Year 2025 Earning Conference Call. We have shared our Earnings Presentation and Press Release both available on our website and stock exchanges, and I hope you have had a chance to go through them.

FY25 has been a truly transformational year for the Company , marked by healthy profitability, improved operational efficiency and significant strategic progress .

On the financial front for FY 25, the Company posted a very healthy 452% year-on-year surge in profit after tax, powered by the highest ever fertilizer sale of 3.03 million tons. Revenue from operation stood at Rs.13,820 crore, registering a 19% growth over the previous year. EBITDA rose sharply to Rs.1,367 crore, up by 91 % year-on-year, while the profit before tax increased by 434% to Rs.752 crores . In Q4 alone, revenue grew by 56% to Rs.3,494 crores, with EBITDA doubling to Rs.389 crores, and PBT rising nearly eight -fold to Rs.223 crores .

In line with our dividend policy, the Board has recommended a dividend of Rs.1 per equity share on the face value of Rs.10 for the Financial Year 2025 . Over the past four years, PPL has demonstrated industry leading growth across the fertilizer production, sales volume, market share and key financial metrics, including revenue, EBITDA and PAT . The successful execution of key CAPEX proposals is now yielding the visible cash flow benefits.

On the operational front, the Company reported production volume of 2.63 million tons, and primarily sales of 3.03 million tons for the full year, reflecting year-on-year growth of 14 % and 20% respectively.

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PPL served over 9.5 million farmers across 15 Indian states through a wide network of more than 95,000 retail points.

Our product basket includes nine diverse, crop and soil specific NPK grades, with N-20 sales crossing a record 1.06 million tons for the first time. Our share of NPK in the product mix has steadily increased over the last two years, reinforcing our ethos of balanced fertilization for the soil.

We produced 4.86 lakh tons of phosphoric acid during the year making a 30% year-on-year increase while the sulphuric acid production stood at nearly 1.3 million tons. PPL also achieved record POS sales, maintaining high sales velocity, which led to improved receivables and better working capital efficiency. We continued our innovation-led offerings, selling 1.66 million bottles of nano fertilizers and receiving a strong

market response for our recently introduced

TSP product, with sales of nearly 1.5 lakhs during the year.

We maintained a sharp focus on strategic sourcing and supply chain agility, leveraging a long-term supply relationship and robust onsite, storage infrastructure to navigate raw material price volatility during the year. The Company ended FY25 with a net debt to equity ratio of 0.78, marking a 28% reduction over the previous year, along with improved net debt per ton of sales. This operational efficiency is translated into healthy free cash for generation, post working capital and capital.

On the ESG front, PPL achieved a significant milestone by being ranked among the top 2% globally in the chemical sector by S & P Global as a part of the 2024 Corporate Sustainability Assessments, which forms the basis of the Dow Jones Sustainability Indices. This recognition underscores our growing leadership and sustainability and our continued focus on embedding ESG into every layer of strategy and operations. Our strategic roadmap anchored in three core pillars. They are scale in operation, backward integration and product innovation. The ongoing merger with MCFL is expected to enhance our overall sales volume by approximately 23 %, taking them to 3.7 million tons. This will also enable deeper penetration into key Southern markets and provide opportunities to upsell as well as cross sell.

In parallel, we have been investing in backward integration with the aim of enhancing our margins. The expansion of sulphuric acid capability to 1.9 million tons at our Paradeep site is progressing well and is expected to be commissioned by Q3 of this year. Additionally, our plans to augment phosphoric acid capacity to 0.7 million tons from the current 0.5 have commenced, and we expect completion within two years. These expansions will help us achieve greater self-reliance and long-term sustainability operations.

On the product innovation front, we were the first to introduce a Triple Super Phosphate, TSP and Biogenic nano-fertilizers in the country, both of which saw healthy sales in FY 25. Our focus going forward remains on developing differentiated low carbon products tailored to soil and crop specific needs, aligning with both farmer expectations and the environmental goals. Overall, FY25 has been a defining year for the Paradeep Phosphates, we have strengthened our market

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position, delivered strong financials and built a resilient and agile operating model. I want to thank our employees, channel partners, customers and all stakeholders for their continued trust and support. We look forward to building on this momentum and delivering a greater value in the years to come. Thank you, and I now look forward to your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rishi Kothari: Sir, I have a couple of questions, first regarding the current margins that we are sustaining. So of course, it was the effect of backward integration that we are eventually incorporating the Company. So these margins will be sustainable for the next two to three years, how exactly are we looking at and will it be similar range or will it increase eventually?

Management: Regarding this, this backward integration and the impact on the margin, this is what on account of this process, integration from three lakh to five lakh tons. So that will be continued, and it will be sustained. Apart from that, whatever the things we are doing which is in pipeline this new sulphuric acid, which is going to stream by Q3, that will also add to, that will also impact the margin positively.

Rishi Kothari: Okay. So what are PPL margins that we have for EBITDA as well as PAT that will be

s

sustainable, or rather increase as and when the backward integration process is completed by Q3 FY26, right?

Management: Yes, we expect it to improve.

Rishi Kothari: Okay. So in terms of demand if I say, what exactly is the scenario I heard that we are more

focused towards the rural part of India , these are my concerns sir.

Management: So, the demand outlook remains very, very strong. If you see the current forecast for the monsoon, it's expected to be around 103 % to 104% of the long period average. Which augurs well for the Indian economy and Indian farmers , the farmers are getting good price for their produce , which also augurs well for the strong demand in the year ahead. Thank you.

Rishi Kothari: Okay. So, in terms of growth rate , let say for top line for two to three years what exactly do we have those targets like ?

Management: So, in terms of top line, we actually did a record sales of 3 million tons for the first time. We are looking at organically having a 5% increment this particular year. Plus, MCFL when it gets added on that kind of add on another 23 %, 24% so, net -net we are looking at North of 3.7 million tons this year.

Rishi Kothari: Okay . So, in terms of growth rate numbers if I say so that would be around what mid -teens of growth 15 %, 17%?

Management: About 23% little more than that.

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Rishi Kothari: Okay, for next two to three years. It's all because of the increase in backward integration as a production that we are looking in terms of .

Management: Yes, if we were talking about FY26, about 20%.

Moderator: Next question is from the line of Jignesh Kamani from Nippon AMC . Please go ahead.

Jignesh Kamani: Just on the DAP side, government announced an additional subsidiary of around Rs.3,500 last year, and we book, Rs.3,000 out of Rs.3,500 for the nine months. So just want to check in the 4th Quarter have we book additional amount for the entire year, and what is the quantum?

Management: See, the policy says that Rs.3,500 but whatever has been paid that has been booked at this, this Rs.500 has not been booked , as and when it will be declared, then it will be booked.

Jignesh Kamani: So in 4th Quarter there was no incremental benefit which is booked it was a pure you can say profitability which was there ?

Management: Yes.

Jignesh Kamani: Understood . And with the revised subsidiary on the DAP import trading, is there any margin now, because earlier there was not much margin left, and then there was a shortage of DAP ?

Management: See currently the government policy the way they have announced it's going to be a positive margin on the trading so they have given an indication for that in the subsidies policy. So that's very, very positive actually.

Jignesh Kamani: So what happened , last year you were saying that there was shortage of DAP, so that's why adoption of the NPK was pretty good, which now easily available your DAP are you seeing some moderation in the NPK growth rate or some of the farmer who is compulsory shifted from DAP to NPK might revert?

Management: So there are two factors , see one is the NPK growth which is driven by a fundamental awareness for the balance nutrition, what is actually helping us to grow the NPK portfolio and the industry also to grow that, of course there was a constraint of a DAP and which limited the DAP sales as far as the current year is concerned, we see basically a steady growth for NPK is still continuing, but there is still room for balance nutrition as we move forward. However , DAP availability if it's better, we can expect a marginal growth there also. And we are trying to position innovative offering which is TSP, which is 46% P and that basically creates value for the farmer, because you prevent overuse of nitrogen basically through TSP.

Jignesh Kamani: So despite a healthy avail

ability of DAP , TSP and NPK growth will remain reasonably good, right for this year?

Management: Yes.

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Jignesh Kamani: And last one, have you finalized the fine print of Rs.4,000 crore capex MOU with Odisha government ?

Management: As in the few years that will be done in a phase manner , so right now we are taking this expense on a phosphoric acid and the sulphuric acid and this dry gypsum , all those things that is the pipeline. So once that will get completed then we will go to the next level of expansion . So that is pretty much in the pipeline.

Moderator: Next question is from the line of Ahmad Madha from Unifi Capital. Please go ahead.

Ahmad Madha: Just to understand Q4 number with the change in subsidiary rates for Kharif is there any change in the major inventory gains for us in Q4 and if yes, can you please quantify it?

Management: This Q4 whatever subsidy is there, now from the Kharif the new subsidy has been notified , NBS rate has been notified , due to that the order of stock is there that also has been properly taken

care, which has been accounted for.

Ahmad Madha: Can you quantify that number ?

Management: Whatever as per the stock available, thing is taken care of .

Ahmad Madha: Okay. And in terms of working capital, are you seeing any challenges in terms of receivables from government. That's my first question and second part of the question is, if I compare our receivable days compared with our other peers of us, be it in urea business or NP K business, our relative receivable days look higher. So is there any sort of technical reason, which I am missing, which explains the higher receivable days relatively ?

Management: Just to kind of clarify, basically we are trying to look at how we can drive improvement. So if you look at our performance vis-à-vis last year, the receivable days both from the market and the subsidy receivables there is a significant improvement which has happened, and that's the direction which has been enabled well, by good market demand and good cash flow from the government as well as the market. If you look at the trend, it's very strongly positive for the current year.

Ahmad Madha: Okay, got it. And in terms of inventory in the channel can you give any comments on how is the inventory in the channel by the end of March, and how do you see the placements for the next Kharif panning out?

Management: So just to kind of tell you the channel inventories are at a very optimal level , if you look at the POS sales, also the farmer sales like well our primary sales was 3 million ton plus the farmer sales also was 3 million ton plus. So we maintain consistent inventory level, which is a steady state around four lakh metric ton, three and a half to four lakh metric ton.

Moderator : Next question is from the line of Riju Dalui from Antique Stock Broking. Please go ahead.

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Riju Dalui: Just a bookkeeping question, how was the capacity addition at the Goa non -urea plant for the full year ?

Management: That is actually an outstanding year actually last year we almost touched the fullest capacity utilization. So that's good news for us last year .

Riju Dalui: So it's a 100% utilization is there for the non -urea plant ?

Management: Yes, it's almost like the fullest utilization, one of the best utilization in the recent years.

Riju Dalui: Understood . And the other question is that, in April 2025 for the whole year we have seen strong volume growth in the manufacturing fertilizer side . So probably we are utilizing roughly around 85% of our total installed capacities in the non -urea side. So if you could highlight, with the current capacity, how much incremental volumes we can sell into the market for over the next two years ?

Management: This year we have sold 3 million ton, ou

t of that this product is manufactured around 2.6 , so we plan to grow around 5% to 7.5 % , as a this on an overall basis.

Riju Dalui: So, we are saying that we might be utilized 95% of our total capacity in terms of manufacturing fertilizer ?

Management: Yes, we are aiming for that.

Riju Dalui: So with that run-rate, we might exhaust our 100% utilization level by FY28, so is there any plan to debottleneck our existing facility to improve the capacity?

Management: That is actually an ongoing project, just a smaller nature it always goes along with the normal production , located to all the trains actually after this year shutdown which is almost over. We expect actually to come to the next level , so that debottleneck is an ongoing job for us, and that will definitely realize much better utilization for the equipment's and overall equipment effectiveness .

Riju Dalui: Understood . And in terms of profitable products. So in Q4 like we have registered one of the great EBITDA per ton and in terms of EBITDA margin, the margins are at the highest ever in the last few quarters. So, was there any kind of inventory gain in terms of your non -urea side business, especially in the manufacturing fertilizer or on the DAP side?

Management: Yes, due to the NBS impact, notification whatever this off site that has been accounted for as an accounting policy.

Management: Riju, it's basically a function of multiple things, backward integration is one , the right product mix is one wherein we have had more of NPKs and of course, there have been some inventory as part of our channel inventory, and that's been accounted for as part of the NBS, whatever was given out.

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Riju Dalui: Understood, but see, I just want to understand one thing is that, if we look at the RM prices, which are continuously increasing for last couple of months . So was there any kind of inventory

gain for this quarter and if you could quantify that gain ?

Management: No, we can't quantify what we say that, whatever the stock is there that will be utilized in the process and that will be accounted for in due course .

Riju Dalui: Okay, understood and in terms of your growth in the Northern region or the Northern market.

So, is there any kind of market share gain that we have witnessed during the quarter ?

Management: So, just to kind of currently market share, not in the public domain, but at the overall level, if you look at it, we almost gained more than 1.5% of NPK market share. Our growth of NPK portfolio as far as farmers sale were concerned, was upward of 50% vis-à-vis industry growth of 31% and North remains to be a focus market, but these are irrigated markets, and the way PPLs portfolio is concerned, we are in a very balanced kind of volume contribution from North, East, West and South.

Riju Dalui: Okay, understood. And one last question in terms of your Goa plant energy efficiency that you have mentioned in the PPT. So, how much you are going to spend there for energy efficiency and what is the expected benefit in the EBITDA level?

Management: So this is a phase two energy efficiency level what we are embarking, so that will be completed by Q4 this year . And the capital outlay is around Rs.190 to Rs.200 crore .

Riju Dalui: Okay. And expected gain out of this investment ?

Management: It will be the payback , in terms of payback I can tell that it will be four to five years .

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: So my first question would be to understand how has been towards Kharif season, how has been the availability of that, especially if we have to comment for the month of April. And secondly, wanted to understand, can we see the velocity when it comes to NPK sales, similar to what we are seeing in Q4 going ahead as well ?

Management: So, like when we discuss for the Kharif season, just two, three fundamentals. One is first and foremost which is a good monsoon , so the current forecast is very, very strong and positive 103 % to 104%, the reservoirs are carrying good water level, which also augurs well for the agriculture.

In terms of the stock inventories as a country, the DAP inventory currently is low, and we maintain still a good stock of NPKs , basically which is available with the trade. We see a good demand in the Kharif season, and the DAP availability is going to be mixed basically , in view of limited availability from China. However, the government policy has been very favorable, and it supports that the customer requirements are met. So you are going to see a good demand for NPKs because of the fundamental kind of demand from the customers, and also good demand

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for DAP and new products like TSP. So it's going to be good season ahead. DAP availability is going to be limited.

Vignesh Iyer: Okay . Sir can you quantify the inventory that we carry from March to April and in total inventory in tons , if you could ?

Management: Basically for us, we will be having approximately 3.5 to 4 lakh tons of stocks.

Vignesh Iyer: Okay . So, considering we have almost done sales more than capacity for obvious reason that we would have carried forward some inventory last year as well. Can we expect, like a 3.3 , 3.4 lakh ton type of volume number in FY26?

Management: So we don't give a forward -looking thing. You should expect a good set of numbers like we have clarified , we are planning to augment our capacity , we also strategically do trade volumes based on driving profitable growth. And since we are carrying opening trade stocks, which is like a regular routine in nature that augurs well for both Kharif season and the season ahead . So sales are going to be strong , that's how we look at it.

Vignesh Iyer: Okay . Just one last question before I get back in the queue. Wanted to understand how the prices of sulphur and sulphuric acid that was panned out in Q4 and can you say if there is any meaningful change that we have seen in the month of April?

Management: Yes, so basically we are seeing some sort of an uptake in raw material commodities. Sulphur right now, as we are speaking is trending at about a \$300 odd. Sulphuric acid is about a \$125 ish. But given the fact we have about 1.4 million tons of Sulphuric acid captive capacity, we kind of stand to benefit by kind of procuring sulphur and making acid in-house.

Vignesh Iyer: What were these prices in Q4, for sulphur and sulphuric ?

Management: Q4, sulphur was about \$190 odd , sulphuric was about \$102. These are published numbers, not specific to our Company , but generic numbers.

Moderator: Next question is from the line of Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal: So it's a repetition of the earlier question on the manufacturing capacity almost fully utilized. So as you may grow by 5% next year you will be about 90% capacity utilized on your manufacturing volumes. So just trying to understand, how much more can you do from de bottlenecking, and when do you probably will have to go for the next phase of expansion and how do you time it

better?

Management: Actually last year we witness actually one of the best capacity utilization of all the trades what we operate. This year actually, like we said about debottleneck, is an ongoing activity for us at least 5% to 8% of the capacity we expect to come out of the debottleneck. And accordingly, there are a lot of other things happening parallelly in terms of reliability improvement and the Paradeep Phosphates Limited
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excellence in terms of manufacturing, in terms of improving capability of people. So this all should result, actually

likely if you look at it actually 7% to 8% of the capacity should increase year -

by-year by various means, and also once the backward integration projects are handy, definitely we will be on the drawing lot of other actions plans are already lined up.

Dhruv Muchhal: I am just wondering, are we a bit late in terms of the announcement given that demand is reasonably good, and also your capacities are fully utilized, or there is lot of scope from debottlenecking that you can try for one, two years. Because I am just wondering, if you announce the capacity expansion even today for granulation, it would take about one, two years, probably for the phase to come up. So just trying to understand this capacity constraint become a bottleneck for growth?

Management: So, if I may add actually, the growth for Paradeep Phosphates for the last four years has been a mix of both organic as well as inorganic.

Dhruv Muchhal: I understand the inorganic part will drive just from the organic segment, I am just asking.

Management: So, organic in fact let the merger kind of get complete, and then we should have very quick plans in terms of how to augment the capacity further. So, we have to wait.

Management: We have got a spare capacity of 1.5 lakh ton, which can take care of this whatever growth you are talking. So, we can easily have 1.5 to 2 lakh addition, with doing little, this whatever the debottlenecking we are doing, that is what we are right now doing.

Management: And just to add, we are also trying to augment the business growth through the traded volumes. However, philosophy and trade volume is to drive profitable growth, but we will be augmenting the market requirement through full capacity utilization, as well as through traded volumes also and of course, the inorganic growth through NPSL integration.

Management: Yes, Dhruv just to give you a number, if you look at the overall market growth, it's about 5%, 6% whereas PPL for the last four years have grown at a compounded rate of more than 15% 16%, that kind of really it's a good number for us. And we will announce further plans once the merger is complete.

Dhruv Muchhal: Got it perfect. And is there also a scope from optimizing your portfolio further for example DAP this year, if I understand, is about 30% is your overall manufacturing mix, versus it was about 45% earlier. So can you trade more in DAP and produce more of NPK, is that a possibility to also drive volumes, manufacturing volumes?

Management: So, the way we look at it is, see the product mix is a function of the market requirement, profitability and as well as optimal use of the RM materials available. So our focused path is to drive the NPK growth. However, in order to meet the customer requirement, we offer DAP which is partially through the manufactured volume, and we are also going in for traded DAP to augment that.

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Management: Dhruv, look at it actually the last two years it will be very clearly consolidated towards the NPK volumes. And that path is actually going to get strengthened in the coming years.

Dhruv Muchhal: The second question is on the capex, if you can guide for the capex for FY26?

Management: So the project what we are now undergoing, we have got around Rs.500 crores all put together. So out of that, why I am talking about cash outflow, whatever we are going to invest so in that, energy efficiency what I told, just sometime back Rs.200 crore, for the P2O5 augmentation of the capacity around Rs.100 crore and, sulphuric acid what we are increasing the capacity by five lakh ton, for that this is around Rs.100 crores what we will be spending.

Dhruv Muchhal: Got it. And last question is on the DAP, the subsidy and some of the under recovery, in the last call you had mentioned that, at the end of the year when the government looks at the audit

ac

counts, if there is any loss on DAP sales that would be adjusted for and would be given to the companies, may go to the companies. So, I am just trying to verify, does that still hold. And assuming you were to go to the government and claim for that under recovery, how much that amount would be?

Management: No this, whatever has been notified by the government based on that we have claimed it, and

that has all been accounted for. So, no thing is there which is further to be claimed.

Dhruv Muchhal: So except for the Rs.500 which you have not provided for , the remaining everything else has claimed ?

Management: Yes.

Moderator: Next question is from the line of Ayush Jha from Sagun Capital. Please go ahead.

Ayush Jha: My question is for the Goa plant, ammonia and urea, when the plant starting 2023 I have seen there is a frequently breakdown of the plant. And if I put the number, it's around more than six and seven times the plant has broken down, and I have read that. So what's the issue there and when we can see the stability of that plant?

Management: Okay, it is unfortunate we had multiple stoppages in the ammonia urea last year. If you look at it, actually we have recovered from that, and majority has come from basically the ammonia side. And to remove all these things, once for all actually by end of this year actually we will be replacing the critical ammonia compressor program address both reliability as well as energy efficiency. And apart from that, there is a lot of other investment we have done in terms of maintainable and reliability improvement. So we expect this year is going to be much better than last year. And just to add that in spite of all this we have crossed our RAC , excess capacity to what has been allotted to us 4 lakh ton we have crossed.

Ayush Jha: Okay, sir. And my second question is about the merger which agent is going to take place, and is there any future guidance you want to give about that?

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Management: We have received the SEBI approval. We are with the NCLT bench, the shareholder meeting is being convened on 2nd of June, once that is approved then we will go to NCLT for the second motion. So all in all, we expect that, within the next three to four months, we should be able to close the process.

Moderator: Next question is from the line of Krishan Parvani from JM Financial . Please go ahead.

Krishan Parvani : Couple from my side. First one clarification , you mentioned about capacity debottlenecking, so probably about 1.5 lakh to 2 lakh tons. So by when can we expect that ?

Management: This is ongoing actually, this will get realized this current year itself .

Krishan Parvani: Okay . So basically your overall capacity could go from 2.6 to 2.8 by FY26, is that correct?

Management: Yes.

Krishan Parvani: Okay, that's fine. And for that, what was the capex that you did?

Management: Not a major capex , in fact actually there is a lot of debottleneck which is taking both the revenue as well as smaller capex .

Krishan Parvani: Got it. And secondly, on the overall volume so, we have seen that , DAP volume has declined to 660 KTPA in FY25 obviously, because NPK s volume sold are higher. So what's your aspiration for that sales in FY26 ?

Management: So, we don't give a forward guidance for a particular product. However, the intention is to overall grow the numbers, and like what we said, around 5% to 7% will come from the organic and the further growth will come from the merger basically, and we are also trying to drive traded volumes of DAP and TSP. So, TSP is another product in the similar portfolio with 46% P , that's how we are trying to meet the requirement. DAP will be done in -line with the market requirement. However, the intention is to kind of offer farmers a balanced portfolio of NPKs , because that is much better for agriculture.

Kr

ishan Parvani: Okay . And when you say 5% to 7% , that's basically ex of MCFL correct ?

Management: Yes.

Management: Yes, you are right.

Krishan Parvani: Okay, got it. And just a last bit, I know you don't indicate this, but can you give some understanding about what's your traded volume EBITDA like , what is your trading EBITDA like? In FY 25, if you could just give some indication?

Management: So, the general trade volume last year we have done around 3.9 lakh ton, 4 lakh ton so the EBITDA will be around Rs,2,000, Rs.2,500 lower than the manufactured EBITDA level.

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Krishan Parvani: Okay . So that's more like Rs.2,000 give or take ?

Management: Yes.

Krishan Parvani: Okay. And last bit, what's your subsidy outstanding currently ?

Management: Around Rs.1,900 crores.

Moderator: Next question is from the line of Sophia Musta from Elara Securities. Please go ahead.

Sophia Musta: I just would like to know that what are the kind of trading volumes that we expect in FY 26, if you could give any guidance on that ?

Management: So, we clarified we are not giving forward guidance on the numbers ahead. We have indicated a growth of 5% to 7% on the overall portfolio and trading will be done to support the market requirement basically, and as well as driving profitable growth. So it's going to be, we are going to be looking at DAP and PAP, I would not like to give standalone forward guidance.

Sophia Musta: Okay. And what are like a fixed capex plan for the coming year ?

Management: In terms of the de-carbonization and carbon neutral path, there are severe, big investment which is going to come in terms of energy improvements, especially in a Goa plant and in Paradeep plant, actually it's going to be backward integration of sulphuric acid as well as phosphoric acid, and some de bottleneck to increase the capacity of the current range . The outlay will be around 500 crores.

Moderator: Next question is from the line of Sandeep Mukherjee from SKP Securities Limited . Please go ahead.

Sandeep Mukherjee: Sir, sighting that the NB S subsidies are revised so , any other products in Goa plant are you targeting like N10 or something ?

Management: Just to kind of share with you , our Goa remains a dedicated site for making NPK portfolio, and one of our flagship products that we are trying to grow is Triple 19. And of course we got a strong portfolio of other NPKs like N10 and N12 and N20. So Goa is a dedicated NPK site .

Sandeep Mukherjee: Okay, your EBITDA per ton guidance of Rs.5,500 by FY27 is intact ?

Management: No, we continue to give guidance of Rs.4,500 to Rs.5,000 as sustainable EBITDA and whatever expansion in EBITDA will happen , it will happen because of the backward integration projects that we are undertaking. So to that effect, the EBITDA per ton will increase, but the sustainable EBITDA per ton guidance continues to be Rs.4,500.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

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Vignesh Iyer: Sir my question is more on the other income side of it. Wanted to understand what is the income that we are deriving through, on the other income side, we are booking Rs.35, Rs.40 crores now consistently for the last two quarters. So earlier the run rate used to be Rs.15, Rs.20 crores, so it is mainly Treasury income or how is it?

Management: This is mainly on account of the Treasury income. And during this year the cash flow, subsidy flow, the trade collection is good. So lot of surplus we have put it in management Treasury, and that has yield this type of income .

Vignesh Iyer: Okay. And can we expect that the net debt to equity to improve and to see more probably near 6.5 times in the next two years ?

Management: Certainly , with this type of what the backward inte

gration and this EBITDA, margin we are

talking and the growth in the volume with the free cash flow we can expect that, we believe that we will be able to achieve that.

Moderator: Next question is from the line of Manish Mahawar from Antique Stock Broking Limited. Please go ahead.

Manish Mahawar: We are gaining share in terms of a North market . So, just wanted to understand that we are growing NPK at a faster pace. So it's a market in the North, which is more of a DAP heavy and it's shifting towards the NPK at a much faster pace, because our competitor is also highlighting the same thing . So, just wanted to understand from the market perspective.

Management: Just to share with you, we have been pioneer in driving the Northern market as a shift to NPK is concerned, especially through our flagship grade 20-20-0-13, which is nitrogen, phosphorus and sulphur . And we are seeing a good acceptance for that product happening right across Punjab, Haryana, UP, Bihar . So which augurs well, because the farmer, instead of just putting one or two nutrients, is getting a balanced nutrition of nitrogen, phosphorus and sulphur . And we also see a good scope for NPK s like 12-32-16 to also grow in that geography .

Manish Mahawar: Okay. But market side, more of a shift is happening towards DAP to NPK at a faster pace in this market s?

Management: It is definitely happening , and one of the key products which is going in the overall market is 20-20-0-13. So out of almost the 14 million tons of NP Ks, almost 7 million is approximately N20. So you can see a clear shift which is happening, and that is more dominant in the North because the South and West were already dominant NPK market .

Manish Mahawar: And these markets are within the 1,400 kilometer range of which is subsidy, freight subsidy which get right , or it is over and above that in terms of a reach perspective ?

Management: Yes. So just to kind of give you a kind of see the synergistic effect that we have, that we got Paradeep and Goa, and we are able to serve the markets based on what is the most optimal thing from both the plants .

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Manish Mahawar: Okay, understood. And second question, in terms of your EBITDA per ton, Alok has said in one of the answers, Rs.4,500 per metric ton will be the sustainable number, and how basically, my sense is that the next FY 27, your energy efficiency in Goa, as well as sulphuric acid plant will come. So this EBITDA per ton has to improve in FY27, FY26 maybe will be the operating leverage will play out?

Management: What Alok has told based on that, on a steady state basis you can have 4,500 and due to this, all the backward integration and what are the cost saving projects we are doing, it will have definitely positive impact on our product portfolio. But that also depends, what is the international prices at all these things, depending on all these things. But, it will have a definitely good impact, positive impact on our EBITDA, bottom line.

Management: Actually, if we look at it in terms of two, three actions, one is the scale in terms of the production improvement as well as the total sale and obviously the backward integration and energy improvements. This is a key thing which is going to be playing out in the coming days against the risk involved in terms of the turbulence which happens. We are quite positive that actually we will derive much higher numbers.

Manish Mahawar: Okay, understood. And two bookkeeping questions, one in terms of subsidy as you said, Rs.1,900 odd crores of a subsidy outstanding. Can you break it up into the due and non-due subsidy from the government?

Management: Out of that, whatever due is around Rs.700 crores should be. And one of the pipelines now that cost is around Rs. 1,200 crore.

Manish Mahawar: Okay, understood. And the next one is interest cost basic

ally, if you look at this year, we have

closed at around Rs.360 odd crores of interest cost. How do we see this number will be next year or maybe you can share the average rate of interest for us?

Management: During this year, even though the MCLR rate and RBI rate, there is a n increase then subsequently decrease. But, our rate has substantially reduced, our interest rate which was earlier last year, around 8.5%, this year it is around 7.6% to 7.7%. So this is on account of this portfolio of more this supply credit, bad credit, and good management of working capital. And this year also because of this good subsidy and trade collection, so utilization of fund base limit also quite muted.

Manish Mahawar: Okay. But do you think this overall interest outgo which is last two years the same range of Rs.360, Rs.370 odd crores will come down from this levels now, as we have good cash now?

Management: We expect it to come down.

Moderator: Next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Sir first question is on phosphoric acid. So currently we have 0.5 million tons of capacity. Are we currently using the entire Phos Acid for our fertilizers? And the second question is, the Paradeep Phosphates Limited

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additional 0.2 million tons which we are adding that will be sufficient for how many years in terms of the growth that we are targeting. Thank you.

Management: So hi Rohit. First of all, there was a bit of confusion. So in terms of Phos Acid we have 0.5 million tons as we speak, and that is sufficient for the Paradeep site. The incremental 0.2 million tons will be helping us to kind of support the other sites in addition to Paradeep, that's one. In terms of the other intermediary, which is sulphuric acid, we are augmenting the capacity to 2 million tons, which will kind of, which is expected to complete in another four, five months. That should kind of make Paradeep more than 100% backward integrated.

Rohit Nagraj: Sure. And second question in terms of the battery grade Phos Acid, so any comments on that, from your side. Thank you.

Management: Rohit, as you would realize we have quite a healthy level of free cash on the balance sheet at the moment, we wanted to kind of complete the couple of important items at hand, namely the merger, the Phos Acid and the sulphuric acid post that we will announce further plans in terms of utilization of the remaining free cash.

Moderator: Next question is from the line of Subro an Individual Investor. Please go ahead.

Subro: The Rs.3,500 additional subsidy on DAP has been extended till the month of September is that correct?

Management: Yes, it has been extended up to September.

Subro: And regarding the balance Rs.500 subsidy, which is due, by when do you think it will be cleared?

Management: That still not notified the way it has to be cleaned and all things. So we are waiting for that notification, once it comes, once it's certain then we will do it.

Subro: So it should be same for all the industry players on DAP correct?

Management: Yes.

Subro: I asked this because the government has extended this for another six months, and the previous dues are also not yet clear when it will be paid out, so that's the reason I was asking.

Management: No, your question is valid. This Rs.3,500 has been extended, but last year whatever they have paid Rs.3,000 we have accounted for this whenever they notify the balance Rs.500 that will be accounted.

Moderator: We take the last question from the line of Sophia Musta from Elara Securities. Please go ahead.

Sophia Musta: I just wanted to ask that, how much capex have we already put into our sulphuric and phosphoric acid plants respectively?

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Management: Sulphuric acid plant, whatever

we are talking that 0.5 million tons on that, out of Rs.480 crore

what are the capital outlay we have already spent, Rs.360 odd crores. So that balance will be spent during this year. Phosphoric acid, at a 0.2 million is what we are talking, out of that we have just started, we have spent around Rs.30 crore.

Sophia Musta: How much, sorry?

Management: We have spent around Rs.30 crore and balance Rs.100 odd crore will be spent during this year.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments.

Management: Thank you everyone for joining us today and for your continued trust and interest in our journey and the Company. Should you have any further questions please feel free to reach out to our Investor Relations Team anytime. Thank you, thank you all.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q1 FY26 Results Conference Call
July 30, 2025

MANAGEMENT : M R. RAJEEV NAMBIAR – CHIEF OPERATING OFFICER
M R. HARSHDEEP SINGH – CHIEF COMMERCIAL OFFICER
M R. BIJOY KUMAR BISWAL – CHIEF FINANCIAL OFFICER
M R. ALOK SAXENA – HEAD OF CORPORATE FINANCE
MR. SUSNATO LAHIRI – JT GM STRATEGY, INVESTOR RELATION & ESG

MODERATOR : M R. RIJU DALUI – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Paradeep Phosphates Limited Q1 FY26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Riju Dalui from Antique Stock Broking Limited. Thank you, and over to you, sir.

Riju Dalui: Thank you. Good morning, everyone. On behalf of Antique Stock Broking, a warm welcome to all the participants on the call of Paradeep Phosphates. Today from the management side, we have Mr. Rajeev Nambiar, Chief Operating Officer; Mr. Harshdeep Singh, Chief Commercial Officer; Mr. Bijoy Kumar Biswal, Chief Financial Officer; Mr. Alok Saxena, Head of Corporate Finance; and Mr. Susnato Lahiri, Joint GM, Strategy IR and ESG on the call.

Without any further ado, I would like to hand over the call to Mr. Nambiar for his opening remarks, post which we will open the floor for Q&A. Thank you, and over to you, sir.

Rajeev Nambiar: Thank you, Riju. Good morning, everyone, and welcome to Paradeep Phosphates Q1 FY2026 Earnings Conference Call. Thank you for joining us today and for your continued interest in Paradeep Phosphates. I trust you have reviewed our earnings presentation and press release, which are also available on our website and with the stock exchanges.

The fertilizer sector began FY26 on a solid footing, supported by a favourable monsoon pattern, healthy reservoir levels and government initiatives to promote soil health and balanced nutrient applications. With this backdrop, Paradeep Phosphate delivered a strong start to the fiscal year through operational discipline and execution strength, capitalizing on sustained demand for phosphatic fertilizers.

For the first quarter, revenue from operation rose 58% Y-o-Y to INR 3,754 crores. EBITDA, including other income, nearly doubled to INR 493 crores, while profit before tax increased to INR 342 crores. Profit after tax reached a level of INR 256 crores, driven by higher production and sales volumes, strong sales velocity and improved product mix, backward integration and strategic sourcing.

Rajeev Nambiar: Operationally, we produced 6.64 lakh tons of finished fertilizers, up 23% year-on-year and achieved primary sales of 7.42 lakh tons, a 34% increase over the same period last year. Our product portfolio included diverse NPK grades in addition to DAP. Our flagship N-20 grade maintained strong momentum, delivering sales of 2.24 lakh tons. We also sold nearly 7 lakh bottles of our indigenously developed biogenic nano fertilizers during the quarter, underscoring their role in enhancing nutrient absorption and improving farm yield.

On the intermediary front, phosphoric acid production grew 22% year-on-year to 1,13,000 tons, while sulphuric acid output increased 30% to 2,83,000 tons, further strengthening our integrated Paradeep Phosphates Limited

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operations. We maintained a healthy net to debt equity ratio of 0.77x, continue to operate with a lean cash conversion cycle and leverage our supply relationship and captive infrastructure to secure raw materials at competitive costs despite elevated input prices.

Progress on our strategic growth projects also continued as planned. The sulphuric acid capacity expansion Paradeep from 1.39 million tons per annum to 2 million tons is on schedule for commissioning by the third quarter of this fiscal year. The phosphoric acid expansion, which will raise capacity from 0.5 million to 0.7 million ton annum is progressing well and is expected to be completed within the

next 2 years.

Additionally, our proposed merger with Mangalore Chemicals & Fertilizers, which received shareholder approval in June, is advancing through the final stages of the NCLT process. Upon completion, this will enhance our scale and market reach. We intend to announce our further capex and growth plans following the conclusion of the merger process.

Looking ahead, we remain confident of sustaining our momentum through FY26, supported by above normal monsoon forecast, stable subsidy disbursements and increasing demand for value-added and soil-specific fertilizers. With our integrated supply chain, flexible production capabilities, pan-India distribution network and established brand equity, Paradeep Phosphate is well-positioned to deliver consistent growth and long-term value for all the stakeholders.

Thank you once again for joining us today and for your continued trust in Paradeep Phosphate.

I will now be happy to take your questions. Thank you.

Moderator: Thank you very much. The first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Sir, congratulations on great financial performance. While you have mentioned in the opening remarks, but if you can elaborate further as to what drove this extraordinary growth in EBITDA?

Rajeev Nambiar: I think if you look at it, actually, our production volumes jumped up and early onset of monsoons and which has actually aided in terms of increased sales volume. If you look at it, we have an increase of sales volume plus 30 percentage compared to year-over-year.

And the product mix also helped us in terms of optimizing whatever resources we have in terms of converting to the EBITDA levels. And our backward integration programs, which are going on are also well like Phosphoric acid of 0.5 million, we could actually completely make a target clear and the further expansions also will drive our future things.

Prashant Biyani: Sure. Sir, between the 3 levers of high volume growth, backward integration benefit and maybe some inventory gains, how was the contribution of all 3?

Harshdeep Singh: Prashant, this is Harshdeep here. So if you look at it dominantly, the volume growth of 34% significantly contributed to the growth in the revenue and the bottom line. The further thing was even with the combination of what Rajeev was saying, the benefit because of backward integration and the market realization.

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In line with the market requirement, we could take a realistic pricing for NPK grade, which resulted in a revenue growth higher than the volume growth. So that's what helped us really get good EBITDA in the first quarter.

Prashant Biyani: Sir, how much price increase have you taken?

Harshdeep Singh: So currently, like the complex fertilizers like 10:26:26, they've been in the range of INR 1,850 to INR 1,900 a bag. If you remember, they used to be earlier capped at around INR 1,470 a bag.

Prashant Biyani: Okay. And sir, Paradeep's view is very well-respected within the government circle. So what would be your view as a company on the trajectory of subsidy for H2?

Alok Saxena: Prashanth, we can't comment on this right now. We will have to wait till we have the government notification.

Prashant Biyani: Okay.

Harshdeep Singh: Prashant, you are familiar with the process which the government follows, okay. They typically tend to look at the cost curve from Jan to June, okay. And that should be in the right direction.

That's it.

Alok Saxena: Yes. And just adding, I think we have been good support and we feel that, that will continue for us to benefit.

Moderator: The next question is from the line of Ahmed Madha from Unifi Capital.

Ahmed Madha: Congratulations on great execution and financial performance. Sir, I have 3 questions. First to start with in terms of understanding the strategy behind the product mix, I can see the traded

volumes this quarter have been much lower, while we have manufactured a decent amount of DAP. So in terms of changing the mix, in terms of increasing DAP trading and manufacturing more NPK, what is the thinking behind the entire product mix and mix between the trading

manufacturing? And also, any thought trading more TSP as well as DAP?

Harshdeep Singh: Harshdeep here. See, the strategy is to maximize the NPKs that is as far as our manufacturing strategy is concerned, and we are moving well in that respect. Our Q1 growth for NPKs has been 48% compared to the regular portfolio growth of 35%. So that direction, we continue that.

Trading, we are going to look at supporting the market strategically, and we will be doing both DAP and TSP in the Q2 because arrivals would happen. But the objective will be to do profitable trading volumes. So that's how our overall core strategy is.

Ahmed Madha: Got it, sir. My second question is on the increase in RM prices. The sulphur prices have been up materially and same is with phosphate prices. I'm not sure how the rock prices are moving for you guys considering you have long-term contracts. But do you see any material change in profitability margins for the balance of kharif season?

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I understand you answered to Prashant that you cannot comment for the next because the subsidy are yet to be announced. But for the balance of the kharif season, do you see any major risk in terms of margins?

Rajeev Nambiar: These prices have been actually going up, and we see some of the area now a little softening. Maybe I think certain area, it has peaked out, but I think sulphur it is showing some little softening. Other things remain little on the growing side only.

But I think counter this, if you look at it, actually, our operational efficiency has actually been quite stronger actually. And in Q1, we have taken most of the shutdowns and other things. So Q2 in terms of operational efficiency, ability to produce should be much better than Q1.

And overall, if you look at it, the early monsoons and availability of more crop area, all those things basically facilitate our Q2. But definitely the RM prices are a concern for all of us, but we'll see what best can be done actually to mitigate this.

Ahmed Madha: Okay. My third question is on the inventory channel positioning. So can you give some broad numbers, what was our channel inventory as of Q1 end, which is June 2025 and comparable numbers for Q425 and Q125, which is March2025 and June2024. That will be very helpful.

Rajeev Nambiar: Bijoy, could you take this one?

Bijoy Biswal: Yes. This is Bijoy Biswal from PPL. So the inventory level has increased because of the stock we have purchased towards the end of this quarter. So inventory level, if you compare to 31st March2025, so this has gone up. So this is around INR 1,000 crores has gone up. And even the subsidy receivable also gone up. So that is mainly on account of the cost which has been accumulated and which will get the liquidated in this coming month in this kharif season. But inventory level, yes, it has gone up.

Ahmed Madha: Can you quantify on what.

Harshdeep Singh: I'll just clarify on the quantified value, Harshdeep here. See, if you look at last quarter YoY as across trade and primary stocks, we were almost 10.9 lakh metric tons, which has come down to 7.2 lakh metric tons as on 30th of June 2025. So the company stock, the primary stocks are down from 1.4 lakh metric ton to 80,000 metric tons. And the trade stocks are down from 9.5 lakh metric ton to 6.4 lakh metric tons. So overall, trade stocks compared to last year's same level 30th of June, they are on the lower side.

Moderator: The next question is from the line of Pratik Oza from Systematix.

Pratik Oza: Just one question on the PPT. So on Page 7, it is shown that N-20 sales grown at 45% Y-o-Y. And on Page 11, it is mentioned tha

t N-20 sales grew 89% Y-o-Y. So which figure is correct?

Harshdeep Singh: Yes. See, the N-20 sales are 2.24 lakh metric tons, okay? And last year sales was 1.55 lakh metric ton. There is a 45% growth in primary sales vis-a-vis last year.

Pratik Oza: Okay. And sir, on page number 11, it is mentioned that N20 sales grew by 89%.

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Susnato Lahiri: No, I think we can stand corrected. It is 45%. But in terms of the overall NPK portfolio, it is about 60% of the entire product mix.

Moderator: The next question is from the line of Puran Mangilal Tak from Oracle Capital services.

Puran Mangilal Tak: Congratulations sir. I just wanted to understand the unit economics of phosphoric acid production for Paradeep. So just three questions. What is the conversion ratio for our phosphoric acid? That is phosphatrol to phosphoric acid, sulphuric acid to phosphoric acid, and sulphur to sulphuric acid?

Bijoy Biswal: Yes. So rock to phosphoric acid is 3.5x for each set of sulphuric acid will consume 3.2 to 3.5 tons of rock and sulphuric acid to sulphur, it is 1/3. So for each ton of sulphuric acid, we consume

1/3 of the rock in sulphur. And what is last question?

Puran Mangilal Tak: Sulphur to sulphuric acid.

Bijoy Biswal: That's what I'm saying that for sulphuric acid, we consume 1/3 of the sulphur.

Puran Mangilal Tak: Okay. And what is for sulphuric acid to phosphoric acid? Like how much we require sulphuric acid for phosphoric acid production?

Bijoy Biswal: 3.2x of the phosphoric acid. For each ton of phosphoric acid, we require 3.2 to 3.5 tons of sulphuric acid.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on a spectacular set of results. So if you look at the current quarter and the remaining nine months, how should we see the performance? Will we be able to maintain the EBITDA per ton and improve that based on the backward integration benefits, particularly in phosphoric acid where the contract prices have gone up?

Bijoy Biswal: No, I can put this way that right now for this quarter, we have a little bit higher EBITDA per ton. But going forward, as per our guidance, it will be around INR 5,000 per metric ton in around that, that will be the EBITDA what we'll be maintaining for the rest of the quarter.

Alok Saxena: We always believe that the sustainable EBITDA number that we have for a company like us with the kind of backward integration that we have is around INR 5,000, and we continue to maintain that view. But directionally, with the kind of operational reliability improvements that we have embarked on, the kind of backward integration that we are doing and the market interventions that we are doing, obviously, directionally, we are in the right direction, but the sustainable number as we speak today is around 5,000 number.

S. Ramesh: Yes. In this first quarter, what would be the benefit from the backward integration, if you can quantify per ton?

Susnato Lahiri: Well, it will be difficult for us to quantify. As we mentioned earlier, it's a combination of 3, 4 factors driven by higher realizations, higher volumes of production and sales as well as backward integration. But we won't be able to give you a quantified number for backward integration.

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S. Ramesh: So if you look at the longer term, big picture, sulphuric acid expansion, phosphoric acid expansion, once everything is done, what is the benefit you expect from these projects in terms of backward integration?

Alok Saxena: In the long term, we should assume that whenever the backward integration gets into in the picture, there is always a \$150 captive advantage vis-a-vis imported phos acid per ton. So that will reflect into your EBITDA improvement.

S. Ramesh: That is taking both sulphuric acid, phos acid and the benefit of steam everything put together,

er,
right?

Alok Saxena: Yes.

S. Ramesh: So just one last thought. So if you look at your overall balance sheet, what is the kind of increase in working capital? And what is the kind of movement in debt you expect this year and next year?

Bijoy Biswal: So I'll tell you that this year, the working capital is similar to the last year, the 31st March closing. It has not gone in a high. And long term, we have got around INR 1,000 crores we will be maintaining that one, provided whatever we repay and base load we take. But our guidance is that it will be around INR 1,000 crores.

S. Ramesh: So this current trend in interest cost reduction that will be sustained? Or do you see any risk on the interest cost going up over the next 2 years?

Bijoy Biswal: No, I think we have got this reduction of the repo rate and all thing has really impacted positively. And as and when there is a reduction by the RBI, we negotiate with the banks and get this rate reduced. So we are quite hopeful that in case there is any reduction by the RBI, that benefit will accrue to us.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on a good set of numbers. Firstly, can you please highlight the MRP and subsidy realization of DAP and NPK 20 in Q1 FY26 and July 2025 again?

Bijoy Biswal: During this quarter, we have the subsidy realization of around INR 1,500 crores at market less of around INR 2,000 crores, which is what we have sold has been converted the subsidy and the realization.

Harshdeep Singh: Just to add to your specific point on the MRPs, the MRP for DAP currently is INR 1,350 a bag. DAP is INR 1,300 a bag. And for the NPKs, the ranges from INR 1,400 to INR 1,915 a bag. So depending on the grades that we're doing. And we maintain leadership as far as market is concerned on the price realization.

Krishan Parwani: And on the follow-up on that, like how much per bag MRP you have taken increase from the last quarter?

Harshdeep Singh: Yes. So specific grades, if you look at it, like, for example, NPKs, N-10 and N-12, the average per bag realization was INR 1,470 a bag. Currently, it is around INR 1,850 to INR 1,900 a bag.

Krishan Parwani: Okay. And that continues in July also?

Harshdeep Singh: Yes. Continue means, it's a part of the process. We review our cost curve and we look at what's the best from the market optimization point of view. So that's how we're looking at it. So we already clarified the guidance on the EBITDA. So that's what the intention is to maintain that, grow that.

Krishan Parwani: Okay. And government isn't stopping you from taking MRP increase because I think.

Harshdeep Singh: The policy is clear on the NPK. On the DAP and TSP, they expect us to keep the MRP as per the guidance. However, for NPK, there is no restriction from the government.

Krishan Parwani: Okay. Secondly, we have reported INR 6.5 per ton, while our targeted EBITDA, I think you reiterated around INR 5 a kg or let's say, INR 5,000 per ton. So is it fair to say, let's say, there has been kind of an inventory gain of INR 120 crores, INR 150 crores during the quarter, taking incremental INR 1.5 per kg for 7.5 lakh ton sales volume?

Harshdeep Singh: That's not the way to capture that. It's a combination of factors. That's what we have clarified.

Rajeev Nambiar: Also, the current financial situation volatility needs to be kept in mind.

Krishan Parwani: That I understand. But could you quantify the inventory gain you could have had in the first quarter?

Harshdeep Singh: I would like to clarify before we quantify that, the product mix did not have any traded volumes. So once the traded volumes set in, there is some normalization of the EBITDA, which happens.

And first quarter was pure manufacturing volumes. So that's how you look at it.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC

AMC.

Dhruv Muchhal: Sir, one data point in case I missed earlier is what is the subsidy outstanding for the quarter end?

Bijoy Biswal: The subsidy outstanding is INR 2,200 crores.

Dhruv Muchhal: And sir, is it possible to share what was the volumes with the dealers or distributors as of the end of last quarter, I mean Q4 inventory of your products with the dealers at the end of Q4.

Harshdeep Singh: Wholesaler and retailer was 6.7 lakh metric ton, trade total volume 9.5 lakh metric tons, wholesaler plus retailer. This year, the inventory is lower, and it is around 6.4.

Dhruv Muchhal: Is the inventory with dealers, distributors, everyone in the system?

Harshdeep Singh: Yes, this is with dealer and retailer. This does not include the primary inventory which the company holds, which is also lower compared to the last quarter. That's around 18,000 tons this quarter end.

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Moderator: The next question is from the line of Mr. Riju Dalui.

Riju Dalui: Congrats for great set of numbers. So in terms of some book keeping question. So how much we made in terms of EBITDA per ton for the DAP this quarter?

Bijoy Biswal: Generally, we don't give a guidance or say that what is that product wise. What we can say it this quarter we have EBITDA of around INR 6,600 per metric ton on an overall basis.

Riju Dalui: Understood, sir. And we have seen some increase in the RM prices from Q4. So if you could share some view about the inventory gain that we have reported this quarter, if it is possible?

Bijoy Biswal: Can you repeat the question again?

Riju Dalui: Inventory gain in Q1, if you could quantify that?

Bijoy Biswal: Riju, regarding the subsidy impact already that has been factored in 31st March 2025. So that impact has already been considered. And whatever we have taken this inventory at cost, now that has been realized because of the MRP in place. We can't quantify that.

Riju Dalui: Understood, sir. And regarding the capex projects that we have. So in PPT, Page 11, we have mentioned that the upcoming phosphoric acid backward integration, so that will be beyond Paradeep site. So like can we assume that the Paradeep site is 100% backward integrated and the upcoming capacities will support the Goa plant in terms of backward integration?

Rajeev Nambiar: So far, whatever we announced, basically, it is for Paradeep only. So you can take it actually the backward integration is now concentrated on Paradeep.

Alok Saxena: As we said earlier that after the ongoing merger process of MCFL is closed, then we'll get into more detailing of the next investment plan. But as of now, the 0.5 to 0.7 expansion is coming for Paradeep.

Riju Dalui: That is for Paradeep, but in the PPT you have mentioned that beyond Paradeep site.

Bijoy Biswal: Whatever excess phos acid out of this 2 lakh metric ton we are increasing, if that is available,

then definitely that will support this Goa plant or Mangalore plant going forward.

Riju Dalui: Okay. Understood, sir. So with the current capacities in terms of phos acid and the sulphur to sulphuric acid, the Paradeep plant, we have 1.8 million metric ton of capacity. So how much that plant is backward integrated? Is it 80%, 90% or 100% if you could quantify that?

Susnato Lahiri: Riju, on a thumb rule basis, typically 30% of the capacity should be backward integrated. So right now, as the CFO mentioned, we are about 95%. Once we reach 7 lakh tons, we will actually be in excess of 100%. And that incremental can be then transferred to the other sites that we have.

Riju Dalui: Okay. Understood. And one last question. So yesterday, MCFL announced some kind of a capex, roughly around 6% kind of a capex for the NPK integrated with this phosphoric capacity expansion. So if you could highlight something like this new capex that announced by the Paradeep Phosphates Limited

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MCFL? Will this be stand-alo

ne capex for MCFL or like post-merger, we'll have a combined capacity addition for MCFL and Paradeep site?

Rajeev Nambiar: It's improper for us to actually comment on MCFL currently. But once the merger is done, actually, we'll definitely get back to you.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investment.

Vignesh Iyer: Congratulations on a great set of numbers. Sir, 2 questions from my side. My first question would be procurement of sulphur, is it more like a yearly contract that is set? And is there a pattern of revision of prices when it comes to that?

And second question is on procurement of DAP. I mean there is clearly some shortfall in DAP as per the industry commentary, right, mainly because of import from China. So I wanted to understand what is our strategy and where are the other sources we are looking to procure that DAP for trading?

Bijoy Biswal: No, regarding sulphur, the contract is a yearly basis, it's a long-term contract. In case there is any shortfall, we go purchase the spot market based on this price viability and other things. But regarding DAP, I think Harshdeep can tell you regarding the DAP procurement.

Harshdeep Singh: Yes. See, the DAP, typically, what we are doing currently, we are buying dominantly from OCP as a part of a long-term contract. And that is driven by a formula pricing. Both DAP and TSP.

Vignesh Iyer: Sir, the pricing of sulphur, I mean, it is a long-term contract, but is there a reset on pricing every 15 days or every month?

Bijoy Biswal: This follows the price given by international market. Even though the long-term contract is for the quantity assurance.

Susnato Lahiri: Just to clarify, most of the long-term contracts are governed by formula and every formula is actually linked to the current market dynamics. So as and when there is a swing upward or downward of the prices internationally in the commodity markets, that will reflect on our pricing.

Vignesh Iyer: Right. Just one last question to this. So would it be fair to assume that since the spread has improved between sulphuric and sulphur, we might see some gains coming to us in Q2?

Susnato Lahiri: The gains have already been coming. If you look at the prices, the spread has actually been there for the last few quarters. So we are realizing the prices. And as and when the spread kind of improves or reduces, we'll stand to kind of gain accordingly.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: So most of my questions were answered. I just had one data keeping question. I just needed some clarity on the shareholding in promoter category. So per notification, it will be 58.64% held by the promoters. Is my understanding right?

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Alok Saxena: So after the merger, the controlling entity of PPL, which is Zuari Maroc Phosphates Limited will hold more than 51%.

Saumil Shah: Okay. And the rest will be by Zuari Agro Industries and others.

Alok Saxena: Yes. That together will be around 7%. So you're right, 58% will be the collective promoter holding after the merger.

Saumil Shah: Okay. And ZMPPL will be a 50-50 joint venture only no?

Bijoy Biswal: Post merger. Yes, it will continue that way.

Moderator: The next question is from the line of Shaurya Punyani from Arjav Partners.

Shaurya Punyani: First quarter was very good in terms of volume. So what kind of growth can we expect in terms of volume?

Bijoy Biswal: No, this past quarter, we sold around 7 lakh tons. So we have established capacity of 2.7 million,

2.8 million tons, and we expect to deliver those volumes.

Susnato Lahiri: So we are targeting about 3.1 million tons, and this should actually include a bit of trading as well. And once the MCFL merger is complete, that will kind of get us another additionally 7 lakh tons.

Shaurya Punyani: Okay, sir. And sir, at what utilization are we operati

ng? Can you repeat it?

Susnato Lahiri: We are close to 100% utilization at the moment, and we will try to maintain this kind of utilization levels throughout FY26.

Moderator: The next question is from the line of Sandeep Mukherjee from SKP Securities Limited.

Sandeep Mukherjee: Can you share the CU volume and EBITDA per ton for Paradeep and Goa separately for the NPK?

Bijoy Biswal: So generally, what we always mentioned that we don't give these numbers on a unit basis. Now company as a whole, what is reflected is around INR 6,600 on the overall product for this quarter.

And the volume what is sold is around 7.4 lakh tons.

Sandeep Mukherjee: All right, sir. Sir, my next question is, how are you seeing the TSP as a substitute to DAP? And what are the challenges of this product?

Harshdeep Singh: So you see, we are positioning TSP as a powerful phosphate fertilizer with 46% fee. And we have found good traction. We have been doing a lot of groundwork in terms of promoting it amongst the farmers. We see a good acceptance happening with farmers where the awareness level is high, like potato farmers in Punjab, soybean farmers in Madhya Pradesh and Maharashtra. So the product has been introduced in almost 10 states currently.

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It's a product which is gaining acceptance. However, based on the soil and the crop, part of the nitrogen could be supplemented by the farmer. But we see it as a good powerful phosphate fertilizer. And from a sustainability dimension also, it's something which is good because you're preventing overuse of nitrogen.

Sandeep Mukherjee: And are you producing or manufacturing the product?

Harshdeep Singh: No, we're currently importing the product from OCP Morocco.

Moderator: The next question is from the line of Manish Mahawar from Antique Stock Broking.

Manish Mahawar: Yes, sir, a couple of questions. One, in terms of phos acid and DAP and the rock value chain, it is a couple of quarters, we are seeing the phos prices are going up. It's been, 5 or 6 quarters.

However, rock prices are still at a lower level. So any specific reason rock prices are not going up in tandem with the phos acid and DAP? Because historically, if you look at the cycle last 15, 20 years, right, the rock price always follows phos acid and DAP. Any specific reason this time it's not following?

Harshdeep Singh: No, just to kind of give you a clarity here, see, while rock prices will follow the overall direction as far as phosphates is concerned, but there is not a one-to-one correlation. DAP is a purely demand kind of supply-linked commodity. And currently, because the inventory levels in the country are low, so you're finding typically the prices have moved up significantly.

However, rock, the sources are multiple and the import pattern is different. There are not too many players buying rock today vis-a-vis DAP, which everybody wants to build up the inventory to ensure that the farmers get the availability of the material. And this year, China has not been on the supplier side as far as DAP is concerned, which has pushed up the prices.

Manish Mahawar: But what you're talking about, it's more of an Indian situation? Globally, I think DAP and phos acid prices are still up. So basically, rock has to follow the prices?

Harshdeep Singh: Yes. The pace will not be the same as with the finished product.

Manish Mahawar: And phos acid price, as I understand for Q2 is around INR 1,250 or maybe INR 1,260, right, \$1 for Indian contract price.

Rajeev Nambiar: Yes, INR 1,250.

Manish Mahawar: Okay. And are we or industry are taking price hikes in DAP and NPK to offset this?

Harshdeep Singh: No, DAP is covered under this price basis. That's why there is no increase of MRP in DAP. But in case of other NPKs, it is of this price regulation. So we have increased the price. The MRP has been increased compared to last quarter.

Manish Mahawar: That was 1st

June, right? Last price hike was 1st June, what I understand, right? Or after that, we've increased also in NPK?

Harshdeep Singh: During this quarter, this has been increased.

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Manish Mahawar: Okay. In July month, you're talking about? What was the quantum for this MRP hike in NPK in July month?

Harshdeep Singh: I think we have clarified, see the overall price hike for the NPK, see, what was there last year was around INR 1,470 a bag. And over a period of time, currently, our average range is between INR 1,400 to INR 1,900 per bag depending on the product basically. So N-20 has a different price, N-10, N-12 has a different price. So there is a significant increase that we've taken in line with our RM increase.

Manish Mahawar: Okay. Just giving an example, N-20, what was the price?

Harshdeep Singh: N-20 current MRP is around INR 1,400 a bag, depending on different price point, it was prevailing between INR 1,200 to INR 1,300 a bag. N-10 was INR 1,470 a bag. Currently, N-10 prices is around INR 1,900 a bag.

Manish Mahawar: Okay. Understood. And maybe 2 book keeping questions, sir. You have said in the call, inventory at a dealer and wholesale or retail level is INR 6.4 lakhs for us by the end of this quarter. Can you break it up in terms of DAP and NPK?

Harshdeep Singh: We can do that, but there are a number of grades of NPK. So I'll give you that as an overall.

Manish Mahawar: NPK total number, you can highlight.

Harshdeep Singh: Yes. So currently, the trade inventory for DAP overall is around 1.3 lakh tons, okay? And for NPK would be around 4.35, 4.3 lakh metric tons.

Manish Mahawar: Understood. And second question, in terms of gross debt and net debt number by end of June.

Susnato Lahiri: Yes. So the gross debt is close to about INR 4,000-odd crores. Long term is very minimal, about INR 500 crores because there aren't too many capex projects, new projects running at the moment. In terms of net debt, I think we are doing a net debt-to-equity ratio of 0.77 with INR 1,200 crores of cash at hand.

Manish Mahawar: Okay. So it's around INR 2,800 crores roughly is a net debt number by end of June, right?

Susnato Lahiri: Yes.

Moderator: The next question is from the line of from Yatharth from IGE India.

Yatharth: Congratulation on the results. Just wanted to ask a small question regarding nano DAP fertilizers.

How do you see nano DAP fertilizers going ahead in the market in the next 3 to 4 years compared to NPK?

Harshdeep Singh: See, we are finding quite a good acceptance for our nano products, okay? Nano product is a biogenically done nano. And we are seeing the farmers getting a good result with that. Our current volumes have grown in the Q1 significantly. And we see a good traction building up for nano DAP.

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However, we have to see it in the context. It is not a replacement for the existing DAP or NPK.

It's a partial supplementation of the current phosphate application which happens through the nano DAP. And good thing about our nano DAP is that it's got nitrogen also as a built-in this thing, and we see a good response from the farmers and good acceptance.

Moderator: The next question is from the line of Amit Agicha from HG Hawa.

Amit Agicha: Sir, could you give insights into the order book visibility or the demand pipeline for the rest of FY26?

Harshdeep Singh: Biswal, I'm just taking this. In terms of the overall guidance, I think we have already indicated that we would be doing 3.1 million ton plus in line with our budgeted numbers. The demand is strong. We are finding good traction for the farmer sales as well as phos sales is concerned. And Q2 is a strong consumption quarter. And we maintain the guidance as far as overall volume of 3.1 million ton plus is concerned for the whole of the year.

Amit Agicha: And the second question was with government subs

idy rising, like how much of your revenue is exposed to delayed subsidy payments?

Harshdeep Singh: See, currently, the payments from the government are happening quite on a timely basis linked to the phos sales. And as long as farmer sales are happening on time, we are getting a good cash flow as far as company is concerned.

Susnato Lahiri: So currently, there are no constraints in terms of getting the receivables from the government. So the subsidy receivable days are pretty much under 50 actually for us.

Amit Agicha: Under 50?

Susnato Lahiri: Under 50 and the trade receivables are under 17.

Bijoy Biswal: Subsidy receivables are a little bit higher because of the phos acid as of this quarter, is around 100 days and trade 30 days.

Moderator: The next question is from the line of Rithik Shravak from Nirmal Bang Securities.

Rithik Shravak: Congratulations on a good set of number. I just want to ask one question that how much of additional phosphoric acid from expansion will reduce the import? And how much will it add to

fertilizer volumes?

Bijoy Biswal: What I'm saying that this 2 lakh ton of this phos acid what we'll be adding, that will be consumed for the NPK products and it depends on the percentage of what are the NPK we are making. And now if you look at mostly we'll be doing N-20 product. This will give 2 lakh tons means it will give around 9 lakh ton of N-20, which can be processed.

Moderator: The next question is from the line of Ajit Sethi from Eiko Quantum Solutions.

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Ajit Sethi: I just need some clarification. Sir, can fertilizer we produce in smelter grade sulphur. The reason for asking this question is the sulphur which came out from smelter is of low purity as compared to the sulphur which came out from refining crude or natural gas.

Rajeev Nambiar: Normally, we prefer actually the refinery grade because of purity to avoid most of the operational-related issues.

Ajit Sethi: Okay. So next question is, sir, going forward, many of the global refineries will be closing down.

So do we see any shortage of sulphur going forward?

Rajeev Nambiar: Not really. In fact, our procurement team is working in terms of mapping all the resources. And since we have got a lot of long-term contracts, we don't see any problem in terms of the availability of sulphur.

Moderator: The next question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, in the RM price chart that you have shared in the PPT, rock and sulphur price movement is difficult to assess because of high index value of acid. Can you spell out rock phosphate value in that chart for Q1 and Q4, what we have seen last year?

Rajeev Nambiar: No, I can take the call. This rock phosphate price in the Q4, it was around \$200. I think similar terms it is there in Q4, Q1 of this year also. So there is no much change in the Q4 and Q1.

Prashant Biyani: And how was it for sulphuric acid?

Susnato Lahiri: Acid actually moved up from, say, about 100 levels in Q4 to a current level of about 130-odd.

Prashant Biyani: And sir, how much was the subsidy received in Q1?

Susnato Lahiri: About INR 1,477 crores, INR 1,500 crores.

Prashant Biyani: Okay. And sir, lastly, Harshdeep, sir, what was the trade inventory in Q1 last year?

Harshdeep Singh: Trade inventory in Q1 last year, we were discussing was around 9.5 lakh metric tons.

Prashant Biyani: That was for Q4, right?

Harshdeep Singh: No, I'm talking of 30th June 2024.

Prashant Biyani: Okay. Then how much was it for Q4?

Harshdeep Singh: I can Prashant share with you that number 31st March number.. I can get back to you. Just compare the quarter-to-quarter, like I have clarified from 9.5 lakh, we are currently down to 6.4, 6.5 lakh metric tons. So that way, the absolute inventory in the trade has come down because of good onset of monsoon season. So that's a very, very positive thing that helps the cash flow bo

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on the market front and as well as the subsidy realization.

Prashant Biyani: Yes. Sir, one last question on the fundamentals of phosphate. DAP because of government regulation, prices are not able to increase. And on NPK, we are increasing the price, but by their

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very nature, the price difference between DAP and NPK is increasing. So the balanced nutrition concept isn't it going for a toss? And will the market accept such kind of price increase?

Harshdeep Singh: So Prashant, what you're saying is absolutely right. What is important is for us to promote balanced nutrition. And in line with our motto of healthier soil, healthier people, our focus is to promote complex fertilizers, which have a combination of nitrogen, phosphorus and potash. And wherever farmers are buying, let's say, a stand-alone DAP or urea, we also promoting that they use specialty nutrient as well as potash and the nutrient. But our focus remains on promoting a combination of nutrients that is NPK.

However, there would be a certain set of farmers who still would want DAP and there, we promote them to use potash. But you're right, there is a distortion which happens in the market because of a cap on the prices as far as DAP is concerned.

Prashant Biyani: And sir, this is acceptable right now buying NPK even at higher price vis-a-vis.

Harshdeep Singh: Yes. So if you look at the overall trend, Prashant, that I'm talking of as an industry, you look at the NPK growth, which has happened for the Q1, the NPK growth has been almost 34%. And the DAP is down by around minus 19%, so partly it is linked to the supply side issues also.

However, what is important is that you are finding farmers getting a good acceptance for the NPKs.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: First question from my side is on your capacity expansion trend. You are at 100% utilization currently. Can you lay out the expansion trend for FY2026, FY 2027 and FY 2028?

Rajeev Nambiar: A lot of plans are going on. I think we will be able to announce it once the MCFL merger goes on. Currently, the expansion in terms of backward integration is rock solid, 1,500 tons sulphuric acid plant is expected to get commissioned in Q3 beginning and the phosphoric acid capacity by September 2026. So that gives us enough leverage in terms of managing the cost. And additional PA will definitely get converted into other products.

Gagan Thareja: So I mean, when you get into the next financial year, given the current status, is it reasonable to infer that you will have further benefits from backward integration. But in terms of output of final tonnage, it may not grow. You may choose to vary the mix basis market and basis backward integration. Is that how it will play out?

Rajeev Nambiar: There are a lot of operational related, we may not be announcing big capex as of now in terms of capacity expansion, but there are a lot of operational capex will also take the expansion plans on a routine basis, which goes up. But we'll definitely announce bigger plans once the MCFL merger is done.

Gagan Thareja: Right. And can you possibly also enumerate synergies from the MCFL acquisition? And over what time can you realize that?

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Susnato Lahiri: Yes. So a couple of points there. In terms of the synergies on the revenue side, of course, that gives us an access to markets, important markets down south. And also in terms of the product mix rationalization, we can do a lot with the existing sites that we have in both Goa and Paradeep. And on the cost side, of course, the Mangalore asset can get benefit through the economies of scale and scope, procuring from the kind of partners that we have been procuring. So there are synergies, very strong synergies on both revenue and the cost side.

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n Thareja: Is it possible to enumerate the number and the time frame over which you can achieve that number?

Susnato Lahiri: See, we are in the last stages of the regulatory process. So it should happen any time now. You can really just kind of keep looking at the website for the update. In terms of numbers, it's a listed entity. So I'm sure you can do the math very easily.

Gagan Thareja: Fine, sir. And you indicated INR 6,600 kind of EBITDA per ton for the quarter. Is it possible if not any, give us some flavor of how it would work out for Paradeep versus Goa?

Susnato Lahiri: No, we are not giving any unit-wise guidance to be very frank. We work at a company basis, company level, all the numbers at company level. Having said that, in fact, we will try to kind of have a number better than INR 5,000, which has been the guidance a little on the conservative side from us.

Gagan Thareja: Right. And is the gross debt expected to go up further in the coming year? And to what extent, at what level do you intend to sort of cap the gross debt?

Susnato Lahiri: See, debt is largely a function of the price of the raw materials because if you look at the total debt composition, it's largely the working capital debt, and that's a function of the raw material prices. So depending upon how the RM prices move, the debt will kind of improve or decrease. But more or less, we believe that it should be near about this level.

Gagan Thareja: Okay. Even if you announce further capacity expansion, you don't believe?

Susnato Lahiri: That is separate. We would not like to cross the bridge at the moment. Let us complete the merger, and we'll announce the larger plans.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

Rajeev Nambiar: Thank you, everyone, for taking the time to join us today and for your continued trust in our journey. Should you have any further questions, please feel free to reach out to our Investor Relations team. Thanking you again. Thank you.

Moderator: Thank you very much, sir. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Earnings Conference Call

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ANAGEMENT : MR. RAJEEV NAMBIAR – CHIEF OPERATING OFFICER
MR. HARSHDEEP SINGH – CHIEF COMMERCIAL
OFFICER
MR. BIJAY KUMAR BISWAL – CHIEF FINANCIAL
OFFICER
MR. ALOK SAXENA – HEAD (CORPORATE FINANCE &
IR)
MR. SUSNATO LAHIRI – JOINT GENERAL MANAGER
(STRATEGY)
MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

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Moderator : Ladies and gentlemen, good day and welcome to Paradeep Phosphates Limited Q2 and H1 FY 26 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant s lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock B roking. Thank you and over to you, sir.

Manish Mahawar: Thanks . Hello everyone. I am pleased to host today's Earnings Call of Paradeep Phosphates. We have a Leadership Team represented by Mr. Rajeev Nambiar – COO, Mr. Harshdeep Singh – Chief Commercial Officer, Mr. Bijay Kumar Biswal – CFO, Mr. Alok Saxena – Head (Corporate Finance & IR), Mr. Susna to Lahiri – Joint GM (Strategy , IR & ESG) on the call. Without any delay, I would like to hand over the call to Mr. Nambia r for opening comments, post which we will open the floor for Q&A. Thank you and over to you, sir.

Rajeev Nambiar: Okay. Good afternoon, everyone and welcome to Paradeep Phosphates Earnings Call for the 2nd Quarter and First Half of FY 26. I appreciate your time and interest in our company. I trust you have seen our Earnings Presentations and Press Releases which have been circulated and are now available on Website and Stock Exchange .

Giving an overview of the quart er as well as the H1 :

Q2 and H1 FY26 have been strong and defining periods for PPL, underscoring the strength of our operations, the execution of strategy and our readiness for the next phase of growth. This quarter we not only delivered a robust financial and operating performanc e but also took a transformational step towards t he completion of the merger of M angalore Chemical s and Fertiliz ers with ourselves. This integration positions PPL as a truly pan -India fertilizer company, broadening our southern market presence, strengtheni ng customer access and the unlocking synergies in procure ment logistics and product mix.

Coming to the performance highlights :

Our Q2 operational performance was robust. Production rose 19% year-on-year to 10.06 lakh tons and the sales volume grew by 30% to 13.55 lakh ton s. Growth was broad -based, led by value -added NPK grades, notably N20 volumes grew by 52% and TSP 339% year-on-year. For the first half, production and sales reached 1.86 million tons and 2.3 milli on tons respectiv ely, up by 17% and 28%.

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Financially, the company continued to demonstrate scale leverage and margin discipline. Revenue from operations in Q2 rose 49% year-on-year to Rs. 6,872 crores, EBITDA grew by 32% to Rs. 6,98 crores with a margin of 10.1% and PAT improved by 34% to Rs. 342 crores. For the first half, revenue grew by 46%, EBITDA by 69% and PAT by 135% year-on-year, a reflection of both volume growth and mixed enrichment. We also sustained a strong financial foundation. Our cash conversion cycle improved by 30 days, coming to 58 days now, and net debt-to-equity stood at 0.66, maintaining ample balance sheet flexibility to fund future growth. Strategic progress :

A key highlight in this quarter was the announcement of Rs. 3,600 crore investment program, which marks the next chapter of PPL's growth. This program will add a million ton of new granulation capacity at our Paradeep site, expanded backward integration of phosphoric acid by 0.5 million ton, and sulphuric acid by 1.5 million tons across Paradeep as well as Mangalore site, which will make all the three sites fully backward integrated. These projects will elevate PPL's total capacity to almost 5 million tons over the

next 2.5 years, positioning us as India's largest fully integrated private sector fertilizer manufacturer. This strategic investment exemplifies our focus on self-reliance, cost competitiveness and long-term value creation, funded through a disciplined balance of internal accruals and long-term debt.

Coming to brand and market leadership :

On the brand front, we are privileged to welcome our ace cricketer Rahul Dravid as the PPL's brand ambassador. Rahul's values, trust, consistency and integrity mirrors PPL's ethos and our relationship with the Indian farming community. His association will amplify our efforts in promoting innovative and sustainable farming solutions under our Jai Kisan Navaratna and Jai Kisan Mangala brands. Through our expanded distribution and digital outreach, we now engage with more than 10 million farmers across 18 states, supported by 75,000 retailers, 6,000 dealers and a strong on-ground advisory network.

Coming to the outlook:

Looking ahead, we remain optimistic about fertilizer demand, supported by a favorable Rabi season, continued government thrust on soil health and rising shift towards balanced and specialized nutrient application.

Our strategic priorities are pretty clear :

- Scale Efficiency
- Deepen Backward Integration
- Accelerate Product Innovation
- and Embed sustainability at the core of our operations.

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We continue to advance our ESG journey with our fourth ESG Report now published and externally assured by TUV India. Our S&P Corporate Sustainability Assessment Score continues to place PPL among the top 2% of chemical companies globally, reaffirming our leadership in sustainable business practices.

In summary :

Q2 and H1 FY26 demonstrates PPL's operational resilience, financial strength and strategic momentum we are building on. With MCFL integration complete, capacity expansion underway, a strong market fundamentals, we are building a larger, stronger and more future-ready PPL that is positioned to create enduring value for our shareholders and for India's farming community.

Thanking everyone for their continued support, I now open the floor for questions.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. First question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Yes, thank you for the opportunity. Sir, it is heartening to see what our market cap was three years back when we listed. We are investing almost similar amount today in capacity expansion.

Surely, we have come a long way in a short period of time. My first question is, if you can share the year-wise split of Capex of Rs. 3,600 crores that would be helpful.

Management: Yes. So, this investment will be made over a period of two and a half years. So, every year, we will have around Rs. 1,500 crores of investment. So, in two and a half years Rs. 3,600 crores will be invested. So, by the end of FY28, the full capacity, whatever we are envisaging that increase, that will be commercially starting production.

Prashant Biyani: Sir, for the remaining period of 2026, how much should we take as investment towards these Capex ?

Management: It will be around to the tune of around Rs. 500 crores.

Prashant Biyani: Okay. And FY 2027, Rs.1,500 and then another Rs. 1,500 in FY 2028.

Management: Yes. Perfect.

Prashant Biyani: And secondly, can you also share PPL's standalone performance, how it was in Q2? That will be great.

Management: No, generally, the post-merger activities, you know, the appointed date April 1, 2024, we are supposed to consolidate the account. So, the account has been consolidated as per the Indian Accounting Standards mandated and this result reflects the consolidated account with erstwhile MCFL. So, we are not supposed to prepare on a standalone basis.

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Prashant Biyani: Sure. That is it from my side and all the best for a flawless execution. Thank you.

Management: Thank you.

Moderator: Thank you. Next question is from the line of Riju from Antique Stock Broking. Please go ahead.

Riju: Hello. Hi, sir. Congrats on a great set of numbers. So, my question is regarding the capacity addition that we have announced. So, at the Paradeep site, we have stated that we will be doing additional 0.25 MM TPA of phos acid. So, this is including what we have announced earlier or excluding of that Capex?

Management: This will be excluding the last Capex. Currently, we are at 0.5 and we are increasing it by 0.2, which is expected to come in stream next year. And this is going to be beyond that.

Riju: Okay. So, total at the Paradeep site will be roughly around 0.95 million or maybe a million metric tons capacity.

Management: Yes, absolutely.

Riju: Okay. Understood. And second in terms of, we have stated that the capacity will take roughly around two and a half years. And, yes, so two and a half years it will take. But in the PPT, we have mentioned that the flow into the numbers should come from FY 28. But as per the calculation, I think the numbers should come from the H2 of FY 28. Is that correct assumption?

Management: Yes.

Riju: And in terms of the other aspects, if I look at your current granulation capacity, so the volume growth will not be there may be in FY 27. So, can we expect the granulation capacity might come a bit early or maybe the Capex that we have announced for roughly Rs. 3,600 crores. So, that will not be in a phased manner or maybe it will come like at a one go. So, if you could clarify that thing?

Management: The capacity addition of one million will come at one go. And to answer your earlier question that there will not be any capacity addition, but there will be incremental capacity addition by way of brownfield expansion, which is ongoing in the granulation trains at all the three locations. So, we expect at least 0.2 million to come for the next year.

Riju: Yes. So, that you have indicated earlier, right. So, two lakh tons kind of capacity by de-bottlenecking, like it will be on line from next year onwards. Right? And in terms of the subsidy receivables, if you could indicate the number for this quarter.

Management: The subsidy receivable as on 30th September is around Rs. 3,275 crores.

Riju: And how much is due out of this?

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Management: Now, out of this, around Rs. 1,000 crores is due and Rs. 2,200 crores on account of the POS which has happened in these subsequent months.

Riju: Okay. Understood. And, sir, a bookkeeping question, if you could answer that, how much is the closing inventory we have at the dealer or retailer level and out of which how much will be the best manufacturing volume for DAP and NPK?

Management: Yes. So, in terms of the trade stocks that we are currently having, we are having approximately two months' inventory, approximately around 8 lakh metric tons, including the urea and other products. And we have got a big consumption season in November and December. And this will go up for farmers' consumption in the immediate next two months.

Riju: Understood. And, sir, in terms of DAP availability in the domestic market, so how is that the — contribution?

Management: So, I mean, approximately the country's stocks are around 2 million tons. So, it is fairly kind of good availability, which is there as a combination of DAP, TSP and NPK. The availability is pretty decent this year.

Riju: So, 2 million NPK stocks we have only for DAP. Is that correct?

Management: No, this is not our stock. I am talking of the industry stock.

Riju: For the industry, DAP is 2 million metric tons. Right

? And, sir, last year, how much was the number?

Management: Last year was a lower availability compared to this number. Approximately, I think, maybe around 12 lakh metric tons or 13 lakh metric tons, approximately.

Riju: Okay, understood. Thank you, sir. Thanks for answering all my questions.

Management: Thank you.

Moderator: Thank you. Next question is from the line of Gagan Thareja from Groww Mutual Fund. Please go ahead.

Gagan Thareja: Yes. So, the first question is on the funding of this Capex of Rs. 3,600 crores. How much incremental debt will you require for this? And what could then the peak leverage be?

Management: The project, this Rs. 3,600 crores will be financed through 30% equity and 70% debt. So, we have the headroom to have that.

Gagan Thareja: Okay. And the granulation capacity of 3.9 million tons currently, what is the utilization of that?
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Management: We are 100% utilized.

Gagan Thareja: Okay. So, you are 100% utilized. And next year, you might have an incremental 0.2 million tons from brownfield. By when will that be commissioned?

Management: Yes, Gagan, for the purpose of modeling and all, FY 26, we are almost close to 10%, you know, utilized in terms of capacity utilization. Next year, we will have some sort of a backward integration coming through in terms of phosphoric acid of 200,000 tons and sulphuric acid of 100,000 tons at the Mangalore site. So, this should incrementally give us about close to Rs. 350 crores of EBITDA in FY 27. And FY 28 is when the entire Capex plan of Rs. 3,600 crores will get fructified in terms of the granulation and concomitant backward integration.

Gagan Thareja: But if I look at the commissioning time period, it is two and a half years out, which means it will get commissioned in FY 29 and not FY 28. Am I wrong there?

Management: No, we are actually contemplating to kind of start the operations by the end of FY 28. So, we might kind of get to realize some cash flows in FY 28 itself. But you are correct, the fully realizable cash flows will come through in FY 29.

Gagan Thareja: So, in FY 28, then from a volume perspective, how would you address the volume growth requirements if there are any?

Management: Yes. So, the way we look at it is, see, our kind of target number, what we are gearing up for is around five million tons. And we are looking at trading opportunities to augment the volume.

So, that is how we look at the overall basket. But the whole kind of distribution network and the market network that we have put up, so we are now geared up for a five million metric ton plan. And that is in line with our growth plan for the capacity expansion.

Gagan Thareja: Okay. My question was that, is it reasonable to assume that between 2027 and 2028, in terms of manufacturing, your volumes are capped because you are at more or less

Management: Yes, you are right. That is a part of the growth cycle. That is a normal thing. And we will try to look at opportunity because the market is ready for doing trading basically. So, we are already doing good trading volumes of DAP and TSP and NPKs. And we will be doing that.

Gagan Thareja: Okay. Thanks. I will get back in the queue.

Moderator: Thank you. Next question is from the line of question Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Yes. Thank you for taking my questions. A couple from my side. Firstly, I think I missed your expectation for manufactured sales volume for FY 26 and FY 27? Can you please help me with that?

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Management: For FY 26, we are half way through. Krishan, we will just give you the number, just a second in terms of production. So, we are already 23 lakh metric tons. So, by H2, in fact, you can assume similar numbers. And that should

continue through FY 27 as well. Just that in FY 27, we might also do a bottlenecking of the existing facility and improve the granulation capacity by another 100,000 tons or maybe 150,000 tons.

Krishan Parwani: I was referring to the presentation. So, let us say your total granulation capacity currently is 3.9. And given, I think, Susnato, you mentioned your first half was 0.23. So, if I get the 100.23, it becomes, sorry, 2.3. So, then it becomes 4.6. So, on a 3.9, you are saying you are producing 4.6. Is that correct?

Management: So, just to kind of give an overview of this thing, the outlook for the whole year that we are talking of, we are talking of a volume of around 40 lakh metric tons to 42 lakh metric tons. Out of which, around 3.72 lakh metric tons will come from the manufacturing capacity. And around five lakh tons will come from the traded volumes. That is for the current various concern. So,

that is how we are looking at it.

Krishan Parwani: Okay. So, 4.6 to 4.7 is the total sales volume.

Management : 4.2 to 4.3 is the total volume that we are looking at. We have done 23 lakh metric tons. We plan to do another 2 million tons. So, that is around 43 lakh metric tons.

Krishan Parwani: Sure. Got it. And what will be your maintenance Capex, let us say for FY27 and FY28, over and above the incremental capacity expansion? You will need some maintenance Capex. So, what will be that number?

Management : This is typically around Rs. 200 crores to Rs. 300 crores.

Krishan Parwani: Okay. So, it is fair to assume like a Rs. 1,800 crore, Rs. 1,900 crores kind of a Capex under for FY27 and FY28?

Management : Yes. Right.

Krishan Parwani: Okay. Got it. And let us say, what is your EBITDA per ton target for the console entity for FY26 and FY27?

Management: See, as an industry average, 4,000 to 5,000 that is maintainable. And we will have it that.

Krishan Parwani: Okay. And so, after this, let us say, full backward integration, right? All the three sides becoming self-reliant, where do you expect it to move to from 4.5 to 5.5? Where do you expect it to move to?

Management: Another Rs. 1,000 will be added.

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Krishan Parwani: Okay. So, 5.5 to 6.5 that will be the range after that.

Management: Yes.

Krishan Parwani: Yes. And just a last bit, a clarification. I understand that you are consolidating full financials now. But what was the sales volume of the Mangalore plant given the amalgamation happened in October, that is, post the 2nd Quarter end?

Management: For the H1, it is 4.2 lakhs.

Krishan Parwani: 4.2 lakhs for Mangalore plant.

Management : Yes.

Krishan Parwani: Okay. Thank you so much for patiently answering my question. Wish you all the best for the upcoming Capex.

Management : Thank you.

Moderator: Thank you. Next question is from the line of Saumil Shah from Paras Investments. Please proceed.

Saumil Shah: Yes. Hi. Good evening, management. So, my question is on this Rs. 3,600 crore Capex. So, this Capex, what we are doing, so what will be our asset turn on that Capex?

Management: It will be around 2x to 2.5x.

Saumil Shah: 2x to 2.5x. And by when you think that we can reach the peak capacity in this plant.

Management: So, this will take gradually, maybe within a year of the commissioning.

Saumil Shah: So, the commissioning you said is somewhere in FY 2028, right?

Management: Yes.

Saumil Shah: Okay. So, the revenues will itself start from FY2028 and then peak capacity will be in FY 2029.

Management: Yes.

Saumil Shah: Okay. And so, for the current quarter, EBITDA margin has gone down. I mean, the previous quarter it was around 13% and now it has gone to 10%. So, any particular reason for that?

Management: No, you have to see on a half yearly basis. So, the price and everything averaged out.

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Management : In our industry which is subject to kind of a lot of macro volatilities, primarily because of the raw materials being imported from various parts of the world. So, we go through various commodity cycles, price cycles, and you have to look at it in a block actually. So, I think at an average we are doing fairly good actually. And as guided previously, we kind of expect to do around 5,000 number by the end of the year.

Saumil Shah: Okay. And what was it currently for this quarter?

Management : I think this quarter was supposed to be about Rs. 5,200 per ton.

Saumil Shah: Okay. And for the remaining half, I mean, post the merger of Mangalore, so can we increase this Rs.5,200?

Management : Yes. So, you know, given this investment plan that we have of Rs. 3,600 crores, which is to kind of set up the greenfield granulation and also kind of do a concomitant backward integration. So, if you analyze the backward integration that we are undertaking, that of 0.5 million tons of phosphoric acid, that will be more than adequate to kind of address this incremental one million ton of greenfield. So, the remaining will be serving the other two sides, which are not backward

integrated that way. So, essentially, this backward integration will definitely give a fillip to the EBITDA per ton margin, which in fact was guided Rs. 1,000 in incremental.

Saumil Shah: Okay. And that will be post -FY28?

Management : That is correct. But for FY27 also, we had three quarters back had announced 200,000 tons of phosphoric acid capacity from the current 500,000 tons. So, that will actually incrementally come in FY 27. Plus, you know, there is a granulation capacity that will come in FY 27 to the tune of 100,000 tons plus a sulphuric acid capacity of 100,000 tons at the Mangalore side. So, these three put together should also incrementally add to the bottom line in FY 27.

Saumil Shah: Okay. I mean, so to the previous participant, I think you said something like Rs. 350 crores EBITDA for in FY 27. So, it is because of that. There will be additional Rs. 350 crores?

Management : That is correct.

Saumil Shah: Okay. That is it from my side. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. Next question is from the line of Tanya Kothari from AUM Capital Market Private Limited. Please proceed.

Tanya Kothari: Yes. Congratulations to the management team on this strong quarter and merger closure. Just a couple of questions from my side, sir. So, with the new integrated granulation unit at Paradeep and at its complex, how much do you think your import dependence will be reduced in that Paradeep Phosphates Limited
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coming year and what would be the incremental margins or EBITDA per ton which you see in the next two years post commissioning?

Management : Yes, ma'am. As we already mentioned, the incremental margin improvement will be to the tune of Rs. 1,000 per ton to Rs. 1,500 per ton. And in terms of, you know, percentage backward integration with all the capacities being live by end of FY 28 will be 100% backward integrated for all the three sides put together. And that is the target that we are actually racing towards.

Tanya Kothari: Okay, sir. Sir, what is the timeline for issuing PPL shares to the MCFL shareholders and clearing the share capital suspense account, which is actually given in the notes?

Management: Yes, I think. So, the record date is already announced, which is 30th of October. We are doing some secretarial proceedings, I think, which should happen in the next 30 days. So, within the next 30 days, we expect to allot MCFL shareholders the requisite shares in PPL.

Tanya Kothari: Yes, sir. Sir, I could see the dividend payout of Rs. 100 crores in H1. Is it very conservative given the integration phase? Will the management

continue with the low payout till Capex stabilizes in future?

Management: No, whatever dividend was paid, that was for the year 2024-25, which is now approved by AGM and paid. So, the dividend for the next year, that will be, the decision will be taken after this finalization of 2025 -26 account. So, dividend what you are referring, that is for 2024-25.

Tanya Kothari: Okay sir. Sir, out of Rs. 471 crores of Capex in H1, how much relates to the newly announced integrated granulation and asset plans versus regular maintenance?

Management : Actually, the new announcement with Capex will come mostly for the cycles only. The last quarter, we have actually commissioned our sulphuric acid plant of 1,500 tons per day, almost half a million tons. So, partly it has come in that.

Tanya Kothari: Okay, sir. Thank you, thank you so much. That is all from my side.

Moderator: Thank you. Next question is from the line of Sandeep Mukherjee from SKP Securities Limited. Please proceed.

Sandeep Mukherjee: Yes, sir. Thanks for taking my question. So, my question was like, what is the split between TSP, DAP, and MOP volumes for Q2, trading volumes?

Management : Yes. So, as far as Q2 is concerned, the TSP volume that we did was 1.6 lakh metric tons. So, that was last year volume of 0.6 lakh metric tons. So, that was a growth of 158%.

Sandeep Mukherjee: And as for DAP, MOP?

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Management : So, MOP and DAP, overall, if you look at the trading portfolio, okay? For H1. What we have done in trading portfolio, for TSP, we have done, just give me a minute, for H1, we have achieved totally 1.63 lakh metric tons. MOP is around 0.7 lakh metric tons. And imported DAP is approximately another around one lakh metric tons. So, this is for H1. And the guidance for the whole year is, total we will be doing close to 5.5 lakh metric tons to 6 lakh metric tons. That is the guidance for the whole year, the entire trading portfolio. Out of which three lakh tons would be TSP, two lakh plus tons will be DAP, and the rest will be MOP.

Sandeep Mukherjee: Understood. And what is our EBITDA per ton here?

Management : See, in case of trading, we do not have a separate thing. That is guided by the government scheme, where they have kind of permitted of 4% of the MRP . That is what the government commits on that one, on the traded volume.

Sandeep Mukherjee: Is this for the whole portfolio, 4%?

Management: This is for the DAP, TSP primarily. MOP, we guided by normal trading contribution of around 8% to 10%.

Sandeep Mukherjee: Okay, understood. Thank you sir.

Management : Thank you.

Moderator: Thank you. Next question is from the line of Mr. Manish Mahawar from Antique Stock Broking. Please go ahead.

Manish Mahawar: In terms of recent NBS announcement, which happened last week, what is your view and how do you see the H2 EBITDA per ton or margins for company or industry side?

Management: The NBS impact, mainly this is on P, on Phosphoric Acid and not on Ammonia or K. There will be not much impact on the margin because of the raw material price increases . So, it will be almost sort of squared off.

Manish Mahawar : And have you taken any price hike in the market?

Management : Yes. So, we have already taken a price increase for the NPKs. Okay. And we are leaders in the market as far as the price realization for the market is concerned.

Manish Mahawar: And is it possible to share the number? Price hike?

Management : Yes. So, for like NPK 10 -26-26, our MRP is Rs. 2,025. Earlier it used to be Rs. 1,900 a bag. And same thing is for 12- 32-60. And one of our flagship grades, 19-19 -19, that is at Rs. 2,175 a bag.

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Manish Mahawar: Understood. And in terms of during the quarter, 2Q, have you booked any subsidy related to this

NBS notification on a channel inventory?

Management: Yes. I know the cost that what we had on that, the incremental, the increase in the subsidy, the tune of around Rs. 40 crores to Rs. 50 crores has been accounted for.

Manish Mahawar: And in terms of, in the merger, right, MCFL with the PPL, I think we have talked about some synergy benefit, right? Could you share what could be the synergy benefit that can come, and which can go to the numbers in the next year or may be overall basis?

Management: There was a significant synergy benefit in terms of improving operational reliability, supply chain, the procurement contracts. And I think we will not be able to quantify at the moment, but this will be a good number, which you will see in the next 12 to 24 months.

Manish Mahawar: Okay. And in terms of this new Capex , I think from debt to equity, we have the 70% and the 30%? But that is the peak debt number, what you are talking about 70%, right? It should be much, much lesser in terms of debt.

Management: Yes, for the upcoming projects.

Manish Mahawar: Yes, upcoming projects, 70, 30, what you said, right? So, this number will be much, much lesser in terms of debt perspective, right? Because our internal accrual will be significantly higher in the next two years, which will be basically required for our new Capex .

Management : So, typically in long- term projects, your equity contribution is around 25%. So, we have taken that 30%. The additional cash flows that will be available to the company will be used for other strategic initiatives and growth initiatives, which we will let you know in due course of time.

Manish Mahawar: Okay, understood. Yes sir. That is from my end and all the best.

Management : Thank you.

Moderator: Thank you. Next follow -up question is from the line of Gagan Thareja from Groww Mutual Fund. Please go ahead.

Gagan Thareja: Yes. Thanks for taking the follow -up. So, you mentioned an incremental EBITDA of Rs. 350 crores from the backward integration next year. Additionally, something more from the MCFL synergies, but to a certain degree that will be offset because incremental volumes partially will be traded volumes. So, just want to understand, is the incremental EBITDA that you are talking of net of the impact on margins of the traded volumes?

Management : Not quite, Gagan. If you look at it, this year, as has been guided, we will be doing close to about 4.2 million, 4.3 million, out of which a good 10% to 15% will be traded. So, the similar kind of percentage share of traded will actually be expected to happen in FY 27 as well. And trading is

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actually over and above the manufacturing realizations that we cannot get. The backward integration will add to the manufacturing realizations. Trading will be over and above. So, there is no netting of, there is no squaring business here.

Gagan Thareja: The reason I ask is, that if you are constrained by your manufacturing volumes, only having so much headroom till the time the new capacity comes in, will the sales mix not incrementally move in favor of traded volumes? And therefore, will it not have a certain impact on margins?

Management: Just to share with you, so one directional change in volume mix that we are trying to do is going towards more value -creating NPKs. So, that is the shift that we are trying to drive in the portfolio volumes. Second, like what you rightfully said, we would look at augmenting our trading volumes as long as it creates value. So, from the market side, we are ready to augment the traded volumes, and we look at that opportunity. And while the manufacturing capacities come up, we will be looking to scale it up, especially TSP, which is a strategic portfolio that we are trying to kind of build in the Indian market. So, that is what we will be focusing on.

The other focus

products that we are trying to grow in the portfolio is N2O. So, where we are among the top two players today in the country. So, that is how we are looking at it. But yes, you are right, till the time the full capacity expansion happens, so there will be a gap in that. But we will try to augment that volume through the traded volumes.

Gagan Thareja: Okay, so what you are saying is that while you increase the traded volumes, within the manufactured volumes, you intend to shift to higher ASP or higher realization?

Management: Yes, absolutely.

Gagan Thareja: So, that will take care of the impact there. Right? And from an FY 28 perspective, is there further room to increase capacity by de-bottlenecking in FY 28 till the one million ton capacity comes through or that is not possible?

Management: Before that, actually, we should be able to augment it by 0.2 million. I am sure, actually, because this is the idea which always circles in the manufacturing facilities to go for brownfield expansion, smaller de-bottlenecks. So, there will be many ideas which will come around. So, beyond FY 28 also.

Gagan Thareja: So, you are saying FY 27 and FY 28, you will have some room to increase volumes from de-bottlenecking and then augment that with additional trading volumes and then one million.

Management: Absolutely.

Gagan Thareja: Okay. Thank you sir. I will get back in the queue.

Management: Thank you.

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Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

Rajeev Nambiar: Thank you, everyone, for taking the time to join our Earning Call. If you have any further questions, please reach out to our investor relations team. Thank you once again. Thank you.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

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MANAGEMENT : MR. RAJEEV NAMBIAR – PRESIDENT & CHIEF
OPERATING OFFICER
MR. HARSHDEEP SINGH – PRESIDENT & CHIEF
COMMERCIAL OFFICER
MR. BIJOY BISWAL – CHIEF FINANCIAL OFFICER
MR. ALOK SAXENA – HEAD, CORPORATE FINANCE
AND INVESTOR RELATIONS

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED .

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 M FY26 Earnings Con Call of Paradeep Phosphates Limited, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited.
Thank you, and over to you, sir.

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Manish Mahawar: Thank you. Good morning, everyone. I am pleased to host today's earnings call of Paradeep Phosphates. We have leadership team represented by Mr. Rajeev Nambiar, COO; Mr. Harshdeep Singh, Chief Commercial Officer; Mr. Bijoy Biswal, CFO; and Mr. Alok Saxena, Head, Corporate Finance and IR on the call.
Without further ado, I would like to hand over the call to Mr. Nambiar for opening comments .
Post which , we'll open the floor for Q&A. Thank you, and over to you, Rajeev sir.
Rajeev Nambiar: Thank you, Manish, and good morning, everyone, and a warm welcome to Paradeep Phosphates earnings call for the quarter ended December and the nine months of 2026 . I appreciate your time and interest in our company. I trust you have seen our earnings presentation and press release, which have been circulated and are available on our website and stock exchanges. Let me give you an overview of Q3 and the 9 M completed FY 2025-26.
We have been quite consistent and robust for PPL, reflecting the strength of our operations and our resilience to navigate the global volatility. Happy to report that the production rose 13% Y-o-Y in Q3 to one million tons. And this is a successively the second quarter we are doing one million tons production. Growth was led by the value -added NPK grade and NPK category, which has grown by 30% on YTD.
For the last nine months, production and sales reached 2.86 million and 3.37 million tons, up by 15% and 17%, respectively. For the year -to-date, revenue grew by 34%, EBITDA by 45% and PAT by 71% Y-o-Y, a true reflection of both volume growth and the quality of earnings.
Let me also update you on some of the strategic progress. We have completed our fifth evaporator at Paradeep facility and which is in operation now. This is after the completion of the 1,500 tons of sulphuric acid plant, which is stable and reached the rated production capacity. And this evaporator is also going to help us in terms of strong phosphoric acid, which was actually a little bottleneck for us.
Now we have come back to the original state. And urea capacity, MCFL has also been expanded by around 30,000 tons per year on an annualized basis in Q3 after the shutdown. Sulphuric acid plant at Mangalore, which is on 300 tons capacity will be commissioned in the end of the Q4 FY2025 -26.
And energy improvement project at Goa is also likely to be completed by the last quarter of this year. The phosphoric acid expansion from 0.5 million to 0.7 million is underway and the increase in phosphoric acid will enable the company to meet substantial requirement of phosphoric acid

at both Goa as well as Mangalore through the excess phosphoric acid at Paradeep. Thus, directionally, we endeavor to make all our sites 100% backward integrated phosphoric acid units. This will significantly improve the quality of earnings per ton at company level. Also, we are looking at bottleneck opportunity at Paradeep to increase the granulation capacity from 1.8 million to 2 million tons. The benefits of these projects, as enumerated earlier, will likely to give us incremental EBITDA for 2027.

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Our long-term and short-term credit rating has been upgraded to A- and A1+, respectively, reflecting our strong fundamentals and improved credit rating, which will help us to optimize our cost of capital for the capex. We continue with our endeavor of offering farmers with innovative products and helping to achieve balanced fertilization and optimizing the last mile delivery through digital interventions.

Through our expanded distribution and digital outreach, we now engage with over 12 million farmers across 18 states, supported by more than one lakh retailers and 6,800 dealers and a strong on-ground advisory network.

Looking ahead, we remain

optimistic about the fertilizer demand, continued government thrust on soil health and the rising shift towards balanced and specialized nutrient applications. However, we believe that the global uncertainty will remain and the volatility in key raw material prices and the currency volatility will put pricing pressure in the short term.

We continue to invest in our expansion plan as per the schedule and we believe the expansion will enable us to increase our economies of scale and deepen our market presence. We continue to invest in achieving manufacturing excellence and AI-led manufacturing intervention for agility and sustainability being one of the core ethos of our operations.

In summary, PPL remains focused to deliver consistent and operational resilience and continued endeavor for strategic growth and expansion. Thanking all of you, I now open the floor for questions.

Moderator: The first question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.

Sucrit D. Patil: I have two questions. Thank you for the detailed commentary. I just wanted to take a step beyond what was covered in the opening remarks. Given the dependency on imported raw materials and the variability in demand across crop cycles, how does management think about balancing volume growth, product mix and margin stability as conditions evolve?

Looking ahead, what changes in farmer demand, input availability or pricing dynamics would most influence a shift in this priority? That's my first question. I'll ask my second question after this.

Rajeev Nambiar: It's an important question, actually. Even though the current condition is actually we are under a little pricing pressure. But a lot of optimization is going back in terms of the product profitability and the portfolio, along with the manufacturing excellence, actually, we are driving that. If you look at actually our basic volumes have been shifting from low profitability product to the higher profitable product, which has been very consistently followed for this year.

We can see the flagship product, N20 has been actually moved quite faster and little pressure in terms of DAP profitability. So this is an ongoing thing actually to make sure that availability to the farmer is ensured.

At the same time, our guided number, like we strongly believe actually the EBITDA guidance of minimum INR 4,500 crores to INR 5,000 crores is actually an achievable target for us. Even

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though off late we are little in pressure in terms of the international volatility, but we are gauged up in terms of optimizing our product mix as well as the pricing of the raw materials.

Sucrit D. Patil: My second question to Mr. Bijoy is, I have forward-looking, from a monitoring point of view. As raw material prices subsidiary flows and working capital cycles move through the year, what are the key internal indicators you track mostly closely to anticipate pressure or improvement in margins and cash flow before we show up on the balance sheet? I want to understand your point of view on this?

Bijoy Biswal: Good. In fact, this 31st December closing, we had a little bit due to high raw material prices, which has moved northward in terms of sulphur and ammonia. So the working capital, the borrowing has increased a little bit due to higher investment in inventory and debtors. But what we understand that this is a position what we have taken consciously where this will get liquidated and we will have this getting back into that type of converted to cash.

So I don't foresee that it will be going largely to impact our profitability. And this is well within the control and we'll be able to sell through whatever stock we are having and the debtors we are having. I don't foresee any sort of challenge in meeting this requirement. And the company limits and all things is well managed

ged and we have got enough limit to also see that we don't have any liquidity issue.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Mr. Nambiar, what is your view on the next NBS subsidy revision? What should the trajectory be?

Rajeev Nambiar: Prashant, if you see the NBS formulation as well as the current pricing, which has happened for the past six months, we expect actually NBS support to be crucial, and it is going to happen for coming. It will be difficult to tell a number, but I think it will be very positive. That's what our industry feel.

Alok Saxena : And Prashant, just to add, the government has put in a very robust process on the way they define NBS for the next season. And everything is being discussed with the industry as a stakeholder team.

And finally, we have seen that the last four or eight quarters, the subsidy has been quite positive and supportive to the government. So we are sure that government will continue in the same spirit and that will not be a challenge for the next fiscal year.

Bijoy Biswal: Yes. Prashant, to add to that, the budget allocation of subsidy is quite good in this last budget.

So what you see that there is an increase of around 5% to 7% in the budget allocation for the subsidy. And we would take care of this entire subsidy requirement for this FY26, FY27. And generally, government support in case there is a need. So we are quite positive about that.

Prashant Biyani: Sure. And sir, of the total capex of INR 3,600 crores that we are doing, if I have to bifurcate product-wise, how much would be the capex for one million tons granulation and for 0.25 phosphoric acid and 0.75 million tons sulphuric acid at Paradeep site?

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Alok Saxena : Granulation will cost you around INR 800 crores. And the standalone phosphate of 300,000 will cost you another INR 800 crores to INR 900 crores.

Prashant Biyani: Including sulphuric acid?

Bijoy Biswal: Phosphoric and sulphuric acid, what we are planning at Paradeep that 0.3 million of phosphoric acid and one million of sulphuric acid will cost around INR 1,500 crores.

Prashant Biyani: Okay. Out of INR 1,500 crores, INR 800 crores could be for phosphoric and remaining for sulphuric acid?

Bijoy Biswal: Yes. Yes.

Prashant Biyani: Right. And sir, at MCFL site, what is the quantum of sulphuric acid capacity expansion?

Rajeev Nambiar: It is 300 tons per day, which is almost nearing completion now.

Bijoy Biswal: Currently, we have about 100 metric tons per day, which is going to 400 metric tons per day.

Prashant Biyani: Right. And sir, regarding the energy efficiency project for the Goa site, sir, we, I think last year only initiated or completed energy-efficient program. In this round of energy efficiency, how much is the quantum of benefit in terms of Gcal per metric ton we are anticipating? And how much is the investment that we are planning?

Rajeev Nambiar: Goa actually, we are going to complete this energy efficiency program by end of this quarter and which will reduce it by 0.3 Gcal actually. And that will release substantial amount. And we are expecting a supportive energy norms, new energy norms coming up, which is expected to get announced anytime during this quarter.

Prashant Biyani: And this will take down the energy consumption to what level?

Rajeev Nambiar: Currently, we are at 6.4. It will come down to 6.1.

Prashant Biyani: And what is the investment?

Rajeev Nambiar: It's around INR 220 crores.

Prashant Biyani: Payback period? Could be around?

Rajeev Nambiar: 3 years to 4 years.

Moderator: The next question is from the line of Shubro Tripathy from Krish Capital.

Shubro Tripathy : Firstly, resilient performance considering the sulphur prices, which have moved up so sharply. What could be the Y-o-Y change

of sulphur for PPL compared to last year?

Bijoy Biswal: Can you repeat the question?

Shubro Tripathy: What was the year-over-year change of sulphur price for PPL compared to last year?

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Rajeev Nambiar: Typically, sulphur used to hover around INR 150 to INR 200. Now it has reached INR 540 to INR 550 now.

Shubro Tripathy: Yes, yes. And all our sourcing is imported? Or is there some sourcing from IOC Paradeep as well?

Rajeev Nambiar: We do have actually sourcing of molten sulphur from IOC for Paradeep as well as sourcing from MRPL for Mangalore Chemicals, Mangalore site.

Shubro Tripathy: And my second question is regarding there was a recent news announcement regarding some agreement with SECI, Solar Energy for offtake of green ammonia at Paradeep site and Goa site.

So there is no announcement or any detail shared in the presentation. Could you share some more light on how you plan to go about this?

Bijoy Biswal: This is a preliminary stage and as and when it will unfold, we'll share the details.

Rajeev Nambiar: Basically, this is an offtake agreement we have to get that with SECI. And we expect actually whenever SECI is ready, we will sign it. But as far as the manufacturing and supply is concerned, it is for a third party.

Shubro Tripathy: Any tentative time line for this, which financial year.

Rajeev Nambiar: Agreement could be happening anytime soon. But in fact, the production and supply could be taking time.

Shubro Tripathy: So maybe in next two to three years only?

Rajeev Nambiar: Yes, yes.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: I would like to know what is our net debt as on 31st December?

Bijoy Biswal: So net debt is around INR 5,450 crores as of 31st December.

Saumil Shah: Okay. And what would be our subsidy receivable as on 31st December?

Bijoy Biswal: No, this net debt is both working capital as a long-term debt and subsidy receivable is around INR 3,780 crores.

Saumil Shah: Okay. So normally, in how much period we receive the subsidy? So I mean, can you quantify approx how much is due in the current quarter and how much is it in the next year?

Bijoy Biswal: No, this is out of that, generally, the subsidy based on the phosphoric sales, the sales made to the farmer. So out of this INR 3,780 crores, whatever we are talking, this all based on this farmer sale, it will be receivable. Out of that, around INR 1,000 crores is what already sales has happened, which is going to come and balance quantity on whenever this farmer sale happen, that will be received.

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Saumil Shah: Okay. So only INR 1,000 crores subsidy is already about, I mean, sold. So that INR 1,000 crores is receivable. Other balance is not yet sold?

Harshdeep Singh: Yes. So typically, we'll have two to three weeks of subsidy outstanding at any given point of time.

Saumil Shah: Okay. Understood. And can we know what was the EBITDA burden for this quarter?

Bijoy Biswal: INR 4,700 per metric ton this quarter.

Saumil Shah: Okay. And I think we were targeting about INR 5,000 per metric ton for this year?

Bijoy Biswal: If you look at it on a YTD basis, we are already INR 5,400 sort of. So yes, the INR 5,000 is quite achievable on a yearly basis.

Saumil Shah: And how much of our prices is depending on natural gas prices?

Bijoy Biswal: No, it is not much because natural gas price determine the urea price, which is a pass-through.

Saumil Shah: Okay. So we are not much affected with the natural gas prices, right?

Bijoy Biswal: Yes. Yes.

Moderator: The next question is from the line of Varun Arora from Emkay Global.

Varun Arora: Just to check one clarification I need on the EBITDA. So your guidance on EBITDA is what? Basically I missed that number.

r. So can you just say it again?

Bijoy Biswal: EBITDA number for this quarter is INR 4,700 and our guided number for the whole year basis is around INR 5,000 per metric ton.

Bijoy Biswal: Yeah, YTD number is INR 5,300 till December. And as a year, we said that it will be INR 5,000.

Varun Arora: Okay. And what's your further guidance for FY '27, if you can say, sir?

Bijoy Biswal: I think FY 27, you see our endeavor is that we should have around INR 4,500 to INR 5,000. And it all depends on this NBS policy and this raw material prices and how much we are able to pass on to the consumers, this price. So we are in the process, but our endeavor is that we should get around INR 5,000.

Varun Arora: Okay, sir. And sir, on the debt side, so that's approximately INR 5,400 crores debt right now you're holding. So, any plan to reduce it or this is going to stagnant for some time? What's your

plan for doing this?

Rajeev Nambiar: It's an important thing for us to make sure that the debt is not crossed over. We are taking a lot of operational measures to see that the tighter control on the inventory management. At the same time, availability is also ensured. So this should actually in the coming quarters and subsequent quarters, it should actually soften down.

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Moderator: The next question is from the line of Sandeep Mukherjee from SKP Securities Limited.

Sandeep Mukherjee: Sir, my question is like what was the gas cost and EBITDA per ton for urea?

Sandeep Mukherjee: Yes. So what was the gas cost and EBITDA per ton for the urea?

Bijoy Biswal: The gas cost is around \$12 but the EBITDA is around INR 3,000.

Sandeep Mukherjee: And what is the short-term debt on the books, sir, for the nine months?

Bijoy Biswal: Short-term, if you talk of working capital, we have got around INR 4,200 crores. Long term is INR 1,235 crores.

Sandeep Mukherjee: Okay. Okay, sir. And sir, my last question is like what was the capex spend for the nine months?

Bijoy Biswal: We have spent almost INR 450 crores in this nine months period.

Sandeep Mukherjee: Okay. Sir, one more question, like, currently, we are operating more or less at the same MRP levels which were in Q2?

Harshdeep Singh: So just to share with you, the MRPs have been improved for the NPK this year. Only product with the MRPs remain the same is urea and DAP, where there is a kind of guidance. Otherwise, for NPK, we have been taking price changes from time to time.

Moderator: Yes. So we have next question from the line of Prit Nagarsheth from Wealth Finvisor.

Prit Nagarsheth: Sure. So I wanted to understand, sir, the product mix that you employ. The reason I ask is that the government is trying to improve the access of SSP and other products more and more. So what happens to the DAP that you make? And how do you see the product mix evolving for the next financial year?

Harshdeep Singh: See, how the product mix is evolving is directionally, our focus is on balanced nutrition. And we've been gradually going into a company which is more dominantly to a NPK portfolio. So if you look at the portfolio of products, some of the products that we are doing, the flagship product that we have is 20:20:0:13, which is what we call the Captain and that's what we run the current positioning.

Then we have got 10:26:26, 12:32:16 and 19:19:19. So that's a complete range of NPK. And in the portfolio of volume, if you look at it, almost more than 45% to 50% is NPK mix. So that's the direction. And the other key direction that we're taking is promoting basically high nutrient use efficient products like Nano. So that's the other portfolio change that we're doing.

Prit Nagarsheth: Okay. But how do you see this panning out for DAP versus SSP? What is your view on that on the ground?

Harshdeep Singh: So my view is, see, overall, I mean, the government also is tryi

ng to encourage balanced nutrition

and there is a shift happening towards the NPK. So this year, if you look at the farmer

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consumption sales, there has been a kind of a reduction in the DAP sales. But the farmer still keeps demanding DAP. So there is a need for a greater awareness.

So as a category leader, that's what we're trying to do that communicate to the farmers the benefits of the balanced use of nutrition and the shift happening towards the NPK category. If you look at the market also today, the NPK segment is today bigger than the DAP segment. But yes, there is a segment almost 40%, 45% of the market, which is still on DAP.

And the other pioneering leadership step that we have done at PPL is that we are also encouraging the use of alternate to DAP, which is CSP, which has got 46% phosphorus, but you don't at least overuse nitrogen there. So that's the shift that we are trying to also lead in the market.

Prit Nagarsheth: Sir, for this when the availability of rock phosphate becomes important. So how are you ensuring security for that?

Harshdeep Singh: So how we are ensuring security is if you look at the value chain partnership that we have, we have partnership with OCP in terms of securing our rock value chain, which is the most important source as far as P2O5 is concerned.

And for fresh products also for TSP and DAP, we have a strategic partnership with OCP Nutricrops. So that's how we're trying to ensure. And as far as our own manufacturing is concerned, which is very robust and we are one of the few companies which has a very, very

robust portfolio of NPK products in the country.

So that's what we are trying to do to ensure there is availability. And as you've seen our footprint, we operate in 18 states today in the country and with a wide reach, almost covering one lakh retailers.

Prit Nagarsheth: Understood. So if you add all this up, what kind of volume or top line guidance do you think can come into play for FY 27?

Harshdeep Singh: Yes. So volume, see, if you look at it last year, we achieved three million tons. And this year, the guidance is four million tons plus. So that's what we are basically gearing up for it. We have already done 3.38 million tons.

Prit Nagarsheth: Okay. You mean for FY 26, right? I was suggesting FY 27, if you have any sense on that.

Harshdeep Singh: Yes. So we normally don't give a guidance for the next year, but we would be planning a robust growth for the next year. However, the overall objective would be to optimize and strengthen our NPK portfolio mix. So that's what we are gearing up. And we will have a robust growth in the next year also.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, can you give the sulphuric acid and phosphoric acid production for the quarter? You typically give that in the presentation. I think this time it was missing?

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Rajeev Nambiar: Sulphuric acid, we have produced 4.5 lakh metric tons for this quarter and phosphoric acid around 1.45 lakh metric ton.

Dhruv Muchhal: Got it. Sir, the other question was on the inventory. Now typically, what we see is I'm looking at the change in inventory that you report in the P&L. Typically, we see a buildup in 1Q as the seasonal norms and then a drawdown in the next two quarters. This time, the drawdown seems to have not happened as much. So I mean, just trying to understand what's leading to this?

Rajeev Nambiar: No. See, out of this increase in the inventory, mainly the increase in raw material. So that's a conscious decision that we have a price volatility as well as the rupee depreciation.

Keeping all this in mind, there is an increase in the raw material stock, which is definitely going to be utilized in this quarter, upcoming quarter.

And finished goods and traded goods, yes, that is well within control. Generally, this December, a little bit inventory buildup happens, which gets liquidated in starting from April onwards.

Dhruv Muchhal: Got it. Sir, if it is possible, if you can suggest how much in quantity terms, how much is the fertilizer inventory at the company level, finished goods inventory at the company level this year and I mean, December end of last year.

Rajeev Nambiar: We'll share with you that data separately.

Dhruv Muchhal: Sure. Okay. And sir, the other question was on the expansion, the phosphoric acid and the sulphuric acid expansion that we are ongoing. Sir, I think you announced last quarter. So now what stage are we?

Have we done the equipment ordering? I think EC clearances already we have. Any progress that you can highlight in terms of equipment ordering, other stuff that you might have prepared?

Rajeev Nambiar: Dhruv, both the acid plants actually the EC is available for Paradeep. And for Mangalore actually, we applied for the EC. And for the granulation unit actually, the EC application is already on and we are expected to go for the public hearing coming one or two months. And by August, September, we will get the EC clearance for the granulation expansion Paradeep also. As far as the status is concerned, actually, all the key equipment manufacturers already roped in and the technical discussions are in the final stage. And once the parameters are frozen actually by end of March, April, we should be able to get the commercials finalized and get ordered.

Moderator: The next question is from the line of Gagan Thareja from Groww Mutual Fund.

Gagan Thareja: Yes. The first question is on the phosphoric acid capacity addition of 0.2 MMTPA, which is stipulated for FY 27. When exactly in FY 27 will this be commissioned?

Rajeev Nambiar: Q2 of FY27.

Gagan Thareja: Q2. And the 0.1 MMTPA sulphuric acid addition in the Mangalore site for FY 27 will be again commissioned by when?

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Rajeev Nambiar: That is this quarter, Q4 of this year, we'll commission that.

Gagan Thareja: So Q4, see, if I go by your Q2 presentation, there is a 0.03 MMTPA sulphuric acid, which is addition, which is budgeted for FY26, which I think you mentioned, will get commissioned in Q4 of this year. But then there is another 0.1 MMTPA, which is budgeted for FY 27. I was talking

about that.

Rajeev Nambiar: Yes. That is actually the brownfield expansion of the existing capacity. That technical negotiations are going on actually. Once we are clear about the equipment ordering, we should be able to finish that.

Gagan Thareja: Right. And sir, in FY 26, the sulphuric acid capacity at Paradeep as per this presentation is indicated at 1.9 MMTPA. Just want to understand, I think there was an addition done in FY 26 in Paradeep sulphuric acid. Can you tell me how much was this and when was it commissioned?

Rajeev Nambiar: It is commissioned in the month of September end. And now stabilized, this is 1,500 tons per day plant. It has already reached the rated capacity and working pretty well.

Gagan Thareja: Okay. On an annual basis, how much would it be? You said 1,500 TPD. In MMTPA terms, that would be how much?

Rajeev Nambiar: Almost like 5 lakh tons.

Gagan Thareja: Five. So 0.5 million out of the 1.9 million happened very recently?

Rajeev Nambiar: Yes. Yes.

Gagan Thareja: And in phosphoric acid, the 0.5 million got commissioned fully by FY 25 itself and would be fully utilized?

Rajeev Nambiar: Yes, it's also completed the rated outputs, and that's the thing we now we're going for expansion in two phases.

Gagan Thareja: Okay. So, these sulphuric acid backward integrations that you have recently sort of commissioned and 0.2 million that you'll be commissioning next year in phosphoric acid, what sort of benefit

its in EBITDA per ton terms.

Alok Saxena: Typically, when we expand the phosphoric acid, the spread is \$150 per ton between a captive and imported phosphoric acid. So to that extent, the benefit will flow to the earning of the company for the next year. For the sulphuric acid, the main advantage is power and also the netback, and that spread is typically \$50.

Moderator: The next question is from the line of Preeti Jain, an Individual Investor.

Preeti Jain: Sir, wanted to check in terms of the tax expense in the quarter, our current effective tax rate in the quarter has been 20%, 21%, while the same has been 28%, 27% in the last previous quarter.

What is that big change that has resulted into a tax differential?

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Rajeev Nambiar: Yes. Well, this tax impact is mainly on account of regular tax as well as deferred tax. So when we took over this Mangalore plant, there is a valuation impact. There is a timing difference, permanent difference. So on account of that, you see this impact to the taxes. Generally, it should be around 25%, but you are saying.

Preeti Jain: We are saying that just because of certain expenses wherein we are beneficially the effective tax has become 20% and this is sustainable ahead?

Rajeev Nambiar: Yes. See, the timing difference and permanent difference on account of the deferred tax we get actualized, we'll see that in and around 22% to 23% tax expenses.

Preeti Jain: But the deferred tax has not changed. The deferred tax amount was INR 7 crores last year and INR 4 crores current year. There is a negligible impact because of a deferred tax?

Alok Saxena: Why don't you send your query separately to the ID, we will respond to that.

Preeti Jain: Okay.

Moderator: The next question is from the line of Jignesh Kamani from Nippon Mutual Fund.

Jignesh Kamani: So in the Mangalore urea plant, we did energy efficiency measure capex, I think, for five years ago. So we are enjoying the EBITDA benefit of that, I can say, which is expiring this March, right?

Rajeev Nambiar: Yes.

Jignesh Kamani: So profitability at the urea plant will be reduced from this March onwards. So just want to know what will be the impact on that?

Bijoy Biswal: No. Right now, the impact will be around INR 3,000 to INR 4,000 per metric ton due to this energy impact changes.

Jignesh Kamani: In Mangalore?

Rajeev Nambiar: Yes, because the new sulphuric acid, which is going to come by end of this March, actually, the additional energy will be pumped back to the urea plant, where we'll have a significant saving. So this could be not fully nullified, to a large extent will be nullified.

Jignesh Kamani: Understood. Second thing on the capex and the current ordering of the equipment and the visibility. Can you provide the separate commissioning date for both Paradeep and the Mangalore side separately for both granular and the backward integration?

Rajeev Nambiar: Paradeep is typically after ordering around 22 months, we are targeting a stretched one. And Mangalore will take a little more mainly because some configurations and special requirement in Mangalore is different than Paradeep. That we can update you actually once the ordering is

Jignesh Kamani: So tentatively, Paradeep will be around March FY28 and Mangalore would be around December FY28?

Rajeev Nambiar: That could be, yes.

Moderator: The next question is from the line of Dev Gulwani from Care PMS.

Dev Gulwani: So, company will be doing debottlenecking for backward integration and expansion in sulphuric and phosphoric acid for FY 28 also. So how much incremental EBITDA per ton we can expect for FY 27 and FY 28?

Alok Saxena : So as we said earlier, the incremental EBITDA will come from the increased processing capacity. As we said, we will expand from

5 lakh to 7 lakh by Q2 of next year. So to that extent, the incremental EBITDA flow will happen for the next year. Also the energy efficiency projects, the evaporator that we enumerated in the opening call, so all these projects will get us good incremental EBITDA for FY 27.

Dev Gulwani: And for FY 28 after the 100% backward integration?

Alok Saxena : Yes. So directionally the sustainable EBITDA per ton that we give at INR 5,000 now with one site being 100% backward integrated. When all the sites get 100% backward integrated and assuming that all other things remain same, the sustainable EBITDA per ton is likely to improve by 30% to 35%.

Dev Gulwani: And also in your speech, you mentioned that earning quality should improve going forward. Can you please elaborate?

Alok Saxena : That's what I said, 30% to 35% will improve when we have all the sites backward integrated.

Moderator: The next question is from the line of Shubro Tripathy from Krish Capital.

Shubro Tripathy: Sir, with regard to the upcoming NBS rate revision, so considering that sulphur prices have gone up by 3.5x to 4x, but phosphoric acid has not really gone up that sharply, so will it have an adverse impact?

Bijoy Biswal: No, we can't be specific about the phos rate. But what we can say that if you compare the last year budget allocation vis-a-vis this year, there is an increase of around 5% to 7%.

So keeping that in line, we expect that there will be some incremental increase in this per ton NBS rate. But we have to wait for this fine print or the government notification. But there is a strong feeling that there will be an increase in this NBS rate.

Shubro Tripathy: Sir, my question was mostly with regard to what has happened historically. The phosphorus content, the phosphorus rate has been increased in the past 1 year. But sulphur, they have not really increased that sharply.

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Harshdeep Singh: To clarify, see, this year, the value chain for sulfur has got impacted because of the Ukraine - Russia situation, okay? So there's a temporary effect which happened on a part of the supply chain for sulphur.

We expect that also to get normalized maybe another two months' time. That's the expectation. And phosphoric acid value chain is a demand supply primarily for the NPKs and MAP. And that's the reason why typically you've not seen the similar kind of impact. But sulphur has kind of behaved abnormally. It's not the normal behavior for sulphur and we expect that to get normalized.

Moderator: The next question is from the line of Anik Mitra from Finnomics Solutions Private Limited.

Anik Mitra: Sir, as like we have found that NPK is contributing more in your total portfolio at this point in time. And I believe that that is the trend of the country that we are getting more inclined towards NPK than DAP?

So you are backward integrating your DAP facilities. So from that aspect, I understand that your facilities are fungible as well. Now considering from that context, how significant it is backward integrating your DAP facilities? Maybe you will be producing more that will be quite normal like NPK will contribute more in your portfolio going forward as well?

Harshdeep Singh: No, so just to clarify, the expansion that we are doing is in the production of granulation and that is totally fungible, okay. So the product mix is totally determined by the market requirement and the kind of drivers of profit and growth.

So when we are saying we're expanding the granulation train in Paradeep by one million tons, it's the product mix is going to be a combination of NPKs and DAP, but we can completely move on to complete NPKs in that portfolio.

Anik Mitra: Sir, I was referring to phosphoric acid, means you are backward integrating phosphoric acid that I was referring to.

Harshdeep Singh: Yes. So you're backward integrating phosphoric acid to kind of power all your granulation train with a dominant NPK portfolio.

Anik Mitra: Okay. So like whatever the entire capacity you are planning to utilize in that, the similar kind of utilization will be there like if you start producing more NPK as well. Is my understanding correct?

Harshdeep Singh: Yes, that is how we planned it out. That's what the capacity expansion plan for phosphoric acid to power the complete granulation. If you look at it, we are dominantly Goa and Mangalore is already totally NPKs. So Paradeep, we do a little bit of DAPs.

Anik Mitra: Okay. And sir, in terms of this phosphoric acid backward integration, you said US\$250, if I'm not wrong, you said US\$250 per metric ton will be the benefit. Am I correct?

Harshdeep Singh: You can take it as \$150.

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Moderator: The next question is from the line of Nitin Kaushik from Afin Capital Private Limited.

Nitin Kaushik: My question is after the merger with MCFL and with all the synergies coming up and also the capacity expansion happening, can you please guide us on long-term EBITDA margin coming up? So can we maintain above 10% mark going forward? Or by how much quantum would it increase?

Bijoy Biswal: Already, we have this EBITDA margin right now is 11%. So we'll be maintaining that sort of margin.

Nitin Kaushik: Okay, sir. Sir, the second question was, can you please specify the amount of total capex which would be incurred in FY 26?

Bijoy Biswal: FY26, already we have spent around INR 450 crores, FY25 and FY26. So another INR 50 crores will be spent. So for the year, we'll be closing at INR 500 crores. And next year, the budget is that our regular maintenance capex around INR 350 crores.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Sir, how much was the subsidy received in Q3? And how much is the gross debt?

Bijoy Biswal: No, we have received subsidy of around INR 2,500 crores in Q3.

Bijoy Biswal: Gross debt is around INR 5,400 crores after netting of this investment.

Prashant Biyani: Okay. Sir, any price hike have we taken in fertilizer specifically in Q3?

Harshdeep Singh: Q3, we had taken, Prashant, a price increase for the NPKs primarily N10 and N12.

Prashant Biyani: And how much?

Rajeev Nambiar: So we had increased our MRP from around INR 1,900 level to almost INR 2,025, INR 2,000 level.

Prashant Biyani: Okay. And sir, lastly, how much is the current stock of DAP, NPK lying in the channel at the end of Q3?

Harshdeep Singh: Okay. So currently, we have got DAP stocks, which is approximately around 1,06,000 as far as channel is concerned and NPK stock of 5 lakh tons.

Prashant Biyani: TSP?

Harshdeep Singh: TSP, we got approximately 65,000 tons of TSP stock.

Moderator: The next question is from the line of Gagan Thareja from Groww Mutual Fund.

Gagan Thareja: So my question is on the EBITDA. I think last quarter, you indicated that with all these backward integration measures, next year, you could incrementally add another INR 350 crores, INR 360 crores to your EBITDA, if I remember it correctly from your transcript. And I mean, in the

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interim, some input prices have moved up sharply. So do we maintain that we can next year add that sort of a number to the EBITDA on this year's closing number?

Harshdeep Singh: I think we continue to say that all the incremental EBITDA from the backward integration that we have planned and the projects that we have completed will be in the line that we discussed last time. But obviously, it is subject to the global price movements and we'll see how the price movements pans out in next year.

Gagan Thareja: Right. And given your capacity expansion plans, how should we think of your gross debt movement from the current levels? How will it move going ahead?

Harshdeep Singh: Gross debt will be around 0.75

Bijoy Biswal: Of the equity. Now we will be maintaining that at that level. We don't want to leverage it further. So, it will be hovering around the same around

Harshdeep Singh: 0.3x.

Bijoy Biswal: Yes.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing remarks.

Rajeev Nambiar: Thank you for taking the time to join our earnings call by all the investing community. Should you have any further questions, please reach out to our Investor Relations team. Thank you once again, and have a good day. Thank you.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

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Conference Call

May 13, 2026

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ANAGEMENT : MR. RAJEEV NAMBIAR – JOINT MANAGING DIRECTOR
& CHIEF OPERATING OFFICER
MR. HARSHDEEP SINGH – PRESIDENT & CHIEF
COMMERCIAL OFFICER
MR. BIJOY BISWAL – CHIEF FINANCIAL OFFICER
MR. ALOK SAXENA – HEAD, CORPORATE FINANCE
AND INVESTOR RELATIONS
MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING
LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to Paradeep Phosphates Limited Q4 FY '26
Earnings Conference Call hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during this conference call, please signal the operator by pressing star then zero on your touch -
tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manish Mahawar from Antique Stock Broking Limited. Thank you, and over to you, sir.
Manish Mahawar: Thanks, Neerav. Hello everyone. I am pleased to host today's Earnings Call of Paradeep
Phosphates .

We have leadership team represented by Mr. Rajeev Nambiar – Joint MD and COO; Mr.
Harshdeep Singh – President and Chief Commercial Officer; Mr. Bijoy Biswal – CFO; and Mr.
Alok Saxena – Head, Corporate Finance and IR on the call.

Without further ado, I would like to hand over the call to Mr. Nambiar for opening comments.

Post which, we will open the floor for Q&A. Thank you, and over to you, Rajeev sir .

Rajeev Nambiar: Thank you, Manish. Good morning, everyone, and welcome to Paradeep Phosphates Limited 's
earning con call for the quarter -ended March and the Financial Year 2026. I appreciate your time
and interest in our company. I trust you have seen our earnings and presentations and press
release which have been circulated and are available on our website and stock exchange.

Let me give you an overview of our business :

I am happy to report that PPL has once again delivered a robust financial and operational
performance and best -in-class EBITDA per ton. Many congratulations to all of you.

In the Financial Year 2026, revenue from operation increased by 29% Y -o-Y to INR 21,826
crores. EBITDA rose up by 33% to INR 2,259 crores. Profit before tax increased by 46% year -
over-year to INR 1,328 crores. And the profit after tax stood at INR 1,000 crores, up by 52%.

For the quarter -ended March, the company reported total revenue of INR 4,702 crores with an
EBITDA of INR 484 crores with the PBT stood at INR 202 crores and the profit after tax at INR
161 crores.

Production volumes grew by 8% year -over -year and it stood at 36.66 lakh metric tons, achieving
almost 100% capacity utilization of our existing capacities, reflecting our continued endeavor
for manufacturing excellence.

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Sales volume rose up to 42.1 lakh metric tons with a 10% Y-o-Y. Growth was led by strong performance in value-added NPK grades. NPK as a category, including TSP, grew by 22% to 24.64 lakh tons.

Despite global uncertainty and volatility in key raw material availability as well as pricing, along with the INR depreciation, PPL has been able to deliver a consistent and robust performance

through high operational agility, integrated operation and supply chain sourcing efficiencies.

Let me also give an overview related to the key projects we have completed in the Financial Year 2026:

During the year, we commissioned our Sulfuric Acid plant at Paradeep, half a million ton capacity, and at Mangalore, 0.1 -million -ton capacity, thereby increasing our Sulfuric Acid capacity at company level by 0.6 million tons annually, an increase of 45% of the total capacity. The benefit of incremental Sulfuric Acid capacity commissioned this year will be available to us in Financial Year 2027 and will aid in improving our quality of earnings further.

One more important project at Goa, we have completed our energy efficiency project, and the improved energy benefits have started coming as we speak now.

Our plan to double the Phos Acid capacity from 0.5 million ton to 1 million tons is on track, and directionally, we en

deavor to make all our sites 100% backward integrated in phosphoric acid.

The Phase-I of this expansion, that is from 0.5 million to 0.7, Paradeep is underway and is expected to be commissioned by Financial Year 2027.

Sustainability remains core to our operations and during the year, we achieved S&P Global ESG score of 76 and ranked top 2% in the global chemical sector. Through our expanded distribution and digital outreach, we are now engaging with over 15 million farmers across 18 states, supported by more than a lakh retailers and 6,800 dealers, and a strong on-the -ground advisory network.

In summary :

PPL remains committed for strategic growth and expansion, build economies of scale, and deepen our market presence.

Let me also give you an outlook for the future :

Looking ahead, we remain optimistic about the fertilizer demand, continued government trust on soil health, and rising shift towards balanced and specialized nutrient applications.

However, we remain in the challenging time amidst the Middle East situation, and we have seen spurt in key raw materials, particularly ammonia and sulfur. As you are aware, Middle East contributes significantly to raw materials, particularly ammonia and sulfur, which is almost like Paradeep Phosphates Limited

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70%-75%, and most of the shipments across the Strait of Hormuz. While industry stock remains balanced at this point, industry is making concentrated efforts and empowered committee comprising of government and industry officials have been working in close coordination to ensure fertilizer production and raw materials sourcing planning.

Thanking you all of you once again, and I now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Deep Sanghavi from Dalal & Broacha. Please go ahead.

Deep Sanghavi: So, ye s, first of all, thank you so much for taking a question. My first question is regarding the operating cash flow, which was negative this year, around negative 1,000 crores. So that was largely driven by the increase in the inventories and receivables, right? So, could you help me understand the key reasons behind this and whether this should normalize going forward?

Bijoy Biswal: So, thanks for the question. No, this is, yes, we are quite mindful of that there is a negative operating cash flow. But this is mainly on account of the increase in the inventory and increase in the trade receivables and subsidy. This increase in inventory is mainly to accommodate this increase in the raw material prices. This is going to unfold in Q1 of '27.

So, that is a, what is it, strategic call that we should, you know, we hold this additional inventory of around 30 odd days. And this subsidy receivable is mainly on account of the increase of the DAP prices, DAP subsidy, and other things which came toward the end of the period. And all these things, whatever is there, that will get unwinded in this Q1 and we will definitely reap the benefit of this stock holding and this subsidy receivable in Q1.

Deep Sanghavi: And my other question is regarding the Sulfur prices, which are still higher. So, what could you give a little guidance about that for the future? And so last, I think last c on call, you also said that you are sourcing domestically from the IOC and MRPL, which is in Mangalore. So , can you also give something about that, please?

Rajeev Nambiar: Sulfur prices remain under stress actually for last few months. And we expect that actually, under the Hormuz situation deescalates . There won't be a major impact which is coming and supporting

us. But as you said, actually, we are taking out 100% of this Sulfur MRPL from Mangalore. Even with the increased capacity, the recent 300 tons plant we commissioned is currently running at almost 400 tons. And the Para

deep, almost 20 %-30% of the Sulfur requirement comes from the IOC Parad eep. So put together, domestically, we are poised towards a comfort position. But yes, internationally, we remain under stress condition for Sulfur .

Deep Sanghavi: And my last question is regarding the future guidance. So the company is, I think, they are looking for increasing the share in higher margin N PK fertilizers, right? And of course, the backward integration as well. So, in the medium -term trajectory, so what could be the EBITDA per ton For FY '26, it was around 5, 100 per ton, right? So, what could be the --

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Alok Saxena: Yes, so currently, the spread was 5,300, I think. And as we deepen the backward integration across Phos Acid and Sulfuric Acid, the spread is going to increase. But we also have to take care of the global situation that is in place. So, it will be hard for us to give you a specific number for FY '27. But given the supply chain linkages and the backward integration that we have, the backward integration benefit should flow in FY '27.

Moderator: Next question is from the line of Prashant Biyani. Please go ahead.

Prashant Biyani: Sir, how are you placed with regard to raw material availability for Q1? How much of your requirement you have already bought pre -war? And how much are you having to buy at higher prices which are prevailing right now?

Rajeev Nambiar: Prashant, we remain optimistic for the Q1 because we have covered most of the Q1. And Q2, the situation is unfolding. It will be a little difficult for us to give a direct answer for the rest of beyond Q1, I think.

Alok Saxena: And Prashant, I think industry is actively engaging with government on this aspect, particularly for Q2. And almost daily discussions are being discussed with Secretary of Fertilizers and MDs of the major companies. So, I think all the stakeholders are involved and we should get some clarity very soon. But as Mr. Nambiar said, Q1 is adequately covered. For Q2, the company as well as the industry is working with the government to have more visibility.

Prashant Biyani : Mr. Nambiar, can you share some update on our CAPEX, which is underway across granulation, Phos Acid, and Sulfuric Acid ?

Rajeev Nambiar: Sulfuric Acid, if you look at it, actually two projects were completed last year, that 0.5 and 0.1, 0.6 altogether. The next Sulfuric Acid project is actually we are in the stage where the commercial offers are coming now. We should be able to take a call in terms of our proposed 3,000 tons per day Sulfuric Acid by within this quarter, actually. And Phos Acid also, it will be coupled with both together. So, in spite of all these challenges coming on the global scenario, our commitment for our CAPEX remains the same.

Prashant Biyani : Currently, it would be in design stage or we have finalized vendors for construction?

Rajeev Nambiar: We are in the finalizing stage for the vendors. We have almost received the quotes and there is a separate team working on it.

Prashant Biyani: How much would be the CAPEX for FY '27 that we are planning?

Bijoy Biswal: FY, normal CAPEX will be around INR 600 crores, which is completely, the financial closure has been done. So, this is normal CAPEX and something of all this major projects or some outflow will be included there.

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Alok Saxena: And Prashant, just for FY '27, the major projects that we expect to close this year will be expansion of Phos Acid from half a million tons to 0.7. So, there is an incremental 200,000 tons of Phos Acid that is expected in FY '27. And the key other project is some de bottlenecking at Paradeep unit. So, these are the incremental, I would say, the cash flows that are expected to receive from the project that is getting completed. And all other major CAPEXs, as we have sai

d

earlier, is likely to be done by FY '28 and FY '29.

Prashant Biyani : I will rejoin the queue.

Moderator: Next question is from the line of Riju from Antique Stock Broking. Please go ahead.

Riju: A few questions. First one is regarding the Goa plant energy efficiency. So, the Goa plant energy efficiency project that we have completed in Q4 or in the Q3 ?

Bijoy Biswal: So, can you repeat the question?

Riju: So, the Goa plant energy efficiency project, so that we have completed in Q4 or earlier Q4?

Rajeev Nambiar: No, no, this is Q4.

Bijoy Biswal: Q4. We have taken the shutdown actually from the month of February and completed in the last

week of April.

Riju: So, sir, I think as per your earlier guidance, I think 6.4 to 6.1 Gcal kind of energy efficiency that will be in Goa plant. So with that, how much EBITDA per ton improvement that we can expect from going forward?

Bijoy Biswal: So, look, the guidance that we have given that from 6.4 to 6.1, that energy efficiency will accrue to us. So, in current gas price scenario, it will be around INR 1,000 to INR 1,200 per ton of urea at EBITDA level.

Riju: And sir, in terms of the MCFL urea plant, I think there were some issues, like there was some policy issues due to which we were expecting that EBITDA per ton to be lower. So, if you could indicate the EBITDA per ton for the MCFL plant as of now, maybe in the H2 of '26?

Bijoy Biswal: No, look, earlier to this policy change, there is a reduction in this norm, a benchmark energy norm from 7.3 to 6.5. So that impacted the EBITDA by around INR 3,000 per ton. And current level, it will be around INR 6,000, INR 6,500 rupees. And yes, this is the scenario as of now.

Alok Saxena: Just to add, there was no policy change. That was an incentive given, because we switched over from naphtha to gas and that has expired. So there is no, as far as policy change, it was an investment benefit that was accrued to us for a period of year, which has done so. So, there is no major policy shift as far as that is concerned.

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Riju: So the margin that we used to get roughly INR 6,000 per ton for the MCFL urea, so that we are getting till now, right?

Alok Saxena: Yes. And it is also a function of the global gas prices. The margins in urea is a function of the global gas prices.

Riju: And also, sir, we have expanded Sulfuric Acid capacity at the MCFL plant. I think that might help in terms of getting the higher margin for the urea plant because of the power generation from the Sulfuric Acid plant. So, how we can look at that scenario in '27?

Rajeev Nambiar: We are expected, actually, we have been using this team from the Sulfuric Acid plant to the other one. So, at least almost INR 1,000 per ton could be the impact, which is on a favorable side.

Riju: And sir, one last question in terms of the overall capacity utilization for the Goa plant for this year and for the MCFL plant for this year for the NPK and for the like urea and non-urea, both if you could bifurcate those two numbers for the FY '26.

Bijoy Biswal: No, we have produced around 4 lakh ton of urea at Goa and around 7 lakh ton of NPK. And in Mangalore, same 4 lakh ton of urea and 3.5 lakh ton of NPK.

Rajeev Nambiar: Both the plants have actually completed the RAC quantity. And afterwards, only we went for the Goa energy saving project. And in terms of NPK, actually, Goa is almost like 0.7 to 0.8 in between. And Mangalore is almost a full capacity of 0.4. So put together, both the plants are run wonderfully well in terms of capacity utilization.

Riju: And sir, one last thing. I think earlier we have mentioned the debottlenecking of granulation capacity to Odisha plant, roughly around 2 lakh ton. So, that might come in FY '27. Is that correct understanding?

Rajeev Nambiar: It will be in 2027. This current year, it will come.

Riju: So

the incremental volume, that can we expect from this year or maybe from the next year?

Alok Saxena: So you should expect this in second half, the incremental volumes coming into the company.

Riju: Thanks for clarifying all this.

Moderator: Next question is from the line of Viraj from SIMPL. Please go ahead.

Viraj: Just a couple of questions. Firstly, if I look at Q4 and for the year gone by, what will be the EBITDA per ton on the manufactured volumes DAP NPK?

Bijoy Biswal: Yes, we give the product blended margin, EBITDA margin, that is around 5,700, you know.

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Rajeev Nambiar: For the Q4, it is 5,700. And the whole year, it is 5,300.

Viraj: Yes, but for the manufactured business, any indication you can give, how much would that be?

Alok Saxena: Yes, we give you a blended company level and obviously traded products will be at a lower number.

Viraj: But this will be purely the DAP NPK business, right? Not in the Urea piece.

Alok Saxena: No, this is at a company level. So, it includes everything.

Rajeev Nambiar: All put together.

Viraj: Second question is, now, what is the current level of backward integration post the Sulfuric Acid and the phos acid we have? And once the expansion of phos acid and other initiatives, what will be the backward integration in a year or two down the line?

Rajeev Nambiar: It will be around 80% to 90% percent.

Bijoy Biswal: Paradeep is almost like fully integrated, actually. So, Paradeep expansion, which is coming from 0.5 to 0.7 should cover most of the other two units requirement of Phos Acid also.

Vira j: And for Sulfuric Acid , sir, are we?

Bijoy Biswal: No, Sulfuric Acid , for Phos Acid , it is 100 % backward integrated. If you take up N20 product, then there will be some requirement . You have to import around 10% . But in Mangalore, it is 100% backward integrated, Sulfuric Acid .

Vira j: Just one last question. I mean, now the subsidy rates are out by the government. With the way the key raw material prices are behaving right now, how should one understand strides for us in the first half? I mean, do you think there is more flexibility in terms of adjusting the market prices to cover for the raw material under recovery or where does the larger focus lie? Any color you can give?

Harshdeep Singh: Just to share with you, we retain our price leadership as far as market is concerned. So, we have taken a price increase in NPK. However, we are also working very closely with the government because the entire price increase cannot be passed on to the customer also because the sulfur and ammonia prices are extremely high in the current situation. And we expect the government also to be equally supportive on that.

And at the same time, we are also having a strategy where there is clarity in margin like focusing on products like DAP, which also ensures that we maintain our overall profitability. So, that is how we are doing it. But in terms of NPKs, we are a leader in the market in terms of our market realization also.

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Vira j: I understand. But generally, there is no issue in terms of availability of raw material. It is just the prices are at abnormal levels. So, in terms of Kharif, we are well covered in the supplies.

Rajeev Nambiar: Yes, Kharif, I think we are quite confident and optimistic about it. But we are making our endeavor to see actually for future tie-ups certain faster.

Vira j: I will come back in queue.

Moderator: Next question is from the line of Kiran Naik from Modi Fincap. Please go ahead.

Kiran Naik: Sir, if I am correct, I saw the presentation shown on the BSE India on a website. Sir, the EBITDA margin for the full year was 8.4. Am I right?

Rajeev Nambiar: 8.4 what?

Kiran Naik: Percentage. EBITDA margin shown for the ' 26 financial year. Or was it 10.03?

10.3?

Bijoy Biswal: EBITDA margin is 11% for the year.

Kiran Naik: 11% for the year. So, can we expect, sir, because the conditions are not good geopolitically, so can we expect for ' 27 EBITDA margin 10%?

Alok Saxena: See, I think the percentage is not the right metrics for us as an industry. We evaluate the industry as EBITDA per ton. So, I think the right metrics for us is to look at it as EBITDA per ton.

Given the situation we are in today of the Middle East, we will not be able to give EBITDA per ton at this moment of time. But I think with the kind of supply side linkages that we have and the marketplace penetration we have, we should be able to end the year with good margins.

Kiran Naik: Revenue expectation for ' 27?

Rajeev Nambiar: What is that?

Kiran Naik: Revenue expectation for '27?

Rajeev Nambiar: We will still hold ourselves because let things settle and we will come back actually.

Bijoy Biswal: The situation is quite volatile. See, our endeavor is to get the raw materials to produce. So, if we are able to do that, then definitely we will see a growth.

Harshdeep Singh: See, just to kind of give you a perspective from the market side, see, we had opening stocks, we have had a good visibility on Kharif. So, we will continue to maintain our leadership. And hopefully by another two to three months, we should get a clarity on the Rabi supply chain. But

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we are very confident as far as market leadership is concerned. So, I don't see any concern, except for very unacceptable situations where the value chain is impacted.

Moderator: Kiran, may I request you to come back for a follow-up question, please?

Kiran Naik: Yes.

Moderator: Next question is from the line of Sandeep Mukherjee from SKP Securities. Please go ahead.

Sandeep Mukherjee: Sir, my first question is like what was the N20 volume in the total NPK mix for Q4 and FY '26?

Harshdeep Singh: Good morning. So, N20 volume which we did was 14.5 lakh metric ton. And we grew almost 9% over last year. And we are among the top two, three companies today in the NPK volumes.

Sandeep Mukherjee: Sir, for N20, this is for N20, sir?

Harshdeep Singh: This is for N20, what I am talking of, 14.5 lakh metric ton.

Sandeep Mukherjee: And for traded products, what were the volumes for TSP, DAP and MOP, sir?

Harshdeep Singh: TSP was around 2.8 lakh metric ton. And DAP was around another 2.2 lakh metric ton. Overall import portfolio was around 0.6 million tons.

Sandeep Mukherjee: 0.6 million tons. Okay, sir. And what was the gas cost for the quarter?

Rajeev Nambiar: What is that?

Harshdeep Singh: Gas cost.

Bijoy Biswal: Around \$14 for MMBTU.

Sandeep Mukherjee: And what is the current gas cost, sir?

Bijoy Biswal: It has slightly moved up. It is now around \$18 to \$19 because of this disturbance in the supply.

But I can tell you that this entire urea energy cost is a pass-through. So whatever the increase in the gas cost, that will be pass-through. That will not impact this bottom line of the urea.

Sandeep Mukherjee: And out of the new project cost, sir, that INR 3,600 crore, so what was your spent in FY '26 and what is your planning for FY '27 spend?

Rajeev Nambiar: FY '26, actually most of the things were in the engineering stages. The actual cash flow will start happening in '27. And we expect that INR 600 crore will be spent in FY '27.

Moderator: Sandeep, may I request you to come back for a follow-up question, please?

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Sandeep Mukherjee: Yes.

Moderator: Next question is from the line of Aman from Unified Capital. Please go ahead.

Aman: You made few remarks around government support and your communication with government.

Can you elaborate a bit, I mean, what sort of measures you are expecting? Is it certain kind of an ad-hoc subsidy increases o

r support in some other form? If you can just expand on it, how

you are looking at things as of today? I am asking this question considering the subsidy hike for the season has been just 10% while the raw material prices are up significantly.

Harshdeep Singh: Good morning to you. See, just to kind of give you the overview, government's policy as far as DAP and TSP is concerned, government has a clear advantage-disadvantage as a policy, which factors in the increase in the import prices and the price of the product.

So, to that extent, DAP gets adjusted and your bottom line gets kind of adjusted positively with any price change. And we are also working closely with the government as far as the Sulfur and Ammonia raw material prices are concerned. So, that is how we look at it.

Aman: But in terms of availability, you don't see any challenge, even if you have to buy at current prices for Quarter 2.

Harshdeep Singh: So, the way we are looking at it, see, it is not that there is no challenge. We have ensured that more or less we covered our Q1 and we are securing our Q2. But you understand there is a lot of Sulfur which flows through the Gulf of Hormuz.

So, while we are equally balanced because a lot of our Sulfur is sourced from the refineries within India. So, there is a good balance. And hopefully, if the situation resolves within the next few weeks, then I think the value chain should be streamlined. That is how we look at it.

Bijoy Biswal: And to add on to that, we are now focusing on low Sulfur grade products, which is increasing DAP and other things. So, there is a clarity of that policy. So, we are trying to minimize our Sulfur requirement.

Moderator: Next question is from the line of Aman Kothari from Aequis Investments. Please go ahead.

Aman Kothari: Hello, everyone. Firstly, congratulations, sir, on a wonderful set of results. Sir, I think you covered the point on the inventory increase that we have done that deliberately for, let's say, meeting Q1. Can you tell how much inventory additional we are keeping a stock of as against to what we would do on a normal year?

Bijoy Biswal: No, this stock increase, the raw material stays around another 30 days. It is there to take care of this production for Q1. And in fact, that will benefit us looking at this northward movement of the raw material prices.

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Aman Kothari: And on the balance sheet side, also, I think, for us, the total gross debt has increased to 6,800.

And as you mentioned, a large part of this is, again, subsidy receivable that has to happen. So, do you think that, let's say, barring Q1, we could have a problem in the timing of the subsidy?

And that could lead us to raising a possibility of short-term working capital? Because the government is already this thing --

Bijoy Biswal: Actually, in our working capital limit, we have adequate limit, which we have got it. Only thing is that the money what is stuck in this subsidy and inventory, that will wind up in this quarter.

So, I don't see that this level goes up beyond from here. In all probability, it should come down.

So, once this parcel happens, the subsidy starts flowing, and this inventory goes out, the main consumption happens in June and July. So, this will definitely reduce, you know, this borrowing

level, what are the working capital borrowing level, that will reduce.

Aman Kothari: And in terms of the NPK leadership that we have established, sir, we are almost growing on a company level, almost as 22% among the top companies. So, do you think that, I think in the last call also you had mentioned that maybe 50% of the market is still NPK, but that is also increasing, it is 45%. So, do you see that push by the government also happening, and you also seeing an increase in farming adopting to nitrogen NPK products?

Harshdeep Singh: Good morning. There are two

dimensions. So, first is on the leadership. So, just to give you a

perspective, let us say the industry growth of NPK standalone this year was minus 1%. And your company grew by 10%. So, in a situation where there was degrowth, we grew.

And if you include the TSP plus NPK, the industry growth was around 1.6%. We grew by 15%.

So, that is the direction that we consciously taken to provide balanced nutrition. So, that is a long term strategy we continue to build up.

However, in the current year, you could have a mixed this thing because of constraints of Sulfur and other products. So, the strategy might be more tilted to ensure that the phosphate and nitrogen also is secured so that the food security is maintained.

So, you will see a government putting a lot of emphasis on urea and DAP. And of course, complexes it continues, but be conscious of the fact that the complexes for the farmer today are priced quite higher compared to the DAP and TSP.

Aman Kothari: So, if the prices are higher in this current phase, do you think farmers would want to switch to a NPK kind of product? I mean, I can understand the nutrient balance that they would want to have, but..

Harshdeep Singh: No, it is a natural preference. The first preference for a farmer would be to typically go products like urea and DAP. So, that is what would happen.

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But like I was sharing with you with the last year also, with the industry where in NPK the industry didn't grow, but we grew by more than 10%. So, from that perspective, once you convey the benefits of the balanced nutrition to the farmer, you will see an uptake happening.

But in the current situation where there is too much of variance between the NPK price and DAP, you would see a balanced kind of growth in both the segments. But the overall phosphate segment remains strong. That is how I look at it.

Moderator: Aman, may I request you to come back for a follow-up question?

Aman Kothari: Sure.

Moderator: Next question is from Shreya from CapGrow Capital Advisors. Please go ahead. Due to no response, we move on to the next participant. Next question is from the line of Sourabh Gupta from Madhya Bharat Agro Products. Please go ahead.

Sourabh Gupta: First of all...

Moderator: Sir, the line for the participant dropped. Next follow-up question is from the line of Prashant Biyani. Please go ahead.

Prashant Biyani: Sir, how much is the Phos Acid volume for Q4 as well as for FY '26?

Bijoy Biswal: No, we produce around 1.25 lakh metric tons in Q4. And year-on-year basis, 5,01,000.

Harshdeep Singh: 5 lakh plus.

Prashant Biyani: And for Sulfuric Acid for Q4 and full year?

Rajeev Nambiar: Altogether with the whole year, we produce around 1.8 million. 1.75.

Prashant Biyani: And for Q4?

Rajeev Nambiar: Just a second.

Prashant Biyani: Yes.

Harshdeep Singh: For Q4, this was 4,10,000.

Prashant Biyani: Sir, how much is the subsidy that we received in Q4 and how much is the outstanding right now?

Bijoy Biswal: We have received in Q4 2,600-odd crores. And the outstanding subsidy is 3,800 crores.

Prashant Biyani: 3,800?

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Bijoy Biswal: Yes.

Rajeev Nambiar: Both brought coal and channel stock.

Prashant Biyani: Mr. Harshdeep, out of the total trading volume for Q4, how much is DAP and TSP?

Harshdeep Singh: DAP and TSP?

Prashant Biyani: Yes.

Harshdeep Singh: So, DAP was 2.2 million tons. Quarter also we will tell you the number. Just give me a minute.

Q4 number for DAP was, DAP imported was 0.3 million tons. And TSP was 0.4 million tons for the Q4.

Prashant Biyani: 3 lakh and 4 lakh tons.

Harshdeep Singh: Yes, 0.3 and 0.4 million. Yes. Sorry, 0.3 lakh and 0.4 lakh metric tons.

Prashant Biyani: Okay, 30,000 and 40,000.

Harshdeep Singh: 30,000, 40,000. Yes.

Prashant B

iyani: And sir, how much is the POS stock at the end of Q4 for DAP and NPK?

Harshdeep Singh: Total stock is around 8,30,000. And you want to understand the DAP stocks?

Prashant Biyani: No, for total phosphatic, DAP plus NPK.

Harshdeep Singh: DAP is around, at the end was 1.28 lakh metric tons. And NPK was around 6 lakh metric tons, 5.95.

Moderator: Next follow-up question is from the line of Aman Kothari from Aequitas Investments. Please go ahead.

Aman Kothari: Sir, is there any production guidance that we can currently factor in at this time of the year?

Rajeev Nambiar: Can you repeat it?

Aman Kothari: Any production guidance that we can give at this time of the year? I mean, I know there is uncertainty, but regards, let's say, 1st Quarter and then probably something further year.

Rajeev Nambiar: Basically, there are two anxieties is coming. One is ammonia side and second is in terms of the sulfur and Sulfuric Acid. The production volume remains almost like steady to large extent, at least 70 % to 80% for us in the Q1. But we are just slightly shifting from these two intensive
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products, ammonia intensive as well as from the sulfur intensive products, and wherever the policy clarity exists.

So, in terms of the running of the plants, as you know, all the three plants are running. To large extent, actually, we are covered till end of June. We don't have major anxieties. But since we produce around five to six different kinds of products, we have access actually whichever is shooting to the market as well as in terms of the policy clarity.

Aman Kothari: So, all the three plants are operating, we can say, above 90%?

Rajeev Nambiar: Not exactly. We can say around 80%.

Aman Kothari: And this is primarily because of the raw material constraints?

Rajeev Nambiar: Yes, yes.

Aman Kothari: And sir, the price of DAP that we are seeing at current rates, I think this has happened before also in a previous year where they deliberately reduced the volumes of DAP or trading. If you see the prices elevated, let's say, at a similar level for the next couple of quarters, do you think this is a deliberate step that we are going to again take?

Harshdeep Singh: See, we are not getting in to the deliberate step. The way we look at it is the government has put kind of a structure where we are doing a buying as an industry consortium. So, there will be a very transparent and effective process as a country that we have done so that instead of people taking spot positions individually, okay, so we have kind of asked the people to quote, and we have got the L1 prices discovered. So, you are right, these are exceptionally high prices both for urea and DAP.

However, the view from the government side is that it is important that the farmers get their phosphates and nitrogen for the cropping season. So, that is how we look at it. And it is important that we maintain a certain strategic inventory as a country so that we are in a better bargaining position as we go into the subsequent season. That strengthens our position that way.

Aman Kothari: So, the two tenders that India Potash did, I think, at those elevated prices, that was an industry level procurement that was done, right?

Harshdeep Singh: Yes. So, it is not IPL's tender alone. It is IPL on behalf of a consortium of five, six companies, okay, the large phosphate company. We are a part of that. And we had a good offer availability. And we have only picked up the quantity that L1 prices.

Aman Kothari: And sir, I think, CAPEX plan that also that we have, I think, debottlenecking would almost contribute to us 0.3 million tons. So, I think you already mentioned that 0.2 is something we are targeting for this year. So, I am assuming that 0.1 will be targeted for FY '28.

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Harshd

deep Singh: Yes, yes.

Aman Kothari: And that will again be as a parity plan?

Harshdeep Singh: Yes.

Rajeev Nambiar: Partly, it could be coming from Mangalore, but both the units will have some growth coming out.

Aman Kothari: And just one last question to add on. Sir, this is an if scenario, but considering that we have now seen an import duty increase of some deliberate steps that government is having to take to reduce the impact that it is having. So, do you think that if this situation is elevated and there are steps that, since you are having a plenty of discussions with the industry, is there a possibility that fertilizer subsidies could get delayed at these elevated prices?

Bijoy Biswal: No. See, look, this ammonia and Sulfur prices, there is no custom duty. In fact, very recently. So, with this, now the kharif is coming in and the type of stock built up and the consumption is happening, we don't see that the subsidy will be delayed. As of now, we have got the subsidy up to April end.

Alok Saxena : And with the kind of discussions that are happening on daily basis with the government and industry, government is very protective of the industry because they believe that manufacturing has to go to ensure food security. So, there is no reason for us to have subsidy delayed.

Bijoy Biswal: And it is adequately budgeted. They have budget support for the subsidy. So, we don't see any reason for delaying the subsidy.

Moderator: Next question is from the line of Ankit from Steptrade Capital. Please go ahead.

Ankit: I just wanted to know how much percentage of your raw materials are imported? I mean, in terms of sulphates, etc.

Bijoy Biswal: It is not very clear.

Ankit: How much percentage of your raw materials are currently imported? I mean, via Strait of Hormuz.

Bijoy Biswal: See, we get almost entire thing of ammonia imported earlier from Strait of Hormuz. Now, it has been shifted to East Coast. So, we are getting mostly now from the Southeast Asian countries, this ammonia. As well as Sulfur is concerned, yes, it was through Strait of Hormuz. Now, that is also impacted.

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Rajeev Nambiar: If you see large extent actually diversification happen in ammonia. Sulfur remains a critical resource for us actually to bother us. But I am sure actually, the kind of tie up all industry as well as government is supporting us to make, we will see at least better days to coming.

Harshdeep Singh: So, just to kind of update you, we are also earnestly sourcing of Sulfur that we are doing within the country. So, that partially supplements and like for the finished fertilizers, there is a consortium, which is working also on Sulfur and ammonia, securing Sulfur and ammonia in a transparent way. So, that also has been kind of, we have already declared that as industry and we are hopeful of securing that. Rather, one of the vessels that we secured for Sulfur came via Strait of Hormuz.

Ankit: Sir, considering the commissioning of the Sulfuric plant, so, I mean, how much margin expansion are we looking at? I mean, after getting the war situation getting sabotaged?

Bijoy Biswal: No, the delta between the imported Sulfur and, you know, inputs of Sulfuric acid and indigenous Sulfuric acid is around INR 3,000. But it depends on that what source, in what price you are sourcing this Sulfur. So, at this current level, it will be reduced, and it will be at around 1,500-2,000 level of delta.

Moderator: Next question is from the line of Riju from Antique Stock Broking. Please go ahead.

Riju: Sir, as you earlier said that in our Goa plant, urea plant was taken under maintenance shutdown due to energy efficiency. So, how much was the volume impacted or if you could indicate the production volume for this quarter for the Goa urea plant?

Rajeev Nambiar: Overall, if you look at it the whole year, actually, we will be completing RAC, okay, because

anyway, around 30-35 days are always kept on shutdowns of annual shutdowns. So, that we are consumed, actually. So, we don't see any decrease in volume on a yearly basis.

Bijoy Biswal: This year, we have done 4 lakh tons. And now with the policy, suppose, the new change in the policy come, we can do up to 4.5 lakh tons at Goa.

Riju: So, going forward, we can do 4.5 lakh tons kind of volume, right?

Harshdeep Singh: Yes.

Riju: Understood. And, sir, for the MCFL, you said that our production volume for the urea was somewhere around 4 lakh tons for the MCFL. Is that correct understanding?

Rajeev Nambiar: Yes.

Bijoy Biswal: Yes.

Riju: So, with that number, was there any dip in the urea production volume in the MCFL for 4Q?

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Rajeev Nambiar: The MCFL will continue to run. We have taken the shutdown in the last October-November. But if there is a supportive policy, we can still produce more than that, more than 4 lakhs.

Riju: So, like, for the H2, if you could indicate the production volume of urea at MCFL plant, that will

be helpful.

Rajeev Nambiar: H2, if you look at it, our overall R AC is around 4 lakhs. With the supportive policy, we can go up to 4.4 to 4.5.

Alok Saxena : We will share that specific number.

Rajeev Nambiar: We took a month shutdown last year for annual maintenance.

Riju: No, sir. My question was that, like, in 3Q and 4Q, how much was the production volume for MCFL urea plant?

Alok Saxena : Riju, we will get back to you separately on that. I think we do not give a that data here. We will get back to you separately.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to the management for closing comments.

Rajeev Nambiar: Thank you. And on behalf of the management team, PPL, we thank you for taking time to join Earnings Call and a lot of interesting questions from you. Should you have any further questions, please reach out to our investor relation team. And thank you once again and have a good morning and afternoon. Thank you.

Moderator: Thank you. On behalf of Anti que Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.